The Institute of Chartered Accountants of Bangladesh (ICAB)

CASE STUDY



Workbook
For Advanced Level

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

*** Online Examination is still to be adopted in ICAB*

**** Workings in Pre-Populated Spreadsheet may be considered as workings in the examination*

Case Study

The Case Study module will ensure that you can provide advice on complex business issues in the form of a written report.

Module aim

To ensure that you can provide advice on complex business issues in the form of a written report.

The objective of the Case Study is to assess your understanding of complex business issues and the ability to analyse financial and non-financial data, exercise professional and ethical judgement, and develop conclusions and recommendations.

Method of assessment

The Case Study module exam is four hours and thirty minutes long. The calculations required in the Case Study will generally be less detailed than in the other Advanced Level exams, but you will be required to undertake financial and business analysis.

Ethics and professional scepticism

Ethics and business trust are ingrained throughout the Case Study material. Analysis of the skills assessed shows that candidates are required both to identify and to evaluate ethical issues and dimensions. Recommendations will necessarily be valid only if they satisfy the same rigour and principles. Professional scepticism will be an underlying requirement within the complex scenarios that the Case Study presents. In applying it, you should be mindful of provenance and should recognise the potential for bias.

Sustainability

A sustainable mindset must be embedded within the strategic business awareness that students will be demonstrating at Advanced Level. Students will be required to use greater judgement to determine the appropriate solution in scenarios with a range of technical assumptions or in considering conflicts between business and sustainability objectives. This requires evaluation of alternatives and understanding the sustainability impacts of recommendations made in relation to other areas of the syllabus. Students will need to demonstrate the ability to use their business skills to analyse how to make the new sustainable economy work for their business and the public interest.

Preparation and approach to the Case Study

The Case Study is designed to reproduce a typical situation in which ICAB Chartered Accountants find themselves. This will involve using information communicated in a variety of formats from a variety of business and professional advisers and stakeholders. It will generally relate to a business proposal, decision or situation and will require preparation for the submission of a report.

The reality of such situations is that in drafting a report you would:

- receive some materials in question;
- carry out some work and make use of it in the report;
- include detailed numerical analysis in appendices to the report;
- develop additional lines of enquiry as you assemble the report; and

- expect to evaluate, and advise on, relevant matters.

The limited class time available, even when supplemented by extensive home study, is insufficient for success in the Case Study. You must bring work experience and general business knowledge into your preparation and development programme.

Success at the Case Study requires an integration of the technical knowledge and skills acquired from all of the ACA modules, namely:

- the core technical knowledge, skills and practical application acquired at the Certificate and Professional levels;
- the technical, analytical, evaluative and integration skills from Corporate Reporting and Strategic Business Management; and
- the advisory, judgemental and communication skills acquired through practical work experience undertaken during the training agreement.

The link to work experience

The work experience requirements provide a framework to develop appropriate work experience, completion of which is essential in order to qualify for membership. Work experience is also an essential component for exam preparation.

The seven professional developments skills that you will need to demonstrate are shown within your online training file:

(a) Adding value

(b) Communication

(c) Decision making

(d) Ethics and professionalism

(e) Problem solving

(f) Teamwork

(g) Technical competence

The Case Study also links with the work experience framework. This link will help you see that your practical knowledge and skills gained in the workplace feed back into the exam room and vice-versa.

The message is clear – you should use the work experience framework and skills development grids to ensure success in exam performance and success in your workplace performance.

Permitted texts

At the Professional and Advanced Levels there are specific texts that you are permitted to use during your exam. All information for these texts is available on ICAB.com/permittedtexts

Professional Level exams	Permitted text
Audit and Assurance	✓
Financial Accounting and Reporting	✓
Business Planning: Taxation and Compliance	✓
Business Strategy and Technology	×

Financial Management	×
Corporate Laws and Practices	No restrictions

Advanced Level exams	Permitted text
Corporate Reporting	No restrictions
Strategic Business Management and Leadership	No restrictions
Case Study	No restrictions

This information, as well as what to expect and what is and is not permitted in each exam, is available in the Instructions to Candidates. You will be sent the instructions with your exam admission details.

Key resources

Whether you're studying the ACA qualification with an Articleship or Pre-Articleship, we provide a wide range of resources and services to help you in your studies.

Syllabus, skills development and technical knowledge grids

The syllabus presents the learning outcomes for each exam and should be read in conjunction with the relevant technical knowledge grids and, where applicable, the skills development grids.

Past exams and mark plans

Use past exams to practise answering questions. The mark plans will help you check your answers.

The past exams and mark plans are included in syllabus and have been updated to reflect the 2026 legislation and syllabus.

Skills within the ACA

Professional skills are necessary for operating successfully in the modern workplace and are essential to accountancy. Your development of them is embedded throughout the ACA qualification.

The level of competency required in each of the professional skills areas to pass each exam module increases as ACA trainees progress upwards through each Level of the ACA qualification. The skills progression embedded throughout the ACA qualification ensures that ACA trainees develop the knowledge and professional skills that are necessary to operate successfully in the modern workplace and which are expected by today's forward-thinking employers.

The following professional skills areas are present throughout the ACA qualification.

Skills area	Overall objective
Assimilating and using information	Understand a business or accounting situation, prioritise by determining key drivers, issues and requirements and identify any relevant information.

Structuring problems and solutions	Structure information from various sources into suitable formats for analysis and provide creative and pragmatic solutions in a business environment.
Applying judgement	Apply professional scepticism and critical thinking to identify faults, gaps, inconsistencies and interactions from a range of relevant information sources and relate issues to a business environment.
Concluding, recommending and communicating	Apply technical knowledge, skills and experience to support reasoning and conclusions and formulate opinions, advice, plans, solutions, options and reservations based on valid evidence and communicate clearly in a manner suitable for the recipient.

The following provides further detail on the professional skills that you will develop in this particular module

Assimilating and using information

Understand the situation and the requirements

- Demonstrate understanding of the business context.
- Identify and understand the requirements.
- Recognise new and complex ideas within a scenario.
- Identify the needs of customers and clients.
- Explain different stakeholder perspectives and interests.
- Identify risks within a scenario.
- Identify elements of uncertainty within a scenario.
- Identify ethical issues including public interest issues such as environmental, social and business sustainability issues within a scenario.

Identify and use relevant information

- Interpret information provided in various formats, including in spreadsheets.
- Evaluate the relevance of information provided.
- Use multiple information sources.
- Filter information provided to identify critical facts.

Identify and prioritise key issues and stay on task

- Identify business and financial issues from a scenario.
- Prioritise key issues.
- Work effectively within time constraints.
- Operate to a brief in a given scenario.

How skills are assessed: you may be required to:

- use the Advance Information, exam, knowledge of ethical codes and professional experience to
- define the specific issue/situation;

- identify and use the key financial figures from the Advance Information and exam, which may be
- provided in spreadsheets;
- use your own understanding of context and relevant findings from your own research;
- describe the wider context in which the business operates;
- identify relevant business issues showing:
  - understanding of a business entity
  - understanding of its position in the industry sector;
- recognise where a business is in its life cycle;
- identify any important parameters affecting an issue (eg, competitors, loss of clients, impact of technology); and
- demonstrate an awareness of ethical and business trust, environmental, social and business sustainability issues and situations.

Structuring problems and solutions

Structure data

- Structure information from various sources into suitable formats for analysis.
- Identify any information gaps.
- Frame questions to clarify information.
- Use a range of data types and sources to inform analysis and decision making.
- Structure and analyse financial and non-financial data to enhance understanding of business issues and their underlying causes.
- Present analysis in accordance with instructions and criteria.

Develop solutions

- Identify and apply relevant technical knowledge and skills to analyse a specific problem.
- Use structured information to identify evidence-based solutions.
- Identify creative and pragmatic solutions in a business environment.
- Identify opportunities to add value.
- Identify and anticipate problems that may result from a decision.
- Identify a range of possible solutions based on analysis.
- Identify ethical dimensions of possible solutions.
- Select appropriate courses of action using an ethical framework.
- Define objectives and acceptance criteria for solutions.
- Identify the solution which is the best fit with acceptance criteria and objectives.

How skills are assessed: you may be required to:

- identify and use key information;
- demonstrate technical knowledge;

- use professional experience;
- use relevant strategic analytical tools (SWOT, PESTLE, Porter's Five Forces);
- perform relevant analysis;
- produce quality analysis showing:
  - depth
  - breadth
  - logic
  - reasonableness;
- use knowledge of ethical codes and professional experience to perform relevant analysis; and
- assess issues of business trust, environmental, social and business sustainability.

Financial statement analysis:

- use appropriate analytical tools on information and data provided in the Advance Information and
- exam, including in spreadsheets, to measure financial performance, identify trends and make comparisons;
- perform relevant analysis on:
  - financial statements
  - other information;
- make specific adjustments to align equivalent financial information for different factors;
- assess the causes and effects of both financial and non-financial factors on the business;
- assess the effect of external factors on business activities and financial results; and
- integrate numbers and words.

Financial data analysis:

- prepare and explain relevant calculations based on financial information provided in the Advance
- Information and exam,;
- use appropriate analytical tools (eg, valuation methodologies) and statistical techniques;
- perform relevant analysis on:
  - numerical data
  - other information;
- determine specific outcomes from financial and non-financial information provided;
- comment on assumptions provided;
- consider and calculate possible alternative outcomes (flexing numbers, sensitivity analysis,
- scenario building, financial modelling); and
- integrate numbers and words

Applying judgement

Apply professional scepticism and critical thinking

- Recognise bias and varying quality in data and evidence.
- Identify faults in arguments.
- Identify gaps in evidence.
- Identify inconsistencies and contradictory information.
- Assess interaction of information from different sources.
- Exercise ethical judgement.

Relate issues to the environment

- Appreciate when more expert help is required, but reviewing and challenging the work of experts where appropriate.
- Identify related issues in scenarios.
- Assess different stakeholder perspectives when evaluating options.
- Retain an overview of the business issue or scenario.
- Appraise corporate responsibility and sustainability issues.
- Appraise the effects of alternative future scenarios.
- Appraise ethical, public interest and regulatory issues.

How skills are assessed: you may be required to:

- evaluate and build on implications of financial or strategic analysis or calculations;
- identify and use key financial information;
- recognise linkages;
- recognise gaps or shortcomings in the information provided;
- select and evaluate key points, such as strengths and weaknesses of a business proposal;
- question and evaluate the adequacy of any assumptions and quality of information provided;
- explain your own assumptions;
- discuss output, such as pros/cons;
- demonstrate professional scepticism;
- demonstrate objectivity/balance;
- demonstrate an appreciation of more than one side/bias;
- evaluate and balance options;
- prioritise key points;
- assess weaknesses in decisions;
- reflect on the underlying analysis performed and what it means for the organisation;
- use knowledge of ethical codes and professional experience;
- identify risks and ethical issues within, and derived from, the scenario;
- identify key ethical issues for an accountant undertaking work in accounting, finance

and assurance; and

- evaluate any specific business trust points relating to the issue under review.

Concluding, recommending and communicating

- Apply technical knowledge to support reasoning and conclusions.
- Apply professional experience and evidence to support reasoning.
- Use a range of appropriate technical skills to formulate opinions, advice, plans, solutions, options and reservations.

Recommendations

- Present recommendations in accordance with instructions and defined criteria.
- Make recommendations in situations where risks and uncertainty exist.
- Formulate opinions, advice, recommendations, plans, solutions, options and reservations based on valid evidence.
- Make evidence-based recommendations which can be justified by reference to supporting data and other information.
- Develop recommendations which combine different technical skills in a practical situation.

Communication

- Present analysis and recommendations in accordance with instructions.
- Communicate clearly to a specialist or non-specialist audience in a manner suitable for the recipient.
- Prepare the advice, report, or notes required in a clear and concise style.

How skills are assessed: you may be required to:

- draw conclusions, make recommendations and reach decisions based on your foregoing work and relevant to the organisation as described in the business scenario;
- draw conclusions that:
  - are realistic;
  - flow from the analytical work and evaluation previously conducted;
  - include the impact of any assumptions and any sensitivity analysis;
  - form an opinion on the validity of information sources; and
  - conclude on ethical issues.
- offer clear, practical, and commercial advice and recommendations that:
  - follow logically from the analytical work, evaluations and conclusions;
  - are backed up by reasoned argument;
  - are realistic;
  - help to improve the situation or mitigate any problems or uncertainties identified within the
  - context of the business scenario and wider context;
  - lie within the range of current business activity;

- identify any significant positive points or areas of concern relating to any decision(s) reached;
- identify any financial implications of action (or no action);
- identify additional work needed to support the decision(s);
- identify the next steps that the client should take to progress or reject an issue;
- identify where any specific additional advice may be required; and
- resolve any identified ethical dilemmas or issues of business trust.

Sustainability in the ACA Qualification

The sustainability landscape has developed at a rapid pace in recent years, with a marked shift from voluntary frameworks and guidance to more mandatory reporting and risk management requirements.

The relevance of sustainability to the role of accountants is growing, with the skillset provided by the CA becoming increasingly valuable to respond to the tide of incoming regulations and increasing investor and broader stakeholder requirements.

The taxonomy and language around sustainability and its related areas is varied and may as yet be unfamiliar and so there is a need for consistency of sustainability language and underlying concepts. ICAB has created this glossary to provide support for greater consistency and concepts across the ACA exams.

Climate scenario analysis	Definition or description
Assimilating and using information	Environmental issues such as climate change are giving rise to significant risks for businesses. These may arise from physical climate events or the transition to a net-zero carbon economy. Scenario analysis is key to better understanding and managing future risks today, as well as supporting the transition to a net-zero carbon economy. Forward-looking assessments using scenario analysis is recommended by the TCFD to test strategic resilience to future climate shocks. It is not about providing profit forecasts or predicting the future but assures investors that the organisation is prepared for plausible future outcomes
Corporate Social Responsibility	Corporate Social Responsibility (CSR) is a management concept whereby companies integrate social and environmental concerns in their business operations and interactions with their stakeholders. CSR is generally understood as being the way through which a company achieves a balance of economic, environmental and social imperatives ('Triple-Bottom-Line-Approach'), while at the same time addressing the expectations of shareholders and stakeholders. This term is used less often in recent times, following a swathe of articles exposing greenwashing practices associated with the movement. Sustainability' and 'ESG' tend to be more favoured.

Corporate Sustainability Reporting Directive (CSRD)	In tandem with the development of standards by the ISSB, the EU has adopted the Corporate Sustainability Reporting Directive (CSRD). The CSRD introduces detailed sustainability reporting requirements for large and listed companies and paves the way for mandatory sustainability assurance The CSRD incorporates the concept of 'double materiality'. This means that companies have to report not only on how sustainability issues might create financial risks for the company (financial materiality), but also on the company's own impacts on people and the environment (impact materiality). This diverges from the ISSB concept of materiality, which remains aligned with financial materiality.
Double materiality	Double materiality means considering not only the sustainability issues that might create financial risks for the company (financial materiality), but also those sustainability issues where a company's activities materially impact on people and the environment (impact materiality). This concept is fundamental to the CSRD.
ESG	Environmental, social and governance (ESG) approaches sustainability-related issues through a corporate lens and considers the impact of these risks on business and enterprise values (rather than on society more broadly). It is a frequently used terminology in corporate and investment communities. At a high level, it is another characterisation of sustainability, providing the 3 lenses of environment, social and corporate governance to use when exploring relevant sustainability factors:
	

	When looked at in more detail, however, ESG is distinct from sustainability. It does not include consideration of planetary limits and a social foundation, together considered the 'safe operating space' within which companies, governments and individuals can sustainably operate According to the Principles for Responsible Investment (PRI) (a United Nations-supported international network of investors) ESG issues faced by organisations can be defined as follows: • Environmental: Issues relating to the quality and functioning of the natural environment and natural systems. These include: biodiversity loss; greenhouse gas (GHG) emissions; climate change; renewable energy; energy efficiency; air, water or resource depletion or pollution; waste management; stratospheric ozone depletion; changes in land use; ocean acidification; and changes to the nitrogen and phosphorus cycles. • Social: Issues relating to the rights, well-being and interests of people and communities. These include: human rights; labour standards in the supply chain; child, slave and bonded labour; workplace health and safety; freedom of association and freedom of expression; human capital management and employee relations; diversity; relations with local communities; activities in conflict zones; health and access to medicine; HIV/AIDS; consumer protection; and controversial weapons.
	• Governance: Issues relating to the governance of companies and other investee entities. In the listed equity context these include: board structure, size, diversity, skills and independence, executive pay, shareholder rights, stakeholder interaction, disclosure of information, business ethics, bribery and corruption, internal controls and risk management, and, in general, issues dealing with the relationship between a company's management, its board, its shareholders and its other stakeholders. This category may also include matters of business strategy, encompassing both the implications of business strategy for environmental and social issues, and how the strategy is to be implemented. (Source: https://www.unpri.org/127272_949397.pdf)
ESG vs Sustainability	based on what nature can afford. It incorporates consideration of both the impacts and dependencies of an organisation and so includes those factors that are material both to the organisation but also to society. Environmental, social and governance (ESG) approaches this issue through a corporate lens and considers only how these risks and opportunities affect a business and its enterprise value. Whilst sustainability includes the concept of environmental and social limits (planetary limits and a social foundation) within which there is a safe operating space, ESG focusses on enterprise value and so does not incorporate considerations of a safe operating space. (Source: GHG Protocol Corporate Standard)

Mitigation and adaptation	In the face of increasing climate-related risks, organisations need to focus on both mitigation and adaptation activities. **Climate change mitigation** means avoiding and reducing emissions of greenhouse gases into the atmosphere to prevent the planet from warming to more extreme temperatures. This involves a transition away from fossil fuels to clean, renewable energy; halting deforestation; and restoring natural habitats to reach net zero emissions. **Climate change adaptation** refers to adjustments of strategies and actions in response to the effects and future risks of climate change. These risks may be linked to the physical impacts of climate change; but also, the economic impact of a transition towards net zero. Identifying, managing and adapting to these risks is key for the development of a resilient business that can survive, and even thrive in the unprecedented physical and transitional changes ahead.
Paris Agreement and Net Zero	The Paris Agreement is an international treaty on climate change that was signed by nearly 200 countries in 2015 at the United Nations Framework Convention on Climate Change's 21st Conference of Parties, known as COP21. This agreement is generally regarded as the framework for international action towards mitigating climate change and its impacts. The Paris Agreement set the ambition to a maximum of 2°C global temperature change, with the preferred goal of 1.5°C above pre-industrial levels. The term 'net zero' refers to the global reduction of greenhouse gas emissions to net zero by 2050 and is the action required to limit temperature rise to 1.5 degrees Celsius.
Physical and Transition Risks	The risks business and the public sector will face due to climate change can be categorised into two areas: (a) Physical risks, which arise from the physical effects of climate change such as storms, extreme temperatures, wildfires, flooding. (b) Transition risks, which relate to social and economic shifts to a low-carbon economy such as changes to policy, regulation, technology and market.
Stranded assets	Stranded assets' are assets that are economically stranded, having suffered from 'unanticipated or premature write-downs, devaluations or conversion to liabilities' (Smith School of Enterprise and the Environment, 2014). Stranded assets can be caused by a range of environmental-related risks including: • climate change • new regulations • evolving social norms • litigation

Sustainability	Sustainability is a broad term that encompasses an environmental and social focus to improve people's lives and improve the planet for the long-term. The technical definition of sustainability comes from the 1987 Brundtland report, and is defined as development that: 'meets the needs of the present without compromising the ability of future generations to meet their own needs'. Frameworks, goals or categories for sustainability can help to break it down for practical application. This is where characterisations such as environmental, social and governance (ESG) or environmental, social and economic factors can be useful. Sustainability is not limited to the environment. Interpretations of the scope of sustainable development have developed from a narrow interpretation which focused on 'green issues' to broader interpretations which include concerns such as: • Increasing extremes of poverty and wealth • Population growth • Biodiversity loss • Deteriorating air and water quality • Climate change • Human rights • Bribery and corruption
Sustainable Development Goals (SDGs)	The United Nation's Sustainable Development Goals are a set of 17 goals based on the key environmental, social and economic factors required for peace and prosperity for people and planet. They frame sustainability through the lens of environmental, social and economic characterisations, with a healthy environment underpinning a healthy society, which underpins a healthy economy.
The Taskforce on Climate-related Financial Disclosures (TCFD)	The G20 is an intergovernmental forum comprising 19 countries and the European Union. It works to address major issues related to the global economy, such as international financial stability, climate change mitigation, and sustainable development. The UK Government is the first in the G20 to mandate that the largest UK-registered companies provide disclosures, on a 'comply or explain' basis, in line with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). The TCFD recommendations are structured around four core elements – Governance, Strategy, Risk Management, and Metrics and Targets. Each of these core elements include reporting requirements and additional guidance for disclosing organisations. In particular, the TCFD recommendations focus on forward-looking financial disclosure. They ask organisations to identify climate-related risks and opportunities, to consider the financial implications, and to assess the resilience of the business strategy to future climate outcomes. TCFD recommends organisations use scenarios to explore future business risks arising from climate change and present the findings in the narrative report.

WEF Global Risks Report

The World Economic Forum's annual Global Risks Report explores some of the most severe risks the world may face over the next decade. It is underpinned by their annual Global Risks Perception Survey, bringing together leading insights from over 1,200 experts across the World Economic Forum's diverse network.

In 2024, perceptions of the most severe risks on a global scale over the next 2 and 10 years were as follows:

2 years	10 years
1 Misinformation and disinformation	1 Extreme weather events
2 Extreme weather events	2 Critical change to Earth systems
3 Societal polarization	3 Biodiversity loss and ecosystem collapse
4 Cyber insecurity	4 Natural resource shortages
5 Interstate armed conflict	5 Misinformation and disinformation
6 Lack of economic opportunity	6 Adverse outcomes of AI technologies
7 Inflation	7 Involuntary migration
8 Involuntary migration	8 Cyber insecurity
9 Economic downturn	9 Societal polarization
10 Pollution	10 Pollution

Risk categories: Economic Environmental Geopolitical Societal Technological

(Source: https://www3.weforum.org/WEF_The_Global_Risks Report_2024.pdf)

WEF IBC metrics

The World Economic Forum (WEF) International Business Council (IBC) metrics provide a useful starting point when considering what sustainability metrics may be relevant for an organisation. The WEF paper 'Measuring Stakeholder Capitalism' was written with the aim of developing a core set of common metrics and disclosures on non-financial factors, for sustainable value creation. It highlights the key themes significant to the planet, society and business and was produced in collaboration with Deloitte, EY, KPMG and PwC in 2020.

The metrics are categorised into four pillars: Principles of Governance, Planet, People and Prosperity and aligned with their relevant SDGs.

Sustainability and the role of ACA Professionals

ICAB Chartered Accountants ('ACA Professionals') recognise that sustainability is at the core of what they do and are capable of actively using their business skills to analyse how to make the new sustainable economy work for their business.

The relevance of sustainability to the role of accountants is growing, with the skillset provided by the ACA becoming increasingly valuable to respond to incoming regulations and increasing investor and broader stakeholder requirements.

Finance and accounting professionals need to move beyond simply measuring and reporting the impact of climate change, environmental regulation, supply chain pressure and rising energy costs.

ACA Professionals need to focus on understanding those implications and integrating them into financial management and business planning by integrating knowledge and understanding the broader implications of environmental, social and governance issues.

Sustainability and decision making

Integrating sustainability to strategic decision making and operational processes is closely related to the skills and experience of ACA Professionals. Examples include:

- Identification and management of risks.
- Compliance with laws, regulations and code of corporate governance.
- Design and operation of management control systems.
- Measurement of environmental, social and governance (ESG) related liabilities and impaired assets, financial instruments and new forms of taxation, such as renewable energy reliefs or carbon emission tariffs and any assurance required thereon.

Where the technical issues extend beyond the accountant's reach then the accountant will work with sustainability experts and other relevant experts when required, which is good practice.

Reporting

The role of ACA Professionals includes the preparation and issuance of reported sustainability

information with related activities which include:

- Identifying and evaluating sustainability-related risks and opportunities and advising on solutions to mitigate impacts and risks.
- Considering how current and future sustainability-related risks and opportunities affect an organisation's strategy, operations, financial reporting, regulatory and legal compliance and sustainability reporting requirements.
- Advising on an organisation's specific sustainability metrics to monitor and report.
- Developing methods and solutions to measure sustainability metrics.
- Developing processes and controls to produce and verify the information.
- Preparing sustainability reports and advising on the sufficiency of current sustainability reporting disclosures.
- Providing assurance over mandatory and voluntary sustainability reported information.
- Providing sustainability information that is relevant to strategic and operational decision making.
- Influencing others in positions of power to take appropriate action to safeguard or improve an organisation's sustainability performance.

Applying sustainability related learning in ACA

ACA students can develop these skills by applying a common set of sustainability principles across every ACA module in this complex and fast changing area.

These core principles include, but are not limited to:

- Consider an organisation's sustainability-related dependencies alongside its sustainability-related impacts.
- Clarify that climate change is only one aspect of environmental concerns.
- Consider sustainability-related opportunities alongside risk.
- Consider physical risks as well as transition risks and opportunities.
- Confirm that climate and other environmental issues are considered against the broader context of sustainability.
- Apply a principles-based approach of identifying, evaluating and mitigating sustainability-related risks and opportunities where the sustainability landscape is complex and lacks a global/mandatory standard.

This can be aided by the application of the following ACA Professional Skills to specific sustainability- related situations:

- Assimilating and using information
- Structuring problems and solutions
- Applying judgement
- Concluding, recommending and communicating

ACA and Technology

Changes in technology have automated many routine aspects of accountancy. However, with these changes in technology also come complexity and risk. Accountants need to adapt and develop new skills to manage the change resulting from the emergence of new technologies.

These and other innovations in technology are likely to have a significant impact on the way that accountants access information, transact and manage business finances. Technology tools can provide information more quickly and often more accurately than humans, but they cannot replicate human intelligence and quality decision-making, or effectively communicate the output of analysis.

Therefore, ACA professionals hold key roles such as validating the source of the data, interpreting, and analysing the outputs, and ensuring the tools support effective management of the organisation. Additionally, as routine and compliance work reduces, the ACA provides a focus on the development of skills that equip ACA professionals to work with the outputs of automated processes, with other specialists, and in a changing world.

While there are many new technology capabilities that have broad application across the business and consumer environment, ICAB has identified seven trends that have the greatest potential to transform the accountancy profession: Artificial Intelligence, Automation, Blockchain, Cybersecurity, Cloud computing, Data and Digital Transformation. These technologies are explored across relevant ACA modules and are supported by the following definitions.

Term	Definition
Artificial Intelligence (AI)	Artificial Intelligence involves the creation and use of advanced computer systems to perform tasks that traditionally require human intelligence. This includes learning from data, reasoning and problem-solving, sensory understanding, language processing, and recognising patterns. AI systems are characterised by their ability to adapt to new information or environments, operate with a degree of autonomy, and make informed decisions. AI often, but not always, involves the use of Machine Learning.
Augmented Reality (AR)	Augmented Reality is a technology that overlays digital information – such as images, text or effects – onto the real world as seen through a device, such as a smartphone or AR glasses.
Automation	Automation is the creation and application of technology to monitor and control the production and delivery of products and services. (Source: The International Society of Automation, 2018) (current BST definition)
Big Data	Big Data is the term that describes those 'datasets whose size is beyond the ability of typical database software to capture, store, manage and analyse.' (Source: McKinsey Global Institute, Big data: The next frontier for innovation, competition and productivity)
Blockchain	Blockchain is a specific form of distributed ledger technology that records data in a decentralised and immutable manner across multiple nodes. This structure makes records tamper-proof and enhances security by removing single points of failure. Blockchains are often public, allowing anyone to verify the data, though private configurations exist for tailored organisational needs. This technology supports cryptocurrencies and has many other applications, including supply chain oversight, digital identity and secure voting.
Chatbot	A chatbot is a software application designed to simulate conversation with human users. It uses natural language processing to understand and respond to user queries.
Cloud accounting	Cloud accounting refers to performing accounting tasks using cloud accounting computing software, often delivered in a software-as-a-service (SaaS) model.
Cloud computing	Cloud computing is on-demand access, via the internet, to computing resources – applications, servers (physical servers and virtual servers), data storage, development tools, networking capabilities and more – hosted at a remote data centre managed by a cloud services provider (or CSP). (Source: https://www.ibm.com)

Cryptocurrency	Cryptocurrency is a digital asset that is designed to function as a medium of exchange and store of value. It operates through a decentralised computer network independent of any central authority, such as a central bank, which does not issue or regulate it. Cryptocurrencies use blockchain technology to achieve decentralisation, transparency and immutability, distinguishing them from traditional monetary systems and financial assets. While they perform roles similar to currency, under IFRS® Accounting Standards they are not recognised as cash or financial instruments but may be accounted for as intangible assets or inventory depending on the circumstances.
Cyber-attack	cybersecurity of a specific organisation or individual. This includes any unauthorised access, manipulation or damage to computers, networks, digital systems or data. Cyber-attacks are carried out to steal, alter or destroy information, or to disrupt the operation of systems and services. Common forms of cyber-attacks include phishing, malware, ransomware, denial of service (DoS) and advanced persistent threats (APTs).
Cybersecurity	Cybersecurity is the collection of tools, policies, security concepts, security safeguards, guidelines, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect an organisation's and user's assets against cyber-attack.
Data analytics	Data analytics is the process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.
Data bias	Data is biased when it is not representative of the population that is being analysed. Bias can be inherent in the data collected or it can be introduced by those analysing the data.
Data mining	Data mining is the process of analysing large datasets to discover patterns, relationships and insights. It employs AI and statistical algorithms to identify correlations and trends that transform raw data into actionable information.
Distributed ledger technology (DLT)	Distributed ledger technology (DLT) encompasses a range of decentralised database systems where transactions are recorded and validated across multiple sites. Unlike traditional ledgers, DLT does not rely on a central authority, enhancing transparency and reducing the need for audits. While blockchain is a well-known type of DLT noted for its chained data structure, other forms of DLT may organize data differently and offer varying levels of access and privacy.
Generative AI	Generative AI refers to a type of artificial intelligence that is designed to generate new content, such as images, text, audio or video, based on patterns learned from a training dataset. Unlike predictive models that focus on making predictions or classifications based on existing data, generative AI models create entirely new data instances that mimic the characteristics of the training data.
Infrastructure-as-a-service (IaaS)	Infrastructure-as-a-service, or IaaS, provides virtual computing resources over the internet. It allows businesses to rent servers, storage space and networking capabilities without needing to own physical infrastructure. Users can manage operating systems, storage and deployed applications while the service provider handles the physical hardware.

Machine Learning	Machine Learning is the capability of computer systems to learn from and make predictions or decisions based on large volumes of training data, without being explicitly programmed to do so. It involves two primary methods: supervised and unsupervised learning. In supervised learning, the model is trained on labelled data, meaning it learns to predict outcomes from input data that has an associated correct answer. Unsupervised learning involves training on data without labelled responses, allowing the model to identify patterns and relationships in the data independently.
Natural Language Processing (NLP)	Natural Language Processing is a branch of artificial intelligence that enables computers to understand, interpret, and generate human language in a way that is both meaningful and useful. By employing techniques from linguistics and computer science, NLP helps machines process and analyse large amounts of natural language data, facilitating tasks such as translation, sentiment analysis, voice-activated services and chatbot responses.
Platform-as-a-service (PaaS)	Platform-as-a-service, or PaaS, offers a development and deployment environment delivered over the internet, allowing users to build, test and deploy applications without the complexity of managing the underlying infrastructure. Providers supply a framework that developers can build upon, including support for software development kits, databases and development tools. PaaS is designed for developers who want to create applications without worrying about hardware, software updates or storage.
Robot	A robot is a programmable machine capable of carrying out complex actions autonomously or semi-autonomously. Typically equipped with sensors and actuators, robots are used in various industries for tasks that require precision and endurance or involve hazardous conditions.
Robotic Process Automation	Robotic Process Automation is a software solution that replicates a business process, designed to do a task that would otherwise be performed manually. It is programmed to follow 'if this, then that' instructions. It runs with other applications rather than replacing them.
Software-as-a-service (SaaS)	Software-as-a-service, or SaaS, is a delivery model that allows users to access software applications over the internet. These applications are hosted and maintained by external providers, offering convenience and reduced IT overhead for users. SaaS solutions are typically subscription-based, with common applications including email, customer relationship management (CRM) and collaboration tools.
Virtual Reality (VR)	Virtual Reality (VR) is a digital technology that creates a simulated environment, immersing users in a three-dimensional space. Users can interact with virtual objects and experience scenarios that mimic real life or imaginative worlds.

Chapter 1
Introduction to the Case Study Learning Materials

Introduction

Exam context

Case Study Learning Materials

Learning topics

1 About the Case Study

2 Case Study assessment and the Marking Key

3 Professional skills

4 Preparing for the Case Study

5 Critical success factors



Introduction

This chapter introduces candidates to the Case Study (CS) and explains the purpose of this workbook and related Learning Materials. It brings together and summarises information on the Case Study structure and the methods of assessment. It also considers the assessment from the overall perspective of the four professional skills that are assessed. Finally, there are sections on preparing for the exam and key factors that distinguish successful candidates from failing ones.

Chapters 2, 3 and 4

Chapters 2, 3 and 4 consider the three types of business analysis normally asked of candidates in the Case Study, namely:

- Chapter 2: Financial statement analysis
- Chapter 3: Financial data analysis
- Chapter 4: Commercial analysis (financial, operational and strategic analysis, together with business trust and ethical awareness)

These chapters include abridged cases, based on previous exams, for candidates to practise the specific skills discussed in the chapter. There is one such case in each of Chapters 2, 3 and 4. The abridged cases also include pre-populated spreadsheets (PPS).

Chapter 5

Chapters 5considers the Executive Summary: its purpose, form, preparation and assessment.

In addition to this Workbook, there is a separate 'Walkthrough' of a previous exam (Weave the Weft). This will enable candidates to study in detail how to approach a full CS Exam and provide material for them to practise ahead of the actual CS Exam. The Walkthrough also offers a further demonstration of the use of PPS.

Each chapter is self-contained, but none of the topics can be viewed in isolation. They are intertwined because the financial statement analysis – the analysis of how the business has been performing in its immediate past – informs the financial data analysis, which usually considers a current issue facing the business. The analysis of the business from these two perspectives (past and present) informs, and is informed by, the commercial analysis, which considers the business from the present to the future.

Exam context

To prepare for the CS Exam, candidates need to be fully familiar with the Information. It cannot be emphasised enough that **there is absolutely no substitute for diligent and intelligent preparation by the candidate.**

There are three main exam requirements. The first typically focuses on financial statement analysis; the second on financial data analysis; and the third on commercial analysis. The three requirements carry equal weighting and they all include a numerical component. The assessment is open in that although there are specific requirements, there are no predetermined correct answers.

Candidates must ensure that they have had sufficient opportunity to practise using the information and that they are aware of its functionality so that they can use it effectively within the exam. Case Study Learning Materials

The Case Study Learning Materials comprise:

- This Case Workbook, consisting of five chapters

The contents of the Case Workbook are:

- Chapter 1: Introduction; the context of the CS Exam and a review of the skills required
- Chapter 2: Financial statement analysis using a case entitled Dog Gourmet Supplies (DGS)
- Chapter 3: Financial data analysis using a case entitled House Pride (HP)
- Chapter 4: Commercial analysis using a case entitled Scour
- Chapter 5: The Executive Summary

As can be seen, the three chapters (2, 3, 4) covering the key areas in which a candidate needs to be competent in order to pass the exam include separate, abridged cases based on actual previous Case Studies. These cases have been selected for inclusion because they represent appropriate examples of the issues to be considered and techniques to be mastered when tackling the exam. If, when considering one of the three cases, you identify current business issues which did not apply at the time when the case was presented, this is perfectly acceptable.

The cases in chapters 2, 3 and 4 include pre-populated spreadsheets (PPS). The way in which PPS are used is different for each case in order to indicate a range of scenarios in which they might appear.

PPS in the exam will be well signposted. Candidates will have to use their judgement to identify the work to be done on the spreadsheet in the context of the requirement set. In general, the analysis expected will be similar to analysis that candidates should have carried out as part of their preparation and familiarisation work on the information. The information itself will not contain any information in PPS but there will be sections throughout that lend themselves to data analysis.

In the separate 'Walkthrough', an entire previous Case Study (Weave the Weft, from November 2022) is dissected as an aid to candidates. The techniques described in the Walkthrough apply to candidates' preparation for all CS Exams.

While each exam is unique and presents its own issues and challenges, you will be able to identify the areas of commonality between CS Exams as well as areas of difference. All exams require a candidate to analyse the business scenario and developed in the CS Exam. The business scenario is always presented as a mixture of business history; business context; financial, operational and strategic information; together with topical news and other relevant information. The exam material is therefore a mixture of 'hard' facts about the business and 'soft' contextual information and opinion on the business. A candidate must be fully familiar with all the information available.

Differences in the structure of the Case Study in comparison with the other ACA exams are reviewed, together with the differences expected in candidate preparation before the exam. There is an emphasis on the change in mindset that is required for the Case Study and the importance of starting your preparation as early as possible.

The major differentiators in candidate performance and key success factors for the Case Study are identified, together with the differences between marginally passing and excellent scripts on specific sections of cases. In discussing the communication skills that are essential for success in the Case Study, the Learning Materials emphasise the pre-eminence of quality over quantity.

The assessment process is explained, so that you can understand what the examiners are looking for and how to satisfy them. The four professional skills areas on which the Case

Study assessment process is founded are examined and broken down into their individual components.

Advice is offered on how to demonstrate these skills as effectively as possible in the exam setting, and how they interact with each other. Exercises are provided to enable you to understand how to use the information in preparation for your exam, as well as to help build your professional skills.

The Workbook is interspersed with 'skills tips' for easy reference.

By working through these Learning Materials, you should come away with extensive ideas on many techniques to help maximise your chances of success in the Case Study:

- How to analyse and use Case Study information including the wider context
- How to use your analysis effectively in structuring problems and solutions
- How to deal with financial information that is presented in a non-standard way
- How to analyse data
- How to produce effective appendices and include the relevant numerical analysis in the relevant sections of your answer
- How to produce a high-quality Executive Summary
- How to use the four hours effectively in the exam itself
- How to ensure that you are best equipped to tackle the exam
- How to demonstrate professional scepticism
- How to identify business trust and ethical issues, demonstrate ethical judgement and address matters of business trust
- How to exercise and apply judgement
- How to formulate (and communicate) recommendations and conclusions
- How to achieve 'user focus' (ie, remember the audience)
- How to add value

With tips, hints and extracts from the examiners' commentaries, these Learning Materials will give you a comprehensive toolkit that, if used properly as part of your preparation, will provide a pathway to passing the Case Study. The Learning Materials have been written and structured in such a way as to be suitable for both self-study and tutor-assisted learning.

1 About the Case Study

1.1 Setting expectations

ICAB Chartered Accountants today are business and financial advisers. As an ACA, your unique selling point when compared with other advisers to business – such as lawyers, bankers, marketing or public relations specialists – is that you will have the knowledge and skills to understand and interpret financial and other business data and communicate the underlying issues to your clients.

This professional skill – combining confident financial fluency in a client's business with the ability to present information in a clearly understandable way to that client – is critical for an ICAB Chartered Accountant. This skill may be encapsulated in the phrase 'making the numbers talk' – remembering that the client's board usually includes some members who have no financial background.

During the first two years of your training, you will have received a thorough grounding in the concepts and principles that underlie the preparation, interpretation and use of financial and business information. In preparing for the other Advanced Level exams, you will enhance your technical knowledge and develop the skills to tackle business scenarios that generate technical problems.

The objective of the Case Study is to assess your understanding of more complex interactions of business issues and your ability to analyse financial and non-financial data, exercise judgement and develop conclusions and recommendations. Marks are only awarded for professional skills.

The Case Study is always based on real-life situations and generally centres on a request for advice or help, from either your client or your boss. In developing your advice, you will have the opportunity to carry out some preparatory work, on your own or with your peers and your tutors, in advance of the exam. The CS Exam requirements will ask you to assess and discuss practical, current commercial issues.

To be successful at the Case Study, you will need to:

- Understand the business's situation, ie, where it is located in its life cycle (start-up, transition, maturity, decline) and the generic issues it will be facing.
- Identify the key issues relevant to the case.
- Use relevant data, identify interrelationships and generate new ideas and information.
- Apply appropriately your knowledge of technical and ethical matters in the context of the case.
- Develop relevant quality analysis using the financial and non-financial data given.
- Apply your professional judgement and consider the consequences of your ideas.
- Develop clear conclusions and recommendations based on your analysis.
- Produce a well-structured document, using appropriate language to communicate your ideas to your audience.

These Learning Materials are designed to help you in preparing to meet these requirements.

The Case Study is the final exam hurdle before admission to membership and should be treated with the necessary seriousness and professionalism.

1.2 Comparison between the Case Study and the other ACA exams

1.2.1 Differences in structure

In more ways than one, the Case Study is probably the longest exam you will have sat. Not only is it a four-hour and thirty minutes exam, but you will also have spent considerable time working directly towards it.

In the four hours and thirty minutes, you will be expected to produce only one piece of output (a report), although it will have a number of sections. If you have prepared properly, you should find that the four hours and thirty minutes are not enough for you to say all that you would like to say in the report, and the challenge will be to discipline yourself to answer the requirements set.

Your direct preparation time will have been spent familiarising yourself with, and analysing, the information. At the end, you will know the entity as though it were your client or employer, and you will have settled yourself into the role that you are going to be asked to take on in the exam. You will also have a good understanding of the industry sector in which the organisation is based.

1.2.2 Differences expected in candidate preparation before the exam

What is the recommended preparation time for the Case Study? You begin your preparation as soon as you start your training agreement, because the main distinguishing feature of the Case Study is that it is a 'real-life' situation requiring you to bring to bear all the expertise and experience that you have accumulated since your first day at work.

Developing your skills cannot be done in the final weeks before the exam. You will need to have planned your skills development programme as soon as you have completed your Professional Level exams. The skill with which candidates struggle the most is that of Applying Judgement, so as soon as you embark on your work for the Case Study, you should try to identify situations in which you – or your colleagues – apply judgement and the way in which you apply it. The professional skills are covered in detail below (section 4).

1.2.3 Difference in the assessment method for the Case Study

In the Case Study, all the marks are awarded for the demonstration of professional skills. Where you are required to demonstrate your technical knowledge, marks will be awarded in the context of how you analyse the problem and structure your solutions. Because of this focus on skills, there will be no 'right' or 'wrong' answer to the analysis although there may be for individual calculations.

2 Case Study assessment and the Marking Key

2.1 Marks allocation

The rubric in the CS Exam reiterates the allocation of marks to the assessed skills, and then developsthe guidance further:

Marks allocation	
All of the marks in the Case Study are awarded for the demonstration of professional skills, allocated broadly as follows: Applied to the four elements of your report (as described above)	
Assimilating & using information	20% to 30%
Structuring problems & solutions	20% to 30%
Applying judgement	20% to 30%
Drawing conclusions & making recommendations	15% to 20%
Demonstrating integrative & multidisciplinary skills, including Executive Summary	13%
Of the total marks available, approximately 10% are awarded for the relevant discussion of ethical issues within your answer to the requirements. In planning your report, you should be aware that not attempting one of the requirements will have a significantly detrimental effect on your chances of success, as will not submitting an Executive Summary. In addition, as indicated above, all four skills areas will be assessed under each of the four elements of your report. Accordingly, not demonstrating your judgement and/or failing to include appropriate conclusions and recommendations in each element of your report will affect your chances of success.	

Details of what the examiners are looking for under each of the professional skills are set out below.

It is important for candidates to be aware that it is the evidence of their professional skills that is being assessed. Unsuccessful candidates are likely to produce (or, worse still, simply reproduce) facts with no analysis or judgement.

For each exam, a marks plan in the form of a grid – known as the 'Marking Key' – is developed against which all candidates' scripts are assessed. The Marking Key is in four sections:

- the three detailed requirements (under each of which the four professional skills are each assessed); and
- integrative and multidisciplinary skills, which covers the Executive Summary and overall assessment criteria (OAC).

2.2 The Marking Key

The Marking Key for each exam session is developed by a process of intensive discussion over a period of several days by the examiners in conjunction with a group of highly experienced marking team leaders, with reference to a sample of actual exam scripts.

The starting point is the detailed list of all the professional skills that might be assessed in a CS Exam. These are set out in the overall Introduction to this Workbook. (To see the full skills development grids, please go to ICAB.com/examresources.) Not all of the detailed skills will be relevant to any given CS exam; the examiners select those that are relevant to ensure that the marking of successive cases is comparable.

Having selected the required skills for the exam, the examiners will then set out the specific basis on which each of the four areas is to be assessed. This comprises a set of mark-earning points, based on possible facts, technical and ethical knowledge items, outputs from analysis, implications from the analysis, conclusions and recommendations.

As the marks to be awarded are evenly spread over each of the three main exam requirements (see below), you should ensure that you allow yourself enough time to answer each part of each requirement in as much detail as you can.

As is emphasised in the exam rubric, not attempting one of the requirements has a significantly detrimental effect on your chances of success, as does not submitting an Executive Summary or demonstrating a full set of skills. In particular, many candidates struggle with Applying Judgement (AJ). This skill manifests itself in a number of ways but in the Case Study it usually entails the need to evaluate analysis, challenge assumptions or apply professional scepticism to facts and figures supplied by people or entities that may have vested interests (see below for further discussion of the skills).

2.3 How are marks awarded?

As noted above, the examiners determine a set of mark-scoring points that make up the Marking Key as used by the markers. This is accompanied by an extensive set of rules and training points to ensure that the process is as standardised as possible. Some of these are general for all exams; thers are specific to an individual session. The general ones include the following:

- A number in **bold** means that the number shown must be in the script for a mark to be given (a small rounding is allowed).
- A key word in **bold** means that the word or a synonym of it must be in the script.
- A plain-text word, phrase or number in brackets need not appear in the script. It is only there to help the markers. A number not in brackets means that a number is needed but it can be the candidate's own figure.
- The word 'OR' (or a '/') means that only one part needs to be stated to achieve the mark.
- Where there is an 'eg', an example must be provided but it may be an example which is not listed.
- Conclusions must be under a 'Conclusions' heading. The Executive Summary is all a conclusion and does not need separate conclusion sections within it.
- Recommendations will be picked up from anywhere within a requirement, but if they are not written under a 'Recommendations' heading they must be clear action points for the directors. Comments under a 'Recommendations' heading will be assumed to be action points.
- The Marking Key heading will indicate whether numbers/points must appear in the main report or in an appendix or whether they can be in either. Any that are not specified are expected to be within the report.
- Overall assessment criteria: each requirement and section within a requirement should have a meaningful heading (ie, **not** 'Requirement 1'), appendices should have a title (ie, **not** just 'Appendix 1') and columns should also be headed (eg, '2021 £'000'). The report should have a disclaimer (where appropriate). Appropriate business language should be used throughout and you should be aware that tactless or unethical comments will be penalised.

The skills areas are themselves interrelated. In general:

- If you are not sufficiently familiar with the Case Study information and wider business issues, by definition your assimilation and use of information will be weak and will lead to poor analysis.

  Inadequate analysis of the problems and structuring of your solutions will leave you without a proper basis for exercising your judgement.
- If you are unable to demonstrate your application of judgement, it is unlikely that you will provide sufficient support for your conclusions.
- Without properly developing conclusions, you will have no basis for making your recommendations.

Your integrative and communication skills will be assessed within the Executive Summary and under overall assessment criteria'. Make sure that you know to whom you are writing. Having identified your audience, keep it in mind throughout. Each audience will have different requirements and expectations. Regardless of the audience, you will need to:

- avoid technical jargon and colloquialisms – use simple language
- be professional
- be succinct
- be relevant
- be tactful

Finally, your report as a whole must answer the requirements that have been set.

For examples of the types of answers that candidates are able to produce, refer to the illustrations of comparative answers shown at the end of each of Chapters 2, 3 and 4 as well as those in the Walkthrough.

Extracts from Marking Keys may be found in Chapters 2, 3 and 4, together with a full Marking Key in the Walkthrough.

You will see that within each the number of mark-scoring areas varies according to the different weightings of the professional skills being assessed. There are three mark-scoring areas for A&UI, three for SP&S, three for AJ and two for C&R. The number of points within each varies. For example, each appendix typically has only three potential points in the first mark-scoring area under A&UI, whereas the evaluation of the analysis, assessed under AJ, might have six potential points (and some of these may include several possible items).

Across the exam, there are 200 mark-scoring points, each worth a half-mark, giving a maximum possible mark of 100. Of these 200 points, 24 are available for the Executive Summary, 2 for Overall Assessment Criteria and 58 for each of the three main requirements. The first marking process provides a mark for all scripts. Marginal scripts receive a second marking.

This is undertaken independently by a different marker who has not seen the first mark and is using exactly the same Marking Key. Differences between first and second marking are arbitrated by a third marker. After second marking and arbitration, a final mark out of 100 is determined.

2.4 How is numerical work rewarded?

The Case Study will always require you to perform some calculations, though the extent of these will vary from case to case. However, what will not change is that they will be needed for each of the three exam requirements. The marks awarded for calculations are spread across the professional skills.

You could potentially earn marks across all four skills areas. For example, if you are asked to assess the feasibility of a new product, you could gain credit as follows: (1) in A&UI, for presenting your calculations clearly and stating appropriate workings and assumptions; (2) in SP&S, for analysing or presenting the calculation of revenue to be generated by the product, based on financial information provided in the exam; (3) in AJ, for commenting on the adequacy of the assumptions underlying the figures provided or on the output of sensitivity analysis; (4) in C&R, for concluding on the viability of the product. You will also score marks for restating the relevant key numbers in your Executive Summary.

2.5 Critical factors in passing the exam

2.5.1 Applying your knowledge of the Learning Materials

Marks available in the Case Study relate to the application of your professional skills and business knowledge rather than to your demonstration of technical skills. Nevertheless, a good technical grounding is an essential foundation. These Learning Materials are a rich source of guidance for candidates.

2.5.2 Understanding the stage of the business in its life cycle

Your use of the information needs to take place at several different 'levels'. Some exhibits – such as any industry overviews – are contextual and provide the background for your required output. Others, such as the subject entity's financial statements, will need to be used in much greater detail. Others still, such as a list of the entity's key clients, or an operational schedule, may come somewhere in the middle.

An important question for all business analysis is: at what stage in its life cycle is this business? This will determine the appropriate framework for any required discussion of its business strategy, financial strategy or commercial development.

2.5.3 Understanding the role of the candidate in the case

Your role in the case will be as a student in the final year of your training agreement, which might be in:

- a professional accountancy practice; or
- a company outside the accountancy profession.

You might be either employed by, or on secondment to, a client or another department in your organisation. It is important that you appreciate your role – from the beginning of your preparatory work on the AI – as this will provide the appropriate perspective for your exam output.

2.5.4 Quality versus quantity

'How much do I have to write in order to pass the Case Study?'

Passing the Case Study is nothing to do with how much you write and everything to do with what you write. You might have heard people say: 'I didn't have time to write a short report so I have written a long one'. The ability to write a focused, short report is a high-level skill. The aim of the exercise is to keep your script relevant. The longer scripts tend to be those that are padded out with irrelevant material, an inevitable consequence of which is that their authors run out of time to spend on the bits that really matter.

3 Professional skills

This section covers the four professional skills that are assessed in the Case Study. It defines these skills and reviews the progression of skills assessment through the ICAB exam and professional qualifying process.

3.1 Introduction

The term 'professional' is often used to describe a group of occupations that require extensive training, a high level of trust and adherence to a strong code of ethics. Professionals help to

solve important problems for those who approach them for advice. There is a particular set of skills underlying their work: these can be broken down as follows, using the examples of a doctor and a lawyer:

- Establishing the facts: Doctors need to examine their patient in order to understand the symptoms; lawyers must interview their client and other parties involved. Both may also conduct research to find relevant information, for example consulting medical databases or previous cases.
- Carrying out some analysis: Here, professionals draw on their training to interpret the facts and understand what they mean in the context of the problem. A doctor connects certain symptoms to a particular disease; a lawyer comes to a conclusion as to how the law is relevant to a particular situation.
- Using professional judgement: This is the stage that distinguishes professionals.
    - Certain symptoms may suggest a particular disease but how likely is it that a particular patient has this disease? Is further research or a second opinion needed? Does the patient have a particular history that suggests something different from normal symptoms?
    - Are there uncertainties or ambiguities in the legal situation? Might an unconventional approach to litigation work in this situation?

At this stage, professionals are expected to apply **professional scepticism.** They have some information, but that doesn't mean that it is correct. What is the source of the information? Are there reasons to think that it may be flawed? What questions should be asked? Professional scepticism is covered in more detail later in this section.

- Advising the client: This is where everything leads. A doctor needs to prescribe a particular course of treatment or other action; a lawyer needs to tell the client how to proceed. Professionals may present their patient or client with options but, if they do so, they need to give clear and unambiguous advice about which option they would recommend and why.

These are also the skills that underlie the work of accountants. Accountants usually deal with financial and commercial issues, applying these skills to provide advice and make decisions, whether they are advising clients or in commercial roles, supporting the financial decision-making and operation of an organisation.

The Case Study is based on, and assessed according to, these four skills, which are articulated and defined for the purposes of the exam as follows:

- **Assimilating & Using Information (A&UI)** – identifying and using the relevant data from the Information, own research and the CS Exam to form the basis for analysis
- **Structuring Problems & Solutions (SP&S)** – analysing figures and information relating to the business and commenting on the results of the analysis and the underlying, given assumptions
- **Applying Judgement (AJ)** – evaluating information and options, considering linkages and implications, questioning assumptions; identifying ethical concerns and applying professional scepticism to the business issues being addressed
- **Conclusions & Recommendations (C&R)** – highlighting key points, providing clear conclusions derived from analysis and judgement and offering a range of relevant action points

These four professional skills are the column headings on the Marking Keys under which a candidate's answers to the three main requirements are assessed.

The Marking Key (the key) allocates the 100 available marks over the skills and sections of the exam. A typical allocation is as follows:

	A&UI	SP&S	AJ	C&R	Total
Requirement 1 (R1)	7.0	8.5	8.5	5.0	29.0
Requirement 2 (R2)	7.0	8.5	8.5	5.0	29.0
Requirement 3 (R3)	7.0	8.5	8.5	5.0	29.0
	21.0	**25.5**	**25.5**	**25.5**	**87.0**
Executive summary (including OAC)					13.0
Total					**100.0**

Candidates who spend most of their time on one or two requirements and make only a superficial attempt at the other(s) will not do as well as those who can better manage their time and effort and provide an answer which covers all three requirements. The three requirements carry equal weighting and **should be given equal attention by candidates.** The requirements do not specify the number of marks available for each component; candidates must apply their judgement.

The main requirements

The points in each column are grouped into areas under which marks might be awarded. These are explained in more detail in the following section.

Within each mark-scoring area, a list of points is provided. These represent the main items that the examiners are expecting to see in an answer and for which individual marks are awarded. They may be grouped around a single issue which a candidate is expected to have considered in depth or they may reflect a series of points with broader coverage across an identifiable linked range.

Where appropriate, the Marking Key is designed in such a way as to show a progression from SP&S to AJ by means of an arrow. For example, in the DGS case (explored in Chapter 2 of this Workbook), Requirement 1 showed the following with respect to the request for advice.

Structuring problems and solutions **R1.SPS.3** **Request for advice (report)**		**Applying judgement** **R1.AJ.3** **Eval/recs on request for advice**
• Lack of action over staff complaints	>	• Need to respond to staff complaints quicker
• Tension between production and sales teams/pressure on production	>	• Need to address overworked/unhappy staff/ enforce client T&Cs/staff satisfaction survey
• Future 'near miss' may not be caught in time	>	• Potential for damage to reputation/need to improve quality controls
• Risk of assigning Taylors to Charlie (inexperienced)/unfair KPIs/unfair client allocations	>	• Importance of perceived fairness/change KPIs/need to sort out commission system
• Hugh resigned before year end/rejoined PAW	>	• Need to review staff contracts/non-competition clause/need to replace Hugh
• VST recently terminated contract	>	• Potential for more lost clients/monitor impact of losing VST/review relationship with Hugh's client's (PiP)

Executive Summary (ES)

The ES section of the key is structured around the three requirements.

Each requirement section of the ES has two mark-scoring parts, representing the broad areas that the examiners are expecting to see in relation to each requirement. This structure enables the assessment of the ES as a concise summary of key facts and findings from each section of the main report and also reflects the format that most candidates use to write their ES.

Chapter 5 gives further guidance on the ES.

Overall assessment criteria (OAC)

The other mark-scoring area under the 'Executive Summary' section of the Marking Key covers skills to be demonstrated throughout the CS Exam. This is where a candidate is rewarded for a well- structured, well-presented report, aimed at the appropriate audience. OAC covers the following two headings:

- Report structure: disclaimer AND from firm AND headings (this will be varied if the candidate works for or is on secondment to the company)
- Report language: formal AND tactful AND ethical

3.2 The application of professional skills

The remainder of this section looks in further detail at each of the four professional skills. These are then picked up within each of the following chapters that contain abridged versions of three past Case Studies – namely, DGS (Chapter 2), HP (Chapter 3) and Scour (Chapter 4). The illustrations of comparative answers at the end of each of these chapters, with relevant guidance notes, illustrate in practice how the skills development works across an answer and through the Marking Key.

3.3 Assimilating & Using Information (A&UI)

Assessed skills	Certificate Level	Professional Level	Advanced Level CR and SBM	Case Study
Understanding the situation and the requirements	Objective testing and simple scenarios	Scenarios	Complex scenarios	**Unstructured complex business scenarios**
Identifying and using relevant information	Information as provided	Single information source provided/ Several information sources provided	Multiple information sources provided	**Multiple information sources including own research, analysis and experience**
Identifying and prioritising key issues	Issues given	Issues included in scenarios	Issues included in complex scenarios	**Issues included in unstructured complex scenarios**

In their professional work, it is expected that candidates can identify, understand and work with the important factors relevant to any task that they might be asked to complete. This

ability to select these factors in the context of (and at the start of) the task is an important professional skill, both in a working environment and within the Case Study.

What is A&UI in the Case Study?

Each of the three main requirements has three mark-scoring areas available under A&UI. The first two typically assess the creation and use of the financial information necessary to answer the requirement. The third covers the identification of relevant wider business context issues.

A&UI is the assessment of a candidate's ability to identify the key issues and components to be considered in answering any requirement. The examiners are looking to assess candidates' abilities in A&UI through their ability to meet clear criteria, such as:

- Performing basic calculations as presented in their appendix
- Using relevant specific (financial or other) information from the AI
- Using relevant specific (financial or other) information from the CS Exam, including information provided in PPS
- Identifying relevant issues for the business from other aspects of its scenario
- Demonstrating an understanding of the wider context in which the business operates
- Identifying any important parameters affecting an issue (eg, actions by competitors, loss of clients)
- Demonstrating awareness of ethical and business trust issues and situations

The A&UI columns of the Marking Key will always include elements of these (though the wording may be adapted to suit the specific scenario).

Appendices

Appendices produced by candidates for Requirement 1 are usually clear, relevant and properly labelled. Most candidates then go on to make good use of the numerical work from their appendices in their reports.

Appendices for Requirements 2 and 3 can be more variable. However, candidates who are well prepared and have diligently explored the information will find that where analysis is required, a suitable template may have been given, which can be adopted and adapted as required in the exam.

Less well-prepared candidates may be uncertain about which structure to follow, thus creating unnecessary pressure on themselves. This can also result in an appendix which is messy and hard to follow. Good appendices follow the structure which the information suggests and make use of relevant templates.

Skills tip

Production of well-structured, user-friendly, relevant appendices is an important skill that the examiners want to reward. In all reports, appendices are used to evidence detailed or substantial calculations, which are then summarised in the main body of the report. Candidates must practise identifying and producing the necessary calculations for themselves to be able to create relevant appendices that show the necessary level of analysis.

How is A&UI assessed in Case Study Exams?

In each Case Study requirement, candidates must be able to assimilate, and then use rapidly and effectively the numerical and factual information about the subject business, from both the information and the CS Exam. This forms the starting point for success in the CS Exam.

When assimilating and using information, candidates should ensure that:

- the appropriate key facts from the information are selected and are clearly presented in an appendix;
- relevant financial details are brought forward from appendices into the body of the report;
- the relevant aspects of the business scenario are included in a succinct form;
- relevant factors from the wider context are clearly described; and
- the link between the wider context and the business is described/established.

Candidates must ensure that they are identifying, presenting, and therefore using, information which is relevant to the organisation in answering the requirements.

3.4 Structuring Problems & Solutions (SP&S)

Skills progression through the ACA qualification: STRUCTURING PROBLEMS & SOLUTIONS

Assessed skills	Certificate Level	Professional Level	Advanced Level CR and SBM	Case Study
Structuring data	Specified techniques	Specified techniques/ Techniques inferred by nature o problem	Techniques inferred by nature o problem	**Unstructured complex**
Developing solutions	Highly specified tasks/ Specified problems	Specified problems	Specified and implicit problems	**Defined output but unspecified problems**

For a professional accountant, the ability to assess a problem and analyse the key factors and issues, particularly in numerical or financial terms, is a crucial skill. The assessment of this skill identifies logical thinking and the ability to use both financial and non-financial information to answer a specific question. This can indicate good professional expertise and competence. Performing specific analysis accurately and understanding the immediate meaning of that analysis is a key professional skill and is at the centre of the work of an ICAB Chartered Accountant and the Case Study.

What is SP&S in the Case Study?

SP&S is the assessment of a candidate's ability to analyse the key information provided in the CS Exam – both financial and non-financial – linked to the AI, as determined by the requirements. The examiners are looking to assess candidates' competence in SP&S through their ability to meet clear criteria, such as:

- Performing specific financial statement analysis using information from the AI and CS Exam
- Assessing the causes and effects of both financial and non-financial factors on the business
- Assessing the effect of external factors on business activities and financial results
- Determining specific outcomes from financial and non-financial information provided
- Commenting on assumptions provided
- Making specific adjustments to align equivalent financial information for different factors
- Assessing and calculating possible alternative outcomes (sensitivity analysis)
- Assessing ethical and business trust issues

The SP&S columns of the Marking Key will always include elements of these (though the wording may be adapted to suit the specific scenario). For each requirement, the assessment

of SP&S uses three mark-scoring areas covering the key aspects of analysis being asked for under each requirement.

How is SP&S assessed in the Case Study?

For each Case Study requirement, candidates must analyse the information provided by way of accounts and other (numerical or factual) information in both the AI and the CS Exam. Candidates must be able to assess the scenario presented and to decide rapidly which analytical tools to use.

When structuring problems and solutions, candidates should ensure that:

- The results of their financial analysis and any financial data calculations are clearly explained.
- The relevant aspects of the business strategy or operations are included in a succinct form.
- The specific commercial merits (positives) of an issue are identified and clearly explained.
- The specific commercial demerits (negatives) of an issue are identified and clearly explained.
- Broad ethical concerns are linked specifically to the issues under review.

  To score well on SP&S, candidates must ensure that in answering the requirements they are analysing and presenting information which is relevant to the organisation and to the specific scenario identified.

Skills tip (SP&S)

Candidates should be aware that it is the clear and logical explanation of any analysis, aimed at the correct audience, which provides the evidence that they possess the skill being assessed.

3.5 Applying Judgement (AJ)

Skills progression through the ACA qualification: APPLYING JUDGEMENT

Assessed skills	Certificate Level	Professional Level	Advanced Level CR and SBM	Case Study
Applying professional scepticism and critical thinking	Objective testing	Specified requirement in simple scenario	Specified requirement in complex scenario	**Underlying requirement within complex scenario**
Relating issues to the broader business environment, including ethical issues	Objective testing and issues in simple scenarios	Issues in scenarios	Issues in complex scenarios	**Issues in complex, unstructured scenarios**

As the diagram shows, the way in which Applying Judgement (AJ) is assessed changes through the qualification, culminating in the higher skills demanded by the Case Study. It is the skill with which Case Study candidates often have most difficulty.

What is AJ in the Case Study?

Good judgement is one of the most important skills that an ICAB Chartered Accountant can possess. In the CS Exam, it requires candidates to consider carefully the analysis that they have conducted to evaluate the results or the circumstances surrounding the issues under review. It requires providing a professional opinion based, as far as possible, on the evidence presented or the results of the analysis. In order to emphasise the fact that it is an opinion, it should involve demonstrating a logical and balanced evaluation of all the facts and factors surrounding a set of results.

In the CS Exam, Applying Judgement means providing, within the body of the report, evidence of the development of thought in order to present the route to a decision based on the analysis conducted. To demonstrate good judgement, candidates must ensure that they have identified and evaluated all relevant criteria in a logical and balanced way and that they give a clear opinion on the results. It is a key skill and the bridging link between analysis and conclusions and recommendations.

The examiners are looking to assess candidates' abilities in AJ through various criteria, such as:

- applying professional scepticism and critical thinking
- recognising bias and varying quality in data and evidence
- identifying inconsistencies and contradictory information
- assessing interaction of information from different sources
- exercising ethical judgement
- assessing different stakeholder perspectives when evaluating options
- appraising corporate responsibility and sustainability issues
- appraising the effects of alternative future scenarios
- appraising ethical, public interest and regulatory issues

The AJ columns of the Marking Key will always include elements of these (though the wording may be adapted to suit the specific scenario).

How is AJ assessed in the Case Study?

For each Case Study requirement, candidates must evaluate their analysis, together with any assumptions made or given in the information provided from both the AI and the CS Exam. This evaluation, assessed as AJ, is a central element in success in the CS Exam. It is the next step after SP&S, and the Marking Key frequently contains arrows in the SP&S column signposting the related evaluation under AJ.

Professional scepticism

AJ frequently involves the application of professional scepticism. Professional scepticism is central to the work of accountants. Any information provided should not be accepted at 'face value', but should be evaluated for quality and reliability. This includes the output of IT systems, which may also be subject to error, bias or misinterpretation. Equally, it does not mean that all information provided should be rejected, as much information is reliable, but the reasons for reliance need to be considered.

The questions to be asked about any information – **the 7 Ps** – are:

- **Preparer?** Was it an internal author with a vested interest or an external author – with what degree of skill or level of awareness and knowledge on the part of the preparer?
- **Purpose?** Why has this information been provided? Is it a set of standard financial

statements or has it been prepared specifically to address the issue under consideration, such as to obtain a bank loan or to support a bonus payment or an insurance claim? Is there likely to be any bias, given its purpose and authorship?

- **Precision?** What is the likely degree of accuracy of the information being considered? Is it from past audited information or from drafts or management accounts? Does it form part of a body of projected information? Is it an extrapolation, is it part of the main information, or is it from a new source?
- **Predictions?** Are the timeframes realistic? Are plausible assumptions made about future levels of activity? Are the issues linked to the past/current situation or are they new speculations about future events? The further in the future, the less reliable they are likely to be.
- **Problems?** Are the big issues and the subsidiary concerns easily identified or do they require revealing? Are the problems purely financial or are there non-financial implications? Are they short-term financial 'incidents' or long-term fundamental financial issues?
- **Priority?** What is the level of priority and the indicative timeframe for each issue being considered? For example, is it high-priority with an immediate impact, or low-priority affecting a protracted outcome over the next two accounting periods?
- **Perspective?** From whose perspective is the problem to be considered: the preparer of the information, the author of the report, the client? Is it clear who the client is, and does the client understand the 'contractual' position with the author – is it seen as an objective adviser? Who is the audience?

From the answers to these questions, a candidate will be able to assess the provenance and the quality of the information presented in the case context. This assessment is another important element in applying judgement to the information provided.

When exercising judgement, candidates may be:

- Challenging the reasonableness/robustness of assumptions or quality of information.
- Making their own assumptions.
- Choosing between or balancing options.
- Selecting the key issues.
- Assessing weaknesses in decisions.
- Evaluating ethical issues.

Candidates must be able to stand back and reflect on the underlying analysis that they have performed and what it means for the organisation.

Skills tip (AJ)

Candidates should always identify and question all assumptions provided, as a normal process of applying judgement, particularly for those assumptions which are critical to any financial calculation being considered.

It is also important to identify any obviously missing information (eg, an expense shown in the AI not included in the CS Exam information) for inclusion in the report.

3.6 Conclusions & Recommendations (C&R)

Skills progression through the ACA qualification: CONCLUSIONS & RECOMMENDATIONS

Assessed skills	Certificate Level	Professional Level	Advanced Level CR and SBM	Case Study
Conclusions and recommendations	Objective testing	Specified conclusions and recommendations in simple scenarios	Specified conclusions and reasoned recommendations in complex scenarios	**Conclusions and recommendations supported by own evidence**

Conclusions and Recommendations (C&R) complete any section of work conducted, whether in the office or in the CS Exam report. They require the ability to make a final decision based on the results of the analysis of a problem from as many angles as possible. Clients expect professional accountants to reach a conclusion and make recommendations to them based on their professional skill.

What is C&R in the Case Study?

C&R is the final step in the process of identifying, analysing and evaluating all the factors affecting an issue to make a decision (the conclusion) and offer any relevant advice (the recommendations). The examiners look to assess candidates' abilities in C&R through their ability to meet clear criteria, such as:

- Providing a clear decision based on a logical extension of all previous work in the requirement.
- Providing a logical justification for the decision.
- Identifying any significant areas of concern relating to the decision.
- Identifying any financial implications of action (or no action).
- Identifying additional work needed to support the decision.
- Identifying the next step(s) that the client should take to progress or reject an issue.
- Identifying where any specific additional advice may be required.

The C&R columns of the Marking Key will always include elements of these (though the wording may be adapted to suit the specific scenario).

For each Case Study requirement, candidates must reach a conclusion and make relevant recommendations for the topic or issues under review in the context of both the AI and the CS Exam. A conclusion will include any decision on the issues. Recommendations should be made regardless of whether a conclusion is positive or negative.

Recommendations should be realistic and in line with the answers derived and any actions proposed should take into account the sources of information and be focused on the business scenario considered – including any relevant wider context.

When presenting conclusions and recommendations, candidates should ensure that:

- Conclusions flow from the analytical work and evaluation previously conducted
- Conclusions consider the relevance of the source information and its validity
- Conclusions identify any significant areas of concern
- Recommendations follow logically from the analysis, evaluations and conclusions
- Recommendations are realistic and lie within the range of current business activity
- Ethical and business trust issues (where asked for) are covered

Candidates must ensure that they are providing conclusions and recommendations which flow from their work and are relevant to the organisation as described in the business scenario.

Skills tip (C&R)

Candidates should always ensure that they provide (1) conclusions under a heading in line with their report findings with numbers (where appropriate), and (2) practical and commercial recommendations clearly and realistically related to the business – within the specific parameters of the business scenario.

4 Preparing for the Case Study

The skills that you develop through your professional work form an integral part of the skills being assessed in the CS Exam. In taking responsibility for your skills development programme, you should identify those people in your work environment who can help you: peers, tutors, managers and partners. Identify the areas on which to concentrate your skills revision programme.

4.1 Preparing yourself

Planning is a prerequisite for passing any exam, but especially the Case Study. Planning for the Case Study begins straight after you complete the Professional Level. Though it is easy to compartmentalise professional life into the separate areas of work and study, viewing the two areas as complementary is critical for the Case Study. Your workplace experience should help you to put your preparation for the Case Study into a meaningful practical context.

4.2 Technical and business knowledge

Good technical and business knowledge is the foundation to demonstrating your skills in business and financial analysis. The following are recommended:

- Reading Student Insights: ICAB.com/studentinsights
- Referring regularly to the ICAB website www.ICAB.com
- Reading quality business publications such as the Financial Times or The Economist, or subscribing to business newsletters and podcasts.
- Seeking opportunities to practise technical skills and accounting techniques in the workplace, questioning colleagues whenever necessary.

Specific exercises – which can be done either alone or in small groups – might comprise:

- studying financial statements prepared or audited by your office;
- reading and reviewing management reports prepared by your office for a range of clients.

4.3 Analytical skills

Sound analysis is the basis for exercising judgement and developing your conclusions and recommendations.

You will need to be able to demonstrate your understanding of where the business is placed in its life cycle and appreciation of the key issues facing the business in its context. To do this, you should be comfortable applying tools for corporate and strategic analysis that you have learnt as part of your previous studies, such as PESTLE, SWOT or Porter's Five Forces, and using them to address specific business issues.

Having assessed the wider context, you will then need to analyse the key components of the specific tasks that you have been set. For this part of analysis, you need to be able to:

- perform relevant numerical analysis

- integrate your numerical and commercial analysis to produce a cohesive product

To develop your analytical skills, you should make use of the material in the chapters on 'Financial statement analysis' (Chapter 2), 'Financial data analysis' (Chapter 3) and 'Commercial analysis' (Chapter 4). These skills are critical to your success in the Case Study. You will also need to obtain fair and open feedback. Ask for your work to be critiqued and, from the feedback, develop your own analytical process.

4.4 Communication skills

The ACA syllabus shows the progression of communication skills across the qualification.

Skills Progression through the ACA qualification: COMMUNICATION

Assessed skills	Certificate Level	Professional Level	Advanced Level CR and SBM	Case Study
Communicating	Prescribed exam format	Exam requirements including some professional presentation	Professional presentations Including reasoned recommendations	**Professional report with appendices**

Thus the Case Study introduces the new skill of report-writing. Practise producing as many different types of report as you can, and to read those prepared by professional colleagues. There will be many examples of different types of report in your office. Ask colleagues about how they devised the format and contents and their style.

The Executive Summary is another area where a candidate's written communication skills are specifically tested, and here you should seek opportunities to read summaries of reports produced in your office. Guidance about Executive Summaries in the Case Study forms the subject matter of Chapter 5 of this Workbook.

4.5 Other guidance on preparation

There are a number of techniques that candidates may wish to apply, some of which are part of preparation and some of which are crucial during the exam. These are set out below.

In preparing for the CS exam, you must make sure that you know your way around the material.

The information is generally presented both logically and chronologically. However, should you find that, for any number of reasons, the order of the AI is not the best for your particular needs, you should:

- think about and plan how you will use the information and your prepared analysis
- consider structuring under headings that are more meaningful – for example, 'financial factors'
- develop a clear logical structure in advance that you can work with and cross-reference accurately You may wish to:
- Prepare a list or matrix of topics summarising connections between exhibits or sections
- Prepare a glossary of terms including all names, abbreviations and acronyms for easy reference (in some Case Studies, especially those involving a business in a specialised industry, a glossary may be provided in the information)
- Develop a checklist of issues that might arise eg, ethical, business issues, wider context points
- Draw up a list of key components for each element of the report, such as Executive Summary, contents, appendices and workings

- Prepare a generic skills matrix to help you to structure your answer

The above list is not intended to be exhaustive or prescriptive; candidates should decide for themselves what they will find useful.

5 Critical success factors

From previous CS Exams, the examiners have identified features that regularly distinguish successful candidates from failing ones. Here (in no particular order) are 14 'critical success factors':

(a) Full familiarity with all aspects of the information

(b) Good integration of the information with the CS Exam

(c) Good planning and strict time management to ensure that every part of every requirement is completed

(d) A full understanding of the 'financial story' – what is happening with revenue, profit, financial position and cash in the context of the business as a whole

(e) Good-quality financial analysis that explains to the audience the financial facts derived from the financial information and 'makes the numbers talk'

(f) Linking the financial and non-financial information to produce a coherent analysis

(g) Development of analysis through judgement into reasoned recommendations and appropriate conclusions

(h) An absence of irrelevant material and the inclusion of realistic ideas

(i) A succinct Executive Summary that covers the main major issues

(j) Demonstration of professional scepticism (where appropriate) and the ability to challenge assumptions

(k) Being prepared to deal with a new incident or event

(l) The ability to identify and discuss ethical issues wherever they occur in the requirements

(m) Application of financial common sense to ensure that proposals are reasonable or that calculated figures are plausible

(n) Using the correct language for the audience and communicating tactfully

In summary

Success at the Case Study lies in:

- knowing the information scenario thoroughly;
- integrating the CS Exam information with information knowledge (A&UI);
- analysing and answering **all** the problems posed and performing relevant calculations (SP&S);
- making judgements from that analysis (AJ); and
- presenting conclusions and recommendations (C&R) that follow from the work conducted – all in a coherent report for the intended reader(s).

Chapter 2
Financial statement analysis

Introduction

Exam context

Learning topics

1 Introduction to financial statement analysis
2 Steps in financial statement analysis
3 Using financial statement analysis in the Case Study
4 Appendices: The DGS Case
5 Exercises
6 CS Exam with requirement: financial statement analysis
7 Using the pre-populated spreadsheets
8 Illustrations of comparative answers
9 Marking Key



Introduction

Chapter 2 introduces candidates to the topic of **financial statement analysis**, which forms the basis of one of the three CS Exam requirements.

This chapter contains details of the relevant techniques to be understood and developed by candidates in preparation for answering a financial statement analysis requirement. It provides a series of important 'skills tips' for candidates to help their preparation and their delivery of a good-quality report. In addition, there is a short section on how to improve exam performance in this topic.

The chapter also contains an abridged and updated Case Study for the company Dog Gourmet Supplies (DGS) based on a previous Case Study. It comprises Advance Information and a CS Exam requirement focusing on financial statement analysis, giving candidates an opportunity to tackle a substantial Case Study requirement on this topic based on extracts of the sort of information which would be provided in a full Case Study. It includes a pre-populated spreadsheet ('PPS'), which forms part of the information for Requirement 1.

Relevant extracts from the DGS Marking Key are provided, as well as examples of answers of differing qualities which candidates might have produced in tackling this requirement.

The companion volume, comprising a Walkthrough of a past CS Exam (Weave the Weft), offers further extensive analysis for candidates to develop financial statement analysis skills

Exam context

The CS Exam requires the analysis of a business from a number of different perspectives:

- financial statement analysis (the subject of this chapter);
- financial data analysis (see Chapter 3); and
- commercial analysis (financial, operational and strategic analysis, including ethics and business trust (see Chapter 4)).

These three perspectives form the basis for the three main requirements in the CS Exam, which all have an equal weighting. Although this Workbook covers all three aspects of business analysis, each topic is designed so that it can be studied individually with separate abridged Case Studies being used to illustrate each of the aspects of analysis.

However, none of these topics can be viewed independently. They are intertwined because the financial statement analysis – the analysis of how the business has been performing in its immediate past – informs the financial data analysis, which usually considers a current issue facing the business.

The analysis of the business from these two perspectives (past and present) informs, and is informed by, the commercial analysis – financial, operational and strategic analysis – which considers the business from the present to the future. In addition, business trust and ethics permeate the Case Study – just as they permeate professional work.

Financial analysis components

The object of the CS Exam is to assess whether a candidate has the appropriate level of professional skills to become an ICAB Chartered Accountant. One of the primary skills expected of an ICAB Chartered Accountant is the ability to perform financial analysis on a business. Financial analysis covers a spectrum ranging from an analytical review of the entire published financial statements of an organisation, through the analysis and consideration of the current viability of a specific project, to the assessment of a business proposal or new business opportunity. This spectrum of analysis – from past through present to future – is all part of the necessary skill of an ICAB Chartered Accountant.

1 Introduction to financial statement analysis

Accountancy is frequently referred to as the language of business and in that context it is an expectation that a qualified member of ICAB should be able to act as the skilled translator of 'the language of business' into the everyday language of the client or recipient of any work.

Within the framework of the CS Exam, evidence of that skill is tested in a number of ways but especially by a candidate's competency in financial statement analysis: the ability to understand, assess and analyse the information contained in a set of financial statements and then present that analysis in a succinct and comprehensible way to the reader.

Skills tip

Candidates should always remember that in presenting their financial statement analysis work, they should display all four skills that are assessed in the CS Exam. The process starts with a thorough preparation based on information in the AI, which is a prerequisite to demonstrating assimilation and integration with CS Exam information **(A&UI)**. This then allows a clearly expressed analysis **(SP&S)**, which in turn permits an evaluation of the numerical changes demonstrated by the business **(AJ).** Only then can a candidate arrive at logical conclusions and recommendations **(C&R)**.

Definition of financial statement analysis

Financial statement analysis: An evaluation and explanation of the financial and other information contained in the financial statements of a business. This analysis covers the **financial performance** (statement of profit or loss), financial position (statement of financial position or balance sheet) and **cash flow** (statement of cash flows), together with the related disclosure **notes**.

Skills tip

In every Case Study, candidates are presented with accounting information in both the AI and the CS Exam. This normally takes the form of management accounts – a practicality to avoid the need to provide unnecessarily detailed disclosures that would be required for a set of IFRS-compliant financial statements. To all intents and purposes, unless otherwise stated, the accounts should be treated as having been drawn up on a rigorous basis by competent financial professionals and suitable for audit purposes. The basis of preparation is not intended to be questioned (unless a specific indication is given to the contrary, eg, that the accounts have been challenged by the auditors, or an area of accounting judgment has been highlighted).

2 Steps in financial statement analysis

For a thorough financial statement analysis of the information, there are a series of steps which should be followed to ensure that the procedure is comprehensive and complete. In the Workbook these are developed under the following headings:

- Initial analysis
- Detailed analysis (including ratios, variances and movements) of the key financial statements
- Using financial statement analysis in the Case Study

Before considering these steps in more detail, it is important for candidates to understand that the development of the skill of good financial statement analysis is a lengthy process. This is

in terms of both (1) how long it actually takes to perform a single piece of financial statement analysis properly; and (2) the number of financial statements which have to be analysed in order that full 'fluency' in this skill can be achieved.

> **Skills tip**
>
> Reading someone else's financial analysis can be deceptive in terms of how difficult or easy that task of analysis was. This is particularly true of financial statement analysis – 'auditing' someone else's financial statement analysis can give a false sense of easiness. There is no substitute for doing the analysis yourself in order to appreciate the dimensions and difficulty of the work. Ensure that you practise financial statement analysis yourself in order to develop the necessary skills, speed and accuracy.

2.1 Initial analysis

An initial analysis, by way of a rapid review, of the financial statements presented in the AI should establish the financial headlines of the business. The aim of the rapid review is to understand and assess the business as a whole and not ignore obvious features. In that rapid review, a candidate should be looking to assess the business by reference to the following questions.

Nature of business

- Service sector, retailing, manufacturing or other?
- Expanding or contracting business sector?
- Impact of technology and sustainability on this business?

Growth

- Growing, shrinking or static: where in the business life cycle?
- How is it growing: organically or by acquisition?
- Making good profits, marginal profits or losses: how much, when?
- Stable or erratic performance: spurts of growth and plateaus?

Size

- Small, medium or large: using what criteria?
- A single company or group: national or international?
- Quoted or unquoted: what are the volumes of shares issued?

Stability

- Financially well-structured; mix of debt (long-/short-term) and equity?
- Solvent: able to meet its current liabilities?
- With a good life expectancy: is it starting up, expanding financially or declining?
- With achievable budgets and forecasts – in line with strategic direction?

Wider context

- Economy: recession or recovery?
- Inflation or stagnation?
- Availability of finance: banking constraints, interest rate increases, business confidence?

- Fiscal policy: stimulation for reinvestment or restrictions (tariffs)?

Having conducted the rapid review, a candidate should have gained a comprehensive overview of the business and will be in a position to start to consider its financial strengths and weaknesses. However, it is important to make sure from the beginning that any analysis is fully integrated with the wider business context in which the review is being conducted. From initial analysis, a business may appear to be shrinking (and therefore possibly failing) but if the whole economy is falling into recession and this business is shrinking less rapidly than others, it is probably not 'failing'.

Skills tip

Try to avoid making generalised judgements from first impressions. The fact that the economy is currently in recession (or experiencing a weak recovery) is not necessarily the reason for the poor results being achieved by the company that you are analysing. There may be a more pertinent and potentially more concerning internal reason which must be identified as part of the objective analysis.

2.2 Detailed analysis

The next step is to make a more detailed analysis of the financial statements. This involves examining and explaining the information provided in each of the three primary statements (together with the detailed notes) and breaking that analysis down into individual components:

- **Statement of profit or loss (income statement):** how is the business performing? What are the key elements of its results: revenue trend; sales mix; related costs; gross profits; operating profits; any overall losses, surpluses or deficits? This profit or loss analysis is developed further below.
- **Statement of financial position (balance sheet):** is the business financially stable? Establish its financial position by analysis of the balance sheet components: net assets; net current assets; gearing; capital structure; quality of assets; nature of liabilities and the balance sheet 'quadrants'. (The quadrants are (1) current assets; (2) current liabilities; (3) non-current assets and (4) equity and non-current liabilities. Of particular concern is any shortfall between the amount invested in (3) non-current assets and their financing by (4) long-term funding.)
- **Statement of cash flows:** is the business generating or using cash? Why? What is the relationship between the results (profit or loss) and the cash generation/usage?

Skills tip

Remember that whilst it's important for an organisation to generate profit, it needs to convert that profit into cash before it can be put to use.

In understanding the changes in financial position (balance sheet) from one period end to the next, remember that whilst profit explains part of the story, cash flow explains the rest.

Therefore, ensure that you are clear on the inter-connectivity between the three statements and the effect of the (sometimes subjective) key 'bridges' between them – particularly between the statement of profit or loss and the balance sheet. These 'bridges' include items such as: closing inventory including work in progress; depreciation or amortisation of assets; deferred income, provisions and allowances (such as impairment of trade receivables). They affect reported profit, but candidates should always then evaluate the assets of a similar class shown in the balance sheet (if material).

In the work on the three primary statements, the analysis must be broken down into individual components. The specific questions that need to be asked (and answered) are detailed below.

Ratio analysis

Basic ratio analysis should be considered in the same category as a PESTLE or SWOT review (see Chapter 4): very useful but only as a starting point for further analysis and that all-important written commentary. Ratio analysis provides a logical pathway to be followed in the analysis and review of figures in financial statements and a candidate must be able to calculate the basic groups, or 'families', of ratios for profitability, liquidity, ROCE, financial structure and asset efficiency – and to calculate them at speed and with accuracy.

Ratio analysis permits comparisons to be made:

- between current results and past results
- between current results and forecasts/budgets
- between the results of the business and some external or industry standards
- across business segments or revenue streams within the organisation
- between the company under review and a rival or takeover target

After performing the relevant comparative calculations, the real skill is in explaining what those results mean (SP&S) – and in evaluating what might have caused any changes (AJ).

Statement of profit or loss analysis

The key issues in profit or loss analysis cover operating results and financial performance. The main questions to be asked (and answered) are:

- What is the trend in revenue: if rising, how achieved; or if falling, caused by what?
- What are the significant changes in sales mix or revenue streams? What is the effect of changes in the sales mix on overall profitability?
- What is the trend in gross profit: rising or falling; in absolute or gross profit % terms? Are the margins the same for different products or segments?
- What is the pattern of costs against revenue: rising or falling? What is causing any inconsistency?
- Which costs appear to be fixed and which variable: what is the operational gearing for the business?
- Are there any material anomalies in any single key cost figures?
- Is the level of operating profit satisfactory and stable? Is it increasing or decreasing?
- Between one year and another, is there consistency of the 'bridging' items between income statement and balance sheet? How material are the following items:
  - Closing inventory?
  - Depreciation and profits or losses on disposals?
  - Deferred income?
  - Impairment of accounts receivable?
  - Accruals and prepayments?
- Is the dividend policy understandable and consistent?

The above list would enable a structured analysis of the components in the profit or loss from the information, and the analysis could be expanded if more detail is provided or contracted

if only summary information is provided.

Statement of financial position (balance sheet) analysis

The key tasks in statement of financial position (balance sheet) analysis are to assess a business's financial position to consider the quality of its assets and liabilities, and conclude on whether the balance sheet is strong or weak.

As well as calculating the usual ratios against relevant profit or loss components (such as the number of days' sales in accounts receivable and other similar standard ratios), the key issues in the detailed balance sheet analysis concern financial position, content, structure and stability.

The main questions to be asked (and answered) are:

- Do the 'quadrants' of non-current assets and long-term funding appear balanced? **Note:** Quadrant analysis can easily identify if non-current assets are being funded by current liabilities (short-term credit).
- What is the quality of the non-current assets: largely tangibles such as equipment (or buildings with a clear market value) or mostly intangibles such as goodwill (can these be sold in a crisis)?
- What might be an independent market value of these items?
- Does the majority of the long-term funding comprise share capital and retained earnings, or is it mainly long-term debt (and therefore riskier)? Is that debt 'soft' – directors' loans – or 'hard' – external funding with a high rate of interest and a short redemption date (how short)?
- Are current assets and current liabilities in balance? If not, is this appropriate given the nature of the business?
- What is the quality of the current assets and how liquid are they? Do they comprise mainly inventory and slow-paying accounts receivable, or is a sufficient quantity of cash or cash equivalents available?
- Are the current liabilities 'softer' – trade payables and accruals – or 'harder' – bank overdrafts and non-negotiable liabilities for items such as taxes (including VAT, payroll and social charges and corporation tax)?

The above list would enable a structured analysis of the components in the balance sheet from the AI, and the analysis should be expanded to include the notes to the accounts where more detail is provided (such as on non-current assets).

Statement of cash flows analysis

An analysis of the statement of cash flows provides an opportunity to review all aspects of the business's financial operations.

It is important to understand that although the statement of cash flows combines information from the statement of profit or loss and statement of financial position, it is not simply the 'third financial statement'.

Overall, it tells you how the business is being managed in financial terms at all levels. Each line on the statement is significant in providing information about financial activities and the financial management of a business at different levels – from credit control (cash generated from accounts receivable) to board-level decisions (purchase of non-current assets; payments of dividends).

The main questions to be asked (and answered) may include:

- How successful is the business in generating cash from its operations? This starts with analysing the operating profit after adding back the non-cash items.

- Is the working capital being managed in line with the increase/decrease in business activity? Is cash being soaked up by (unmanaged) increases in accounts receivable or inventories? Are accounts payable being managed effectively and responsibly?
- Is the business earning an appropriate return on its investment? Is it paying out significant sums on the servicing of finance?
- What has been the cash flow impact of payments for taxation? Are the payments consistent with the liability?
- What is the company policy on capital and financial investment? Is there an appropriate non- current asset replacement policy? Is it being properly funded by long-term funding (equity or loans)?
- Is the policy on dividends appropriate? Can the business afford the payments?
- What is the company's long-term financing strategy and is it appropriate for the business?
- Is the company making best use of its liquid resources?
- What is happening to the cash balances in the business? Are they undulating? How much is being held?

The above list would enable a structured analysis of the components (**each line**) of the statement of cash flows as well as the change from the opening to the closing cash balance.

Skills tip

Given that it is not possible to predict the CS Exam and what the actual analysis might be that they are required to undertake, or in what detail, candidates must prepare themselves thoroughly.

Candidates must know the financial story that the components of the main financial statements are telling and be prepared to explain that story in whatever way might be requested.

3 Using financial statement analysis in the Case Study

The AI and the CS Exam contain a large amount of financial statement information which has to be understood and analysed by candidates. The skill of financial statement analysis is critically important in the Case Study – it is also seen as a crucial skill for any candidate hoping to become a member of ICAB. As a result of this emphasis and given the quantity of information and the preparation time available, candidates should expect to have to answer detailed financial statement analysis questions to a high standard in this exam. This means demonstrating not just mathematical ability but good analytical, evaluation and communication skills as well.

Good financial statement analysis frequently involves more than just the ability to 'crunch' numbers (which might involve, for example carrying out lots of ratio analysis). It is often important to consider a single, absolute figure which may indicate a key fact about the business rather than a comparative figure, such as a significant overdraft. It may also involve a targeted comparison by reference to a benchmark (usually its own past performance, but it could be that of a competitor, the industry average or a forecast).

To maximise success in financial statement analysis (Requirement 1) in the exam, candidates should always answer the requirement as presented. This usually covers specific components of the statement or profit or loss and may also include elements of the other primary statements. Weaker candidates often waste time reviewing items in the management accounts that are not mentioned in the requirement wording. Candidates will need to use the latest draft

management accounts (including notes), together with any additional information provided in the exam, and then integrate all of this with their knowledge from the AI.

Assessment of canditates' financial statement analysis skills in the exam is focused on their ability to demonstrate how well they understand these management accounts and how well they make sense of – and can communicate to the recipients of the report – the reasons for the changes in the numbers by offering insightful commentary.

Candidates should recognise that they are required to use their judgement in deciding which of the pre-calculated changes are important, and determining what additional financial analysis – if any – may be required in answering the requirement.

Focus on what has happened in the key areas (where applicable to the requirement):

- Financial performance: success or decline – Statement of profit or loss (income statement)
- Financial stability and debt – Statement of financial position (balance sheet)
- Cash balance and change – Statement of cash flows

Consider the effect of:

- Business scenario changes – How do the issues/changes affect the financial statements?
- Wider context impact – How does the wider context affect the financial statements?
- Making adjustments – Remove any one-off items, including acquisitions/disposals; undertake like- for-like analysis
- Segmenting the information – 'Slice and dice'; break the numbers down into components Using professional scepticism – What judgements have been exercised; appropriately/ ethically?

In particular, in all analysis ask:

- Why? – The elements in a candidate's financial statement analysis require an explanation
- So what? – What does this mean to the business or the analysis?
- Like-for-like? – Consider adjusting for any major non-recurring items or changes in the business

What is the purpose of the financial statement analysis?

- Add knowledge – Tell the readers of the report something of value that they do not appear to know
- Add understanding – Explain the more technical features of the financial statements succinctly
- Add value – Offer a way forward by evaluating, concluding and recommending from your work

3.1 To be successful in the exam, candidates will need to:

- Read the CS Exam requirement carefully and answer only the aspects requested – but answer all of them.
- Carry out a meaningful initial analysis of the financial statements in order to identify the key factors (A&UI). This will include an initial review of the pre-populated spreadsheet to determine which of the figures provided will be of use in identifying the key factors.
- Use these key factors to determine the work to be carried out in the detailed analysis (A&UI). Ensure that they understand (from the AI and own research) the wider context in

which the business operates (A&UI).

- Be able to locate quickly and use effectively the results of the preparatory analysis on the AI (A&UI).
- Prepare clear, relevant appendices, containing only those ratios, variances movements any other numerical analysis as required that are relevant in answering the requirement (SP&S).
- Bring the key information from the appendices into the report (A&UI) and (SP&S).
- Explain – logically and in easily understandable English – the analysis that has been performed (SP&S).
- Evaluate the analysis in detail and apply judgement to the results (AJ).
- Explain any differences between trends, as indicated by the requirements, eg, in profit and cash flow (AJ).
- Suggest logical explanations for the financial changes (AJ), leading to conclusions and recommendations (C&R).
- State the conclusions under a heading (C&R).
- Present reasonable, relevant, commercial recommendations (C&R).

4 Appendices: The DGS Case

INFORMATION FOR FINANCIAL STATEMENT ANALYSIS

This section comprises an abridged Case Study which candidates should use in order to practise analysing Case Study information – particularly relating to financial statement analysis. It may also be used for financial data analysis and demonstrating professional scepticism.

DOG GOURMET SUPPLIES (DGS)

This Case Study information should be studied and tackled in two stages:

First stage

Candidates should read, analyse and evaluate the Information, comprising Exhibits 1– 17, as if it were the information for a real Case Study.

As a minimum, candidates' analysis of the financial statements should follow the structure suggested in the Exercises following the information in order that they are fully prepared for the subsequent exam.

Second stage

Candidates should attempt to answer the requirement in the CS Exam which follows the information, taking **no longer than 1 hour 20 minutes** to complete it, including the preparation of any appendices and the relevant section of the Executive Summary.

INFORMATION – DGS

List of exhibits

1 About you (Jace Moon) and your employer (Oakley Dunstable)

2 The UK pet food industry

3 Dog Gourmet Supplies Limited (DGS): An overview

4 DGS: Review of the management accounts for the three years ended 30 September 2020

5 DGS: Management accounts for the three years ended 30 September 2020

6 DGS: Sales and business development

7 DGS: Marketing update – briefing notes on key clients (extract)

8 Extract from Hugh Logan personnel file: quarterly performance review

9 DGS: Production processes (extract from production staff training manual)

10 DGS: Quality assurance

11 Research paper on productivity improvements at DGS

12 DGS: Suppliers and procurement summary

13 DGS: Nu-Dog-Fit product range launch report

14 Email from Charlie Bailey – update on DGS online presence and digital marketing

15 DGS: Online presence – illustration of impact of a digital marketing agency

16 Digital Magazine Marketing Blog – FAQs: How to improve your website

17 Recent media coverage

Exhibit 1: About you (Jace Moon) and your employer (Oakley Dunstable)

You are Jace Moon, a final-year trainee ICAB Chartered Accountant, working in the business advisory unit of Oakley Dunstable (OD), a firm of ICAB Chartered Accountants located in the county of Worcestershire in England.

One of your clients is Dog Gourmet Supplies Limited (DGS), a dog food manufacturing and wholesaling company located on the outskirts of Droitwich Spa, a town around 200 kilometres north- west of London in the county of Worcestershire. DGS operates from one site which contains its head office, the food manufacturing and packaging facility and warehouse. Its clients, all based in the UK, are mainly veterinary practices, specialist pet stores and a high street grocery retail chain. You report to Val Williams, a partner in the business advisory department of OD.

Since you joined OD, your work has included:

- Reviewing the management accounts and financial statements of clients to identify trends and key issues, enabling clients to make informed decisions about their business
- Performing financial data calculations, including project evaluation analysis, and further financial
- analysis for clients to assist the consideration of any business opportunities
- Preparing financial and other calculations for clients, considering any assumptions provided with
- a critical professional review to enable the impact of future business decisions to be properly assessed
- Offering clear evaluations to clients based on analysis of both opportunities and threats, and the impact of both on profitability
- Drafting reports for clients on all financial and commercial aspects of their business.

Exhibit 2: The UK pet food industry

History and overview

The global market for pet food (which is primarily for dogs and cats) is currently worth approximately £100 billion and growing at an average rate of 5% pa. The UK market for manufactured pet food is forecast to reach over £3 billion by 2022 and the dog food market makes up approximately half of this.

There are a number of drivers of this growth: an increase in pet ownership, with pet food being an essential item for pet owners; a tendency for owners to reflect their own lifestyle onto their pets (health and dietary preferences) and to treat their pets like humans; and increased pampering of pets. Scientific advances in pet nutrition and food technology, combined with increasing demand for specialised pet food, have enabled the industry to develop and diversify, with pet foods becoming increasingly sophisticated in terms of production and product offering.

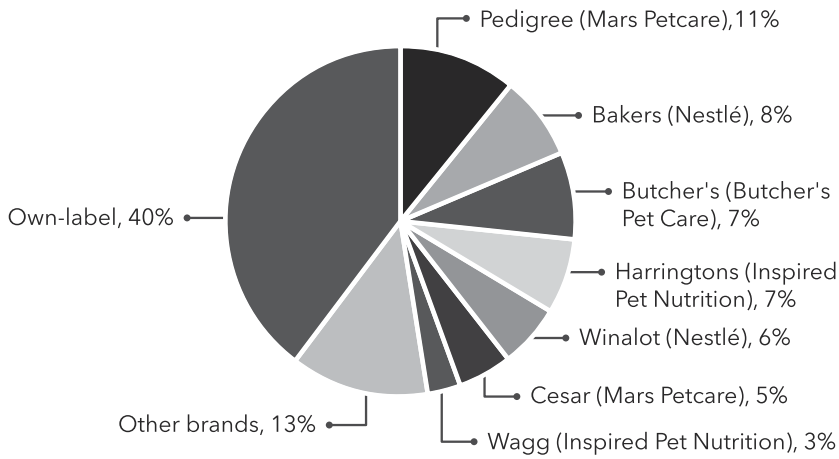
The UK pet food market

There are approximately 100 companies that manufacture pet food in the UK, and most of them are members of the Pet Food Manufacturers Association (PFMA). In the UK, pet food manufacturers make a range of foods for pets, the vast majority of which are dogs and cats.

Ownership of pets in the UK is high, with one-third of households owning a dog and over a quarter owning a cat. Pet ownership rose by around 10% during late 2020 and early 2021, the result of an increased demand for the companionship and diversion that a pet provides. According to the PFMA, young people are the main drivers of this change, with more than half of new owners being aged 16 to 34.

The pet food manufacturing industry is dominated by a few large companies. Typically, these are vertically integrated manufacturing businesses which benefit from substantial economies of scale with respect to manufacturing, distribution and marketing. The seven largest brands, owned by the four largest manufacturers, account for just under half of the UK dog food market.

% share of UK dog food market



The sector continues to experience merger and acquisition activity, as companies seek to achieve greater economies of scale.

Whilst the main manufacturers are large organisations, the market size and growth together provide opportunities for smaller manufacturers to cater for specialist niches, for example higher-income customers who can afford to pay more for high-quality or innovative products.

Channels to market

Most pet food (including dog food) sales in the UK reach consumers via the large supermarket chains. There are, however, additional channels to market that pet food manufacturers can use, such as veterinary (vet) practices, specialist pet stores, local breeders and garden centres.

These channels have also shown increasing levels of concentration, with many vet practices merging and forming collectives, as well as being acquired by other organisations.

A similar trend has taken place in the specialist pet store market over the last few years, with the formation of some very large chains. The UK pet store sector is still fragmented, however, with hundreds of independent retailers.

A more recent development is the increase in sales from pet food manufacturers via digital channels, either through the websites of supermarket chains and specialist pet food retailers or through those of purely online pet food retailers. The advent of e-commerce has also allowed business-to-business (B2B) organisations such as pet food manufacturers to retail their own brands Direct-To-Customer (DTC).

Dog food market segments by product

Manufactured dog food can be divided into three broad product types:

- Wet food: pet food in a gravy or jelly, typically sold in a can, tray or pouch.
- Dry food: pet food in a low-moisture biscuit form known as kibble, typically sold in a bag or box.
- Treats and snacks: used to supplement main pet food diets.

Dog food can be further segmented, for example by age of pet (puppy, adult), by size of breed (small, medium, large) or by specific health and dietary needs.

Exhibit 3: Dog Gourmet Supplies Limited (DGS): An overview

DGS: History and development

DGS is a family-run business founded by Stephanie Bailey in 1970. Stephanie grew up on a farm, and her skill at training dogs meant that she ran displays of trained working dogs at shows around the UK, often winning prizes. Stephanie was aided by her husband Harold Bailey, a vet. Their combined skills created a synergy that benefited both of their businesses.

Stephanie's involvement in breeding and training healthy working dogs was her motivation to start manufacturing her own specialised dog foods, including dog food which focused on helping dogs with specific health concerns, eg, allergies, convalescence, pregnancy/post-pregnancy and weight issues.

DGS manufactures wet and dry dog food as well as treats.

Stephanie and Harold were initially joined in the business by their sons William and Louis. More recently, Louis' children Charlie and Annie have also joined DGS. Charlie, who has completed a degree in management and marketing, has joined the sales and business development team after a year working for a digital marketing agency; and Annie, who has a degree in food science, has joined the product research and development team.

Stephanie has always had a very hands-on involvement in the business and has been very emphatic that DGS stay loyal to the initial values that gave rise to it. Over the last few years, however, she has recognised that she needs to let her children and grandchildren take it over more fully.

The DGS senior management team comprises:

Stephanie Bailey	Founder, Chair and CEO
William Bailey	Director responsible for procurement and inventory
Louis Bailey	Director responsible for sales, business development and product research
Ade John	Director responsible for manufacturing and operations
Preet Sharma	Director responsible for finance and IT

The Bailey family are the only shareholders of DGS. Ade John and Preet Sharma are not family members.

The philosophy of DGS is centred on providing nutrition for dogs 'as if pets were people'. In context, this means ensuring that the quality of DGS dog food is as it would be for human-grade food.

Given the emphasis on pet health, Stephanie has always made it clear that DGS pet food should avoid common dietary allergens, as well as using only natural preservatives and colourings.

Customers

DGS is a UK manufacturer and wholesaler. It does not, to date, sell directly to pet owners but rather its channels to market are through a network of retail clients: vets, specialist pet stores, dog breeders and garden centres. In addition, DGS has recently begun selling through an up-market UK-wide grocery retail chain, Taylors.

Having created very respected dog food products and a brand that is strongly associated with pet health, Stephanie has always been adamant that the business is highly selective about which retailers it works with, so that the differentiated nature of its products is maintained and ideally enhanced. To support this, DGS has wherever possible entered into exclusive supply arrangements, such that DGS's retail clients do not stock other brands of dog food. However, with the merger and acquisition activity occurring in DGS's main channels to market, exclusive arrangements are becoming increasingly difficult to set up and maintain.

DGS's ability to sell is reliant on developing and maintaining relationships with its clients. Therefore, whilst DGS has a website, historically there has been no perceived need for it to have any shopping facility for the general public. Rather, the website is used mainly as an information source, allowing DGS to explain the health advantages of DGS pet food; promote its relationships with vets and breeders to further differentiate its products; and direct interested dog owners to their nearest retailer of DGS products. The directors are aware that the DGS website is not currently as high-profile as they would like it to be **(see Exhibit 14).**

Operations

The business operates from land and buildings that were part of the farm that Stephanie's parents owned. Stephanie inherited the farm from them and sold off much of the land to neighbouring farmers.

The original farm buildings were combined with an industrial unit that was built in 1995 and which has been further developed and extended over the years as requirements dictated. The plant and equipment similarly have been added to as the business has grown. The facility operates a number of production lines for manufacturing and packaging the various dog food products sold. There are some on-site storage facilities used for holding packaging and consumables, raw materials and finished goods. The opportunity to expand storage capacity on site is limited. A critical issue for DGS is to ensure that production capacity is utilised as efficiently as possible **(see Exhibit 9).**

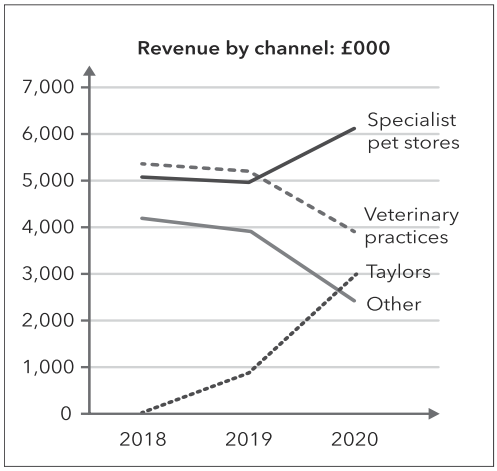
DGS is extremely selective over the ingredients used in its dog food. It excludes dairy items, other common allergens and artificial additives from its ingredient range **(see Exhibit 12).**

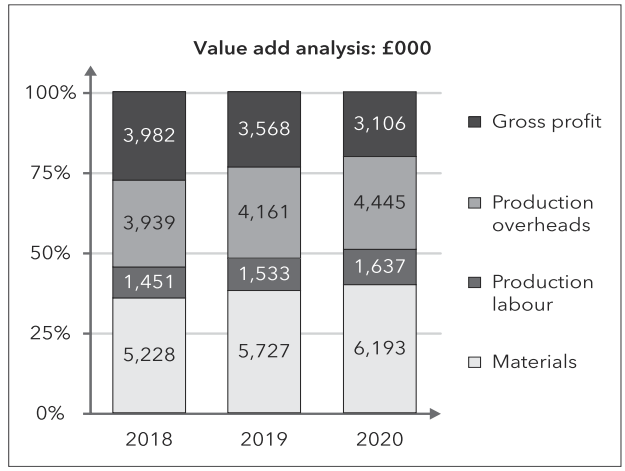
Product research and development team

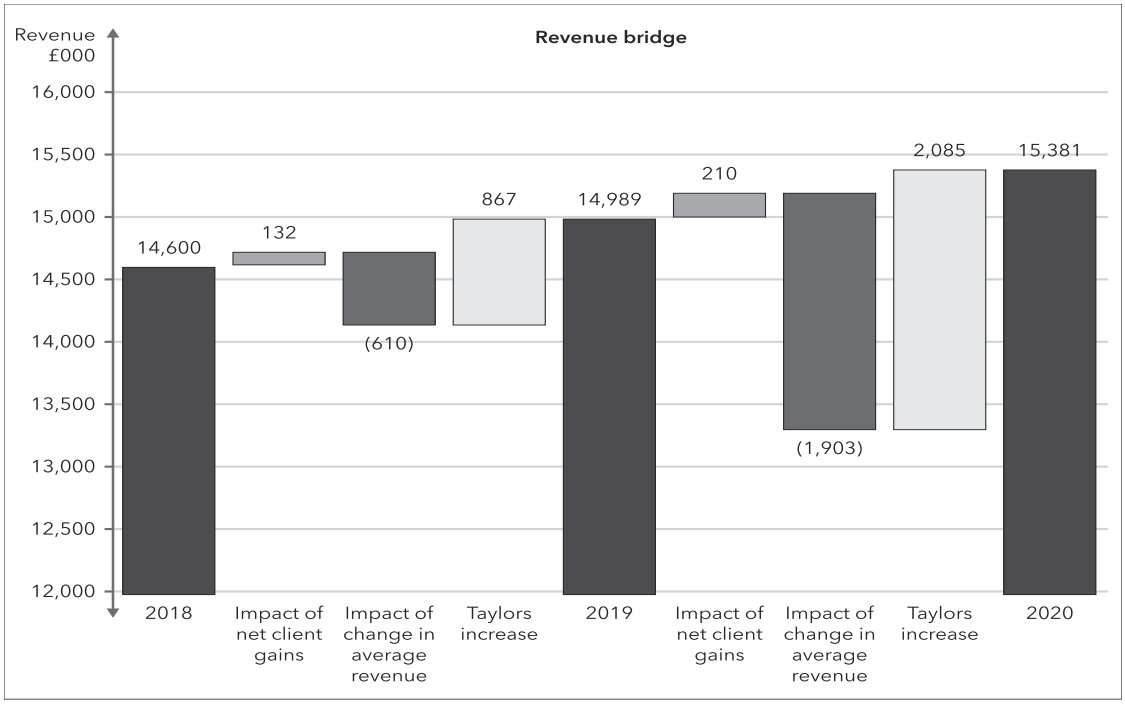
Product launches are a regular feature for DGS, as for many companies in the sector. DGS employs a team of nutritionists who are responsible for researching and developing dog food recipes that meet specific health and dietary needs. They work with market insights from the sales and business development team in identifying pet owners' demands. Product launches follow a process that has been developed and refined over many years. This process includes decisions at key stages in a new product's life cycle, based on a financial evaluation **(see Exhibit 13).**

Exhibit 4: DGS: Review of the management accounts for the three years ended 30 September 2020 (prepared by Preet Sharma, 23 October 2020)

I have attached the management accounts for the three years ended 30 September 2020 **(Exhibit 5)**. These are for our internal use to enable us to manage the business. Relevant notes set out the policies adopted in their preparation. I have also set out below the management dashboard that provides the board with an at-a-glance overview of the company's financial performance in each year. The review that follows covers the key issues arising in each year as identified at the time.







Year ended 30 September 2018 (2018)

This year saw a small increase in total revenue of just over 1% to £14,600k, although this change masks a busy year in terms of client wins and losses.

The ongoing concentration in the pet food retail sector – in particular, vets and pet food specialist stores – continues to create challenges for us, and 2018 saw a number of our established vet clients leave us. Two of our medium-sized clients decided to join forces with the Independent Vet Practice (IVP) consortium. IVP has existing commercial arrangements with one of the large pet food manufacturers and some of our clients were no longer able to stock our products and consequently served notice to terminate their contracts with us. In addition, we suffered the loss of Pets Vets Ltd (PVL). PVL is a well-known vet practice with a large chain of surgeries and the DGS range was the only health-based dog food that PVL stocked. PVL's success made it an acquisition target, and it was bought by one of the market-leading vet practice chains which, in turn, is owned by one of the large pet food manufacturers, which instructed PVL to cease stocking our products. The effect of these vet client losses was a drop in revenue of almost £800k.

There was, however, some good news in 2018. The two months' notice from departing clients gave our sales and business development team time to respond to these losses by accelerating the recruitment of several smaller independent vet practices with which they had been developing relationships. These clients were signed up as retailers for DGS products, although only after being offered more generous discounts than we would ordinarily agree for clients of this size. Our sales KPI of average revenue per client was £21.95k in 2018.

In addition, we had two significant client wins during 2018: the Veterinary Support Trust (VST) and Pets in Paradise (PiP), a specialist pet chain. These clients were encouraged to become DGS stockists by our new sales and business development team member, Hugh Logan. Hugh was previously employed by another pet food manufacturer, Pet Alliance Wholesalers (PAW).

The combined effect in revenue terms of these changes has left overall revenue largely flat. However, discounts offered are starting to increase, which is having an adverse impact on gross profit.

Materials costs at £5,228k were in line with expectations. Materials wastage averaged 6.3% of total materials used for the full year and amounted to £329k. This was better than the 7% target, indicating that production scheduling was well managed. Materials wastage % is a DGS manufacturing KPI. Production labour (£1,451k) and production overheads (£3,939k) were in line with expectations. Cost of sales totalled £10,618k, resulting in a gross profit of £3,982k and a gross margin of 27.3%.

Year ended 30 September 2019 (2019)

The most notable new client in 2019 was the up-market national grocery retail chain, Taylors **(see Exhibit 7)**. After many months of negotiation, Taylors and DGS signed an agreement in November 2018, effective from 1 January 2019. The first nine months of trading with Taylors resulted in revenue of £867k. DGS's total revenue in 2019 rose to £14,989k, an increase of £389k or 2.7% over 2018 (£14,600k). Sales to Taylors contributed significantly to this increase, making up 5.8% of DGS's total revenue, even with the 40% discount that it receives from us.

Excluding Taylors, total revenue showed a drop of £478k as a result of the competitive pressures that we are facing in our usual channels (vets, specialist pet stores and other). Whilst there was a net increase of six in the number of clients (a sales KPI) from 665 to 671, this masks the number of clients that we lost. Winning new clients – and indeed retaining existing clients – is increasingly difficult and even for smaller clients we need to offer larger discounts. 2019 saw average revenue per client drop from £21.95k to £21.05k (this average excludes revenue from Taylors, because of its distortive effect).

The impact of the two sales KPIs can be seen in the revenue bridge: the net gain of six clients generated a £132k revenue increase (6 x £21.95k average revenue per client at 2018 levels), but this was more than offset by a fall in revenue caused by the drop in average revenue per client. This amounted to £610k (671 clients x [£21.05k* – £21.95k*]); the overall impact being £132k – £610k* = £ (478k).

(* The averages are rounded, causing a small reconciliation difference)

March 2019 also saw the soft launch of the Nu-Dog-Fit product range (**Exhibit 13**). Sales during a soft launch are typically low and so, while Nu-Dog-Fit generated revenue of only £37k, early responses are very positive.

Cost of sales rose by £803k (7.6%) to £11,421k. This, combined with the £389k increase in revenue, meant that gross profit was £3,568k, £414k lower than in 2018. The gross margin was reduced from 27.3% to 23.8%.

The increase in costs was primarily driven by materials, which rose by £499k (9.5%) from £5,228k in 018 to £5,727k in 2019. This was largely due to increased materials wastage, which rose to £504k.

The materials wastage KPI rose from last year's average 6.3% to 8.8% in 2019. This was due to an increased number of production runs, which in turn was partly due to the Nu-Dog-Fit soft launch, and also a result of unexpected client orders, requiring short-term changes in production scheduling. The rest of the materials cost increase was due to production volume increases and price rises from suppliers.

Production labour costs increased over the period from 9.9% to 10.2% of revenue. Whilst labour is not the key driver of cost of sales for our manufacturing business, and the total increase of £82k from £1,451k in 2018 to £1,533k in 2019 was small in absolute terms, this increase was unexpected, given that the annual salary increase was just 2%. The production department is typically able to take account of volume increases without a commensurate increase in costs by scheduling production runs such that the manufacturing plant is used in the most efficient manner possible. However, the changing mix of clients, new products and changing demand from pet owners are creating unexpected production scheduling, and for 2019 this resulted in a 3.5% increase in production hours.

The complexities in the business have impacted production overheads more dramatically. Higher volumes, a changing client base, new product variants and changing demand from pet owners have all combined to drive production overheads up to £4,161k, £222k above 2018 levels (£3,939k).

Year ended 30 September 2020 (2020)

Revenue in this period was £15,381k, £392k (2.6%) higher than the £14,989k achieved in 2019. The main driver of growth was again Taylors, which generated £2,952k of sales, a £2,085k increase over the £867k received during the first nine months of trading in 2019 and making up 19.2% (2019: 5.8%) of our total revenue.

Almost 20% of Taylors' own total revenue is generated through its website. Assuming that DGS products are purchased by Taylors' customers in a similar fashion to the rest of their grocery purchases, this implies that approximately £590k of DGS dog food sold through Taylors was purchased online by pet owners. We also saw an increase of £1,130k in revenue from specialist pet stores, mainly those with a well-developed online platform to complement their physical store network. These benefited from pet owners increasingly switching their purchasing behaviour to online. Unfortunately, sales through other channels (eg, vets and other clients) showed a combined decrease in revenue of £2,823k, as these channels rely more on customers visiting their physical locations for sales.

An analysis of the revenue change (summarised on the revenue bridge) shows that the net increase of ten new clients at 2019 levels should have contributed £210k to revenue (10 x £21.05k*). However, the increased competitive rivalry in our wholesale markets caused further pressure on discounts, resulting in a reduction in average revenue per client (excluding Taylors) from £21.05k* to £18.25k*.

This, combined with the difficulty in winning larger clients, resulted in a drop in revenue of £1,903k (£18.25k* – £21.05k*) x 681 clients), the overall impact being £210k – £1,903k* = £(1,693k).

(* The averages are rounded, causing a small reconciliation difference)

The revenue increase of £2,085k from Taylors more than made up for the £1,693k drop.

October 2019 also saw the official launch of Nu-Dog-Fit. The first year's results are highly encouraging, with revenue of £250k on a sales volume of 60 tonnes (1 tonne = 1,000 kg). Average revenue was £4.17/kg, higher than the average revenue for existing DGS products, showing the premium price point for Nu-Dog-Fit.

The uptake by customers is evidence that we are accessing different types of buyers, given that the product is designed to appeal to a broader pet-owning segment than our typical pet food customer profile. Many of our established clients (vets and garden centres in particular) would not ordinarily have given us access to this new customer segment, and it is apparent that the growth is driven by Taylors and by access to other online channels. During 2020 we have benefited from the increase in pet ownership by a wider demographic of the population. This has helped the launch of Nu-Dog-Fit, as well as improving sales of our existing products.

Total cost of sales across the business rose by £854k (7.5%) from £11,421k to £12,275k. Combined with only a £392k increase in revenue, this resulted in a drop of £462k (12.9%) in gross profit from £3,568k to £3,106k. Consequently, 2020 saw a reduced gross margin of 20.2%.

The increase in costs was once again primarily driven by materials, which rose by £466k from £ 5,727k to £6,193k, an increase of 8.1%.

There was a further worsening of the materials wastage KPI, which increased to an average of 9.7% of total materials costs during 2020 (2019: 8.8%), representing a total wastage figure of £601k compared to £504k in 2019. This contributed £97k (£601k – £504k) to the £466k increase in materials costs.

The increase in the wastage KPI was due again to an increased number of production runs, in part resulting from the official launch of Nu-Dog-Fit but mostly due to further increases in unscheduled production runs arising from unexpected order patterns, both from new clients and from changing demand among pet owners.

The rest of the materials costs increase was largely due to the increase in input volume needed to support the increase in sales and increases in the price of ingredients passed on by suppliers. Production labour costs showed a greater increase in 2020 than the 5.7% increase in the prior year, rising from £1,533k by £104k (6.8%) to £1,637k. This was principally caused by a 5% increase in the number of production hours together with the 2% annual salary increase for production staff which took place in October 2019.

Production overheads at £4,445k were 28.9% of revenue (2019: 27.8%) and showed an increase of £284k (6.8%). This was again due to the further increased complexities in the business impacting production scheduling: higher volumes, changing client base, new product variants and changing demand from pet owners.

Exhibit 5: DGS: Management accounts for the three years ended 30 September 2020

Statement of profit or loss for years ended 30 September

	Notes	2020 £000	2019 £000	2018 £000
Revenue	1	**15,381**	**14,989**	**14,600**
Cost of sales	2	(12,275)	(11,421)	(10,618)
Gross profit		**3,106**	**3,568**	**3,982**
Distribution costs		(1,147)	(1,102)	(1,032)
Administrative expenses		(1,354)	(1,292)	(1,289)
Operating profit		**605**	**1,174**	**1,661**
Net finance expense		(105)	(105)	(105)
Profit before taxation		500	1,069	1,556
Income tax		(95)	(203)	(296)
Profit for the year		**405**	**866**	**1,260**

Statement of financial position at 30 September

	Notes	2020 £000	2019 £000	2018 £000
Non-current assets				
Property, plant and equipment (PPE)	3	2,490	2,803	2,948
		2,490	**2,803**	**2,948**
Current assets				
Trade and other receivables	4	1,623	1,409	1,223
Cash and cash equivalents	5	1,913	1,689	1,457
Administrative expenses		1,329	1,570	1,523
		4,865	**4,668**	**4,203**
TOTAL ASSETS		**7,355**	**7,471**	**7,151**
Equity		5	5	5
Ordinary shares		4,262	4,357	3,991
Retained earnings		4,267	4,362	3,996
Non-current liabilities				
% bank loan	6	2,100	2,100	2,100
Current liabilities				
Trade and other payables	7	893	806	759
Taxation		95	203	296
		3,088	3,109	3,155
TOTAL EQUITY AND LIABILITIES		**7,355**	**7,471**	**7,151**

Statement of cash flows for years ended 30 September

	2020 £000	2019 £000	2018 £000
Cash flows from operating activities			
Profit before taxation	500	1,069	1,556
Adjustments for:			
Depreciation	368	373	342
Profit on disposal of PPE	(71)	(5)	(8)
Finance expense	105	105	105
	902	**1,542**	**1,995**
Change in inventories	(214)	(186)	(143)
Change in trade and other receivables	(224)	(232)	(143)
Change in trade and other payables	87	47	10
	551	**1,171**	**1,719**
Income tax paid	(203)	(296)	(297)
Net cash generated from operating activities	**348**	**875**	**1,422**
Investing activities			
Acquisition of PPE	(104)	(239)	(372)
Proceeds from disposal of PPE	120	16	15
Net cash generated (used)/from investing activities	**16**	**(223)**	**(357)**
Financing activities			
Interest paid	(105)	(105)	(105)
Dividends paid	(500)	(500)	(500)
Cash flows used in financing activities	**(605)**	**(605)**	**(605)**
Net change in cash and cash equivalents	**(241)**	**47**	**460**
Cash and cash equivalents at start of period	1,570	1,523	1,063
Cash and cash equivalents at end of period	**1,329**	**1,570**	**1,523**

Notes to the management accounts:

Notes

1 Revenue by channel

	2020 £000	2019 £000	2018 £000
Veterinary practices	3,913	5,204	5,356
Specialist pet stores	6,105	4,975	5,066
Other	2,411	3,943	4,178
Taylors	2,952	867	-
	15,381	**14,989**	**14,600**

2 Cost of sales by category

	2020 £000	2019 £000	2018 £000
Materials	6,193	5,727	5,228
Production labour	1,637	1,533	1,451
Production overheads	4,445	4,161	3,939
	12,275	**11,421**	**10,618**

3 PPE

Cost	**£000**
1 October 2017	**5,344**
Additions	372
Disposals	(36)
1 October 2018	**5,680**
Additions	239
Disposals	(45)
1 October 2019	**5,874**
Additions	104
Disposals	(190)
1 October 2020	**5,788**
Depreciation	
1 October 2017	**2,419**
Charge for the year	342
On disposals	(29)
1 October 2018	**2,732**
Charge for the year	373
On disposals	(34)
1 October 2019	**3,071**
Charge for the year	368
On disposals	(141)
1 October 2020	**3,298**
Carrying amount:	
1 October 2017	2,925
1 October 2018	2,948
1 October 2019	2,803
1 October 2020	2,490

4 Inventories

	2020 £000	2019 £000	2018 £000
Packaging and consumables	355	308	267
Raw materials	733	637	553
Finished goods	535	464	403
	1,623	**1,409**	**1,223**

Inventories are carried at the lower of cost and net realisable value.

5 Trade and other receivables

	2020 £000	2019 £000	2018 £000
Trade receivables	1,686	1,478	1,284
Other receivables and prepayments	227	211	173
	1,913	**1,689**	**1,457**

Inventories are carried at the lower of cost and net realisable value.

6 5% bank loan

The loan is secured on land included in PPE. The interest on the loan is at a fixed rate of 5% and payable annually in arrears. The loan is repayable in 2030 and carries an early redemption penalty.

7 Trade and other payables

	2020 £000	2019 £000	2018 £000
Trade payables	545	464	422
Other payables	348	342	337
	893	**806**	**759**

Exhibit 6: DGS: Sales and business development

Marketing, sales and business development

Louis Bailey leads a sales and business development team comprising:

- Hugh Logan: joined DGS in 2018 after leaving a rival manufacturer Pet Alliance Wholesalers (PAW), bringing two significant clients with him, the Veterinary Support Trust (VST) and Pets in Paradise (PiP)
- Suzanne Coder: recruited by Stephanie Bailey almost 30 years ago
- Sayali Patel: joined DGS directly from university 12 years ago
- Charlie Bailey: recently joined.

The wholesale nature of DGS's business means that winning new clients requires the creation of business relationships. Potential clients will typically need to be assured that any new pet

food product will be well received by dog owners, and that DGS can be relied upon to deliver as required when orders are placed.

Such relationships can take time to establish and build, and business development is often slow. The challenge is to win new clients without sacrificing margin in the form of discounts. Clients have tended to stay with DGS, as they have found that pet owners would pay a premium price for the superior quality of DGS's dog food, thereby enhancing the clients' own margins. The recent acquisition activity in DGS's channels to market has changed this, creating increased price-based competition.

Marketing activities are used to support business development activities and, whilst responsibility for marketing is shared amongst the team, Louis has led on it in the past. Louis has recently begun to delegate this responsibility to Charlie.

Team performance assessment

Hugh, Suzanne and Sayali each have responsibility for a territory of approximately one-third of the UK by geographical area (Northern, Southern and Midland), as determined by Louis Bailey. The assessment of individual team member performance is based on the sales KPIs (average revenue per client and net increase in number of clients), as well as achieving a total revenue target for their territory.

The merger and acquisition activity in the vet practice and pet store sectors – DGS's main channels to market – is increasing the competitive rivalry within these sectors, making it more difficult for DGS to attract clients, as well as triggering client losses. Whilst the number of clients is increasing overall, the average revenue per client is decreasing, as shown below:

Number of clients as at 30 September

Channels

	2020	2019	2018
Veterinary practices	448	445	441
Specialist pet stores	125	121	118
Other	108	105	106
Total	**681**	**671**	**665**
Average revenue per client (£000)	18.25	21.05	21.95

Average revenue per client is calculated by reference to the number of clients at the end of each financial period. In addition to the above channels, there is a single large client (Taylors), which is excluded from those looked after by Hugh, Suzanne and Sayali. It is managed directly by Charlie with guidance from Louis. Consequently, average revenue per client excludes any revenue from Taylors, and Charlie is not included in the same bonus calculation as the rest of the team.

Individual targets and commission (2020)

Hugh, Suzanne and Sayali each have the same total revenue target but, given the differences in the UK areas assigned, they have some flexibility on the level of discount, credit terms and dispatch arrangements that they can offer to their own clients, within parameters set by Louis. Any exceptions need to be agreed in advance with him. All new clients are assessed by the team to ensure that brand positioning of any new client is consistent with DGS's own differentiated brand. The finance team also carry out due diligence on any prospective new client, including the use of a credit rating agency.

The changes in DGS's markets have created significant challenges in achieving the sales KPIs. These changes, combined with the impact of the Taylors account, have created some

discontent within the team. Data relating to 2020 is as follows:

Team member	Revenue target £000	Actual revenue £000	Clients Number	Average revenue per client £000	Area
Hugh Logan	4,200	3,618	321	11.27	Northern
Suzanne Coder	4,200	4,575	139	32.91	Southern
Sayali Patel	4,200	4,236	221	19.17	Midland
	2,600	**12,429**	**681**	**18.25**	
Charlie Bailey	2,952	n/a	1		n/a

Extracts of comments from team meeting held 12 April 2021:

Hugh Logan: These KPIs don't make any sense. The clients are all different sizes so we can't be meaningfully compared one against another, and different territories have different-sized cities, so the chance of a big client win depends on where we get allocated.

The two big clients that I brought from PAW are not in my area even though some of their stores are – you just gave them to Suzanne because their head offices are based in the Southern area but they phone me all the time. I'm having a lot of conversations with both of them on operational issues.

They are complaining about the quality of service, claiming that sometimes deliveries are late or incomplete. They say that DGS does not understand their needs whereas PAW did and that they want me looking after them.

The commission system is just not fair – I have been asking to get this changed since I joined. I have been told repeatedly that it will be improved but nothing has happened. I think it would make more sense to split the work by channel to market or even product range rather than by geography.

And why has Charlie, the newest member of the team, got Taylors? It's our biggest client.

I have won lots of new smaller clients, but with the changes in the market (lots of new pet owners), my little clients are finding that they never know what to order and everything comes through at the last minute. That is putting the production team under a lot of pressure, by the way – it is not keeping up, and that creates a lot of risks in my view. It also means that the bigger clients get preferential treatment.

Suzanne Coder: The bigger clients take a lot more looking after; the little ones are easier. The bigger ones also take more experience, and I've been doing this the longest, so it makes sense that I should have the biggest clients. My clients increasingly change their minds too, but so far the production team is keeping up. However, there is always the worry that a demanding client could create pressures in the production team, potentially leading to a serious incident.

Sayali Patel: I don't mind. Big or small clients – they all need to be looked after. Anyway, the total revenue target we each have is the same. I do agree with Hugh, though – clients keep changing their minds on orders with very little notice.

Exhibit 7: DGS: Marketing update – briefing notes on key clients (extract)

From: Louis Bailey

To: Board of directors

Cc: Production team, sales and business development team, procurement team, finance team

Date: 5 July 2021

Introduction

The strong relationships between DGS and our clients in key channels (specialist pet stores and vet practices) has for many years helped support our underlying, highly differentiated brand strength, which focuses on the health of dogs. However, the takeover activity in the vet practices and pet store sectors has created significant challenges for us. Over the last couple of years, therefore, we have been exploring a shift away from our selective pet-oriented outlets to more mainstream food retailers.

Synopsis of recent major client wins

Taylors: A client since November 2018, Taylors has an 'up-market' reputation and currently has a significant share of the UK groceries market. Taylors offers a variety of quality and price points. Given its target market, however, it does not sell very cheap dog food.

Advertising for Taylors tends to focus on its unique selling points – the quality of its products, the expertise of its staff and its ethical standpoint. It uses celebrities in its marketing.

Ongoing investment has resulted in Taylors' e-commerce platform increasing the proportion of sales through online channels, now accounting for 20% of its total business, up from 5% in 2019.

Taylors is considered a good fit with DGS given Taylors' high-end brand and higher-income

customers. Whilst our products do face significant competition in Taylors' stores from other dog food brands, our premium products are appealing to segments within Taylors' own customer base, and we are seeing very encouraging growth in orders from Taylors as a result of its pet-owning customers.

Another benefit of our arrangement with Taylors is that it is able to feed back to us very promptly on which products are generating interest from its own customers and to provide even more information about its online customers' profiles. This has shown that Taylors has given us access to a very different kind of pet-owning customer. Taylors has also been able to advise DGS on the type of products that customers of Taylors prefer or would like to see. Its orders admittedly come in at the last minute on occasion, but the increase in revenue has been worth it.

We feel that the combination of an up-market brand, an affluent and discerning customer base, a wide distribution network, an impressive e-commerce business and insight into pet owners' changing demands outweighs the more demanding discounts and the short notice on orders from Taylors.

The Veterinary Support Trust (VST): Given the ongoing client losses in our traditional channels to market, we were delighted when Hugh Logan arrived with VST. This is one of the largest family- owned veterinary groups in the UK, with branches across the UK and a head office in London. Branches are based in town centres and the group focuses on care of small animals. The four largest branches incorporate their own animal hospitals.

All branches sell a range of pet food, including vet-prescribed products, age-related products and pet food for other special dietary requirements. Historically, the group has stocked a large range of brands, but in recent years it has restricted the number of brands following some negative press regarding pet food manufacturers making unsubstantiated health claims.

The reputation of VST, combined with its ability to reach dedicated pet owners, will help support both revenue growth and our reputation as a health food choice for dogs.

Pets in Paradise (PiP): This is the other client that Hugh brought with him when he joined in 2018. PiP has grown into one of the largest chains of pet stores in the UK, with a substantial online presence.

PiP caters for dogs, cats and a variety of other small pets and offers a wide product range, including pet food, accessories and toys. Larger stores offer a range of services including dog grooming, vaccinations, health-checks and so on (three stores have an on-site vet practice). Staff are widely regarded as being specialists in animal health and nutrition.

Branches sell a range of sizes of all the major dog food brands, both wet and dry foods, as well frozen food and dog treats. Bestsellers include natural foods, weight control foods and grain-free foods, with variety packs of these types being particularly popular. Online there are 45 brands available, but these are selectively chosen for their health benefits.

Whilst we therefore face competition, we enjoy the positive publicity of having our products stocked and promoted by PiP, both in-store and online.

Overview

These three significant clients are important additions to our client list. Given the restructuring in our channels to market, the ability to win and service highly visible, successful and well-regarded large clients of this type is critical to our success. Taylors alone generated almost 20% of our business in 2020, and whilst VST and PiP do not have the scale of Taylors, they are still significant clients for us. Consequently, we must be mindful of any reported issues or production orders that come in from these clients and prioritise accordingly. Feedback from the production team is that there are an increasing number of short-notice orders – a marked change from the typical regular monthly order.

This seems to be due to a shift in the type of food that pet owners are buying.

As retailers, none of our clients pay the full recommended retail price (RRP) price: individual discounts (and credit terms) are linked to the predicted size of orders over a year, and the level of exclusivity that they offer DGS. All of these three clients enjoy better discounts than the average that we normally offer: VST and PiP both receive discounts of 32%.

This obviously puts our margins under greater pressure, so manufacturing efficiency and productivity are more important than ever in ensuring that we continue to grow profitably.

Average discounts by channel

	2020	2019	2018
Specialist pet stores	30%	28%	25%
Other	30%	27%	25%
Taylors	23%	23.6%	22.7%
	40%	40%	n/a
Overall weighted average discount	**31.2%**	**27.4%**	**24.4%**

Average discount is calculated as: (RRP value of sales – Actual sales revenue) ÷ RRP value of sales.

RRP value of sales	£19.3 million
Actual sales revenue	£14.6 million

Overall **weighted** average discount = (19.3 – 14.6) / 19.3) = **24.4%**

Exhibit 8: Extract from Hugh Logan personnel file: quarterly performance review

Date: 13 July 2021 (Performance review conducted by Zoom call)

Reviewer: Louis Bailey

Team member: Hugh Logan

Area: Northern

Own commentary on performance in period (by Hugh Logan)

It's been an exciting time at DGS, and the growth in the business has been encouraging. However, I feel I need to recap my concerns raised in previous staff meetings and performance reviews:

The commission structure and the way in which clients are allocated is unfair, but you already know my thoughts on this. I must also reiterate my concerns about letting the least experienced member of the team manage our biggest and most important client. I understand the desire in a family firm to manage progression, but the downside risks of this are significant.

More importantly, the lack of alignment between the way in which behaviour is rewarded for growth and the impact on the rest of the business is increasingly dysfunctional.

With the team being pressed to meet what I feel are increasingly irrelevant KPIs, the impact in terms of profitability is ignored – we are forced into chasing ever-smaller clients who are increasingly demanding.

It's not just the sales and business development team that are impacted by all of these things.

Pressure is being created by having a very long list of poorly managed clients whom apparently we are not allowed to say no to or ever to disappoint. This pressure is being passed onto all of the operational teams: procurement, production, cleaning, quality assurance, packaging, warehousing and dispatch. Ultimately, a really serious mistake could happen, and the implications for DGS, our clients, their customers and their pets could be catastrophic. That raises ethical concerns in my mind.

As a salesperson, I obviously understand that sales growth is important, but not at any cost. My view is that we have a duty of care to employees, clients, their customers and their pets.

Commentary on Hugh Logan's performance in period (by Louis Bailey)

After a promising start with DGS, sales KPI performance is a bit mixed.

Hugh has a great skill at winning clients, but average revenue continues to be lower than is preferred, with a consequent impact on meeting the total revenue target for the Northern territory.

The difficult trading conditions in our wholesale markets are noted, and Hugh's comments will be taken on board and addressed as soon as we get through the current very busy period.

Exhibit 9: DGS: Production processes (extract from production staff training manual)

Introduction

DGS's product range includes a range of wet and dry dog food products, as well as dog treats (which can be in either format). Each product variant, whether wet or dry, has a separate production run, requiring a separate set-up and close-down process. Wet and dry dog food products are made using different processes, and each has its own specialised processing and cooking equipment.

Production run stage	Detail
Ingredient selection and mixing	It is critical that the correct ingredients are selected for each production run.
Cooking	Wet food ingredients are cooked inside the container (can, tray or pouch), which sterilises the wet food product.
Cooling, packing andstorage	Output from the cooking process is cooled, boxed and then taken to storage prior to packing and delivery.
Return to store	Any surplus ingredients that are not contaminated and are suitable for storage are returned to inventory.
Cleaning in place (CIP)	Once a production run is complete, the entire plant must be flushed out and decontaminated.
Quality assurance check	All stages of a production run require quality-checking and sign-off.

Product variants offered by DGS

DGS recipes are designed for different dietary requirements including: age-groups (puppies and adults); health issues (eg, convalescence, weight gain/loss); sensitivity (eg, grain intolerance); performance; dog size (small dogs cannot eat large kibble); complete food versus treat/snack. These in turn can be packaged in a variety of formats and sizes. In total, DGS has over 30 different product variants, each of which requires a separate production run.

Production planning

Production scheduling and planning are driven by client orders, which traditionally have not changed significantly month-by-month in terms of products required. This has made production scheduling easier to manage – most products have one production run a month. Anticipated customer orders and inventory levels are used to plan monthly production schedules.

DGS maintains inventory of raw materials, packaging and consumables. As storage space on site is limited, DGS generally holds only a limited inventory of finished goods.

For larger clients such as pet food retailers and garden centres that can hold inventory at their own stores, a replenishment delivery is dispatched once a month. For such clients, the sales and business development team agree an annual order quantity, and this forms the basis of the monthly replenishment. Individual clients can – and often do – amend monthly orders. Strictly, such changes require a month's notice, but increasingly this is not being adhered to.

Some orders are fulfilled directly from inventory for smaller clients, particularly smaller vet practices with limited on-site storage. As orders arrive at DGS, the products are picked, packed and dispatched from stores within 24 hours of receipt.

The impact of limited on-site storage is that unexpected changes to orders can give rise to unscheduled production runs.

Cleaning in place (CIP)

As with most modern plants, the production equipment is designed to be cleaned without being dismantled, to facilitate quicker turnarounds. The CIP process requires the use of copious amounts of water and chemicals because of the need to flush out any remaining pet food mix and then to sterilise the plant. The flushing-out process is time-consuming and labour-intensive. In addition, it results in the loss of significant amounts of valuable product mix, and thus contributes to material wastage.

Material wastage

As well as the impact of CIP, wastage may also be caused by poor production scheduling, poor inventory control and spoilage. The material wastage KPI represents the volume of materials lost compared to the total volume of materials used in a period.

In the past, DGS was very efficient in its production scheduling, typically beating its production KPI target, which is set is at 7%. In the pet food industry this is considered excellent. A figure of 5% would be viewed as exceptional. The last two years, however, have seen materials wastage increase.

	2020	2019	2018
Material wastage KPI	9.7%	8.8%	6.3%

Plant maintenance

The production equipment requires ongoing maintenance, repair and upgrade. This work is typically scheduled in advance to pre-empt breakdown and avoid downtime. Where possible, it takes place overnight or at weekends outside normal shifts, to prevent interruption of production runs.

Exhibit 10: DGS: Quality assurance

From: Ade John

To: Stephanie Bailey

Subject: DGS operations and quality assurance

Date: 15 December 2020

Background: I am having to highlight once again some of the production capacity constraints that continue to present themselves. As you know, this has been an ongoing issue, particularly since we started selling to Taylors. It is obviously good news that we are growing, but this growth is coming at the same time as changing client types, a new product launch and changing demand from pet owners.

The effect of these is unexpected changes in production scheduling, and that means an increased number of set-ups, which in turn means more downtime during each shift and thus longer shifts.

These have been overcome by extended working, additional overtime and short-term temporary staff resourcing (which creates some control issues – see below).

Budgets: The above events are obviously impacting production department budgets. In terms of labour, we have only budgeted for the usual 2% annual pay rises over the last couple of years, but the reality is that in 2019 we had a 3.5% increase in production hours and in 2020 it was almost 5%. A bigger issue is production overheads – these are driven by a complex combination of volume, length and number of shifts, labour usage, production set-ups and the type of products. Some production runs are easier to set up and close down than others. I won't go into the details, but I will just say that the complexities have caused costs to rise, by £222k in 2019, and then by a further £284k in 2020 (ie, a total of £506k over 2018 levels). We can control these if we can control production, but at present we get the information on client orders very late, so efficient scheduling planning is difficult. Materials are also impacted, but I have a suggestion on that – see below.

Other problems: The unexpected production scheduling has resulted in overworked and highly stressed staff, bottlenecks in supply and longer running times, placing the plant and

equipment under increased pressure. We normally operate on a pre-emptive maintenance basis, but with no time between production runs to carry out the normal routine maintenance, we are experiencing a higher incidence of breakdowns. Whilst these are typically low-level, and on-site engineers and operatives are able to remedy the issues as they arise, we would prefer to be proactive, not reactive, in dealing with problems. Another, more worrying, implication of the heightened pressure to achieve production output has been some control failures, which have resulted in contaminated products.

Incident: On one occasion recently, staff shortages meant that a shift went through the close-down and flushing-out process without an experienced shift supervisor present. This meant that the team's work was not overseen in the way that our control procedures stipulate and the resulting failure to flush out production plant correctly following a poultry-based production run resulted in contamination of subsequent batches, which have tested positive for Salmonella.

Identification of the control failure: Standard quality control procedures involve sampling from batches before a product is moved to the dispatch area. This critical aspect of our quality assurance ensured that the contamination was identified before any products left the facility, and so this incident was classified as a 'near miss'. We therefore still have our unblemished record of never having had a product recall. The implications of a recall on our brand would be significant.

In a busy marketplace, our reputation for quality is one thing that we can point to as a differentiator.

We need to rethink our approach to client management and how to manage our capacity more effectively so that we can return to production that is scheduled and carried out in a safe and efficient manner. One proposal to create some capacity as well as generate some savings is a product recovery system known as "pigging". Scott has produced a research paper on this **(see Exhibit 11).**

His proposal, however, does not address the underlying problems, which in my view are the result of a sales and business development team issue – they need to manage their clients better.

Exhibit 11: Research paper on productivity improvements at DGS (produced by Scott Destrier, head of production research, 15 December 2020)

The issue

Pet food formulas are thick, difficult to pump and challenging to remove from the inside of pipelines. DGS has a CIP system but it lacks some modern features. As a consequence, changeovers typically involve a lot of water and chemicals, are time-consuming, labour-intensive and wasteful, as much usable product mix is often lost through the flushing-out process.

Proposal

It is suggested that DGS implement a product recovery "pigging" system, which can improve efficiency in these applications. The "pig" in question is in fact a highly specialised piece of technology that moves through the pipework of the machinery, maintaining contact with the inside of the pipes whilst being able to travel round corners and in either direction.

Pigging systems increase yields, reduce changeover time and cross-contamination and improve batch control and traceability by creating clear barriers between batches.

The processes for many industries (cosmetics, paints, chocolate, household goods, food, drink and plastics, as well as pet food) involve pipe-based production methods. Consequently,

pigging solutions are supplied by a number of highly reputable, specialist contractors. Pigging solutions are typically part of new installations but they can also be fitted to existing equipment.

Exhibit 12: DGS: Suppliers and procurement summary (prepared by William Bailey, January 2021)

The quality of our pet food is of the highest importance, and that starts with the quality of our ingredients.

Every recipe is formulated by our highly skilled pet nutritionists, and our ingredients are all sourced from a reputable, traced sources.

Supplier contracts are reviewed every three years and an evaluation is made as to whether an individual supplier contract needs to be put out to tender. Prices charged by suppliers are less of a concern than quality issues for supplier choice, and DGS has always been prepared to pay more if the quality is at the required level. The procurement team is nevertheless conscious of average sector price increases of ingredients and uses these as a benchmark for assessing the price-to-quality trade- off.

Year ended 30 September

	2020	2019	2018
Sector average annual price increases of ingredients	1.5%	1.0%	1.0%

Exhibit 13: DGS: Nu-Dog-Fit product range launch report (Produced by finance team, September 2020)

Product launch evaluation process

The board of DGS assess new products before launch and then for two years following initial launch.

The process is illustrated in the diagram below.

Research	Soft launch	Year 1 trading	Year 2 trading
Gateway 1: Soft launch approval. Initial business case.	**Gateway 2: Official launch.** Market research findings during soft launch.	**Gateway 3: Post year 1 assessment.** Based on year 1 actuals and year 2 predictions.	Gateway 4: Post year 2 assessment. Based on two years' trading

Product and market synopsis

Marketing insights identified a growing trend from a potentially significant segment of younger pet owners wishing to project their own healthy lifestyle onto their pets. The research also indicated that the target customer is more likely to shop online than DGS's more typical customer. Nu-Dog-Fit is aimed at dog owners who wish to exercise with their pets. Product variants are initially limited to four pet food variants to minimise the number of set-ups.

Timeline	Product launch process activity for Nu-Dog-Fit
Sept 2018	Pre-launch activities: Initial research gathering and pilot testing of alternative recipes

Mar 2019	**Gateway 1:** 'Soft launch' through selected channels to obtain real feedback from buying customers
Oct 2019	**Gateway 2:** Official product launch, through all key channels • Premium RRP (recommended retail price) planned for first year of trading (£6.00/kg), combined with introductory discount offers for pet owners • Initial higher discount offering to channels for promoting the new product
Sept 2020	**Gateway 3:** End of first year of trading. Premium positioning will be reinforced with an advertised 3% planned increase in RRP, from £6.00/kg to £6.18/kg.
Sept 2021	**Gateway 4:** End of second year of trading.

Nu-Dog-Fit has reached the end of its first full year of trading and this report sets out the **Gateway 3** evaluation regarding the decision to proceed.

Gateway 3: Evaluation of Nu-Dog-Fit

Years ending 30 Sept	Predicted 2020	* Flexed 2020	Actual 2020			Predicted 2021
Volume: tonnes	50	**60**	60	**Variance****		**137**
	£000	**£000**	**£000**	**£000**	%	**£000**
Revenue	203	**244**	250	6	2.5%	**570**
Materials	(127)	**(152)**	(155)	(3)	(2.0%)	**(265)**
Labour	(20)	**(24)**	(23)	1	4.2%	**(48)**
Production	(53)	**(64)**	(62)	2	3.1%	**(131)**
Cost of goods sold	(200)	**(240)**	(240)	-	0.0%	**(444)**
Gross profit	**3**	**4**	**10**	**6**		**126**
Gross profit %	1.5%	**** 1.6%**	4.0%			**22.1%**

* 'Flexed' represents the predicted figures, restated to reflect actual volumes sold

** Ignoring rounding

Revenue predictions: Predicted revenues reflected most likely demand levels; however, the results achieved in 2020 in terms of both volume and price point were at best-case levels, strongly ahead of predictions.

Nu-Dog-Fit indicates a high likelihood of generating a favourable return and the decision is to proceed at this point.

Exhibit 14: Email from Charlie Bailey – update on DGS online presence and digital marketing

From: Charlie Bailey

Date: 15 June 2021

To: DGS board and senior managers

Subject: Update on DGS online presence and digital marketing

Introduction: We are planning to make some enhancements to the DGS website, and it is hoped that these will go live after our September 2021 year end. They will allow DGS to sell Direct-To-Customer (DTC), ie, to pet owners, rather than go through our normal sales channels.

Background: The success of the recent launch of Nu-Dog-Fit was due to its appeal to younger pet owners, who are more likely to shop online. It is apparent that the well-developed e-commerce infrastructure of clients such as Taylors has given us access to the new audience. This access is however, impacting our financial performance: owing to the competitive pressures in our normal channels, we are increasingly having to offer extended credit terms and larger discounts on RRP to our clients. For example, Taylors receives 40% discount on RRP and 90 days' credit.

Objective: The purpose of upgrading our website is to generate revenue at a higher margin via DTC sales. This would enable us to sell directly to pet owners at significantly reduced discounts, at prices which they would find attractive.

Online presence: Currently, we have a low level of online activity (eg, we rarely post on social media) and what activity we do have rarely receives attention from existing or potential customers. The result is that DGS has little online presence compared to our rivals. The impact is that our website receives a small number of visitors.

Proposal: I spent a year with a digital marketing agency, Pro-Online Marketing Limited (POM). Whilst I was there, I had the opportunity to work on a client (X Ltd). X Ltd is in a related sector to DGS and the underlying issues are identical. I have collated the actual data to show how a digital agency such as POM could benefit DGS **(see Exhibit 15).** I have disguised the name, but everything else is as it occurred. Please keep this confidential.

Exhibit 15: DGS: Online presence – illustration of impact of a digital marketing agency

CONFIDENTIAL: Based on Pro-Online Marketing Limited (POM). Prepared by: Charlie Bailey

The agency POM was commissioned by X Ltd to improve its e-commerce operations. Overall objectives were to increase the number of website visitors, improve the buying experience so that visitors stayed longer, increase the number who clicked all the way through to completing a purchase (known as click-through-rate (CTR)), increase the amount that visitors purchased on each visit (average order value) and, more generally, improve X Ltd brand advocacy.

POM also generated traffic by arranging paid advertisements (paid ads) and by setting up and managing affiliates (other organisations that promoted X Ltd's products). POM made any required payments relating to paid ads and affiliates and then recharged X Ltd for these costs, in addition to its monthly retainer.

Exhibit 16: Digital Magazine Marketing Blog – FAQs: How to improve your website

Where does traffic come from?

The sources of traffic to an organisation's website vary greatly by sector. In overview, they are:

- website search (eg, via Google)
- direct (eg, pre-saved link)
- referral links from other sites (eg, blog)
- social media (eg, Facebook, Instagram, TikTok).

How do I get my website to appear in a Google search?

(a) Paid ads. These can be an effective way of getting a link to your website to appear high up on a search result

(b) Search Engine Optimisation (SEO). This means enhancing aspects of your website so that it appears on the top of a results page after a search.

How do I get traffic from social media (SM)?

By being active and posting content online.

Are there any other sources of traffic?

Affiliates: In simple terms, you agree with another organisation to promote one another's products.

Exhibit 17: Recent media coverage

Exhibit 17A: Aggressive pets? or just badly behaved pet food manufacturers…

(Watch Dog Website: August 2021)

To the casual observer, the players in the pet food industry might appear to mimic the well-disciplined pets of many of their customers. A deeper exploration, however, reveals a rather more primitive dog-fight emerging, as the participants appear to have started snapping and snarling at each other…

Disputes within the multi-billion-pound industry are increasingly apparent, as larger, established marketeers contest claims made by the upstarts. At least one newcomer is fighting back.

Pet Alliance Wholesalers (PAW), like a fierce terrier, has been aggressively taking on the bigger dogs in the neighbourhood.

PAW has been disputing its rivals' claims regarding their natural ingredients and the promoted health benefits of their products. PAW maintains that these are unsubstantiated and misleading.

When asked for a comment, John Steptoe, CEO of PAW, stated: "It's dog-eat-dog in this sector, and I'm not backing down from anyone – whatever it takes!"

Exhibit 17B: Extract from Online Business Magazine (July 2021) Business sense or nepotism?

nepotism (noun) The preferential treatment of relatives or friends, especially by giving them jobs, by those with power or influence.

A dictionary definition of 'nepotism' apparently makes things clear, but life, inevitably, is more complex…

Preferring one's relatives for jobs over non-relatives may be a controversial topic in business ethics, but it is not necessarily unethical to do so.

Whilst it is the custom to recruit and promote the most qualified candidate for a role, a number of factors play into the issue: the circumstances of the business; what are considered acceptable policies; and the consistency by which such policies are implemented. It is not uncommon for smaller organisations to hire internally rather than externally, and to encourage referrals from family and friends – there can be highly beneficial effects of this type of policy, as long as it is applied consistently and fairly.

Family businesses can benefit from multiple generations of family involvement. However, the recruiting of underqualified family members can create a business issue if it undermines the company culture and passes an increased burden onto other staff.

5 Exercises

In order to help structure their financial statement analysis, candidates should attempt these exercises before attempting the requirement.

Exercise 1: Initial analysis of DGS

(a) Summarise the wider context within which DGS is operating.

(b) Outline the key features of DGS's business, commenting where relevant on the following criteria: nature of the business, growth, size, stability.

(c) Set out your understanding of the key drivers of success for this type of business.

(d) Based on a high-level review of the management accounts of DGS for the three years ended 30 September 2020, establish the financial headlines of the business.

Exercise 2: Detailed analysis of DGS (i)

Perform a detailed financial statement analysis of DGS for the three years ended 30 September 2020 as described in this chapter, answering the key questions:

- How is the business performing?
- Is the business financially stable?
- Is the business generating or using cash?

Exercise 3: Detailed analysis of DGS (ii)

Carry out a revenue bridge analysis for the year ended 30 September 2021 based on an assumption of revenue from Taylors remaining flat and other client numbers and average revenue per client dropping to 2019 levels. What changes in the commercial environment might give rise to such changes in performance?

Note: Produce the revenue bridge as a table. You will not have to produce graphs and charts in the exam.

Exercise 4: Detailed analysis of DGS (iii)

Consider the implications of Nu Dog-Fit achieving the predicted results in the year ended 30 September 2021 in terms of: relative contribution to revenue; effect on gross profit and gross margin; impact on competitive position and the opportunities that this might open up for DGS.

Addressing these questions is the minimum starting point in the analysis of DGS's financial statements.

6 CS Exam with requirement: financial statement analysis

DOG GOURMET SUPPLIES CS EXAM EXTRACTS

In a four-hour Case Study Exam, a candidate would normally be required to answer three requirements (of equal weighting in terms of marks) and to present an Executive Summary.

All components would require planning before writing.

It is important to realise that the time available for planning and writing the answer to a single requirement, which includes an appendix and the relevant part of the Executive Summary, should be approximately 1 hour 20 minutes (maximum).

A candidate must therefore be fully familiar with the scenario and the broader business issues affecting a client (from the information and elsewhere) so that the additional material presented in the CS Exam can easily be assimilated and put in context within the requirement.

In this abbreviated version – which focuses on financial statement analysis – a candidate must remember that there would have been two other requirements which might have provided additional context to the topic under review.

The following exhibits are newly provided:

18 Email dated 3 November 2021 from Val Williams to you: Draft management accounts and business developments

19 DGS: Draft management accounts for the year ended 30 September 2021

20 Email dated 3 November 2021 from Preet Sharma to Val Williams: Additional information relating to the draft management accounts and request for advice

Data is provided in the separate **pre-populated spreadsheet** showing the management accounts for the two years ended 30 September 2021, together with both absolute and relative changes. This is reproduced at **Exhibit 19.**

DOG GOURMET SUPPLIES (DGS)

CS EXAM

Case Study: Dog Gourmet Supplies Limited – Requirement

You are Jace Moon, a final-year trainee ICAB Chartered Accountant, working in the business advisory unit of Oakley Dunstable (OD), a firm of ICAB Chartered Accountants. One of your clients is Dog Gourmet Supplies Limited (DGS), a pet food manufacturing and wholesaling company. You report to Val Williams, a partner in the business advisory department of OD.

Exhibit 18: Email

From:	Val Williams
To:	Jace Moon
Subject:	Draft management accounts and business developments
Date:	3 November 2021

There have been a number of significant recent developments. I am attaching the following:

- DGS's draft management accounts for the year ended 30 September 2021 (**Exhibit 19**)
- Additional information relating to the management accounts and a request for advice (**Exhibit 20**)

Please draft for my review a review of DGS's management accounts for the year ended 30 September 2021 in comparison with the year ended 30 September 2020. Your review should be based on the management accounts as set out in Exhibit 19. It should cover:

- revenue by channel to market and in total
- cost of sales by category and in total
- total gross profit.

You should incorporate in your review the additional information in **Exhibit 20**. You should also respond to the request for advice in **Exhibit 20**.

Information provided

Information is provided in the separate **pre-populated spreadsheet** showing the management accounts for the two years ended 30 September 2021, together with both absolute and relative changes.

Exhibit 19: DGS: Draft management accounts for the year ended 30 September 2021

(Note to candidates: These appear in the **pre-populated spreadsheet**)

	A	B	C	D	E	F
1	Draft management accounts for the two years ended 30 September 2021					
2	Statement of profit and loss	Notes	2021	2020	Change	Change
3			£000	£000	£000	%
4	Revenue		16,871	15,381	1,490	9.7%
5	Cost of sales	1	(13,284)	(12,275)	(1,009)	(8.2%)
6	**Gross profit**	2	**3,587**	**3,106**	**481**	**15.5%**
7	Distribution costs		(1,240)	(1,147)	(93)	(8.1%)
8	Administrative expenses		(1,388)	(1,354)	(34)	(2.5%)
9	**Operating profit**		**959**	**605**	**354**	**58.5%**
10	Net finance expense		(105)	(105)	-	0.0%
11	Profit before taxation		854	500	354	70.8%
12	Income tax		(162)	(95)	(67)	(70.5%)

	A	B	C	D	E	F
13	Profit for the year		**692**	**405**	**287**	**70.9%**
14						
15	**Statement of financial position**					
16			**2021**	**2020**	**Change**	**Change**
17	**Non-current assets**		**£000**	**£000**	**£000**	**%**
18	Property, plant & equipment (PPE)	3	2,278	2,490	(212)	(8.5%)
19			**2,278**	**2,490**	**(212)**	**(8.5%)**
20	Current assets					
21	Inventories	4	1,821	1,623	198	12.2%
22	Trade and other receivables	5	2,276	1,913	363	19.0%
23	Cash and cash equivalents		1,332	1,329	3	0.2%
24			**5,429**	**4,865**	**564**	**11.6%**
25	**Total assets**		**7,707**	**7,355**	**352**	**4.8%**
26	**Equity**					
27	Ordinary shares		5	5	-	0.0%
28	Retained earnings		4,454	4,262	192	4.5%
29	**Total shareholders' equity**		**4,425**	**4,267**	**158**	**3.7%**
30	**Non-current liabilities**					
31	5% bank loan		2,100	2,100	-	0.0%
32	**Current liabilities**					
33	Trade and other payables	6	986	893	93	10.4%
34	Taxation		162	95	67	70.5%
35			**3,248**	**3,088**	**160**	**5.2%**
36						
37	**Total equity and liabilities**		**7,707**	**7,355**	**352**	**4.8%**
38	**Statement of cash flows for years ended 30 September**					
39			**2021**	**2020**	**Change**	**Change**
40	**Cash flows from operating activities**		**£000**	**£000**	**£000**	**%**
41	Profit before tax for the period		854	500	354	70.8%
42	Adjustments for:					
43	Depreciation and impairment of PPE		369	368	1	0.3%
44	Profit on disposal of PPE		(8)	(71)	63	88.7%
45	Finance costs		105	105	-	0.0%
46			1,320	902	418	46.3%
47	Change in inventories		(198)	(214)	16	7.5%
48	Change in trade and other receivables		(363)	(224)	(139)	(62.1%)

	A	B	C	D	E	F
49	Change in trade and other payables		96	87	9	10.3%
50			852	551	301	54.6%
51	Income tax paid		(95)	(203)	108	53.2%
52	**Net cash generated from operating activities**		**757**	**348**	**409**	**117.5%**
53						
54	**Investing activities**					
55	Acquisition of PPE		(192)	(104)	(88)	(84.6%)
56	Proceeds from disposal of PPE		43	120	(77)	(64.2%)
57	**Net cash generated from operating activities**		**(149)**	**16**	**(165)**	**(1031.3%)**
58						
59	**Financing activities**					
60	Finance expense		(105)	(105)	-	0.0%
61			(500)	(500)	-	0.0%
62	**Net cash generated from financing activities**		**(605)**	**605**	**(1,210)**	**(200.0%)**
63						
64	**Net change in cash and cash equivalents**		**3**	**241**	**(238)**	**(98.8%)**
65	Cash and cash equivalents at start of year		1,329	1,570	(241)	(15.4%)
66	**Cash and cash equivalents at end of year**		**1,332**	**1,329**	**3**	**0.2%**
67	Notes to the management accounts					
68		Notes				
69	**Revenue by channel**	**1**	**2021**	**2020**	**Change**	**Change**
70			**£000**	**£000**	**£000**	**%**
71	Veterinary practices		3,866	3,913	(47)	(1.2%)
72	Specialist pet stores		6,502	6,105	397	6.5%
73	Other		2,285	2,411	(126)	(5.2%)
74	Taylors		4,218	2,411	1,266	42.9%
75			**16,871**	**15,381**	**1,490**	**9.7%**
76						
77	**Cost of sales by category**	**2**	**2021**	**2020**	**Change**	**Change**
78			**£000**	**£000**	**£000**	**%**
79	Materials		6,574	6,193	381	6.1%
80	Production labour		1,807	1,637	169	10.3%
81	Production overheads		4,904	4,445	459	10.3%
82	**Cost of sales**		**4,904**	**12,275**	**1,009**	**8.2%**

	A	B	C	D	E	F
83						
84	**PPE**	**3**	**2021**	**2020**	**Change**	**Change**
85			**£000**	**£000**	**£000**	**%**
86						
87	**Cost or valuation**					
88	1st October		5,788	5,874	(86)	(1.5%)
89	Additions		192	104	88	84.6%
90	Disposals		(138)	(190)	52	27.4%
91	30th September		**5,842**	**5,788**	**54**	**0.9%**
92						
93	**Depreciation**					
94	1st October		3,298	3,071	227	7.4%
95	Charge for the year		369	368	1	0.3%
96	On disposal		(103)	(141)	38	27.0%
97	30th September		**3,564**	**3,298**	**266**	**8.1%**
98						
99	**Carrying amount**		**2,278**	**2,490**	**(212)**	**(8.5%)**
100	**Inventories**	**4**	**2021**	**2020**	**Change**	**Change**
101			**£000**	**£000**	**£000**	**%**
102	Packaging and consumables		398	355	43	12.1%
103	Raw materials		823	733	90	12.3%
104	Finished goods		600	535	65	12.1%
105			**1,821**	**1,623**	**197**	**12.2%**
106						
107	**Trade and other receivables**	**5**	**2021**	**2020**	**Change**	**Change**
108			**£000**	**£000**	**£000**	**%**
109	Trade receivables		1,941	1,686	255	15.2%
110	Prepayment and sundry		335	227	108	47.6%
111			2,276	1,913	363	19.0%
112						
113	**Trade and other payables**	**6**	**2021**	**2020**	**Change**	**Change**
114			**£000**	**£000**	**£000**	**%**
115						
116	Trade payables		641	545	96	17.6%
117	Other payables		345	348	(3)	(0.9%)
			986	893	93	10.4%

Exhibit 20: Email

From: Preet Sharma

To: Val Williams

Subject: Additional information relating to the draft management accounts and request for advice

Date: 3 November 2021

Additional information relating to the draft management accounts The following figures relate to the year ended 30 September 2021.

1. Revenue data

Channels	Number of clients at 30 September 2021	Overall weighted average	Average discount
Vet practices	450		30%
Specialist pet stores	129		30%
Other	111		30%
Taylors	1		40%
Total	**691**		**32.8%**

25% of Taylors' sales to its own retail customers were made through Taylors' website.Marke

2. Cost of sales data

A pigging system was introduced on 1 February 2021. This was implemented during non-production time and so did not interfere with manufacturing output. The costs have been capitalised within PPE. The impact of the new system has been to allow a significant amount of product recovery during cleaning, resulting in average materials wastage of 3.6% for the year. Other information relating to cost of sales is summarised below:

- The sector average annual price increase of ingredients by comparison with the previous year was 0.5%
- The total number of production runs increased by 5% by comparison with the previous year as a result of changes in: volume of output; demand for Nu-Dog-Fit (see below); and trends in pet owners' requirements
- There was an increase of 8.3% in production hours worked by comparison with the previous year
- The average annual salary increase for production staff, which took effect on 1 October 2020, was 1.8%

3. Results from Nu-Dog-Fit

Actual results from the sales of Nu-Dog-Fit in the year ended 30 September 2021 may be summarised as follows:

- Volume of sales: 180,000kg

- Revenue: £750,000
- Cost of sales: £580,000

Request for advice

Shortly after his quarterly performance review on 13 July 2021, Hugh Logan resigned from DGS. In his resignation letter, he stated that he was unhappy with the way in which the senior management of DGS were managing the growth of the company, reiterating the concerns that he had previously raised at his performance review. We have recently learned that Hugh has rejoined his previous employer, PAW.

In a related development, the Veterinary Support Trust (VST) has recently contacted Suzanne Coder and advised her that it intends to terminate its contract with DGS, to cease stocking and retailing DGS products and to begin stocking and retailing pet food produced by PAW instead. VST stated, as the main reason for terminating its contract with DGS, its concerns over DGS's ability to continue to serve it effectively, based on comments that it received from Hugh Logan.

The DGS board would like you:

- to identify the operational, ethical and business trust issues that may have given rise to these circumstances; and
- to advise them on:
  - how they can reduce the risk of similar issues arising in future; and
  - how they can prevent tensions between the production team and the sales team in future.

7 Using the pre-populated spreadsheets

The following indicates the type of analysis the examiners would expect to be performed on the management accounts, using the information provided in the PPS:

	A	B	C	D	E	F	G	H	J
1					**2021**	**2020**	**2021**	**2020**	
2	**Revenue by channel:**	**2021**	**2020**	**YoY changes**	**YoY changes**	**YoY changes**	**mix**	**mix**	
3		**£000**	**£000**	**£000**	**%**	**%**	**%**	**%**	
4	Vet practices	3 ,866	3,913	(47)	(1.2%)	(24.8%)	22.9%	25.4%	
5	Specialist pet stores	6 ,502	6,105	397	6.5%	22.7%	38.6%	39.7%	
6	Other	2,285	2,411	(47)	(5.2%)	(38.8%)	13.5%	**15.7%**	
7	Taylors	4,218	2,952	397	42.9%	240.5%	25.0%	19.2%	
8		16,871	15,381		9.7%	2.6%	100.0%	100.0%	
9									
10	**Channel: number of clients**	**2021**	**2020**	**YoY changes**					
11	Vet practices	450	448	2					

	A	B	C	D	E	F	G	H	J
12	Specialist pet stores	129	125	4					
13	Other	111	108	3					
14	Taylors	1	1	-					
15		691	682	9					
16	Ave. rev. per client (excl. Taylors)	18.34k	18.25k	0.09k					
17									
18	**Channel: discounts**	**2021**	**2020**	**YoY changes**					
19	Vet practices	30%	30%	-					
20	Specialist pet stores	30%	30%	-					
21	Other	30%	23%	7.0					
22	Taylors	40%	40%	-					
23	Total	32.8%	31.2%	1.6%					
24									
25	**Average revenue per**		**2021**			**2020**	**Move-ment**		
26		**Revenue**	**Clients**	**Average**	**Revenue**	**Clients**	**Average**	**Clients**	**Av.Rev**
27	Vet practices	3,866	450	8.59	3,913	448	8.73	2	(0.14)
28	Special pet stores	6,502	129	50.40	6,105	125	48.84	4	1.56
29	Other	2,285	111	20.59	2,411	108	22.32	2	(1.73)
30	**Total**	**12,653**	**690**	**18.34**	**12,429**	**681**	**18.25**	**9**	**0.09**
31								**1.3%**	**0.5%**
32	**Cost of sales and gross profit**	**2021**	**2020**	**YoY changes**	**YoY changes**	**2021**	**2020**		
33		**£000**	**£000**	**£000**	**%**	**% rev**	**% rev**		
34	Materials	6,574	6,193	381	(6.2%)	38.9%	40.3%		
35	Prod'n labour	1,807	1,637	170	(10.4%)	10.7%	10.6%		
36	Prod'n o'heads	4,903	4,445	458	(10.3%)	29.1%	28.9%		
37	**Total**	**13,284**	**12,275**	**1,009**	**(8.2%)**				
38									
39	Gross profit	**3,587**	**3,106**	**481**	15.5%				

	A	B	C	D	E	F	G	H	J
40	Gross profit %	**21.3%**	**20.2%**						
41	Materials wastage KPI	**1.3%**	**9.7%**	**(6.1%)**					

8 Illustrations of comparative answers

Examples are provided in this section of different candidate submissions to selected topics which formed part of the requirements to the DGS exam. These indicate the approach that candidates are advised to take, which is to develop a specific point relating to a topic across two, three or all four skills.

In this way, candidates are more likely to demonstrate the range of skills that are embedded in the ICAB exams, ie, from assimilating and using information (A&UI), through analysis (SP&S) and judgement (AJ) to a conclusion or recommendation (C&R).

The possible marks which might be awarded to a marginally passing script are contrasted with those of an excellent script, indicating the additional value that better candidates demonstrate in the Case Study Exam.

EXAMPLE 1: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Marginally passing script	Excellent script
Overall 2021 revenue has increased by £1,490k (9.7%) from £15,381k to £16,871k.	Overall 2021 revenue has increased by £1,490k (9.7%) from £15,381k to £16,871k. **This is a good increase compared to the prior year growth of 2.6%.**
This is consistent with the 10% increase in forecast growth in pet ownership in UK, a result in part of people requiring the companionship that a pet provides.	This is consistent with the 10% increase in forecast growth in pet ownership in UK, a result in part of people requiring the companionship that a pet provides
With significant competition from several large companies, DGS has done well to demonstrate growth in line with the market expansion	With significant competition from several large companies **such as Pedigree (11% market share), as well as own label (40%),** DGS has done well to demonstrate growth in line with the market expansion.
At the same time, pet owners have been turning more to online shopping. Given that DGS's traditional lack of online exposure is a limiting factor to its ability to expand, its year-on-year growth in revenue appears a strong performance	At the same time, pet owners have been turning more to online shopping. Given that DGS's traditional lack of online exposure is a limiting factor to its ability to expand, its year-on-year growth in revenue appears a strong performance.

An important driver of this year's revenue growth is the £750k from the second year of sales from Nu-Dog-Fit (NDF).	An important driver of this year's revenue growth is the £750k from the second year of sales from Nu-Dog-Fit (NDF). **The growth in number of younger active customers who look for pets that can fit in with their lifestyles has contributed to the increased sales of NDF.** **NDF revenue was 32% ahead of predicted revenue of £570k, and up by 200% on 2020 (£250k). This increase was around one-third of the overall £1,490k increase in DGS's revenue. NDF's Gateway 4 should be formally confirmed.**
Conclusion: The increase in revenue is good, given the market dominance of the larger competitors.	Conclusion: The increase in revenue **of £1,490k** is good, given the market dominance of the larger competitors **and the challenges that DGS faces via online channels.**

EXAMPLE 1: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Topic: Financial analysis of total revenue

Characteristics of each script

- The marginally passing script, having extracted the relevant figures from the PPS (ie, increase in the headline revenue figure against 2020), links the growth to the competitive background and the changing shopping habits of customers, linking to DGS's poor online presence. The script importantly also includes additional analysis on the NDF sales, extending the quantitative analysis beyond the simple comparatives provide in the PPS. The script then concludes on the financial results, thus evaluating the revenue increase in context.

- The excellent script builds on the analysis by carrying out additional relevant analysis, ie, the prior year's growth. The script then expands the analysis of total revenue to incorporate the NDF revenue. By carrying out additional analysis in this way, beyond the basic pre-calculated changes that were provided in the PPS, the script has recognised the significant contribution that NDF makes to the total increase in revenue and thus de monstrates more judgement.

Candidates should recognise that they will be required to use their judgement in deciding which of the pre-calculated changes (in either absolute or relative terms), ratios, variances and movements are important, as well as determining what additional financial analysis may be involved in answering the requirement.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Assimilating & Using Information	• information/CSE information (report) • Business issues/wider context	• Overall revenue: up **(£1,490k/9.7%)** • UK pet ownership **10%** inc./ pets fitting in with owners' lifestyles

Structuring Problems & Solutions	• Structuring Problems & Solutions	• NDF: **up £500k/200%/3xY1**
Applying Judgement	• Evaluation of revenue analysis	• **Compares** growth 9.7% to ind. growth 10%/5% • NDF inc. **due to** growth in younger, active, online owners
Conclusions & Recommendations	• Conclusions & Recommendations • Makes recommendations	• Qualitative comment on total revenue **with fig** • Qualitative comment on NDF revenue **with fig** • Gateway 4/proceed with NDF

Notes

1 From the above it can be seen that the excellent script has gained marks across all four skills.

2 It is an excellent script because it has used the key drivers to explain the change in total revenue, by reference to new product and the wider business context, ie, it considers the 'big picture' relating to total revenue.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

EXAMPLE 2: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Topic: Financial analysis of revenue by channel

Marginally passing script	Excellent script
Revenue from Taylors increased by £1,266k (43%) to £4,218k	Revenue from Taylors increased by £1,266k (43%) to £4,218k. **Revenue excluding Taylors is £12.6m (2020: £12.4m; 2019: £14.1m), indicating that DGS's underlying business could be stagnating without Taylors. This shows an increasing reliance on Taylors but represents a risk as Taylors' influence over DGS grows.**
Taylors now represents 25% of all DGS sales (2020: 19.2%) and, in addition, 25% of Taylors revenue from its own customers is online (20% in 2020).	Taylors now represents 25% of all DGS sales (2020: 19.2%) and, in addition, 25% of Taylors revenue from its own customers is online (20% in 2020).
Vet practices saw a decrease to £3,866k (£47k /1.2%).	Vet practices saw a decrease to £3,866k (£47k / 1.2%). **In the future, revenue from vets can be expected to decline further, following the loss of VST. VST was a significant client win in 2018 but it has gone back to PAW with Hugh Logan's departure.**

Specialist pet store revenue, on the other hand, saw a growth of £397k (6.5%) during 2021, in part explained by the net increase of 4 in the number of specialist pet store clients.	Specialist pet store revenue, on the other hand, saw a growth of £397k (6.5%) during 2021, in part explained by the net increase of 4 in the number of specialist pet store clients.
Revenue from other retailers has fallen from £2,411k to £2,285k, a drop of £126k or 5.2%. This is perhaps a reflection of the ongoing shift towards online shopping.	Revenue from other retailers has fallen from £2,411k to £2,285k, a drop of £126k or 5.2%. This is perhaps a reflection of the ongoing shift towards online shopping. **As the revenue bridge shows, over the year, the number of clients rose by 9 from 682 to 691 and the average revenue per client (excluding Taylors) actually increased from £18.25k to £18.34k. This has reversed the decline in average revenue observed in 2020 from £ 21.05k to £18.25k (excluding Taylors), but overall has had a minor effect on the revenue movement (only £62k).**
Conclusion: Revenue growth is largely driven by the £1,266k increase in Taylors' revenue and strongly supported by the increase in online sales, albeit offset by the continued decline in revenue from vet practices and other clients.	Conclusion: Revenue growth is largely driven by the £1,266k increase in Taylors' revenue, strongly supported by the increase in online sales, albeit offset by the continued decline in revenue from vet practices and other clients. **The growing importance of having an online presence and the reliance on Taylors support the recommendation that DGS should continue to focus on Taylors as a key channel to market, whilst developing its own online platform as soon as possible.**

EXAMPLE 2: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Topic: Financial analysis of revenue by channel

Characteristics of each script

- The marginally passing script has again extracted some relevant analysis from the PPS to indicate the changes in revenue by channel, ie, comparing 2021 revenue against 2020 revenue. The analysis has been extended into identifying the increasing proportion of sales coming via Taylors. The script has gone on to identify the importance of online sales, thus assimilating the changing customer behaviour, and has then concluded on the importance of Taylors and online.
- The excellent script recognises the reliance that DGS now has on Taylors and identifies further risks associated with the drop in sales to vets. The analysis of client numbers and average revenue per client is carried out and this is used to complete the revenue bridge reconciliation – analysis that goes well beyond the simple comparatives provided in the PPS. The excellent script also recognises the implications for DGS if Taylors had not been secured as a key channel and highlights the risks of the reliance on Taylors, given the changing market context. The recommendation to develop its own online channel is thus supported.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Assimilating & Using Information	• information/CSE information (report) • Business issues/wider context	• Nos of clients: **up 9/691 v 682** • Ave rev per client (excl Taylors): **£18.34 v £18.25**
Structuring Problems & Solutions	• Revenue by channel (report)	• Vets: **down £47k/1.2%**/nos up by 2 • Stores: **up £397k/6.5%**/ nos up by 4 • Taylors: **up £1,266k/42.9%** • Taylors' share of DGS rev: **25%** of total **v 19%** in PY
Applying Judgement	• Evaluation of revenue analysis	• Taylors' inc **due to** inc online sales (20% PY) • Taylors: increased reliance **means** increased risk
Conclusions & Recommendations	• Draws conclusions (under a heading) • Makes recommendations	• Qualitative comment on total revenue **with fig** • Develop own web-based sales channel/focus on Taylors

Notes

1 From the above it can be seen that the excellent script has gained marks across all four skills.

2 It is an excellent script because the script includes the key issues driving changes in revenue in each channel, both quantitatively, using the detailed revenue bridge, and qualitatively, linking in a variety of contextual issues.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

EXAMPLE 3: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Topic: Request for advice

Marginally passing script	Excellent script
DGS has lost Hugh Logan, an experienced sales team member, to the rival PAW.	DGS has lost Hugh Logan (HL), an experienced sales team member, **as well as VST, a substantial client,** to the rival PAW. **This appears to be a breach of the trust that DGS placed in HL. However, it could also be viewed as a reaction by HL to a perceived failure by DGS to fulfil its own duties of care in a variety of respects, however inadvertently that may have arisen in pursuit of DGS's growth objectives.**
The underpinning issue appears to a sustained failure to address his complaints, which include:	The underpinning issue appears to a sustained failure to address his complaints, which include:

• Business trust: a lack of transparency over the allocation of Taylors, the largest client, to Charlie Bailey, the least experienced member of the team; and, in addition, a commission system perceived as inequitable. • Operational: an emphasis on sales growth, leading to tension.	• Business trust: a lack of transparency over **client allocations, in particular** the allocation of Taylors, the largest client, to Charlie Bailey, the least experienced member of the team; and, in addition, a commission system perceived as inequitable – each team member has the same revenue target but the territory of **each would appear to have different client prospects.** • Operational: an emphasis on sales growth leading to tension, resulting in the production team being placed under increased pressure, leading to a near miss. **Ethical: the consequences of an actual miss** **– contaminated pet food leaving the factory** **– could be catastrophic for a pet and a pet owner.**
Prevention of similar issues:	Prevention of similar issues:
• DGS needs to respond to staff complaints more quickly • With respect to the sales team, DGS needs to change the commission system. • To avoid future client losses, there is a need to review staff contracts and ensure that they contain suitable non-competition clauses.	• DGS needs to respond to staff complaints more quickly. • **To avoid potential reputational damage, DGS needs to improve quality controls.** • **DGS needs to deal with the issues causing overworked and unhappy staff.** • With respect to the sales team, there may be a need to change the commission system. • **Perceived fairness is important, which may entail a change in KPIs.** • To avoid future client losses, there is a need to review staff contracts and ensure that they contain suitable non-competition clauses • **In the immediate future, there is a need to replace Hugh.**

EXAMPLE 3: A review of DGS's 2021 management accounts (ORIGINAL REQUIREMENT 1)

Topic: Request for advice

Characteristics of each script

- The marginally passing script notes that there has been a lack of action over staff complaints, using the unfairness of assigning Taylors and the commission system as an example, thus adding depth to the answer. The script also comments on the tension being created within the teams at DGS, all of which secures SP&S marks. The script then goes on to set out relevant recommendations regarding the commission system and suitable non-compete clauses for staff. In doing so, that script has identified relevant issues and included some depth in the analysis by incorporating the wider context in distinguishing between symptoms and causes, and identifying some of the implications of the issues being discussed.
- The excellent script extends the analysis to the ethical duty that HL owed to DGS, which he appears to have breached. This script also identifies the more nuanced point that DGS may

be inadvertently breaching its own duty of care, as a consequence of pursuing its business agenda. The language used is suitably tactful, given that this is a contentious subject and the board of DGS is implicitly being criticised. The analysis also identifies the 'near miss' operational impact of the tension between the teams and makes a suitable recommendation. The excellent script demonstrates broader professional skills by highlighting the ethical implications of the operational 'near miss' issue, as well as the commercial issues surrounding HL's departure with VST.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Structuring Problems & Solutions	• Request for advice (report)	• Lack of action over staff complaints • Tension between production and sales teams • Tension between production and sales teams • Risk of assigning Taylors to Charlie (inexperienced) • Hugh resigned before year end/rejoined PAW • VST recently terminated contract
Applying Judgement	• Eval/recs on request for advice	• Need to respond to staff complaints quicker • Need to address overworked/unhappy staff • Potential for damage to reputation/need to improve quality controls • Need to review staff contracts/non- competition clause/need to replace Hugh

Notes

1 From the above it can be seen that the excellent script has gained marks across the skills tested in this requirement.

2 It is an excellent script because it demonstrated an understanding of the causal factors; answered all parts of the requirement; offered a wide range of recommendations in response to the request for advice; and dealt with this potentially contentious issue tactfully.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

Candidates: How to improve your exam technique in the financial statement analysis requirement

Before the exam

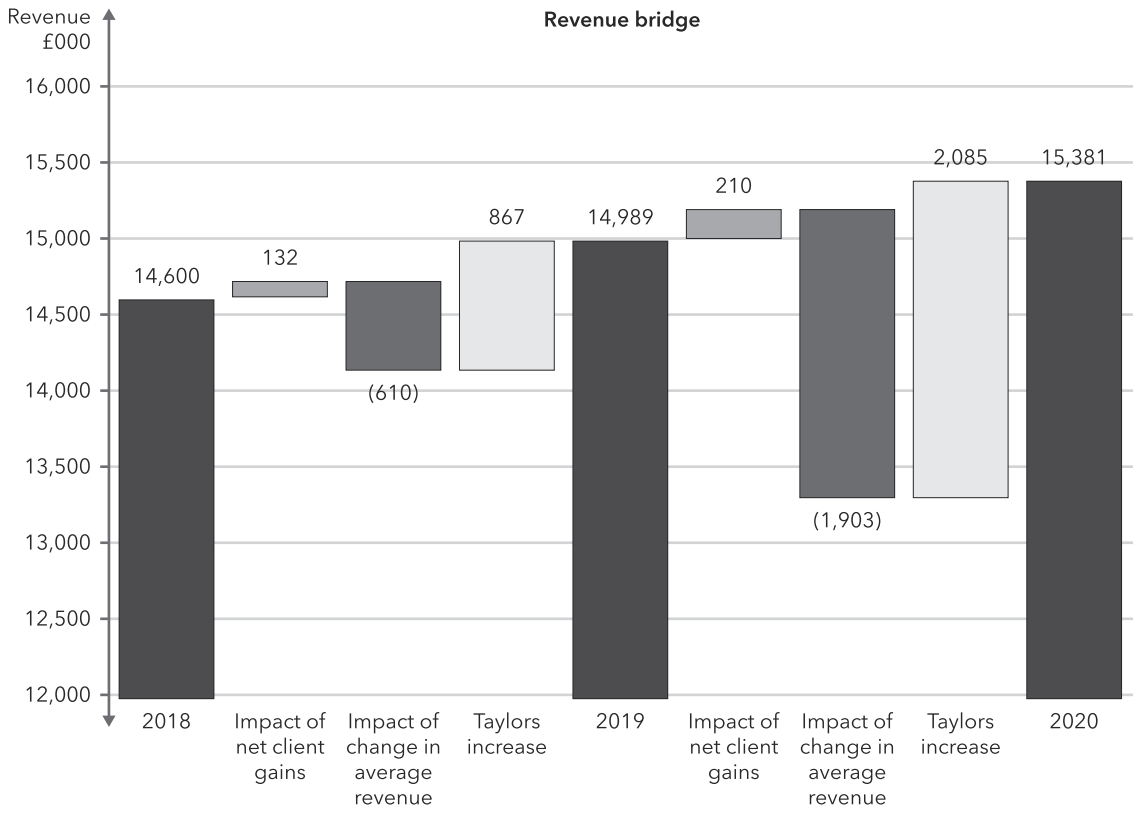
Ensure good all-round information financial statement preparation – a candidate must have analysed and must know the Case Study numerical information thoroughly (not 'just know the tutor's analytical notes'). As the candidate, you are the one being examined on the Case Study, not the tutors, and you must know the information – you will not have time to re-analyse completely and understand the information for yourself in the exam.

It is critical that you have fully assimilated the review of the management accounts that each information will contain, and where required, have ensured you are familiar with any related exhibits.

For example, in Exhibit 4 of the DGS information, candidates were presented with a management dashboard, the contents of which indicated the growth in sales from specialist pet stores and the dramatic impact of the new retail client Taylors. It also showed the decline in revenue from vets and other clients.

This was emphasised visually with the revenue bridge (reproduced below), showing that the underlying business from traditional channels was under significant pressure, and was arguably stagnant, with the main growth coming from the new client Taylors. As is clear from the revenue bridge, the drop in average revenue from clients (excluding Taylors) is not compensated for by the marginal increase in net new client gains. The drop in average revenue is due to a variety of factors: a more challenging market for traditional channels, which rely on physical visitors but are impacted by changing customer behaviour; and price pressure caused by the restructuring in the sector with discounts offered to clients starting to increase.

The impact of discounts runs throughout the management accounts narrative, and these comments were linked to the analysis of discounts by channel in the table in Exhibit 7, which emphasises the increasingly difficult market in which DGS is operating. Candidates could then make the link to the Direct-To-Customer (DTC) opportunity presented in Exhibit 15 that helps secure higher prices and thus better margins for DGS.



These are just examples to illustrate the level of depth of understanding that successful candidates demonstrate in the Case Study exam. Similar connections are available throughout the information, and your own personal preparation should be targeted at developing a deep understanding of the information.

In the exam

- Ensure that you use the appropriate amount of time available to answer this requirement by proper planning – keeping to time on this requirement is critical in keeping to time throughout the exam.
- Remember that this section has an equal weighting with the other sections.
- Use the pre-calculated ratios, movements and variances in the PPS effectively to focus on thevimportant issues in the accounts, enabling you to allocate your time evenly across the threevrequirements.
- Ensure that you have developed the ability to think and analyse for yourself – the CS Exam figures you will have to work with will be new to you and you must know how to evaluate them.
- In the CS Exam, focus only on the specific requirements of the financial statement analysis – do not answer the question you wish had been set or the one that the tutors predicted would be set.
- Analyse and understand all the CS Exam facts: there is always an update of the financial

  information in the CS Exam but always within a development of the business scenario – you must take account of that updated scenario.

Writing the answer

- hilst each Case Study is different, remember that Requirement 1 of every CS Exam involves financial statement analysis. You will be provided with the most recent management accounts in the PPS, together with the prior year figures and pre-calculated changes, in both absolute and relative terms. You will need to ensure that you are selective in which figures and which year-on- year variances you make use of.
- Remember also that there will be additional analysis that you need to carry out to score well in Requirement 1.
- To guide you in this, ensure that you do not waste time writing out appendices which cover areas such as extra years, or additional detailed analysis unless you are confident that it aids in answering the requirement – see the NDF example above. However accurate your work, if it is irrelevant will not be rewarded and – crucially – it will waste valuable time that could be better spent.
- Remember to structure the answer: work from the information supplied (A&UI), through clearly expressed analysis (SP&S), providing an evaluation of the numerical changes (AJ), and arrive at your conclusions (C&R).
- Remember your audience and keep your answer in context.

Skills tip

Ensure that you only use the appropriate amount of time available to answer this requirement by proper planning – just because you could 'write all day' about the financial statements does not mean that you should.

9 Marking Key

REQUIREMENT 1 – Review of DGS's management accounts

Assimilating & using information	Structuring problems & solutions	Structuring problems & solutions	Conclusions and recommendations
R1.AUI.1 Appendix 1	**R1.SPS.1 FA: Revenue by channel (report)**	**R1.AJ.1 Evaluation of revenue analysis**	**R1.CR.1 Draws conclusions (under a heading)**
• Presents appendix covering all key items	• Vets: **down £47k/1.2%/**nos **up** by **2/decline slowed**	• Revenue: faster growth 9.7% **v** growth 2.6% in PY OR Compares growth 9.7% to ind growth 10%/5%	• Qualitative comment on total revenue **with fig**
• Analysis of revenue bridge figures	• Stores: **up £397k/6.5%**/nos up by **4 /growth slowed**	• Ave total rev: inc slightly **despite** inc in ave discounts	• Qualitative comment on revenue by channel **with fig**
• Analysis of revenue NDF results v prediction/ROI	• Taylors: **up £1,266k/42.9%/ continued growth**	• Taylors' inc **due to** inc online sales (20% PY)/ niche product matches customer profile	• Qualitative commenton NDF **with fig**
	• Other: **down £126k/5.2%**/nos up by **3/decline slowed**	• **Underlying business stagnant** (excl NDF Taylors)/1.8% growth without Taylors	• Qualitative comment on an individual cost **with fig**
	• NDF: **up £500k/200%/3xY1 volume**/SP **stable** at £4.17/ compares actual **£750k/180 tonnes** to prediction	• NDF inc **due to** growth in younger, active, online owners/volume predictions were too conservative	
	• Taylors' share of DGS rev: **25%** of total **v 19%** in PY OR Stores' share of DGS rev: **38.6%v 39.7%/still** largest	• Taylors: increased reliance **means** increased risk	
R1.AUI.2 AI/CSE information (report)	**R1.SPS.2 Financial analysis: COS/GP (report)**	**R1.AJ.2 Evaluation of COS/ GP analysis**	**R1.CR.2 Evaluation of COS/ GP analysis**

• Overall revenue: **up £1,490k/9.7%**	• Materials: **up £381k/6.2%/39% v 40%** revenue	• Compares change in COS/ GP to revenue increase	• growth 9.7% to ind growth 10%/5%
• Nos of clients: **up 9/691 v 682**	• Materials: wastage **down 3.6 %v9.7%/£364k/ 60.6%**	• Materials: wastage reduced **due to** pigging/larger saving expected for full year in 2022	• Develop own web- based sales channel/ focus on Taylors
• Ave rev per client (excl Taylors): **£18.34 v £18.25/up 9p** (must use 690 as number of clients)	• Labour: **up £170k/10.4%/ 1.8%** pay rise	• Labour inc **due to** inc in prod hours (8.3%)	• Ongoing evaluation of NDF/Gateway 4/proceed with NDF
• COS: **up £1,009k/8.2%**	• Prod OH: **up £458k/10.3%/ 8.3%** inc in prod hours	• Prod hours up **due to** eg, change in demand/5% inc in runs/late orders/NDF	• Address capacity/storage constraints
• GP: **up £481k/15.5%**	• GP%: **up 21.3% v 20.2%**	• GP/GP%: inc despite higher disc/inc in high GP% NDF	• Reassess/reset wastage KPI/ ongoing impact of pigging • Other commercial recommendations
R1.AUI.3 Business issues/wider context	**R1.SPS.3 Request for advice (report)**	**R1.AJ.3 Eval/recs on request for advice**	
• Impact of COVID-19 on the business	• Lack of action over staff complaints	• Need to respond to staff complaints quicker	
• Global pet food mkt **5%** inc/UK pet ownership **10%** inc/ pets fitting in with owners' lifestyles	• Tension between production and sales teams/ pressure on production	• Need to address overworked/ unhappy staff/ enforce client T&Cs/staff satisfaction survey	
• ownership 10% inc/ pets fitting in with owners' lifestyles **25%** online	• Future 'near miss' may not be caught in time	• Potential for damage to reputation/ need to improve quality controls	

• Discounts: mostly static/'others' inc (30% v 23%)	• Risk of assigning Taylors to Charlie (inexperienced)/ unfair KPIs/unfair client allocations	• Importance of perceived fairness/change KPIs/need to sort out commission system	
• Merger & acquisitions impact vet/pet store numbers	• Hugh resigned before year end/ rejoined PAW	• Need to review staff contracts/ non- competition clause/need to replace Hugh	
• Ind waste excellent **7%**/exceptional **5%**/ DGS KPI **7%**	• VST recently terminated contract	• Potential for more lost clients/monitor impact of losing VST/review relationship with Hugh's clients (PiP)	

Summary of skills

Referring back to the coverage of professional skills in Chapter 1, candidates can see how these principles are reflected in the above Marking Key:

- A&UI: The first area assesses the quality of the specific factors in the appendix. The middle area assesses the quality of the integration of information and the CS Exam information. The third looks at the specific DGS business situation: increasing merger and acquisition activity reducing available channels to market which is triggering more competitive behaviour, including higher discounts. It includes DGS's business environment: the rise in pet ownership and the increase in internet shopping.
- SP&S: In the top area, the assessment criteria focus on revenue; in the second, costs and GP analysis; in the third, the request for advice. These three aspects of the requirement assess the analysis of both financial and non-financial factors. Scoring well on this professional skill is fundamental to success and indicates good professional competence.
- AJ: AJ is assessed in line with the requirement and the SP&S assessment. In the first mark-scoring area, the assessment criteria focus on revenue and are an extension of the SP&S equivalent first area. Similarly, the assessment criteria in the second area focus on costs, expenses and GP analysis and are an extension of the second SP&S area. In the third area, the assessment criteria focus on the advice which was requested on the issues surrounding Hugh Logan's departure. These three mark-scoring areas also follow a logical progression through the requirement, evaluating the analysis and applying judgement to the DGS financial and non-financial factors. Note the connecting arrows between the SP&S and AJ columns to highlight specific follow-on points.
- C&R: The conclusions follow directly from the analysis (SP&S) and evaluation (AJ) of the financial statements and include the important numbers. There are points for concluding on the evaluation of revenue, COS and gross profit. The recommendations points are all tightly focused on the major issues facing DGS which candidates had to address.

Chapter 3
Financial data analysis

Introduction

Examination context

Learning topics

1 Introduction to financial data analysis
2 Steps in financial data analysis
3 Using financial data analysis in the Case Study
4 Appendices: The House Pride Case
5 Exercises
6 CS Exam with Requirement: financial data analysis
7 Using the pre-populated spreadsheets
8 Illustrations of comparative answers
9 Marking Key



Introduction

Chapter 3 introduces candidates to the topic of **financial data analysis**, which forms the basis of one of the three CS Exam requirements, Requirement 2, as well as featuring as part of 'commercial analysis' in Requirement 3.

This chapter contains details of the relevant techniques to be understood and developed by candidates in preparation for answering a financial data analysis requirement. It also provides a series of important 'skills tips' for candidates to help their preparation and their delivery of a good- quality report. In addition, there is a short section on how to improve exam performance in this topic.

The chapter also contains an abridged and updated Case Study for the company House Pride (HP), based on a previous Case Study. It comprises Advance Information and a CS Exam requirement focusing on financial data analysis, giving candidates an opportunity to tackle a substantial Case Study requirement on this topic based on extracts of the sort of information which would be provided in a full Case Study. It includes a pre-populated spreadsheet, which may form part of the information for Requirement 2 in a Case Study. An additional exercise is also provided to give candidates further practice in using pre-populated spreadsheets.

Relevant extracts from the HP Marking Key are provided, as well as examples of answers of differing qualities which candidates might have produced in tackling this requirement.

Exam context

The CS Exam requires the analysis of a business from a number of different perspectives:

- financial statement analysis (see Chapter 2);
- financial data analysis (the subject of this chapter); and
- commercial analysis: financial, operational and strategic analysis, including business trust and ethics (see Chapter 4).

These three perspectives form the basis for the three main requirements in the CS Exam, which all have an equal weighting. Although this Workbook covers all three aspects of business analysis, each topic is designed so that it can be studied individually with a separate abridged Case Study being used to illustrate each of the aspects of analysis.

However, none of these topics can be viewed independently. They are intertwined because the financial statement analysis – the analysis of how the business has been performing in its immediate past – informs the financial data analysis, which usually considers a current issue facing the business. The analysis of the business from these two perspectives (past and present) informs, and is informed by, the commercial analysis of financial, operational and strategic issues, which considers the business from the present to the future. Business trust and ethics permeate the Case Study – just as they permeate professional work.

Financial analysis components

The object of the CS Exam is to assess whether a candidate has the appropriate level of professional skills to become an ICAB Chartered Accountant. One of the primary skills expected of an ICAB Chartered Accountant is the ability to perform financial analysis on a business. Financial analysis covers a spectrum from an analytical review of the entire published financial statements of an organisation, through the analysis and consideration of the current viability of a specific project, to the assessment of a business proposal or new business opportunity. This spectrum of analysis – from past through present to future – is all part of the necessary skill of an ICAB Chartered Accountant.

In this Workbook, the financial analysis spectrum is divided into two main components:

- Financial statement analysis (see Chapter 2)
- Financial data analysis – developed in this chapter

In addition, Chapter 4 includes the financial aspects of commercial analysis.

1 Introduction to financial data analysis

Accountancy is frequently referred to as the language of business and in that context it is an expectation that a qualified member of ICAB should be able to demonstrate financial fluency. This means being confident with all forms of numerical information and being able to work with numbers in whatever way is required – then explaining what has been done, and why, to the intended audience.

Within the framework of the CS Exam, evidence of that skill is tested in a number of ways, and specifically in relation to a candidate's competence in financial data analysis. Financial data analysis is the ability to understand, assess and analyse financial data and then to present the results of that analysis in a succinct and comprehensible way to the reader.

Demonstrating financial fluency in financial data analysis

Initially, candidates are performing their analysis to gain an understanding of the company for themselves, but subsequently this analysis will form part of their written output. At that second stage, it will be crucial to be aware of the intended audience. Writing to the CEO of a client business pointing out the trend in forecast sales from information provided is not financial analysis which would be worth receiving. Writing to a non-financial audience and explaining the calculated difference between the potential cash flow and the potential contribution for a project, including an assessment of assumptions, in a succinct and understandable manner would be extremely good financial data analysis.

Nobody wants to have their ignorance exposed and this applies in particular to the readers of any reports containing financial information. For many such readers, especially those with a non-financial background, there is a certain acceptance of the accuracy of numerical work, but they also need an explanation of the underlying issues and the reasons for any professional scepticism (see later in this chapter).

Demonstrating good financial fluency means having the skill of conducting good financial data analysis and communicating it in an appropriate form together with the judgements, conclusions and recommendations that follow. The CS Exam aims to assess a candidate's ability to understand the story that the numbers – both given and calculated – tell and then to tell that story to the client. It is a skill that an ICAB Chartered Accountant must possess.

Financial data analysis

Because of the vast nature of this subject, which can range from the statistical analysis of a large database down to the consideration of a breakeven point and everything in between, there is no single definition of financial data analysis. However, it can be summarised as:

The identification and analysis of any financial data necessary to evaluate a financial issue in order to reach a decision.

It is usually defined by the process and the analytical tools that may be used under this heading.

2 Steps in financial data analysis

Just as financial statement analysis can be helped and focused by the defined steps for initial and detailed analysis including ratio analysis (see Chapter 2), and strategic analysis of a business across all its domains can be refined and focused by means of techniques such as SWOT analysis (see Chapter 4), so financial data analysis can also make use of a similar logical process. This involves:

- **Using appropriate analytical tools** for the task identified (A&UI)
- **Performing accurate calculations** and analysing the results with appropriate clear

explanations based on the information and assumptions supplied (SP&S)

- **Evaluating all assumptions** and, where appropriate, flexing the given numbers (AJ)
- **Interpreting results** to reach a conclusion with recommendations (C&R)

2.1 Using appropriate analytical tools

Most tools that candidates will be required to use in the CS Exam will have been covered in other ACA exam modules. Where this is not the case, an example of the methodology to be used in the CS Exam would normally have been provided in a parallel example in the information. The tools include the following:

- Financial forecasting for a project, activity or an organisation as a whole
- Financial appraisal and reporting: for bank loan or insurance purposes
- Scenario analysis using financial modelling
- Breakeven analysis (including pricing and margin of safety analysis)
- Product mix analysis
- Project appraisal: payback and present value calculations
- Investment valuation and appraisal
- Short-term and long-term decision making
- Working capital analysis and management
- Financial strategies for developing the business
- Sensitivity analysis – assessing and then flexing the numbers presented

This chapter will not cover the technical details of how to apply any of the above analytical tools – that knowledge is assumed. However, some of the more important issues which candidates should consider in using them are addressed below under the appropriate headings. In addition, some exercises are provided to help them refine their skills.

It is important to realise that in the CS Exam, candidates are not always told which analytical tool(s) to use in order to develop the required output – although it may be clear from the fact that information is presented in the CS Exam in a similar format to that previously presented in the information. Candidates will need to use their judgement when deciding which tool(s) to use. As a result, in preparation for the CS Exam, they need to be able to know both how to use each tool (as described in other ICAB Learning Materials) and which one is relevant to a given situation.

There is, however, a unifying element to financial data analysis in the Case Study: it tends to focus on a current issue and an imminent decision that will affect future operations. The use of some of the above tools is covered in this chapter: financial forecasting; financial appraisal and reporting; breakeven analysis; project appraisal; investment valuation and appraisal; and sensitivity analysis (this is an overall technique to be applied in almost all instances of financial data analysis). In the CS Exam, candidates will receive information relating to the matter to be addressed. The information may be in the form of data within pre-populated spreadsheets. This will require sifting, analysing and evaluating within the context of the business scenario. Candidates may have to sort and summarise the data before analysing it and applying their higher skills. It may also be possible to identify patterns and anomalies in the data just by viewing it critically. Candidates will need to be fully aware of all business issues from the scenario as well as the wider context affecting any possible appraisal and decision. Alternatively, the pre-populated spreadsheet may take the form of a calculation containing errors for candidates to identify and correct as the starting point for their analysis work. A critical eye is again essential for such a task.

Skills tip

Candidates' initial calculation must be based on **the information provided to them**. Only after carrying out this calculation should they go on to make any changes or challenge the underlying assumptions and, if necessary, perform sensitivity analysis on the key variables.

Financial forecasting

Financial forecasting can be seen as an umbrella term for most financial data analysis work. Most financial data exercises concern a decision not yet made, so it is somewhat inevitable that a forecast (calculation of future results) will have to be made. Remembering the quotation 'Prediction is very difficult, especially if it is about the future' (Nils Bohr, Nobel laureate in Physics), the important factors to bear in mind are:

- **The subject and context of the forecast** – project, activity or organisation
- **The provenance of the information supplied** (see below)
- **The degree of accuracy required** (see below)
- **The materiality of the subject of the forecast** – and the error tolerance level
- **The timeframe over which the forecast is made** – the longer the period the forecast covers, the more prone to error it is

Financial appraisal and reporting

Financial appraisal is required in a scenario where something has happened (eg, a flood or fire) or something has changed or might change (eg, the selling price of an important product). The effect is that a calculation has to be made and presented to the client or the board for use in some further discussion or report. In the same way as for any financial data analysis, candidates must start with the information provided before changing or challenging it in any way. Again, the important factors are:

- **The provenance of the information supplied** (see below)
- **The degree of accuracy required** (see below)
- **The materiality of the subject of the forecast** – and the error tolerance level

Skills tip

In the preparation work conducted on the information relating to financial data analysis, candidates should pay careful attention to the additional financial information or other schedules provided which might explain or cover such matters as cost analysis – particularly where a specific financial technique or set of parameters is identified. Candidates should ensure that they are fully conversant with all the details of any calculations.

Breakeven analysis covers the identification of a contribution for a product or activity by identifying the fixed and variable costs and the revenues associated with that product or activity in order to determine a breakeven point in terms of sales revenue or number of units.

Skills tip

Candidates should be aware that in many circumstances sensible approximations are a critical factor in good financial data analysis. There is an adage that it is better to be approximately right rather than precisely wrong (too much precision gives a false impression of accuracy).

It is also worth remembering that over different time periods the definitions of costs and the distinctions between fixed and variable costs are somewhat elastic – and that, as in real life, all costs may change (drastically) over time.

- **Pricing** – this is the corollary of the breakeven point (and the same general points apply) where, for example, the business wants to identify the 'lowest price' at which a new (or even existing) product may be sold but not create a loss on the sales. This may be particularly important in trying to survive a price war, especially in a recession, or for a new product launch.

- **Margin of safety** – an additional development under the heading of 'breakeven analysis' is the calculation of a margin of safety. This can indicate not only the level of risk with the project under consideration but also, importantly, the size of the 'cushion for errors' in the calculation. As with any issue of profitability, the closer the profit is to becoming a loss (or the smaller the margin of safety), the more critical each of the estimated figures becomes. To use a parallel example from the world of audit: the closer a profit is to becoming a loss, the more critical is the determination of level of materiality for that audit.

Skills tips

It is often necessary to consider incomplete information. In such a case, candidates should make their own assumptions in order to complete the calculation. In no circumstances should they stop their calculation to 'advise' the client to provide more complete information – they are expected to demonstrate their professional skill by making (sensible) assumptions and completing their work as fully as possible.

Remember that in this type of analysis it is important to include all applicable costs. This means thinking carefully about what information has been provided and what has not. If you believe that there is relevant financial information missing, perform any calculations before inserting the missing figure(s) but be sure to provide a qualifying comment in your assumptions and indicate its effect by quantifying the omission where possible.

Project appraisal

Many CS Exams require some form of project appraisal as part or all of a financial data analysis requirement. There are numerous well-known techniques for conducting this form of analysis. In the Case Study, it is essential to use the information presented and the requirement as written.

Often there is a straightforward request to analyse a project by using a simple technique, such as payback. Alternatively, if the request is not specific, the information provided would usually only permit the use of one specific analytical tool.

Although questioning assumptions is a critically important skill in financial data analysis, creating an entirely new set of assumptions and financial criteria (such as discount rates) to permit a favoured calculation does not demonstrate that skill. The problem with this exam tactic is that it ends up not with allowing candidates to demonstrate their skills (in using and evaluating the facts given) but with candidates answering their own question using a technique that they have pre-prepared.

Skills tip

Although you may be fully conversant with numerous different analytical tools, you should ensure that you use the analytical tool requested or suggested by the information provided. The technique will generally be apparent from an equivalent illustration in the Information. It is not an appropriate exam tactic to introduce entirely new information to enable a completely different calculation to be conducted – this work will almost certainly not be rewarded no matter how artificially 'accurate' the chosen calculation is.

Investment valuation and appraisal

In a CS Exam, the requirements may ask for an appraisal of a proposed investment in property, plant and equipment (PPE). This could use NPV, payback or some other similar calculation.

In the CS Exam, performing the required calculations meets only part of the requirement. Candidates should remember that all of the marks are for demonstrating professional skills. They will also need to:

- Provide a context for the appraisal that they have conducted – what is the reason for applying the technique and choosing the bases that have been used?
- Exercise judgement – do they have any reservations, which they should disclose by clear explanation, about the results of their valuation or the choice of method?
- Develop their conclusions and/or recommendations – what do the results mean or what should the client do now?

The requirement may or may not specify all of these points, or something similar, but you are expected to demonstrate all four of the professional skills even if they are not specifically asked for.

2.2 Performing accurate calculations

Although this may seem an obvious point to make to anyone on the verge of qualifying as an ICAB Chartered Accountant, performing **accurate** calculations is a crucial starting point in financial data analysis and it is appropriately rewarded in the Marking Key for Requirement 2. Candidates should remember to:

- Start all calculations with the information given – they may need to flex the numbers subsequently (see below).
- Work carefully in consistent denominations – they must not start in £'000 with decimal points and then carelessly drop into single figures or vice-versa. In general, numbers in Case Study answers should have no more than one decimal place – this is a sufficient level of accuracy.

- Label all figures – what may seem apparent to a candidate is not necessarily apparent to a reader, and in a report this is a serious error or omission. Candidates must remember that markers cannot see formulae and therefore all workings must be clearly set out.

> **Skills tip**
>
> AIt is very important for the candidate as an analyst of financial data to step back and perform a sense-check on the calculations and numerical output – to avoid basing a report on a basic numerical error which a quick overview could have identified.

2.3 Evaluation of assumptions, professional scepticism, flexing the numbers and sensitivity analysis

Evaluation of assumptions

Where the financial data analysis is based on assumptions provided, there is always an implication, if not an actual requirement, that candidates should evaluate those assumptions. The assumptions may also be referred to as 'working assumptions' or 'estimates'.

In order to do this, candidates must first identify the assumptions to be evaluated. They may be provided in a specific list but sometimes they may spread across the exhibit(s) relating to the requirement. It will often be possible to 'test' an assumption against comparable data in the Information – for example, the price of a proposed new product. If candidates have familiarised themselves with the detail of the information, they will be in a strong position to identify the equivalent figure(s) and consider whether the new figures in the CS Exam are plausible.

In the Case Study, as in real life, assumptions are often provided as a starting point for the calculation and consideration of a financial issue. However, these assumptions should not be viewed as 'set in stone': they can and must be questioned.

If any additional assumptions have to be made – or the assumptions already provided need to be queried and financial adjustments made (see 'flexing' below) – this means that a candidate is applying judgement. Candidates should clearly identify all questioning and justify the reasons in their report.

Professional scepticism

As part of financial data analysis, it is important for candidates to be aware that the development of their financial diagnosis must be made with regard to the context, the nature of the information provided, and its source, both in the Case Study and in real life. This is a critical part of the analysis of any financial problem. The appropriate questioning of the information provided is referred to as **'professional scepticism'**. Professional scepticism was discussed in more detail in Chapter 1.

This assessment does not mean that candidates are **not** accepting the numbers but that they are assessing their quality and appropriateness for use in answering any questions and the level of confidence that they can attach to each piece of information presented.

By evaluating the information provided in this way, candidates will be demonstrating professional scepticism and applying their judgement – a crucial element in all financial data analysis.

Skills tip

The exhibits relating to a financial data requirement may be from a range of sources, including the media. Candidates will therefore need to consider each one carefully to identify whether the author might have a direct interest in presenting the information in a particular way.

Flexing the numbers and sensitivity analysis

Following on from an assessment of the assumptions initially provided, a critical element of financial data analysis is the ability to flex the numbers given or calculated and then to comment on the adjusted impact. In the CS Exam, for Requirement 2, this generally involves one of the following:

- Flexing the figures to reflect changes in the underlying assumptions
- Having assessed the assumptions, making the changes that are needed to amend the calculations (such as breakeven)

Sometimes, the issue is spelt out because errors have arisen in the information previously provided and these need to be corrected. Often it is left to the candidate's discretion to decide whether' flexing' the numbers might be appropriate.

One of the tools available is sensitivity analysis. This involves identifying the critical factors in a calculation and considering how the outcome changes if one or more of the factors change. In the CS Exam, candidates are not expected to perform endless similar speculative calculations, but some indication of key sensitivities will be needed, especially where the data is provided in pre-populated spreadsheets.

Accordingly, it is important to identify the 'critical factors' with care.

Importantly, if candidates do identify instances where a figure (or figures) should be flexed, even if they do not carry out all the calculations (because of time constraints), they must comment on the likely impact and direction of change. Sometimes, the impact will be obvious without the need for a calculation (for example, if a project is shown to achieve a contribution of £1,000).

Whatever the circumstances, it is important to pause before plunging into the work and to perform a quick plausibility review of the details involved and the expected output from this work. Choices need to be made about all calculations and any subsequent flexing.

- **Accuracy versus speed:** Is it better to be approximately right and cover more ground or absolutely right on some details but risk failing to finish this work? What is at issue here is not sloppy guesswork but, especially in the case of forecasts, the need to arrive at a reasonably accurate answer quickly.
- **Materiality against summary:** Can any of the calculations or adjustments be grouped to save time? Will it matter? This does not mean lumping everything into one meaningless figure to be explained later in a rambling incomprehensible paragraph of 'notes', but instead it requires the judicious use of effective and understandable summarised workings for the key figures.
- **Original or substitute:** Will the output replace or build on information given – is there a template to follow in the AI? Is that template still the most appropriate format for the new workings? Can it be amended easily or should a new template be substituted? Alternatively, a template may be presented in spreadsheet form within the exam, in which case you will be expected to use this for your numerical work.

- **Explanation and impact:** What is the client's potential understanding of the issue in hand? Might the effect of any potential 'adjustments' be fundamental to the whole enterprise? In the candidate's report to the client, what level of detailed explanation of the techniques applied, and the resulting impact of the work conducted, will the candidate have to provide?

In the exam, candidates will be assessed on their ability to make these decisions and how they present them.

It is also safe for candidates to assume that, if the problem can be considered by adjusting some financial facts – whether by amending, including or excluding figures, which will have a numerical impact on the information under review – they should make those numerical adjustments and present the amended outcome accordingly.

Skills tip

Ilt is an important exam technique not to waste time reworking a whole financial schedule or statement (eg, forecast), or to perform an inordinately time-consuming calculation of dubious accuracy because it is an estimate. An example would be to adjust for a single estimated expense (eg, one month's depreciation) when the big impact is the associated PPE purchases figure, which has an overwhelming impact on the forecast statement of cash flows and future cash balance.

2.4 Interpretation of results and reconciliations

It is important to emphasise that working with the numbers does not stop with the calculations themselves. Indeed, that is just the beginning. The output, whether from an analytical technique or sensitivity analysis, needs to be explained to the reader of the report.

When interpreting results, all too often a candidate will try to describe what could be done rather than actually doing the work and then discussing the outcome(s). Attempting to describe a financial outcome without the adjusted numerical picture is a weak piece of financial data analysis. The presentation of the financial picture needs clarity to make a direct impact on the reader. It will also provide evidence of the candidate's real financial ability.

Candidates will need to answer the questions 'why?' and 'so what?' relating to the advice given.

Making financial decisions: conclusions and recommendations

All financial decisions that candidates present in their conclusions and recommendations must flow logically from the financial data analysis. They may need to put some reservations, provisos or parameters around the final decision, based on professional judgement applied to the analysis.

However, it is expected that any decision made would be an unambiguous conclusion indicating confidence in the candidate's own work, and developed into clear advice by way of recommendations.

Skills tip

Whatever the time pressure, candidates will receive no reward at all for recommending that sensitivity analysis should be performed' or that 'all numbers should be reviewed for accuracy and all estimates flexed'. Candidates should have done this themselves; by writing it as a recommendation, they are simply emphasising their error and therefore a real weakness in their work.

3 Using financial data analysis in the Case Study

It is extremely difficult to succeed in the Case Study without good financial data analytical skills. At the other ACA exam stages, the questions are often 'closed', meaning that there is a defined answer. In the Case Study, the exam requirements are more 'open', meaning that the examiners are assessing the approach that candidates adopt in their answer and their ability to use the data in a constructive way, and there will generally not be an absolutely 'right' or 'wrong' answer – within reason.

Just as it is possible to prepare material for financial statement analysis by analysing information in the Information relating to prior years, and to perform strategic analysis by identifying corporate strengths and weaknesses in context from the Information ahead of the exam, so the Information will include an indication of the sort of calculations likely to form the basis for financial data analysis in the exam.

In order to demonstrate that they can apply their skills appropriately in the context of the exam, candidates will have to:

- Choose the appropriate tools to analyse any financial data that they may be given in the exam.
- Provide a context for the data analysis that they carry out and the analytical tools they use.
- Exercise their judgement, particularly in terms of materiality, in selecting the relevant level of detail at which to conduct the analysis.
- Construct clear appendices based initially on the information supplied, including any information within pre-populated spreadsheets.
- Identify and evaluate all the assumptions underlying the information provided.
- Apply their professional scepticism to the provenance of the information supplied.
- Consider sensitivity analysis and, where appropriate, flex the numbers.
- Consider the business scenario and the wider context provided in the Information and any updates in the CS Exam – or from their own research – in order to provide depth and breadth to their analysis.
- Write a logical report using information from their financial appendix, together with clear explanations and logical analysis to demonstrate their financial fluency.

Candidates will be under pressure in the exam and have only limited time in which to do their analysis. Therefore, they will have to develop their skills so that they can perform any financial data analysis calculations speedily and with confidence to give themselves time to use the output in a constructive way.

Skills tip

The exam requirements frequently ask candidates to perform an evaluation (apply judgement – a crucial skill in this topic) using figures that they have prepared or amended themselves. Weaker candidates often appear reluctant to make a decision or recommendation based on their own calculation or assumptions. However, to succeed in this topic, candidates must give a clear decision. Provided that their decision is consistent with their analysis and evaluation, they will be given credit in the exam.

In the CS Exam, performing the required calculations meets only part of the requirement. Candidates will need to:

- **Provide a context for the analysis that they have conducted** – what is the reason for applying the technique used?

- **Exercise judgement** – consider any assumptions; are there any reservations; are the results appropriate for their specified use; has the wider business context been taken into account?
- **Develop conclusions and/or recommendations** – what do the results mean or what should the client do now?

Clear explanations are very important if they build on the underlying calculations, but they cannot be rewarded unless the calculations are appropriate and accurate. Therefore, a prerequisite for getting the best marks in this topic is a good working knowledge of all the analytical techniques, which candidates will be able to demonstrate in answering the requirement.

Good financial fluency is having the skill of conducting good financial data analysis and communicating that analysis in an appropriate form together with the judgements, conclusions and recommendations that follow. Demonstrating and presenting that 'fluency' is crucial in this section of the CS Exam.

To be successful in the CS Exam, candidates will need to carry out the following as part of their preparation:

- Identify in the Information any financial data and any other documents with a numerical impact.
- Analyse and assess the financial information provided in these documents.
- Ensure that they can understand and reproduce any calculations.

Then, in the exam, candidates will need to:

- Read the requirement carefully and answer only the aspects requested – but ensure that they answer all aspects.
- Carry out an assessment of the financial data provided in the CS Exam exhibits in order to identify both the correct analytical tools to be used and, where appropriate, the format for their calculation. If a pre-populated spreadsheet has been provided, this may include a template, in which case that is the format which candidates are expected to use. Alternatively, if it includes a set of data, that data must be analysed and referred to as necessary as part of their answer.
- Use the correct analytical tool(s) to perform the detailed calculations in an appendix.
- Do their initial calculation using the figures and other information given – they should not make any adjustments at this stage.
- Label or explain any of their calculations in the appendix, and set them out neatly and clearly.
- Step back and perform a sense-check on their calculations and numerical output.
- Bring the key information from the appendix into the relevant section of the report.
- Analyse the information logically and explain that analysis in the report.
- Evaluate their initial analysis and identify any critical factors.
- Use professional scepticism and a review of provenance of the information provided, especially where it comes from a variety of sources.
- Explain and critically evaluate all assumptions and apply judgement to the evaluation.
- Where deemed necessary, using sensitivity analysis, flex the numbers, reperform their calculation – and comment on the outcome.
- Make a decision and state their conclusions under a heading.
- Present any practical, commercial recommendations.
- Transfer key points to the Executive Summary.

4 Appendices: The House Pride Case

INFORMATION FOR FINANCIAL DATA ANALYSIS EXAM PRACTICE

This section comprises an abridged and updated Case Study which candidates should use in order to practise analysing Case Study information – particularly relating to financial data analysis (but it may also be used for financial statement analysis and ethics).

HOUSE PRIDE LIMITED (HP)

The following information is extensively adapted from the original ICAB Case Study Exam information. The case has been abridged for use in these Learning Materials to provide an example of financial data analysis and CS Exam requirements. This case scenario should be considered in the time context in which it is presented – July 2021.

This Case Study information should be studied and tackled in two stages:

First stage
Candidates should read, analyse and evaluate the Advance Information (Information), comprising Exhibits 1–14, as if it were the Information for a real Case Study.

As a minimum, candidates' analysis of the financial statements should follow the structure suggested in the Exercises following the Information in order that they are fully prepared for the subsequent exam.

Second stage
Candidates should attempt to answer the requirement in the CS Exam which follows the Information, taking **no longer than 1 hour 20 minutes** to complete it, including the preparation of any appendices and the relevant section of the Executive Summary. There is also an additional exercise involving pre- populated spreadsheets.

INFORMATION

HOUSE PRIDE LIMITED

List of exhibits

1 About you (Jules Wingate) and your employer (House Pride Limited)
2 The UK building supplies industry
3 The UK building supplies industry: Revenue and costs
4 House Pride (HP): An introduction
5 HP: Review of management accounts for the three years ended 30 June 2020
6 HP: Management accounts for the three years ended 30 June 2020
7 HP: Business operations
8 HP: Customer profiles
9 HP: IT systems
10 HP: Suppliers
11 HP: Risk tracker
12 HP: Strategic plan
13 The UK competition and markets environment
14 Recent media coverage

Exhibit 1

About you (Jules Wingate) and your employer (House Pride Limited)

You are Jules Wingate, a final-year trainee ICAB Chartered Accountant, working in the business advisory unit at Quiller, a firm of ICAB Chartered Accountants in the north-west of England. You are currently on secondment to House Pride Limited (HP), which is not otherwise a client of Quiller. HP supplies building materials and home improvement products to regional housebuilders, building contractors and tradespeople across the north-west of England. You report to HP's Finance Director, Amanda Ellis.

Your work at HP has included the following:

- Analysing HP's performance for variations and trends, especially by reference to its internal targets and industry norms, enabling the directors to identify items (both revenue and cost) requiring further attention
- Applying your numerical expertise to add value to your analysis of detailed financial and other data Using a range of information to advise HP on other financial and commercial aspects of its business
- Applying professional scepticism to financial and other data provided to you by third parties Preparing reports for management on strategic and operational proposals
- Evaluating the benefits and risks of new opportunities, including ethical and business trust concerns.

Exhibit 2

The UK building supplies industry

Overview

The UK building supplies industry is both large and diverse. The companies that sell building supplies are called "builders' merchants", generally referred to below simply as "merchants". They range from small, single-unit entities, through medium-sized businesses that cover one or more regions of the UK, to the large chain Travis Perkins, which generates annual revenue in excess of £6 billion and has hundreds of branches.

There have been numerous recent mergers and acquisitions, with more expected to follow in the short term. Some have come under the spotlight of the UK Competition and Markets Authority (CMA), which has also investigated anti-competitive pricing practices among companies in the construction sector (see **Exhibit 13).**

The role of the merchant

A typical merchant acts as an intermediary between manufacturers and users of products required for building or renovating properties, both domestic and commercial. Customers may be either personal or trade. Some merchants serve both personal and trade customers; others, only trade customers. Most trade customers are regional housebuilders, property developers and small-to- medium-sized building contractors, as well as ancillary tradespeople, eg, plumbers, decorators.

Trade customers generally receive more favourable terms than personal customers because they buy more often and in bulk. Managing relationships with major trade customers – and giving them a high- quality service, efficient delivery and competitive prices – is paramount.

Products and suppliers

Sales are made both physically and (a continually growing trend) online. Products sold by merchants include: basic construction materials, eg, bricks, cement, timber (wood); windows, doors and frames; small tools (eg, drills); and interior fittings and materials (eg, screws, paints,

tiles). The range can be huge, often amounting to several thousand lines. At any one time, merchants may be holding inventory worth several million pounds.

Inventory management is a key challenge. The availability of sophisticated technology is invaluable. Inventory control, pricing and ordering systems can ensure availability of the optimum breadth and depth of items. Merchants located near their customer base can deliver goods quickly, minimising inventory holdings and storage costs. Being situated close to road networks with reasonable parking capacity is also an advantage.

Capital investment and technology

Merchants need substantial storage and distribution facilities, customer access areas and showrooms. The initial capital outlay for each new site can be significant. This includes the cost of fixtures and fittings, security systems and IT.

Capital expenditure has been rising with more investment in technology. Technological innovation in the industry mainly involves advances that improve efficiency and cut costs, notably in supply chain management. Many merchants use Enterprise Resource Planning (ERP) – software packages that streamline business activities and processes. An ERP system collates structured data to aid the management of sales orders, finance, production, supply chain and customer relationships. This improves demand forecasting and inventory management, allows working capital to be used more productively and helps to avoid stockouts (caused by short-term demand fluctuations), which affect merchants' reputation and revenue. There are some specialist providers of ERP systems, which merchants can buy and install rather than developing their own.

The other main technological development is in e-commerce. This serves several roles: it offers an alternative, accessible and user-friendly channel for customers (especially at times when they cannot easily visit and browse around merchant premises); it counters the threat from manufacturers selling direct to contractors; and it reduces the need for large branches (there is instead a move towards central warehouses to support increased online shopping). In recent years, some businesses have emerged that sell only online.

To compete effectively, traditional merchants must use the latest web design tools to create eye- catching graphics, along with clear product descriptions and reviews, and to add value with interactive features. They also need to keep their systems up-to-date and secure.

Many merchants have begun to operate 'click-and-collect', a service allowing customers to buy products online and then collect them from a local branch. This can help to reduce distribution costs, shorten lead times and improve inventory turnover.

Exhibit 3

The UK building supplies industry: Revenue and costs

Revenue and the market environment

The prosperity or otherwise of merchants depends directly on trends in construction and home improvement – sectors that are representative of the wider economy. These can benefit from short- term boosts, such as new legislation giving generous incentives to property buyers. The growing emphasis on sustainability and energy efficiency creates additional demand. Weather can also determine when building or renovation work occurs.

In general, the UK construction industry has been relatively unaffected by the downturn: both housebuilding and home improvements have carried on. Some parts of the UK (eg, the north-west of England) have fared better than others, with steady growth in construction activity.

Purchase of goods

The purchase of goods for sale is by far the largest expense for merchants, typically amounting to around 70% of revenue. Some products may be more successful in one year than another, for a variety of reasons (eg, timber sells well if there is a demand for garden fencing replacements after a storm).

Staffing

The quality of the workforce is vital in an industry where repeat business, long-term relationships and loyalty are heavily reliant on high-quality customer service and staff who are polite and knowledgeable (not easy with so many products on the market). Payroll costs for customer-facing staff typically represent around 15% of revenue. Most employees are engaged in manual tasks, some of which are gradually becoming redundant because of the growing automation of warehousing and other systems.

Transport and distribution

Another important cost is transport and distribution. Some merchants undertake these activities in- house, while others outsource them to specialist contractors. With the increase in online sales and a reduction in sales made by customers visiting merchants' premises, distribution has become even more critical. Builders and contractors need and expect fast delivery, and this will often be a key determinant when selecting a merchant.

Exhibit 4

House Pride (HP): An introduction

Based in Warrington in the north-west of England, HP is one of the oldest and largest merchants in the region. HP's product range today comprises thousands of separate product lines. At the outset (1997), HP had a single branch, in Warrington. It now has eight, of roughly equal size, spread strategically across the four main areas of the north-west: Lancashire, Merseyside, Greater Manchester and Cheshire (see map below).



HP is a purely business-to-business (B2B) company, serving a wide range of trade customers in two divisions: (1) regional housebuilders (RH); and (2) building contractors and tradespeople (BCT). All are located in the north-west of England. Some are regional sections of larger national companies.

For management accounts purposes, the results are segmented into these two divisions. RH currently generates approximately 80% of revenue. HP does not sell direct to personal customers.

Sales in both divisions are made through two channels: online (which is growing fast) and at branches. Products are sold at the same prices (before any discounts) regardless of the sales channel. Some sales go through HP's click-and-collect facility, a relatively new service in which orders made online are left for collection at a nominated branch. For management accounts purposes, branch revenue represents simply physical sales made at the branches; click-and-collect is treated as part of online and not attributed to the individual branch from which the goods are collected, but it is intended that this will change once all branches have been adapted for click-and-collect facilities.

Online sales tend to be at a higher gross margin than branch sales because staffing requirements are lower. However, with some employees being involved in both branch and online (including click-and- collect) sales, it is not straightforward to allocate staffing costs across the two channels, and for that reason there is no analysis of cost of sales by channel in the management accounts.

Distribution costs also vary between the two channels. For branch transactions that are smaller in value and/or volume, the customer transports the goods; but for larger purchases, the customer arranges for delivery (see **Exhibit 7).** For standard online sales (ie, other than click-and-collect), the goods always have to be delivered to a specified location.

Branches

The branches, other than Warrington, are as follows (the head office, together with a large warehouse, is situated on the Warrington branch site).

Branch	Opening date
Preston	1 July 1999
Bury	1 January 2002
Blackburn	1 January 2006
Burnley	1 July 2010
Wigan	1 July 2014
Bolton	1 January 2016
Manchester	1 July 2017
Liverpool	1 January 2019

Thus branches have opened gradually. Bury was closed on 31 December 2016 after a prolonged spell of poor trading. Its performance never fully recovered from a fire in 2013. At the time of closure, HP transferred inventory to other branches, as well as items of property, plant and equipment (PPE) that were movable and still usable. Where this was not possible, it disposed of the PPE for zero proceeds and sold the inventory for 50% of its normal sale price. Staff were redeployed to other branches or to head office. Net closure costs for the Bury branch, including a loss of £40,000 on the PPE, were £100,000.

HP had planned to open two new sites (Chorley and Blackpool) in the year to 30 June 2020, but these plans are currently on hold because of uncertainty about general trading conditions.

Revenue from each branch has been as follows:

Year ended 30 June	2020	2019	2018	2017
	£000	£000	£000	£000
Warrington	2,970	3,021	2,855	2,831
Preston	2,457	2,491	2,336	2,259
Bury	–	–	–	653
Blackburn	3,168	3,399	3,179	2,937
Burnley	2,860	3,071	2,808	2,661
Wigan	2,101	2,249	2,026	2,073
Bolton	2,565	2,686	2,421	2,158
Manchester	2,513	2,594	2,072	-
Liverpool	1,845	973	–	-
	20,479	**20,484**	**17,697**	**15,572**

The board

The board comprises:

- Emily Hanwell – CEO
- Amanda Ellis – Finance Director
- Ross Connor – Sales and Marketing Director
- Wei Li – Purchasing and Inventory Director
- Hans Ritz – IT Director

Exhibit 5:

HP: Review of management accounts for the three years ended 30 June 2020 (prepared by Amanda Ellis, July 2020)

In general, revenue and profits have been impacted by several significant issues over the period under review: branch openings and refurbishments; the growth of e-commerce; and, more recently, the effects of an economic downturn. Our key measure, average branch revenue per month, calculated as total branch revenue / (number of branches x total number of months open), has risen steadily over the period. The commentary below highlights, where relevant, key factors affecting the results of individual branches.

	2020	2019	2018	2017
Average branch revenue per month (£000)	238.1	232.8	210.7	199.6

Year ended 30 June 2018 (2018)

Revenue was up by 21.4%, well on the way to our June 2019 target (£25 million). BCT was up by just over £1 million (24%) to almost £5.4 million – largely from the launch of our online platform for BCT after its successful set-up for RH customers. With excellent progress in both branch and online sales, RH also increased revenue by more than 20%. A major new customer, Elevant (a fast-growing housebuilder), added over £1 million to our revenue, spread across several branches, with the promise of a steady stream of work in the years ahead.

Manchester branch achieved promising sales (just over £2 million) in its first 12 months. Benefiting from the new arrangement with Elevant, Bolton achieved the highest growth rate among the established branches.

As a result, average branch revenue per month rose by more than 5% to exceed £200,000 for the first time. However, gross margin fell slightly. There were three main causes:

- pricing strategies and promotions designed to enable HP to compete effectively;
- higher costs of purchases from some suppliers; and
- the large number of staff recruited to ensure a strong start at Manchester branch.

HP managed other costs effectively: the ratios of distribution costs and administrative expenses to revenue fell slightly, to 5.7% and 11.4% respectively, taking operating profit up by nearly 50% to £377,000. Our goal is to reduce both ratios as we strive to make our operations more efficient.

We strengthened central credit control and built up inventory across all branches to combat materials shortages. We began to replace older delivery vehicles with more environmentally friendly models.

Year ended 30 June 2019 (2019)
Revenue was up by 18.6% to £27.7 million. The new target is £30 million by 30 June 2020. Growth came in both RH and BCT, both branch and online. With Manchester doing particularly well in its second year, we launched another new branch (Liverpool). We saw a further strong increase in 'average branch revenue per month':

- Liverpool added almost £1 million to revenue in the six months after opening.
- Wigan branch, which had experienced a slight decline in the previous year, recovered well. The steps we took, to strengthen the management team and to enhance control of inventory, produced rapid results.

We gained some sizable new BCT business. Within RH, we continued to benefit from the growth in new housebuilding projects by Elevant as well as some new projects by more established customers.

Gross profit margin rose by a percentage point, to 19.7%. With the significant revenue growth, absolute gross profit rose by more than £1 million to £5.5 million. The online expansion across both divisions has undoubtedly introduced greater efficiencies. The overall increase in scale has also helped us to secure better supplier terms.

Distribution costs rose by around £0.5 million to £1.8 million (6.6% of revenue), owing to a larger number of smaller orders.

We initiated our ERP project to upgrade our IT systems – viewed as essential for supporting the management and expected growth of the business.

With some branches starting to look shabby, we began a rolling refurbishment programme at the two oldest: Warrington and Preston. Part of this involved setting up click-and-collect facilities. The combined capital cost of the upgrades was £150,000. The branches were closed for a brief period (one month), at a quiet time of year (January). We gave notice of closure, enabling us to redirect customers and transfer inventory temporarily to other branches and to rearrange deliveries as necessary to keep disruption and lost business to a minimum.

These various areas of higher spending increased administrative expenses (including depreciation) to just over £3 million, but we still managed to achieve strong growth in operating profit.

Year ended 30 June 2020 (2020)

The nine months to 31 March 2020 saw an influx of new RH and BCT customers, with strong revenue growth from some existing customers. We were appointed sole supplier of building products to Wrights, a local builder of serviced offices. From appointment to 30 June, Wrights generated £800,000 of revenue.

With a full impact from last year's new opening (Liverpool) and upgrades (Warrington, Preston), and the next two upgrades (Blackburn, Burnley) – both closed for the month of January 2020 at a capital cost of £120,000, with minimal loss of business to HP overall – we seemed well on course for the £30 million revenue target. In particular, with click-and-collect now available from four branches, online revenue was growing strongly.

However, the final quarter of the year was affected by the economic downturn. We closed all branches for the month of June, reopening them on 1 July. Customers continued to make online purchases during the closure. As a result, the overall decline was less than expected. Fortunately, we had a pipeline of advance orders and major construction projects continued while businesses in other sectors suffered very badly.

Many staff had to be re-trained in different roles, notably e-commerce support, and had to work remotely – a situation that we expect to continue. Where necessary, we paid for them to have suitable IT facilities at home.

Our new inventory management system, with fewer stockouts, added £450,000 to revenue, less than anticipated but still good. Becoming aware that our online sales systems were slower and less efficient than competitors', we made some small enhancements to cope with higher volumes of online trade – a temporary measure: more investment would be needed in the future. We estimate lost revenue of around £600,000 in the year through online systems issues.

As a result of these events, branch revenue was virtually unchanged from 2019 but online sales grew by 25%, so total revenue was still impressive at £29.6 million. However, while RH managed almost a 10% year-on-year revenue increase, BCT's fell by 4.2%, partly reflecting a brief pause in small-scale refurbishment work by homeowners. With two branches open for 10 months and six for 11 months (a total of 86 months), average branch revenue per month was up only slightly for the year. All branches – except Liverpool, open for only half of the previous year – suffered an absolute drop in revenue, from 1.4% (Preston) to 6.9% (Burnley).

The disruption involved in finding new ways to work affected GP%, which fell to 19.1% – still respectable. The shift towards online sales also caused relative increases in distribution and administrative expenses, partly offset by savings from the new ERP system. At the start of the year, we launched an incentive scheme for branch, warehouse and e-commerce staff: the total payment under this scheme was £80,000.

As a result of our reduced capital expenditure in the year, and despite the challenges we faced, we reported a positive cash flow, enabling us to clear our overdraft.

Exhibit 6:

HP: Management accounts for the three years ended 30 June 2020

Statement of profit or loss for years ended 30 June

	Notes	2020	2019	2018
		£000	£000	£000
Revenue	**1**	**232.8**	**27,744**	**23,394**
Cost of sales	1	(23,895)	(22,279)	(19,021)
Gross profit	**2**	**5,659**	**5,465**	**4,373**
Distribution costs		(2,070)	(1,825)	(1,337)
Administrative expenses	2	(3,326)	(3,016)	(2,659)
Operating profit		**263**	**624**	**377**
Net finance income/(expense)		6	(17)	(20)
Profit before taxation		**269**	**607**	**357**
Income tax		(51)	(51)	(68)
Profit for the year		**218**	**492**	**289**
Statement of financial position at 30 June				
Non-current assets				
Property, plant and equipment (PPE)	3	4,342	4,561	4,062
		4,342	4,561	4,062
Current assets		**2,020**	**1,861**	**1,591**
Inventories	4	3,343	3,047	2,645
Trade and other receivables	5	227	10	10
Cash and cash equivalents		5,590	4,918	4,246
		9,932	9,479	8,308
TOTAL ASSETS				
Equity				
Ordinary shares		90	90	90
Retained earnings		5,441	5,223	4,731
		5,531	5,313	4,821
Current liabilities				
Trade and other payables	6	4,350	4,051	3,419
Taxation		51	115	68
		4,401	4,166	3,487
TOTAL EQUITY AND LIABILITIES		**9,932**	**9,479**	**8,308**

Statement of cash flows for years ended 30 June

	2020	2019	2018
	£000	£000	£000
Cash flows from operating activities			
Profit before taxation	269	607	607
Adjustments for:	5,659	5,465	4,373
Depreciation			
Loss on disposal of PPE	537	565	525
Finance (income)/expense	–	6	18
	(6)	17	20
	800	1,195	920
Change in inventories	(159)	(270)	(238)
Change in trade and other receivables	(296)	(402)	(25)
Change in trade and other payables	565	664	291
	910	1,187	948
Income tax paid	115	(68)	(34)
Net cash generated from operating activities	**795**	**1,119**	**914**
Cash flows from investing activities			
Acquisition of PPE	(318)	(1,085)	(360)
Proceeds from disposal of PPE	-	15	10
Interest received/(paid)	6	(17)	(20)
Net cash generated from investing activities	**(312)**	**(1,087)**	**(370)**
Cash flows from financing activities	**-**	**-**	**-**
Net change in cash and cash equivalents	**483**	**32**	**544**
Cash and cash equivalents at start of period	**(256)**	**(288)**	**(832)**
Cash and cash equivalents at end of period	**227**	**(256)**	**(256)**

Notes to the management accounts

Notes

1 Revenue, cost of sales and gross profit

	2020	2019	2018
	£000	£000	£000
Revenue			
RH	15,535	14,834	12,814
Branch	7,633	6,241	5,222
Online	**23,168**	**21,075**	**18,036**
BCT			
Branch	4,944	5,650	4,883
Online	1,442	1,019	475
	6,386	**6,669**	**5,358**
Total			
Branch	20,479	20,484	17,697
Online	9,075	7,260	5,697
	29,554	**27,744**	**23,394**
Cost of sales			
RH	19,493	17,681	15,298
BCT	4,402	4,598	3,723
	23,895	**22,279**	**19,021**
Gross profit			
RH	3,675	3,394	2,738
BCT	1,984	2,071	1,635
	5,659	**5,465**	**4,373**

Cost of sales comprises:

	2020	2019	2018
	£000	£000	£000
Goods and materials	19,762	18,575	15,672
Wages and salaries	4,133	3,704	3,349
	23,895	**22,279**	**19,021**

Goods and materials' includes impairment allowances against inventories (see note 4). Wages and salaries relate to customer-facing staff, based in branches, the warehouse and e-commerce operations.

2 Administrative expenses

	2020	2019	2018
	£000	£000	£000
Personnel	1,418	1,208	925
IT, premises, depreciation and other	1,619	1,558	1,511
Marketing and advertising	289	250	223
	3,326	**3,016**	**2,659**

Personnel' includes the directors' salaries and related costs: 2018 – £446,000; 2019 – £601,000; 2020 – £694,000. 'Other' includes impairment allowances against trade receivables (see note 5).

3 Property, plant and equipment (PPE)

	Land, buildings, plant, machinery, fixtures, fittings and equipment	Motor vehicles	TOTAL
	£000	£000	£000
Cost			
At 1 July 2017	3,646	1,892	**5,538**
Additions	74	286	**360**
Disposals	(30)	(137)	**(167)**
At 1 July 2018	3,690	2,041	**5,731**
Additions	806	279	**1,085**
Disposals	(46)	(115)	**(161)**
At 1 July 2019	4,450	2,205	**6,655**
Additions	217	101	**318**
Disposals	(18)	-	**(18)**
At 1 July 2020	4,649	2,306	**6,955**
Depreciation			
At 1 July 2017	646	637	**1,283**
Charge for the year	246	279	**525**
On disposals	(30)	(109)	**(139)**
At 1 July 2017	862	807	**1,669**
Charge for the year	262	303	**565**
On disposals	(25)	(115)	**(140)**
At 1 July 2019	1,099	995	**2,094**
Charge for the year	275	262	**537**
On disposals	(18)	–	**(18)**
At 1 July 2020	(18)	1,257	**2,613**
Carrying amount			
At 1 July 2017	3,000	1,255	**4,255**
At 1 July 2018	2,828	1,234	**4,062**
At 1 July 2019	3,351	1,210	**4,561**
At 1 July 2020	3,293	1,049	**4,342**

4 Inventories

Inventories are carried at the lower of cost and net realisable value. Where necessary, an allowance is made for obsolescence and slow-moving items. Allowances have been recognised as part of goods and materials within cost of sales as follows: 2018 – £106,000; 2019 – £121,000; 2020 – £135,000.

5 Trade and other receivables

	2020	2019	2018
	£000	£000	£000
Trade receivables	3,009	2,723	2,310
Other receivables and prepayments	334	2,723	335
	3,343	**3,047**	**2,645**

Trade receivables are stated after impairments for amounts considered irrecoverable. Impairment charges recognised in administrative expenses are: 2018 – £53,000; 2019 – £44,000; 2020 – £31,000.

6 Trade and other payables

	2020	2019	2018
	£000	£000	£000
Bank overdraft	-	266	298
Trade payables	3,583	3,128	2,561
Other payables and accruals	767	3,128	560
	4,350	**4,051**	**3,419**

Exhibit 7

HP: Business operations

Overview

HP prides itself on selling quality products at competitive prices, supported by experienced staff. Although sales take place through the year, there are seasonal patterns. In a typical financial year, around half of all sales are made in the last four months (March to June), the time when most housebuilding and refurbishments are started. However, other factors can also affect sales trends, such as weather; government announcements about new incentives; and the general economic situation.

Products

HP sells all products typically sold by merchants. At any one time, HP holds a significant amount of inventory, spread across its branches and its Warrington head office warehouse.

Wei Li, Purchasing and Inventory Director, oversees a small team (buyers, analysts and administrators) who keep records of all products sold, with details of sales by value and volume each month and inventory levels. The buyers work closely together and with Wei Li to obtain the best possible prices from suppliers.

Customers

Under Ross Connor's overall supervision, there is a small, dedicated team responsible for each division: Head of RH is Bill Travers and Head of BCT is Des O'Reilly. Each team consists of a group of account managers and administrators who work closely together in winning new business from both existing and new customers. They also liaise with Wei Li's team so that they are aware of the latest products available.

The company strives at all times to achieve excellent customer service. The new ERP system (see **Exhibit 9)** should enable further improvements.

All major customers (most of whom are in the RH division) have a named HP Account Manager, who is the point of contact for all aspects of trading. HP can provide monthly or quarterly updates on customer spend and breakdowns of spend by specific products or by product group.

HP's branch staff have expertise in many areas and are always available with technical advice on the use of products, whether at the branch, by phone or through the website.

Branch operations

All branches are situated in industrial parks, alongside other large enterprises such as Ridley Plumbing. Each branch has a team of around 15 staff, led by a Branch Manager and Branch Assistant Manager.

Online sales operations

HP has gradually developed its e-commerce systems over the past few years, but knows that they will need upgrading to meet the continuing growth of online sales and to compete effectively. Around 50% of IT outages (see **Exhibit 9**) in the year to 30 June 2020 (2019: 20%) related to e-commerce, each potentially representing lost sales, disappointed customers and social media messages deterring other customers. HP estimates that it lost £600,000 revenue from e-commerce outages in the year, as well as increased exposure to data breaches.

The online platform was at first available only to RH customers, but after its initial success it was extended to BCT customers from 1 July 2017. Recently, click-and-collect facilities have been introduced at some branches: when ordering goods online, customers can arrange to collect them from a chosen branch for no charge. This has proved a popular initiative. For all online sales, including click-and-collect, the goods are taken from inventory at the Warrington warehouse rather than from storage at the branch from which they are being collected.

Distribution

Because of the nature of the products and the quantities in which they are bought, the vast majority are delivered to customers' own premises or direct to construction sites. However, with the rise in click-and-collect, a larger proportion of sales are now being physically transported by customers from branches.

HP needs to have a large, flexible and reliable fleet of vehicles for transportation and delivery, as well as a team of qualified drivers. Distribution costs in the management accounts comprise packaging plus the running costs of vehicles (primarily fuel), repairs and drivers' wages. Running costs are a function of the numbers, sizes and destinations of deliveries; and hence they vary according to the mix between branch and online sales and, within the latter, the level of click-and-collect sales.

The proportion of deliveries made on time has been rising: 2018 – 91%; 2019 – 92%; 2020 – 94% (target: 95%). HP is reviewing the free delivery threshold (currently £100), believing that the attraction to customers is outweighed by the cost to the company.

Staff

Staff development and retention are key. Through a twice-yearly appraisal process, managers assess the needs of employees to identify training requirements and unrealised potential.

HP offers a clear promotion structure rewarding exceptional performance. Most branch managers have been promoted internally, while others have moved from rivals where the pay and working conditions were inferior to those of HP.

Pricing and payment arrangements

As a result of the different discount arrangements (see below) for the two sets of customers, HP earns a significantly higher gross profit margin from BCT customers than it does from RH customers. Credit terms of 30 days are typically given to all customers in both divisions, whether buying at a branch or online, but these terms can be varied in exceptional cases.

RH

Although RH customers are relatively small in number, their annual spend with HP is high: between them they provide around 80% of HP's revenue. They pay 'trade prices' for all purchases, ie, they receive a 10% discount on all prices advertised at branches and on HP's website, regardless of the volume and value of transactions in a given period. RH customers undergo rigorous acceptance procedures to qualify for these terms.

BCT

HP operates a loyalty scheme for BCT customers, entitling them to a 5% discount on all prices advertised at branches for all products when they spend a minimum amount each month, whether at a branch or online.

Health and safety and the environment

The safety of its staff, customers and visitors is paramount. HP has a detailed Health and Safety Policy.

It seeks to comply with environmental regulations and best practice in all areas of the business, for example:

- Products considered potentially hazardous are stored safely.
- Before HP acquires new premises for conversion to a branch, or when it upgrades any branch, it consults external specialists and representatives from the community about the impact on the local environment. This covers such issues as noise, parking and general disruption to other traffic.

Marketing and advertising

HP uses social media, local radio, television and trade publications to promote itself and especially its branch network. Towards the end of the year to 30 June 2020, it began to benefit from reduced advertising rates being introduced by broadcasters. Marketing costs also include HP's annual subscriptions to several trade bodies.

Exhibit 8

HP: Customer profiles

Set out below are details of some of HP's customers and an overview of the work undertaken for them.

Elevant (housebuilder)

Elevant has built several hundred new homes in the north-west of England since its formation in 2018. It has a reputation for innovative, sustainable design of properties that make best use of the space, as well as high-quality construction.

Elevant selected HP as one of several suppliers for building products and materials. HP has so far earned over £1 million annually in revenue from Elevant.

Wrights (builder and facilities manager for serviced offices)

At the end of September 2019, HP was appointed sole supplier of building products to Wrights, a builder and manager of serviced offices in the north-west of England, following the bankruptcy of its previous sole supplier, Brickbuild. (Serviced offices are offices that are fully equipped and run by a facilities management company, which then rents out individual offices or floors to other companies for short periods.)

HP's RH division earned £0.8 million of revenue from Wrights in the nine months to June 2020. A general reduction throughout the UK in the number of people travelling to offices and a corresponding increase in those working from home (WFH) could reduce the future level of work from Wrights.

Orko (builder of care homes in the north-west)

Orko has built a number of care homes in the north-west, and for each it has engaged HP as one of its main suppliers, responsible for bricks, cement, wood and other construction materials, windows and doors. Orko has used other suppliers for other items such as sanitaryware and heating supplies (mainly from Ridley Plumbing), as well as bedroom, lounge and kitchen furniture and appliances.

Members of NWFT (North-West Federated Tradespeople)

Over half of its BCT business comes from members of the NWFT, a group of tradespeople in the region involved in renovating and refurbishing properties, both residential and commercial.

Membership of NWFT entitles tradespeople to a listing on a register of Trusted Local Traders (TLT) – a valuable marketing tool. Those listed are allowed to carry a TLT logo on their publicity material and other documents.

Exhibit 9

HP: IT systems (March 2021)

HP relies heavily on IT across its business. It uses a range of systems and applications. Some are becoming dated, as shown by the number of outages (faults causing a service breakdown) that HP has been experiencing, up from 77 in 2018 (year to 30 June) to 139 in 2019 and 273 in 2020 – high for a merchant of HP's size.

In 2019, HP began a three-phase Enterprise Resource Planning (ERP) project - an integrated platform on which information can be shared and acted on quickly for the benefit of all. This project is being led by IT Director, Hans Ritz, who joined HP on 1 July 2018 after seven years working for a large national housebuilder. Each phase will be the subject of a separate bidding process: HP will not necessarily use the same supplier for every phase.

The main feature of Phase 1 has been a new inventory management system. There was a parallel run of one month before it went live so HP could be satisfied that it was working fully and resolve any initial problems.

Phase 2 is scheduled to start after 30 June 2021 and to be completed by 30 June 2022 (the end of the three-year term for Phase 1). It will be followed by Phase 3, to be completed by 30 June 2023.

The main part of Phase 2 will be a new website and e-commerce facility with enhanced functionality, building on the click-and-collect facility that HP has introduced at some branches. Phase 2 will significantly reduce administration, give better management information and boost sales. Phases 2 and 3 will also incorporate:

- A complete CRM (customer relationship management) system, accessible by all HP sales / accounts staff.

- A new accounting system, linked to the inventory management and CRM systems and supplier platform.

Decision-making and post-implementation review

Before carrying out a major IT investment, HP follows a series of steps, as agreed by the board:

(a) Set up internal project team from a range of commercial, operational and support functions

(b) Consider scope and timetable for development and implementation, including testing (with pilots on a small sample of accounts where applicable) and parallel running

(c) Determine budget (both initial capital investment and ongoing annual expenditure)

(d) Agree specification for presenting to suppliers

(e) Seek potential suppliers (two or, preferably, three quotes), ensuring that they can offer round-the-clock maintenance and can make any required post-implementation changes at an agreed price

(f) Review quotes and make selection using a blend of financial and non-financial criteria

(g) Communicate launch date to relevant staff and other stakeholders and carry out hands-on training

(h) Undertake ongoing post-implementation reviews, seeking feedback from users and making changes as and when required.

Step 6 initially comprises an assessment of expected incremental profits, which are then considered alongside other relevant factors. When HP undertook Phase 1, Hans Ritz researched the market carefully. He looked at a range of IT suppliers (vendors). He knew some from his previous jobs and identified others from reviews in trade publications or speaking to counterparts at other merchants.

He narrowed the choice and obtained three quotes. The planned launch date in all three cases was 1 July 2019, with the opportunity to renew on 1 July 2022. Albion proposed a parallel run of two months; Grossmark, one month; and Zenith, three months.

	Albion	Grossmark	Zenith
	£000	£000	£000
Supplier quote: capital costs (hardware & software)	240	225	180
Supplier quote: annual maintenance & IT support costs (each of Years 1–3)	30	45	60
HP estimate: additional annual revenue			
• Year 1 (to 30 June 2020)	550	600	500
• Year 2 (to 30 June 2021)	800	900	750
• Year 3 (to 30 June 2022)	1,000	1,200	900
HP estimate: saving in other annual operating costs (each of Years 1–3)	80	60	120

The additional revenue and annual operating cost savings were by reference to expected results for the year ended 30 June 2019. The capital costs were to be written off over the three-year term to renewal.

On the figures provided, and using 20% as an approximation to gross profit margin (as the June 2019 management accounts had not yet been finalised) and 6% of revenue as an approximation to delivery costs, the expected incremental operating profits were:

	Albion	Grossmark	Zenith
	£000	£000	£000
Year 1	47	24	70
Year 2	82	66	105
Year 3	110	108	126
TOTAL	239	198	301

Hans chose Grossmark because, although it was expected to generate the lowest profits, it best met HP's requirements and overall it offered more certainty. The key factors considered were:

- Hans did not feel that Albion had the requisite expertise for HP's needs. The combination of a high capital cost and low running costs suggested that (consistent with media reports that it was in financial difficulties) Albion was mainly interested in generating cash quickly – it asked for 90% of the capital cost to be paid upfront – and that it might not offer the necessary day-to-day support after installation. The capital cost also included items that had not been in HP's specification and which HP did not require. While these could be removed, thus reducing the cost, their inclusion was a sign that Albion might not be responsive to HP's demands as the project progressed.
- Hans had no previous experience with Grossmark, but he was impressed with the knowledge of its staff and their flexibility to change the design if needed. Their knowledge also gave him the reassurance that a one-month parallel run would be sufficient and would minimise disruption. The system was also more intuitive and would involve less staff training. The estimate of additional revenue was higher than for the other two bidders because he believed that the system design was more conducive to improved performance. This was offset by the fact that there would be no change in the level of administrative support, so the annual cost saving was less than for Albion and Zenith. If the trend of additional revenue were maintained, the benefit would continue after the initial period.
- Although Zenith's capital bid was the cheapest, the ongoing costs were higher, so the net financial benefit was reduced. The profit advantage was not felt to be significant enough, and there were also uncertainties about whether the quote included all relevant items. From conversations with industry colleagues during the evaluation process, Hans had heard that Zenith installations often involved 'hidden' costs. The proposed three-month parallel run also signalled that Zenith was not confident about the smooth running of its installation. The saving in annual costs was based on Zenith's assertion that the headcount could be reduced: it was not clear how this would be achieved, and in any case HP was reluctant to lose staff.

This process was helpful, ensuring the smooth running of Phase 1 since launch. Actual implementation cost was exactly as in the successful quote, as was the annual maintenance invoice, and costs of changes since launch have all been as stated in the signed agreement. However, there have been problems with maintenance: Grossmark has not always been able to attend to requests in the specified two-hour window, giving 'staffing issues' as an excuse several times. Also, the additional revenue has been lower than estimated: Hans estimates £450,000 for the year to 30 June 2020 but recognises that this is not an exact science as revenue increases result from a combination of factors that cannot always be easily distinguished. However, cost savings have been higher than expected, with a fall in the amount of paid overtime and in phone calls.

Security

Data protection and systems security are vital elements of the IT strategy. With the growth in online sales, together with the expansion and increased complexity of HP's systems, they have become even more critical.

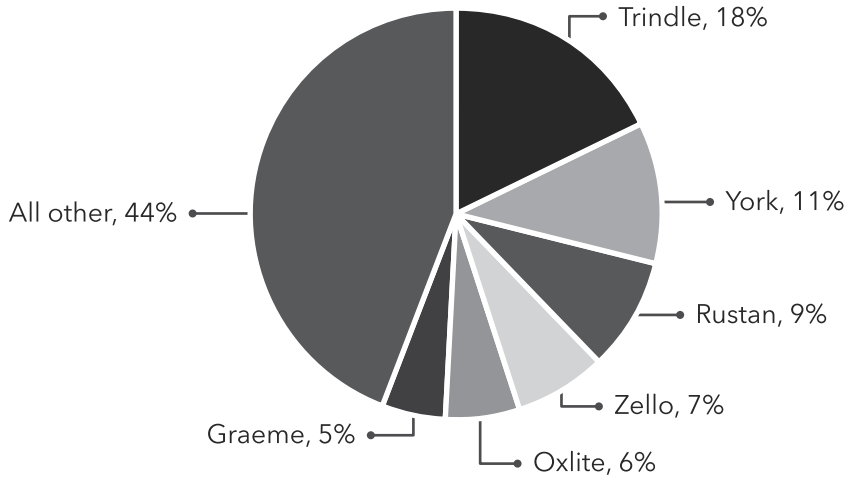
Exhibit 10

HP: Suppliers

The main items that HP buys are the products that it sells to its customers. HP sources these from a wide range of suppliers, all located in the UK but not all in the north-west. The number of suppliers partly reflects the number of lines sold by HP: for some products, such as bricks and cement, it has only two or three suppliers.

Some suppliers provide over £1 million of goods to HP in a year. Before taking on any larger suppliers, HP's head office team carry out due diligence to ensure that they are financially stable, treat their employees fairly and can supply the goods required by HP on the agreed terms, and that the goods meet the most rigorous quality and safety standards. The due diligence also covers sustainability, in relation to: products supplied; energy efficiency in the production process; and method of delivery to HP.

Share of product purchases by supplier 2020

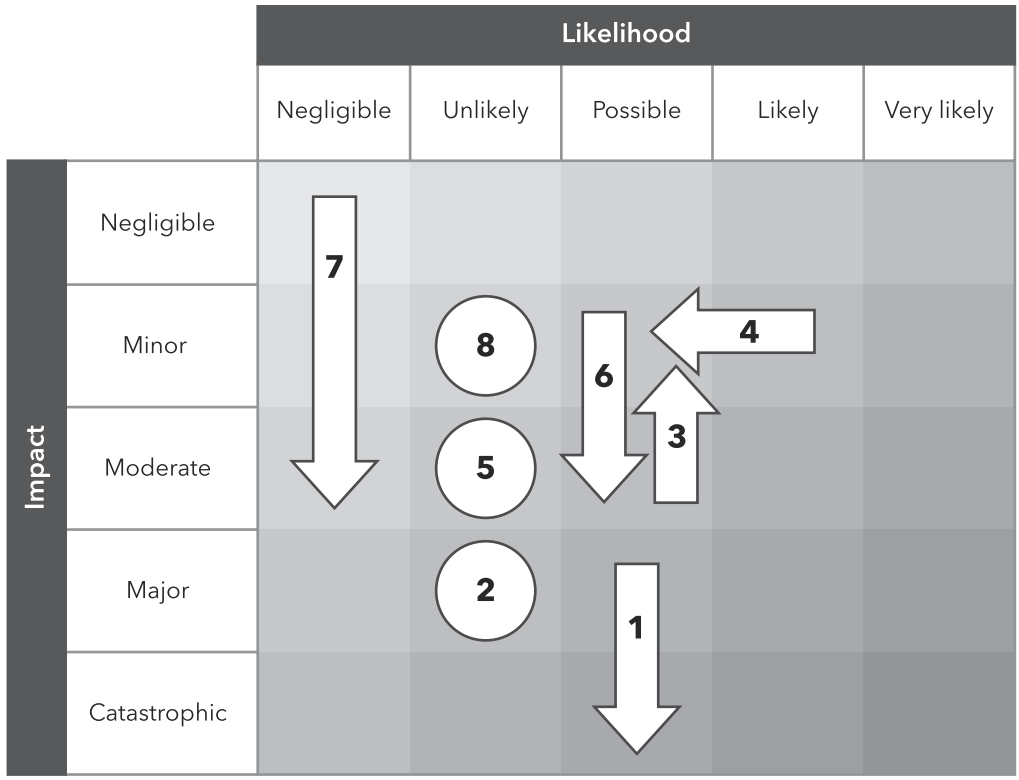


Many of the goods supplied by HP are derived from natural substances such as oil and timber. The prices of these commodities fluctuate and, as a result, the prices that HP pays for its goods can sometimes increase without warning. It is often not possible for HP to pass on such increases to customers, and this inevitably reduces profit margins.

Exhibit 11

HP: Risk tracker (prepared by the HP board, reviewed July 2020)

HP operates in an industry which, by its nature, faces numerous risks. These risks (and their severity) inevitably change over time. Twice each year, the board evaluates them and then plots them on a risk tracker diagram. The version below reflects the updated ratings assigned in July 2020. The eight identified risks, numbered according to the grid that follows, are shown in arrows or circles: arrows indicate the change in assessment since the previous review (January 2020); circles indicate no change.



Risk	Description/implication(s)	Mitigation/contingency
Risk 1: Adverse market conditions	HP is affected by house price inflation; activity in construction, renovation and home-buying; consumer confidence; and variations in weather.	HP has shown that it can adapt to changes in market conditions. Its risk is also limited by its wide ranges of customer and products.
Risk 2: Competition	HP has shown that it can adapt to changes in market conditions. Its risk is also limited by its wide ranges of customer and products.	HP's varied customer base and competitive pricing (with trade discounts) reduce risk. HP monitors trends so that it can adapt its strategy, eg, by expanding its online offering.
Risk 3: Negative liquidity and cash flow	If revenue declines, customers struggle to pay, supplier terms tighten, inventory becomes unsaleable or major capital investment is required, HP may not have funds available without expensive finance.	To maintain liquidity, HP monitors day-to-day needs and has a flexible overdraft. Its bank would allow it to extend funding in case of an emergency. The overdraft cleared by June 2020.

Risk 4: Loss of major customer	The loss of a large customer would have a direct impact on earnings potential. It would be hard to replace them quickly. HP has suffered no major significant customer losses in recent years.	No single customer contributes more than 5% of revenue. Relationships with all major customers are strong. HP maintains close contact at board level, enabling early identification of any issues. It regularly monitors credit status of key customers.
Risk 5: Loss of major supplier	HP's business depends crucially on the regular availability of certain product lines. Any shortages would be hard to rectify.	These products are sourced from several high- volume suppliers, giving flexibility and reducing exposure. HP monitors the financial status of all major suppliers.
Risk 6: Cybersecurity and data protection (DP)	A cyber-attack could impact day-to-day operations, HP's profits, reputation and customer relationships. A large number of small-scale outages could collectively create disruption or the loss of credibility among customers.	A large number of small-scale outages could collectively create disruption or the loss of credibility among customers. Outages are monitored. The ongoing ERP project is designed to eliminate them as far as possible.
Risk 7: Health and safety (H&S)	Failure to maintain safe work sites could expose HP to major financial loss and/or legal liabilities, with a material adverse effect on prospects and reputation.	HP manages this risk and monitors potential changes in the law and regulations through its Health and Safety Manager, who overseestraining in and compliance with its H&S Policy.
Risk 8: Slow-moving, damaged or obsolete inventory	If a product ceases to be in demand among HP's customers, impairment charges may be needed in the accounts affecting financial performance	HP aims to: sell products relevant to its target markets; maintain suitable inventory levels; and store products safely. It also monitors competitor activity.

Exhibit 12

HP: Strategic plan (prepared by the HP board, July 2020)

Context

At the start of July 2020, following a month in which they were shut, all eight branches were reopened. Further temporary closures could be required in the future.

In the meantime, we have witnessed impressive growth in online sales. The small enhancements we have made to our systems have brought in a number of new customers, some of whom seem likely to generate significant repeat business in the months and years ahead.

We expect the housebuilding and home renovation market in the north-west – the main driver of the industry generally and HP specifically – to remain strong.

Opportunities, challenges and responses

We believe that in the above context – coupled with our policy of reinvesting profits in the business, controlling working capital and generally good financial management – we are in a stable financial position. We set out below our key opportunities and challenges, with some suggested responses:

(a) There are signs that over the coming year the industry will experience sizable price rises for some products (eg, roofing) because of shortages in underlying components. We cannot easily absorb these price rises and must find other ways to protect our margins.

(b) We must ensure that our IT systems continue to be reliable and up to date, notably including those which support e-commerce – an area in which we can quickly gain or lose competitive advantage. We must also maintain strong relationships with customers and find creative new ways to engage with them (and increase sales), especially online-only customers. Our ERP project will be key.

(c) We must retain high staff morale (through, eg, flexible home working, supporting staff facing mental health challenges).

(d) We must continue to monitor costs and inventory levels at branches and our warehouse. We will take steps to rationalise our product portfolio.

(e) We have no plans to open any new branches. We will continue our upgrade programme, but we may also need to reduce the size of some branches if the trend towards a higher proportion of sales being made online continues. This might also mean expanding click-and-collect locations and/or building additional storage facilities, with online sales now being made throughout the region.

Exhibit 13

The UK competition and markets environment

The Competition and Markets Authority (CMA) works to promote competition for the benefit of consumers, both within and outside the UK. It ensures that consumers obtain a good deal when buying goods and services, and that businesses operate within the law. It does this by:

- investigating mergers, to make sure that they do not reduce competition
- investigating entire markets if it believes that there are competition or consumer problems
- taking action against businesses and individuals that participate in cartels or anti-competitive behaviour
- protecting consumers from unfair trading practices
- encouraging government and other regulators to use competition effectively on behalf of consumers.

In recent years, the CMA has carried out several investigations in the wider construction sector, especially in relation to anti-competitive practices, leading in some cases to substantial fines.

Exhibit 14: Recent media coverage

Exhibit 14(a): The building software revolution (IT Bulletin, June 2021)

Builders' merchants are finding that the customers who traditionally made their purchases in person are now increasingly doing so online, through a multitude of electronic devices.

Those merchants that already had established internet capability have been the ones to benefit the most, closely followed by those that have realised the importance of investing

in state-of-the-art technology to stay competitive. (At the other end of the scale, some larger merchants do not even have an online presence.)

In the first group, pride of place goes to cementonline.com (COL), which was set up in 2019 specifically to offer an online-only service to tradespeople – perhaps a fortunate example of being in the right place at the right time. With relatively few overheads, COL has been able to offer its goods at very competitive prices – even with a delivery charge, they are cheaper than many rival offerings.

In the second group, long-standing family firm Greg & Sons had the foresight in early 2019 to recognise the challenges being faced by the traditional merchant's business model. It engaged IT consultants to advise it on how best to develop an internet-based sales function – together with powerful software systems and robust hardware – and by April the system, developed by Transit (a firm of website specialists), was in place. Backed by a focused marketing campaign and attractive opening discounts, Greg & Sons saw sales grow sharply. It estimates that the new sales function has added around 10% to annual revenue.

Despite the shift towards online, half of all orders to merchants are still placed at stores, by phone or email, so branch staff continue to play an important part in forming and maintaining personal relationships and giving advice.

Exhibit 14(b)

Look before you leap (Customer Focus, May 2021)

Well-known clothing retailer Yorath & Co recently learnt an expensive lesson. Yorath was upgrading its e-commerce platform and, rather than follow the normal practice of seeking three quotes, it opted to award the £1m contract directly to Quipp, a company run by the sister of Yorath's MD, Bob Cox.

Eager to be ready for the busy spring sales period, it launched the new system on 1 March 2021 without proper testing or parallel running with the old system, which was discontinued at midnight on 28 February. The result? First, a site that did not communicate with existing systems, leading to inaccurate accounting information and bad business decisions. Second, a series of security breaches.

Third, the sacking of Bob Cox. Fourth, severe damage to Yorath's reputation and the loss of several major long-standing customers.

5 Exercises

In order to help structure their financial data analysis, candidates should attempt these exercises before tackling the requirement.

Exercise 1: Underlying financial statement analysis

Exercise 1 requires candidates to carry out analysis to demonstrate their understanding of HP's 'key measure'.

Exercise

Prepare a calculation to prove the total 'average revenue per month' figure for each of the years ended 30 June 2019 and 2020. Then go on to calculate this figure for each branch and, using the narrative in Exhibit 5 and other relevant information, explain the significant changes between the two years.

Exercise 2: Financial analysis of IT issues

Exercise 2 requires candidates to understand and explain the financial impact of IT issues on the business.

Exercise

Consider the following pieces of data from the AI:

Extract from Exhibit 5: Around 50% of IT outages (see **Exhibit 9**) in the year to 30 June 2020 (2019: 20%) related to e-commerce, each potentially representing lost sales, disappointed customers and social media messages deterring other customers. HP estimates that it lost £600,000 revenue from e-commerce outages in the year, as well as increased exposure to data breaches.

Extracts from Exhibit 9: HP relies heavily on IT across its business. It uses a range of systems and applications. Some are becoming dated, as shown by the number of outages (faults causing a service breakdown) that HP has been experiencing, up from 77 in 2018 (year to 30 June) to 139 in 2019 and 273 in 2020 – high for a merchant of HP's size.

Information relating to the successful bidder from ERP Phase 1]	Grossmark
HP estimate: additional annual revenue: Year 1 (to 30 June 2020)	600
HP estimate: saving in other annual operating costs (each of Years 1–3)	60

The additional revenue has been lower than estimated: Hans estimates £450,000 for the year to 30 June 2020 but recognises that this is not an exact science as revenue increases result from a combination of factors that cannot always be easily distinguished. However, cost savings have been higher than expected, with a fall in the amount of paid overtime and in phone calls.

Analyse and explain the impact of these issues on the management accounts for the year ended 30 June 2020.

Exercise 3: Financial analysis of sales channels

Exercise 3 requires candidates to demonstrate their understanding of HP's business drivers.

Exercise

Using the information in Note 1 to the management accounts (Exhibit 6) and the information in Exhibits 4 and 5, assess the relative importance of branch versus online for revenue generation, both historical and potential.

6 CS Exam with Requirement: financial data analysis

HP CS EXAM EXTRACTS

In a 4-hour CS Exam, a candidate would normally be required to answer three requirements (of equal weighting in terms of marks) and to present an Executive Summary.

All components would require planning before writing.

It is important to realise that the time available for planning and writing a single requirement, which requires an appendix and the relevant part of the Executive Summary, should be considered to be approximately 1 hour 20 minutes (maximum).

A candidate must therefore be fully familiar with the scenario and the broader business issues affecting a client (from the information and elsewhere) so that the additional material presented in the CS Exam can easily be assimilated and put in context within the requirement.

In this abbreviated version – which focuses on the financial data analysis issues surrounding the business – a candidate must remember that there would have been two other requirements which might have provided additional context to the topic under review.

The following exhibits are newly provided:

15 Email dated 21 July 2021 from Amanda Ellis to Jules Wingate: Draft management accounts and business developments

16 HP: Draft management accounts for the year ended 30 June 2021

17 Note dated 21 July 2021 from Amanda Ellis: Additional information relating to the draft management accounts for the year ended 30 June 2021

18 Email dated 19 July 2021 from Hans Ritz to Amanda Ellis: ERP – Phase 2

19a Email dated 20 July 2021 from Ross Connor to Amanda Ellis: Carey – proposal for exclusive supply arrangement

19b Recent media coverage

Information provided in pre-populated spreadsheets

The management accounts for the two years ended 30 June 2021, together with both absolute and relative changes, are provided in the pre-populated spreadsheet, which is reproduced in full at Exhibit 17.

The pre-populated spreadsheet also contains some data about staff costs; this is reproduced at Exhibit 18.

House Pride

CS EXAM

Exhibit 15

EMAIL

From: Amanda Ellis

To: Jules Wingate

Date: 21 July 2021

Subject: Draft management accounts and business developments

There have been a number of significant recent developments. I am attaching the following:

- HP's draft management accounts for the year ended 30 June 2021 (**Exhibit 16**)
- Additional information relating to the management accounts (**Exhibit 17**)
- An email from Hans Ritz to me relating to Phase 2 of our ERP project (**Exhibit 18**)

Please draft for my review a report addressed to the HP board. The report should comprise the following.

An evaluation of the two possible vendors for Phase 2 of HP's ERP project (**Exhibit 18**).

Using the information in **Exhibit 18**, you should:

- calculate the incremental operating profit for HP using each vendor (Grossmark and Transit), for each of the three years and in total;
- assess the adequacy of the assumptions and estimates; in particular, you should use the **pre-populated spreadsheet** to evaluate the staff cost savings and redundancy costs;
- apply relevant financial and non-financial criteria; and
- recommend, with reasons, which of the two vendors HP should accept.

Additional (optional) financial analysis exercise using pre-populated spreadsheets

This exercise involves a detailed analysis of revenue based on pre-populated spreadsheets. It is structured into a series of steps to allow candidates to attempt a range of tasks using the spreadsheet provided. It is not intended to replicate an exam requirement (a real exam would not be structured in this level of detail) but rather to give another opportunity to practise the skills that might be tested within a real exam.

Using the **pre-populated spreadsheet** (separately provided in the software), review HP's revenue by branch for the year ended 30 June 2021 in comparison with the year ended 30 June 2020. You should incorporate in your review, where relevant, the additional information in Exhibit 17. You should:

- calculate average revenue per month (using HP's definition), both in total and for each branch, for the year ended 30 June 2021;
- using the case material, identify the key reasons for movements in these figures; for each of the years ended 30 June 2020 and 30 June 2021, determine, for each month, total monthly revenue as a percentage of the total revenue for the year. Identify the key differences between the two years and provide explanations for these differences;
- consider the comment (Exhibit 10): 'In a typical year, around half of all sales are made in the last four months of HP's financial year (March to June), the time when most housebuilding and refurbishments are started.' To what extent is this borne out by the figures for 2020 and 2021? Give reasons for your answer; and
- consider the comment (Exhibit 17): 'During the closures, Bolton customers were redirected to Manchester branch and Wigan customers to Liverpool branch.' Using the figures provided, analyse the overall impact of this on the business.

This exercise should take approximately 1 hour.

Exhibit 16: HP: Draft management accounts for the year ended 30 June 2021

(Note to candidates: These appear in the pre-populated spreadsheet)

	A	B	C	D	E	F
1	**House Pride Ltd: Draft management accounts for the year ending 30 June 2021**					
2	**Year ended 30 June**	**Notes**	**2021**	**2020**	**Change**	**Change**
3			**£000**	**£000**	**£000**	**%**
4	Statement of profit or loss					
5	**Revenue**	**1**	**27,036**	**29,554**	**(2,518)**	**(205)**

	A	B	C	D	E	F
6	Cost of sales	1	(22,072)	(23,895)	1,823	7.6%
7	**Gross profit**	**1**	**4,964**	**5,659**	**(695)**	**(12.3%)**
8	Distribution costs		(1,943)	(2,070)	127	6.1%
9	Administrative expenses	2	(3,016)	(3,326)	310	9.3%
10	**Operating profit**		**5**	**263**	**(258)**	**(98.1%)**
11	Net finance income		11	6	5	83.3%
12	**Profit before tax**		**16**	**269**	**(253)**	**(94.1%)**
13	Income tax		(3)	(51)	48	94.1%
14	**Profit after tax**		**13**	**218**	**(205)**	**(94.0%)**
15	**Statement of financial position**					
16	**Non-currents assets**					
17	Property, plant & equipment (PPE)	3	3,951	4,342	(391)	(9.0%)
18	Current assets					
19	Inventories	4	1,877	2,020	(143)	(7.1%)
20	Trade and other receivables	5	3,174	3,343	(169)	(5.1%)
21	Cash and cash equivalents		662	227	435	191.6%
22			5,713	5,590	123	2.2%
23						
24	**TOTAL ASSETS**		**9,664**	**9,932**	**(268)**	**(2.7%)**
25						
26	**Equity**		90	90	-	0.0%
27	Ordinary shares		5,454	5,441	13	0.2%
28	Retained earnings		5,544	5,531	13	0.2%
29						
30						
31	**Trade and other payables**	**6**	**4,120**	**4,401**	**(281)**	**(6.4%)**
32						
33	**TOTAL EQUITY AND LIABILITIES**		**9,664**	**9,932**	**(268)**	**(2.7%)**
34	**Statement of cash flows**					
35	**Cash flows from operating activities**					
36	Profit before tax for the period		16	269	(253)	(94.1%)
37	Adjustment for:					
38	(Profit)/loss on disposal of PPE		-	-	-	-

	A	B	C	D	E	F
39	Depreciation and impairment of PPE		547	537	10	1.9%
40	Finance (income)/costs		(11)	(6)	(5)	(83.3%)
41			552	800	(248)	(31.0%)
42	Change in inventories		143	(159)	302	189.9%
43	Change in trade and other receivables		169	(296)	465	157.1%
44	Change in trade and other payables		(233)	565	(798)	(141.2%)
45			631	910	(279)	(30.7%)
46	Income tax paid		(51)	(115)	64	(55.7%)
47	**Net cash generated from operating activities**		**580**	**795**	**215**	**27.0%**
48						
49	**Cash flows from investing activities**					
50	Acquisition of PPE		(156)	(318)	162	50.9%
51	Proceeds from disposal of PPE		-	-	-	-
52	Interest received/(paid)		11	6	5	83.3%
53	**Net cash generated from investing activities**		**(145)**	**(312)**	**167**	**(53.5%)**
54	**Net cash generated from financing activities**		**-**	**-**	**-**	**-**
55						
56	Net change in cash and cash equivalents		435	483	(48)	(9.9%)
57	Cash and cash equivalents at start of year		227	(256)	483	188.7%
58	**Cash and cash equivalents at end of year**		**662**	**227**	**435**	**191.6%**
59	**Notes to the draft management accounts**					
60	**Note 1: Revenue, cost of sales and gross profit**					
61			**2021**	**2020**	**Change**	**Change**
			£000	**£000**	**£000**	**%**
62	**Revenue**					
63	RH					
64	- Branch		11,300	15,535	(4,235)	(27.3%)
65	- Online		10,120	7,633	2,487	32.6%
66			**21,420**	**23,168**	**(1,748)**	**(7.5%)**
67	BCT					

	A	B	C	D	E	F
68	- Branch		3,107	4,944	(1,837)	(37.2%)
69	- Online		2,509	1,442	1,067	74.0%
70			**5,616**	**6,386**	**(770)**	**(12.1%)**
71	Total					
72	- Branch		14,407	20,479	(6,072)	(29.6%)
73	- Online		12,629	9,075	3,554	39.2%
74			**27,036**	**29,554**	**(2,518)**	**(8.5%)**
75						
76	**Cost of sales**					
77	RH		18,141	19,493	(1,352)	(6.9%)
78	BCT		**3,931**	**4,402**	(471)	(10.7%)
79			**22,072**	**23,895**	**(1,823)**	**(7.6%)**
80						
81	**Gross profit**					
82	RH		3,279	3,675	(396)	(10.8%)
83	BCT		**1,685**	**1,984**	(299)	(15.1%)
84			**4,964**	**5,659**	**(695)**	**(12.3%)**
85	Cost of sales comprises:					
86	Goods and materials		18,321	19,762	(1,441)	(7.3%)
87	Wages and salaries		3,751	4,133	(382)	(9.2%)
88			**22,072**	**23,895**	**(1,823)**	**(7.6%)**
89	**Note 2: Administrative expenses**					
90	Personnel		1,249	1,418	(169)	(11.9%)
91	IT, premises, depreciation and other		1,543	1,619	(76)	(4.7%)
92	Marketing & advertising		224	289	(65)	(22.5%)
93			**3,016**	**3,326**	**(310)**	**(9.3%)**
94	**Note 3: Property, plant and equipment (PPE)**					
95				**Land, buildings, plant, machinery, fixtures, fittings and equipment**	**Motor vehicles**	**TOTAL**
96				£000	£000	**£000**
97	**Cost**					
98	At July 2020			4,649	2,306	**6,955**
99	Additions			156	-	**156**
100	Disposals			-	-	**-**
101	At July 2021			4,805	2,306	**7,111**

	A	B	C	D	E	F
102						
103	**Depreciation**					
104	At July 2020			1,356	1,257	**2,613**
105	Charge for the year			293	254	**547**
106	On disposals			-	-	**-**
107	At July 2021			1,649	1,511	**3,160**
108						
109	**Carrying amount**					
110	At 1 July 2020			3,293	1,049	**4,342**
111	At 1 July 2021			3,156	795	**3,951**
112	**Note 4: Inventories**					
113	An allowance of £190,000 against inventory was recognised in cost of sales during the year.					
114						
115	**Note 5: Trade and other receivables**					
116	Trade receivables		2,876	3,009	(133)	(11.9%)
117	Other receivables		66	81	(15)	(4.7%)
118	Prepayments and accrued income		232	256	(21)	(22.5%)
119			**3,174**	**3,343**	**(169)**	**(9.3%)**
120						
121	**Note 6: Trade and other payables**					
122	Trade payables		3,293	3,583	(290)	(8.1%)
123	Taxation		3	51	(48)	(94.1%)
124	Other payables		452	428	24	5.6%
125	Accruals and deferred income		372	339	33	9.7%
126			**4,120**	**4,401**	**(281)**	**(6.4%)**

Exhibit 17

Note from Amanda Ellis, 21 July 2021: Additional information relating to the draft management accounts for the year ended 30 June 2021

This note is set in the context of newly released unofficial industry data showing that, in the 12 months to 30 June 2021, demand for both housebuilding and home renovation work was 10% lower than in the previous year.

The following issues are reflected in the management accounts.

- Wigan and Bolton branches were shut for three months (January, February and March 2021). We took the opportunity to upgrade these branches, including click-and-collect

facilities, at a combined capital cost of £100,000. All other branches remained open for the full 12 months. During the closures, Bolton customers were redirected to Manchester branch and Wigan customers to Liverpool branch. Revenue from each branch was as follows:

Branch	£000
Warrington	1,922
Preston	1,564
Blackburn	2,413
Burnley	2,091
Wigan	1,242
Bolton	1,570
Manchester	2,069
Liverpool	1,536
	4,407

- There were 206 IT outages in the year, of which 162 related to e-commerce. I estimate that these resulted in lost revenue of £300,000, offset by £800,000 additional revenue from Phase 1 of the ERP project and £50,000 of related savings in annual running costs.
- Many of our staff continued to work from home during the year, with appropriate IT support.
- The UK-wide trend in working from home also affected revenue: our customer Wrights delayed its plans to build new offices and did not buy any products from us in the year.
- During the year, we discontinued certain product lines that had been selling slowly. We also wrote down the value of some other product lines. After a detailed internal review, we believe that all remaining inventory is appropriately valued.
- As a result of shortages in the components of some roofing products, we experienced cost increases that we could not pass on to customers. We also needed to change supplier at short notice for some goods when our main supplier (Rustan) went out of business. We estimate that these issues have added £250,000 to cost of sales.
- Some branch staff chose to leave during the year and were not replaced. We did not pay an annual bonus this year under the staff incentive scheme.
- The proportion of deliveries made on time was 90%.
- The directors voted to take a salary cut of 20% for the year, with effect from 1 July 2020.

Exhibit 18

EMAIL

From: Hans Ritz

To: Amanda Ellis

Subject: ERP – Phase 2

Date: 19 July 2021

We are now planning for Phase 2 of our Enterprise Resource Planning (ERP) project, beginning with a new website and e-commerce facility. This is an essential step that we have to undertake if we are to compete more effectively in a market where there is a rapidly increasing trend

for customers of building product suppliers to buy online. It should also help us to analyse the cost of sales and hence profitability of each channel, as well as to improve our overall IT reliability. None of the 206 IT outages in the year related to Phase 1 of the ERP system.

There are two possible vendors:

- Vendor 1: Grossmark, our existing provider
- Vendor 2: Transit, a specialist in website design for retailers.

HP has given the same specification to both companies. In particular:

- The new website will launch on 1 January 2022
- There will be a parallel run of two months until 28 February 2022
- The successful bidder will have the opportunity to renew on 1 January 2025.

Assumptions and estimates

The following information is relevant to the decision.

	Note	Vendor 1: Grossmark	Vendor 2: Transit
	£000	**£000**	**£000**
Supplier information			
• Software purchase cost	1	100	200
• Hardware upgrade cost	2	350	550
• Annual maintenance and IT support costs (each of Years 1–3)	3	40	80
HP estimate:			
• Attributable additional revenue	4		
- Year 1		1,000	1,400
- Year 2		1,200	1,700
- Year 3		1,400	2,000
		To be determined (see below)	To be determined (see below)
• Staff redundancy costs (Year 1)	5		
		To be determined (see below)	To be determined (see below)
• Annual staff costs reduction (each of Years 1–3)	5		
• Distribution costs (Years 1–3)	6	See below	See below

Notes

1 Both bids comprise a basic new website, with a range of online payment platforms, plus an enhanced database management system. Transit's bid also includes a facility to get customers to buy more using 'People who bought product X also bought product Y' messaging; and interactive features to help BCT customers with home interior planning, such as computer design, project calculators and videos. Transit's system will additionally allow data analysis using artificial intelligence so that HP can monitor and anticipate buying patterns (with customers' fully informed consent), as well as determining mean and median transaction sizes.

2 Both vendors will require the purchase of new IT equipment and accessories. Transit says that its software requires hardware that is of a higher standard and which should last five years (versus three years for Grossmark's). The above figures exclude any disposal of old equipment being replaced.

3 Costs are for an all-inclusive annual maintenance contract, comprising a 24-hour hotline and all visits on site. In both cases, the cost is fixed for three years. Grossmark is cheaper because of scale economies arising from its role in Phase 1 of the ERP project.

4 We estimate that both systems will generate significant further revenue each year, but more in the case of Transit because of the much greater functionality of the website. The attributable additional revenue in all cases is by reference to the amount earned in the year ended 30 June 2021.

5 Both systems will create labour savings through greater automation. This will mean that in Year 1 we can make some staff redundant, thereby saving their salaries and related costs (see **pre-populated spreadsheet**): Grossmark system – eight staff; Transit system – twelve staff. The staff cost reductions are by reference to staff costs in the year ended 30 June 2021.

6 We estimate additional distribution costs at 7% on the additional revenue for each year.

Pre-populated spreadsheet

The spreadsheet appears as follows:

	A	B	C	D	E	F	G
1	**Employee code**	**Location**	**Length of service**	**Grossmark proposal?**	**Transit proposal?**	**Annual salary (2021)**	**Redundancy cost**
2			**(Years)**			**£000**	**£000**
3	NAC	Branch	3		✓	25	8
4	TTV	Branch	3	✓	✓	27	9
5	BFR	Branch	2	✓	✓	22	5
6	XCE	Branch	3	✓		35	13
7	MKW	Branch	3	✓		35	16
8	GAZ	Branch	2	✓		35	11
9	SMA	Head office	10	✓	✓	33	18
10	LKR	Head office	8	✓	✓	33	16
11	BGE	Head office	7		✓	40	17
12	UNG	Head office	6	✓	✓	30	12
13	REW	Head office	3		✓	58	19
14	VVO	Head office	2		✓	73	16
15	SLH	Head office	2		✓	55	13
16	SLP	Head office	3		✓	38	15
17	PSA	Head office	1		✓	66	12
18						**605**	**200**

7 Using the pre-populated spreadsheets

In order to see the impact on each of the two proposals, candidates must sort the spreadsheet by supplier:

	A	B	D	E	F	G
1	**Employee code**	**Location**	**Grossmark**	**Redund. cost**	**Transit**	**Redund. cost**
2			**Annual salary**		**Annual salary**	
3			(2021)		(2021)	
4			**£000**	**£000**	**£000**	**£000**
5	NAC	Branch			25	8
6	TTV	Branch	27	9	27	9
7	BFR	Branch	22	5	22	5
8	XCE	Branch	35	13		
9	MKW	Branch	35	16		
10	GAZ	Branch	35	11		
11	SMA	Head office	33	18	33	18
12	LKR	Head office	33	16	33	16
13	BGE	Head office			40	17
14	UNG	Head office	30	12	30	12
15	REW	Head office			58	19
16	VVO	Head office			73	16
17	SLH	Head office			55	13
18	SLP	Head office			38	15
19	PSA	Head office			66	12
20			**250**	**100**	**500**	**160**

This provides the totals to be used in the calculation of operating profit under the two proposals. Candidates are then expected to conduct further analysis in order to assess the reasonableness, consistency and wider implications of the data. One task would be to analyse the two sets of costs by location (ie, Head Office or branch) and also to compare the averages by location and by supplier.

	A	D	E	F	G
1	**Employee code**	**Grossmark**	**Redund. cost**	**Transit**	**Redund. cost**
2		**Annual salary**		**Annual salary**	
3		(2021)		(2021)	
4		**£000**	**£000**	**£000**	**£000**
5	**Number**				
6	HO	3		9	
7	Branch	5		3	
8		**8**		**12**	
9	**Mix**				
10	HO	96	46	426	138
11	Branch	154	54	74	22
12		**250**	**100**	**500**	**160**
13	**Averages**				
14	HO	32.0	15.3	47.3	15.3
15	Branch	30.8	10.8	24.7	7.3
16		**31.3**	**12.5**	**41.7**	**13.3**

Although the dataset here is small (16 lines of figures), it contains a lot of information that can be used by candidates to query, for example, the basis on which the staff to be made redundant have been selected under the two scenarios. The excellent script under 'Comparative answering techniques' below illustrates the type of questioning and professional scepticism that would score highly in responding to a task of this nature.

8 Illustrations of comparative answers

Examples are provided in this section of different candidate submissions to selected topics which formed part of the requirements to the HP exam. These indicate the approach that candidates are advised to take, which is to develop a specific point relating to a topic across two, three or all four skills.

In this way, candidates are more likely to demonstrate the range of skills that are embedded in the ICAB exams, ie, from assimilating and using information (A&UI), through analysis (SP&S) and judgement (AJ) to a conclusion or recommendation (C&R).

The possible marks which might be awarded to a marginally passing script are contrasted with those of an excellent script, indicating the additional value that better candidates demonstrate in the Case Study Exam.

EXAMPLE 1: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Evaluation of revenue assumptions

Marginally passing script	Excellent script
On the data given, and using the analysis from the spreadsheet, incremental operating profit for Grossmark (G) is £491k (£74k, £197k, £220k for the three years); for Transit (T), £932k (£170k, £364k, £398k). T makes almost twice as much extra profit as G. Based purely on these figures, it would be the preferred choice.	On the data given, and using the analysis from the spreadsheet, incremental operating profit for Grossmark (G) is £491k (£74k, £197k, £220k for the three years); for Transit (T), £932k (£170k, £364k, £398k). T makes almost twice as much extra profit as G. Based purely on these figures, it would be the preferred choice
Attributable additional revenue has beenestimated by HP.	Attributable additional revenue has been estimated by HP. **HP's Phase 1 estimates were not met; actual additional revenue was £450k in 2020 (£600k estimate); £800k in 2021 (£900k estimate). Higher figures are estimated for Phase 2. These may have to be similarly scaled back, unless learnings from Phase 1 have already been factored into the Phase 2 estimates.** **Also because of unusual trading conditions with COVID-19, 2021 may not be the best basis on which to calculate revenue increments.**
It is impossible to attribute additional revenue to a specific cause, so both estimates and actuals are necessarily guesses.	It is impossible to attribute additional revenue to a specific cause, so both estimates and actuals are necessarily guesses.
T's figures are higher because of higherfunctionality. The results suggest investing in Tas it gives a better return.	T's figures are higher because of higher functionality **(meeting HP's original specification for Phase 2).** The results suggest investing in T as it gives a better return. **Greg & Sons says that T's new sales system added 10% to annual revenue. HP's estimates represent a much lower (£1m/£28m = c 3%) increment so may in fact be prudent.**
Conclusion: T generates more profit: the assumptions would have to change significantly before it fell to the level of the G proposal.	Conclusion: T generates more profit **(£932k v £491k overall)**: the assumptions would have to change significantly before it fell to the level of the G proposal. **However, T is riskier as the revenue increments are inherently uncertain, for a much higher capital cost.**
Recommendations: Research/review in detailthe estimates/assumptions for both vendors.	Recommendations: Research/review in detail the estimates/assumptions for both vendors.

EXAMPLE 1: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Evaluation of revenue assumptions

Characteristics of each script

- The marginally passing script correctly states the outcome of the calculations and develops the analysis of the findings into a qualified evaluation.
- The excellent script weighs up the reasonableness of the revenue estimates by reference to Phase 1 experience. Using two other items of information from the Information – HP's strategy and a past IT project reported in the media coverage (Greg & Sons) – it extends the discussion into a more advanced critique: considering whether the figures already take account of the Phase 1 experience; noting that actual performance in 2021 may not be a good benchmark; and extrapolating the anecdotal impact of the Greg & Sons project to HP's situation. It also expands the conclusion to provide a more balanced view.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Assimilating & Using Information	• Business issues/wider context	• Impact of COVID-19 on the business
Structuring Problems & Solutions	• Calculation of OP	• OP: G £491k AND T £932k
Applying Judgement	• Evaluation of revenue assumptions	• T substantially **more** revenue/ OP for HP • Phase 1 revenue not met **so** could be optimistic OR Greg & Sons estimated 10% inc **so** figures may be prudent • Difficult to attribute extra revenue to single source • Add'l T functionality: impact onrevenue/meets HP spec • 2021 may not be good year on whichto base rev/GP%
Conclusions & Recommendations	• Draws conclusions (under a heading) • Draws conclusions (under a heading)	• Gives incremental OP for G AND T **with figs** • Evaluates other revenue/cost assumptions • Back-up for vendor/HP assumptions

Notes

1 From the above, it can be seen that the excellent script has gained marks across each of the four skills, particularly noteworthy under AJ.

2 It is an excellent script because this candidate has demonstrated good use of the case material, integrating relevant information from the AI and CSE into a series of value-adding comments with appropriate professional scepticism.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

EXAMPLE 2: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Hardware, software and annual support costs

Marginally passing script	Excellent script
Capital costs: These are being written off over 3 years for both vendors. T's costs are higher (£550k v These are being written off over 3 years for both vendors. T's costs are higher (£550k v years, but this is not evidenced. A 3-year period would be prudent and consistent with Phase 1 and norms for hardware.	**Capital costs:** These are being written off over 3 years for both vendors. T's costs are higher (£550k v £350k). T claims that its hardware will last 5 years, but this is not evidenced. A 3-year period would be prudent and consistent with Phase 1 and norms for hardware. **Writing T's costs off over 5 years adds £300k to profit. If T's hardware really can last 5 years, it would save costs over G's, which will need upgrading after 3 years.**
Support costs: G's lower support costs reflect scale economiesfrom its role in Phase 1. However, the saving(£120k in 3 years) may be false.	**Support costs:** G's lower support costs reflect scale economies from its role in Phase 1. However, the saving (£120k in 3 years) may be false. **G has not met maintenance standards: it must improve and show that it can meet the demands of Phase 2. Also, it is unclear what happens to the existing agreement when Phase 1 ends.**
Other costs: There may be other hidden costs (eg, training)or savings. G's Phase 1 system was moreintuitive and involved less training.	**Other costs:** There may be other hidden costs (eg, training) or savings. G's Phase 1 system was more intuitive and involved less training
Cash flow: HP must establish the payment terms for both vendors. One unsuccessful bidder for Phase 1 asked for 90% of capital costs upfront. With HP's latest bank balance at £662k, a similar stipulation might again lead to rejection.	**Cash flow:** HP must establish the payment terms for both vendors. One unsuccessful bidder for Phase 1 asked for 90% of capital costs upfront. With HP's latest bank balance at £662k, a similar stipulation might again lead to rejection.
Recommendations: HP should: research and review in detail the assumptions/estimates for both vendors	**Recommendations**: HP should: research and review in detail the assumptions/estimates for both vendors; **negotiate and clarify some terms, especially renewal arrangements and responsibility for extra costs.**

EXAMPLE 2: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Hardware, software and annual support costs

Characteristics of each script

- The marginally passing script identifies a range of issues and applies professional scepticism to them, for example in considering the possibility of hidden costs (a feature of one unsuccessful Phase 1 bid). It sets funding in the context of HP's latest reported cash position. It also offers a recommendation.
- The excellent script expands the discussion on costs by calculating the financial impact of a different depreciation period and by raising doubts about the incumbent's maintenance record. It widens the cost comparison between the vendors by flagging the issue of upgrades. It develops the debate on G's maintenance record by reference to renewal of the current agreement. Finally, it adds another recommendation.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Assimilating & Using Information	• Business issues/wider context	• Bank balance £662k at year end
Structuring Problems & Solutions	• Assumptions	• Capex: T highercosts/ compares to bank balance • Useful life: T says 5-year life/ would reduce overall costs • Maintenance: G expecting economies of scale with Phase 1
Applying Judgement	• Evaluation of cost assumptions	• Useful life: no evidence for T claims • Maintenance: G failing to meet Phase 1 standards • May be extra costs eg, marketing, wage inflation, discounts
Conclusions & Recommendations	• Makes recommendations	• Back-up for vendor/HP assumptions

Notes

1 From the above, it can be seen that the excellent script has gained marks under each of the four skills.

2 It is an excellent script because this candidate has applied scepticism over the assumptions by demonstrating a broad knowledge and understanding of the overall case scenario.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

EXAMPLE 3: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Evaluation of staff cost savings and redundancies

Marginally passing script	Excellent script
These have been estimated by HP, so should be based on known data. Total staff savings are £250k (G), £500k (T); redundancy costs are £100k (G), £160k (T). These correspond to 8 staff (G) and 12 staff (T).	These have been estimated by HP, so should be based on known data. Total staff savings are £250k (G), £500k (T); redundancy costs are £100k (G), £160k (T). These correspond to 8 staff (G) and 12 staff (T). **Hence average redundancy cost = £12.5k (G), Hence average redundancy cost = £12.5k (G), average salaries differential is more (G = 31.3k; T = £41.7k).**
These variations reflect the differences across the two proposals between actual staff involved departments, levels of seniority and length ofservice.	These variations reflect the differences across the two proposals between actual staff involved, departments, levels of seniority and length of service. **The basis for calculating costs of redundancy (ratio to staff costs) looks inconsistent and should be double-checked with HP policy and any statutory guidance.**
The list includes long-standing junior staff and newly joined senior staff, so it is unclear on what basis they have been identified for redundancy (eg, sub-par performance; in a role no longer required), and the nature of the 'automation' in each case is also unclear. In general, the basis on which each list has been prepared is unclear.	The list includes long-standing junior staff and newly-joined senior staff, so it is unclear on what basis they have been identified for redundancy (eg, sub-par performance; in a role no longer required), and the nature of the 'automation' in each case is also unclear. In general, the basis on which each list has been prepared is unclear, suggesting fundamental differences between the two proposals in terms of impact on HP's overall staffing needs. That may indicate further financial and prepared is unclear, **suggesting fundamental differences between the two proposals in terms of impact on HP's overall staffing needs. That may indicate further financial and operational implications to factor into the decision. Redundancies with G represent 37 years of cumulative experience (2/3 HO); with T, 50 years (1/2 HO, 1/2 branch). Fewer branch staff may reduce customer service levels; fewer HO staff may mean weaker controls.**
Savings are based on 2021 costs. They should be higher for Years 2 and 3 to reflect wage inflation.	Savings are based on 2021 costs. They should be higher for Years 2 and 3 to reflect wage inflation.
HP was previously against making redundancies. A change in policy could severely impact staff morale. It will need clear communication to staff.	HP was previously against making redundancies. A change in policy could severely impact staff morale. It will need clear communication to staff. **If HP is growing, it should consider instead moving staff to other roles rather than making them redundant.**

Conclusions & recommendation: There is considerable variation between the proposals: total staff savings are £250k (G) and £500k. The reasons for the differences are not wholly clear. The basis for determining all figures should be reviewed for consistency, accuracy and comparability.	Conclusions & recommendation: There is considerable variation between the two proposals: total staff savings are £250k (G) and £500k. The reasons for the differences are not wholly clear. The basis for determining all figures should be reviewed for consistency, accuracy and comparability.

EXAMPLE 3: Assumptions (ORIGINAL REQUIREMENT 2)

Topic: Evaluation of staff cost savings and redundancies

Characteristics of each script

- The marginally passing script correctly calculates the total costs for each proposal and make some general comments. It considers the reasons for differences between the figures and also raises a pertinent HR issue.
- The excellent script goes on to calculate the various averages and also dives more deeply into the detail, and extends the discussion into some higher-level professional scepticism.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Structuring Problems & Solutions	• Staff cost savings and redundancies	• Total staff savings: **G £250k** AND T **£500k** • Total redundancy: **G £100k**, T **£160k** • Number of redundancies: G **8** AND T**12** • Average salary: G £31k AND T £42k OR average redundancy: G £13k AND T £13k • Considers branch v HO split eg, numbers, salary, redundancy • Consider reasonableness of redundancy figures
Applying Judgement	• Evaluation of staff cost savings and redundancies	• Figures provided by HP/should be accurate • Need to take account of wage inflation in Y2 and Y3 • Need to take account of wage inflation in Y2 and Y3 • Basis for making these specific staff/roles redundant unclear • Impact of staff redundancies on rest of business eg, customer service, weaker HO controls • Need for clear communication with staff
Conclusions & Recommendations	• Draws conclusions (under a heading) • Makes recommendations	• Concludes on staff costs with fig • Communicate with staff about redundancies/ redeployment/ Consider redeploying staff to other depts given growth

Notes

1 From the above, it can be seen that the excellent script has achieved marks in three skills, notably SP&S and AJ.

2 It is an excellent script because it demonstrates good use of the case material, integrating relevant information from the Information and CS Exam into a series of value-adding comments with due professional scepticism.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

Candidates: How to improve your exam technique in the financial data analysis requirement

Before the exam

- Ensure good specific preparation and understanding of all original Information financial data exhibits – you must have analysed and know all exhibits thoroughly.
- Ensure that you are fully conversant with the financial data analytical tools which might be required.

Skills tip

Take a list of the different analytical tools with you into the exam as a memory aid – be sure you know how to use them all

In the exam

- Remember that this requirement has an equal weighting with the other requirements and deserves an equivalent amount of time.
- In the exam, ensure that you identify the analytical tool appropriate for the calculation given the information – and that you then use this (which will not necessarily be the one that you would like to have used or that you are most comfortable with).
- Only use the appropriate analytical tool to answer this requirement.
- Where a pre-populated spreadsheet is provided, it may include a template, in which case that is the format that you are expected to use for part or all of your numerical work on the requirement. Alternatively, if it comprises a set of data, you must analyse and refer to that data as necessary as part of your answer. **If you do not make any use of the pre-populated spreadsheet information, you risk losing between 10% and 20% of the total marks available for the requirement.**

Skills tip

Make sure that you give yourself plenty of practice using the spreadsheet functionality of the software before the exam.

- Only use the data provided in the CS Exam to perform your initial calculations. Do not flex any numbers at this stage: that is a task for any (subsequent) sensitivity analysis.
- Ensure that you have developed the confidence to think and analyse for yourself – the CS Exam figures you will have to work with will be new to you but you must know how to evaluate them.

Writing the answer

- When writing the answer, focus only on the specifics of the financial data analytical requirements –do not answer the question you wish had been set – or the one that the tutors predicted would be set.

- Analyse and understand all the CS Exam facts: there is always an update and developments of the business scenario in the CS Exam – you must take account of that updated scenario.
- Do not waste time in calculating extensive or repetitive appendices which cover areas that have not been requested or in producing any complicated bespoke calculations – however accurate your work may appear to be, it is irrelevant and will not be rewarded.
- Remember to structure the answer: work from the information supplied (A&UI), through clearly explained analysis (SP&S), provide an evaluation of the assumptions (AJ), and arrive at your decision (C&R). Remember your audience and keep your answer in context.

Skills tip

Remember to 'step back' and check your numbers are in the correct 'ball-park' using common sense. Label and explain the numbers that you calculate.

9 Marking Key

REQUIREMENT 2 – Evaluation of ERP Phase 2 vendors

Assimilating & using information	Structuring problems & solutions		Applying Judgement	Conclusions and recommendations
R2.AUI.1 Appendix 2	**R2.SPS.1 Calculation of OP (report/appendix)**		**R2.AJ.1 Evaluation of revenue assumptions**	**R2.CR.1 Draws conclusions (under a heading)**
• Numbers clearly derived	• Delivery: 70+84+98 AND 98+119+140		• T substantially **more** revenue/ OP for HP	• Gives incremental OP for G AND T **with figs**
• Calculations for Grossmark (G) AND Transit (T)	• Maintenance: **40+40+40** AND **80+80+80**		• Phase1 revenue not met **so** could be optimistic OR Greg & Sons estimated 10% inc **so** figures may be prudent	• Concludes on staffcosts **with fig**
• Calculations for Grossmark (G) AND Transit (T)	• Redundancy: 100+0+0 AND 160+0+0		• Difficult to attribute extra revenue to single source	• Evaluates other revenue/cost assumptions
	• Savings: (250)+(250)+(250) AND (500)+(500)+(500)		• Add'l T functionality: impact on revenue/ meets HP spec ('people who buy X buy Y')	• Concludes on wayforward (GvT) withreason

	• Depn: **150+150+150** AND **250+250+250**		• 2021 may not be good year on which to base rev/GP%	
	• OP: G £491k AND T £932k		• Any changes in assumptions willimpact calc/ decision	
R2.AUI.2 AI/CSE information (report/appendix)	**R2.SPS.2 Assumptions**		**R2.AJ.2 Evaluation of cost assumptions**	**R2.CR.2 Makes recommendations**
• Extra rev: **1,000+1,200+1,400** AND **1,400+1,700+2,000**	• Capex: T higher costs/compares to bank balance	>	• Capex: contract costs would be fixed/may need funding	• Back-up for vendor/HP assumptions
• Uses HP 2021 GP% of **18.4% – 20%**	• Useful life: T says 5 year life/would reduce overall costs	>	• Useful life: no evidence for T claims	• Get a 3rd quote/ discuss funding with bank
• GP: 184+221+258 AND 258+313+368	• Maintenance: G expecting economies of scale with Phase 1	>	• Maintenance: G failing to meet Phase 1 standards	• Negotiate T&C eg, payment terms, data security
• Uses **7%** for delivery costs	• Dist: 7% compared to current 7.2% / > 6% for Phase	>	• Dist: could be small deliveries/ new route mgt system/more online sales	• DD on T/update DD on G
• Uses **3** yrs for G depn AND **3 or 5** yrs for T depn	• Starts Jan 2022/ Jan is quiet time/2mths parallel run	>	• May be extra costs eg, marketing, wage inflation, discounts	• Communicate with staff about redundancies/ redeployment/ Consider redeploying staff to other depts given growth
				• Other commer-cial recommen-dations
R2.AUI.3 Business issues/wider context	**R2.SPS.3 Staff cost savings and redundancies (PPS)**		**R2.AJ.3 Evaluation of staff cost savings and redundancies**	
• Impact of COVID-19 on the business	• Total staff savings: G **£250k** AND T **£500k**		• Figures provided by HP/should be accurate	
• Risk Tracker (eg, multiple suppliers, cybersecurity)	• Total redundancy: G **£100k** AND T **£160k**		• Need to take account of wage inflation in Y2 and Y3	

• Strategic Plan (eg, new system needed for online growth)	• Number of redundancies: G **8** AND T **12**		• Making redundancies conflicts with HP's previous policy	
• New system needed to reduce IT outages	• Average salary G £31k AND T £42K OR Average redundancy G £13k AND T £13K		• Basis for making these specific staff/roles redundant unclear	
• G is known supplier/T has e-commerce Information experience (Greg & Sons)	• Considers branch v HO split eg, numbers, salary, redundancy		• Impact of staff redundancies on rest of business eg, customer service, weaker HO controls	
• Bank balance £662k at year end	• Considers reasonableness of redundancy figures		• Need for clear communication with staff	

Summary of skills

Referring back to the coverage of professional skills in Chapter 1, candidates can see how these principles are reflected in the above Marking Key:

- **A&UI:** The first area above assesses the quality of the appendix. The middle area assesses candidates' calculations, which then serve as the springboard for their analysis. For the third area, the Information had provided background on the industry and HP's business situation, such as the risks of multiple suppliers and cybersecurity potentially impacting on the business, the need for a new system to facilitate online growth and the requirement to reduce IT outages.
- **SP&S:** The first mark-scoring area is for the calculation of the incremental operating profit arising from each of the vendors; the second for commenting on assumptions; and the third for the PPS- based number-work on staff cost savings and redundancies. The three mark-scoring areas follow a logical progression through the requirement assessing the analysis of both financial and non- financial factors.
- **AJ:** The first mark-scoring area is for evaluating the revenue assumptions associated with the two vendors; the second is for evaluating the cost assumptions; and the third for evaluating the PPS- based work on staff cost savings and redundancies. The three areas follow a progression through the requirement, evaluating the analysis, applying judgement to the financial and non-financial factors, and demonstrating a logical flow of decision making. This involves thinking about the wider ramifications of selecting either of the two vendors as well as applying professional scepticism throughout.
- **C&R:** The first mark-scoring area is for concluding on all aspects of the requirement and on which vendor to select. The second is for providing commercial recommendations embracing the overall scenario. It can be seen that these flow logically from the foregoing analysis and evaluation, as well as responding directly to the case requirements and to the rubric that is common to all CS Exams ("in order to be successful, you will need to … draw conclusions from your analysis and judgement, and develop them into practical commercial recommendations").

Appendix: Suggested solution to additional optional exercise

See separate spreadsheet in the exam software for suggested numerical analysis.

Using this analysis and other information from across the case, students would be in a position to answer the specific points listed. For example:

- Total branch revenue fell by 29.6% (£6,072k) from £20,479k to £14,407k. There was no change in the number of branches.
- Overall average monthly branch revenue is now just £160k, down almost one-third (32.8%) from £238k in 2020.
- This is more than the fall in absolute revenue because of the effect of store closures in each of the two years – the total number of months open was higher in 2021 (90 vs. 86).
- The average decreased significantly for all branches: the smallest decreases were for Liverpool (23.7%) and Manchester (24.5%); the largest, Preston (41.6%).
- The figures for Manchester and Liverpool reflect additional business from Bolton and Wigan (see also below), and so one might have expected the decreases to be smaller.
- Bolton's monthly average (£174k) compares fairly with other branches, indicating that the upgrade was a modest success; but Wigan's figure (£138k) is one of the lowest, perhaps suggesting a return to its past problems.
- Despite having the lowest percentage fall, Liverpool continues to have the lowest monthly revenue (£128k). This may indicate that it had not yet reached the peak of its growth; there may also have been an adverse impact if the neighbouring Ridley Plumbing outlet has had a period of closure.
- The two 2019 refurbishments (Warrington, Preston) fared badly in 2021, while the 2020 refurbishments (Burnley, Blackburn) did slightly better. Being shut in March, a traditionally busy month, may have had an impact. Also, because click-and-collect revenue is treated as part of online, the effect of upgrading will not be fully evident in individual branch revenue.
- Total monthly revenue for each month as a percentage of total revenue fluctuates between the two years. This is partly the result of store closures.
- Most obviously, June 2020 represents 0% of the full year. A further consequence of this is that in 2020, the March-June period contributed 37.7% of total annual revenue – well below 'around half'. For 2021, when the pattern of closures was different, the figure rises to 44.3%.
- It should be noted that the 'around half' is for the whole of HP's business (ie, online as well as branch), and therefore without the equivalent phasing data for online, it is not possible to draw any firm conclusions.
- In addition, the seasonality may have been affected by other factors cited in the case – weather; new incentives; and the general economic situation. The last of these will in particular have distorted the results for part of this period.
- The redirection of customers from Bolton to Manchester branch and Wigan to Liverpool seems to have been a modest success. The monthly revenue in Manchester and Liverpool for each of the three months of closure was higher than in 2020, contrary to the pattern of 2021 figures being down on 2020. However, the differential – and the variation from

  December 2020 – suggests that quite a bit of HP's overall branch business was lost over the 3-month closure period (it is possible that there was some offsetting increase in online sales, but no data is given to prove this). This contrasts with 2020, when the upgrades of Blackburn and Burnley resulted in 'minimal loss of business to HP overall' (Exhibit 5).

Chapter 4

Commercial analysis including business trust and ethical awareness

Introduction

Examination context

Learning topics

1 Commercial analysis

2 Commercial analysis in the Case Study

3 Ethics and business trust

4 Ethics and business trust in the Case Study

5 Appendices: The Scour Case

6 Exercises

7 CS Exam with Requirement: commercial analysis

8 Illustrations of comparative answers

9 Marking Key



Introduction

Chapter 4 introduces candidates to the topic of **commercial analysis**. This term will be used as a shorthand for all the areas of analysis that are typically assessed under Requirement 3 in a CS Exam, namely: financial, operational and strategic analysis, together with business trust and ethical awareness.

This chapter contains details of the relevant techniques to be understood and developed by candidates in preparation for answering the commercial analysis requirement. It also provides a series of important 'skills tips' for candidates to help their preparation and their delivery of a good- quality report. In addition, there is a short section on how to improve exam performance in this topic.

The chapter also contains an abridged Case Study – Scour – based on a previous CS Exam. The abridged Case Study focuses on commercial analysis. This provides candidates with an opportunity to tackle a substantial Case Study requirement on this topic, based on extracts of the sort of information which would be provided in a full Case Study. It includes a pre-populated spreadsheet, which may form part of the information for Requirement 3 in any Case Study.

Relevant extracts from the Scour Marking Key are provided, as well as examples of answers of differing qualities which candidates might have produced in tackling this requirement for Scour.

Exam context

The CS Exam requires the analysis of a business from a number of different perspectives:

- financial statement analysis (see Chapter 2);
- financial data analysis (see Chapter 3); and
- commercial analysis: namely financial, operational and strategic analysis, including business trust and ethical awareness (the subject of this chapter).

These three perspectives form the basis for the three main requirements in the CS Exam, which all have an equal weighting. Although this Workbook covers all three aspects of business analysis, each topic is designed so that it can be studied individually, with separate abridged Case Studies being used to illustrate each of the aspects of analysis.

However, none of these topics can be viewed independently. They are intertwined because the financial statement analysis – the analysis of how the business has been performing in its immediate past – informs the financial data analysis – which usually considers a current issue facing the business. The analysis of the business from these two perspectives (past and present) informs, and is informed by, the commercial analysis, which considers the business from the present to the future.

It is important to be aware of the 'financial' component of commercial analysis. Throughout the CS Exam, you are expected to demonstrate your added value as a prospective ICAB Chartered Accountant by displaying your skill with numbers when analysing and evaluating any problem for which numerical data is provided, and to incorporate it into your report.

1 Commercial analysis

The commercial analysis of the business involves a comprehensive review of all aspects of business activity, current and future, with an emphasis on acting appropriately. It is important in the preparatory work carried out by candidates and it affects all requirements to varying degrees.

What do the examiners mean by commercial analysis?

In broad terms, commercial analysis covers two areas.

Financial, operational, and strategic analysis

- The identification, analysis and consideration of the financial and non-financial factors, statements and explanations offered for the activities that a business is currently conducting and the route that it is following.
- The consideration of the proposed route and activities that a business might pursue in the future, taking into account all internal and external factors.
- The analysis of a full range of activities from the consideration of the overall business to a detailed analysis of a business unit or revenue stream or single operation using all the financial and non- financial information available.

There are a number of well-known analytical techniques to help with the operational and strategic aspects of this analysis (see below). It is underpinned by the analysis of financial information, which aspiring ICAB Chartered Accountants should be confident in integrating into their overall analysis, using all the techniques and skills developed in both practice and study – in some instances by applying what might be referred to as 'financial common sense'.

Business trust and ethical awareness

- This area of analysis, which for the sake of brevity can be encapsulated by the phrase 'business ethics', requires the application of professional ethical standards and careful consideration to business behaviour, scenarios and issues, as presented about the organisation.
- ICAB has issued guidance on professional ethical standards (see later in this chapter). However, it is the application of those professional standards to a client business or related organisation which, for a professional ICAB Chartered Accountant, can be the most challenging.
- The application of those professional guidelines in a dynamic business situation is a subjective process that requires a high level of skill in identifying potential areas of concern. Having identified an issue, you will require even more professional skill and confidence to carry out the subsequent analysis of that issue within the framework of the organisation and to apply professional judgement leading to conclusions and recommendations.

Identifying matters of ethical concern can be difficult because an issue will not appear neatly entitled business trust or ethical factor'. Putting it in perspective may require the application of an element of ' professional scepticism on the part of candidates.

Skills tip

Commercial analysis (financial, operational and strategic analysis and consideration of business ethics) requires you to understand the business operations as presented in the Information and CS Exam (A&UI), which then requires logical structured analysis (SP&S) and the application of careful judgement using linkages and implications (AJ). It requires the ability to apply professional scepticism to the business issues under review (AJ). It is also a task where there is a need for unambiguous conclusions and clear recommendations as an outcome (C&R).

2 Commercial analysis in the Case Study

Analysing the Information

The Information in question provides information on all aspects of the business and is the starting point for a structured analysis of its operations and strategy – and the identification of any potential business trust or ethical issues facing it. As with all analysis, this involves identifying and using the relevant data from the Information, and linking it into the wider business context, to ensure that the whole business scenario is covered. This analysis is considering the non-financial information presented in the Information but it is linked to the financial information about the organisation and the financial context.

In order to structure this analysis, there are a number of analytical tools or techniques with which all candidates should be fully familiar from their previous studies. Three of these are:

- **PESTLE:** Political; Economic; Social; Technological; Legal; Environmental
- **SWOT:** Strengths; Weaknesses; Opportunities; Threats
- **Porter's Five Forces:** threat of new entrants; rivalry; threat of substitution; supplier power; buyer power

It is extremely unlikely that candidates will be asked to reproduce a PESTLE, SWOT or Porter's Five Forces analysis in the exam. However, they will be expected to include relevant items from their original analysis in a focused discussion on an operational or strategic issue facing the business. Their work on the Information should include preparing these forms of analysis, but they should not expect all of this work to be usable in the exam. They must be prepared for the CS Exam information to lead to changes for the organisation and, as a result, they will need to update their previous analysis and incorporate the changes in their exam answer.

Skills tip

What is true of the other techniques described in the financial analysis sections (Chapters 2 and 3) is also true for commercial analysis. Candidates may have studied these techniques previously, but it is extremely unlikely that they will have had the occasion to apply them in an exam situation to the quantity of information that is presented in the Question Information scenario. It is therefore important that candidates themselves do this analysis and by such practice become fully competent at using these techniques with speed.

Overall, operational and strategic analysis techniques are all about looking at the positives and negatives affecting business activity both internally and externally in order to conduct a structured evaluation of the business. All candidates must be prepared to blend the preparatory broad analysis into a focused answer to the CS Exam requirement.

2.1 Developing industry awareness

Candidates are expected to spend a small amount of time carrying out additional research and analysis necessary to enhance their awareness of the industry and market context. Some questions that they might need to keep in mind are:

- What are the current issues in the industry?
- What is the impact of the wider economy on the industry?
- What are other/market leading companies doing at the moment?

In the time between the publication of the Information and the CS Exam itself, candidates should keep up to date with the financial media and remain informed about matters that are likely to affect the subject organisation – whether general matters like a change in any government or its policies, a change in exchange rates, inflation figures, or details about

something more specific such as a major issue affecting the industry or a landmark legal ruling affecting a competitor or piece of publicity (good or adverse) about the industry.

2.2 Using the components of commercial analysis (financial, operational and strategic analysis) in the exam

- **Financial analysis** – this will be similar to the tools used for financial data analysis at Requirement 2
- **Operational analysis** – this area of analysis can appear in the requirements as a request to consider an operational issue, such as a new opportunity or overcoming a limiting factor, which might affect the current and future operations of an aspect of the business. It might also cover the types of issues which affect the way a business interacts with its customers or suppliers during the course of its trading activities – such as a series of factors which have implications for continuing to deliver high-quality business.
- **Strategic analysis** – this is usually part of the wider context and it involves identifying and using the relevant data from the Information, any necessary own research and the CS Exam information to form the necessary focus for an answer.

The CS Exam includes information which allows additional operational and strategic analysis to be applied to information provided in the Question Information. It will normally be very clear from any of the requirements what type of analysis is expected of candidates.

There are also usually some financial factors, numerical criteria or other information to indicate:

- The relative importance of the issue
- The potential impact on the business and its operations
- A benchmark against which to evaluate any yes/no decision
- The possible financial effect of choosing positively or negatively (acting or not acting)

Exam answering techniques

Candidates must make sure that they are using business and financial common sense as well as their analytical skills.

Most businesses exist to make profits for their owners and so an overriding criterion is going to be the potential financial impact of any decision. Candidates need to be aware of this financial impact, as they will be expected to carry out financial analysis as part of their answer to the requirement.

2.3 Financial analysis at Requirement 3 – some further considerations

In preparing for the CS Exam, you should:

- Ensure that you are familiar with and know where to locate all the financial information in the Information – not just the financial statements (management accounts) and related commentary.
- Practise some basic calculations in relation to this information and make sure that you have a grasp of the basic facts, such as the average/typical price or margin for the company's product(s) or service(s).
- Overall, your approach should be to be prepared to deal with any numerical tasks presented in the exam.

3 Ethics and business trust

Introduction to ethics

Ethics may be defined as 'written and unwritten codes of principles and values that govern decisions and actions within an organisation'.

In the business world, an organisation's culture sets standards for determining the difference between good and bad decision-making and behaviour. The expression 'business ethics' can be used to describe the actions both of individuals within an organisation and of the organisation as a whole – though in effect these are the same thing: the culture of an organisation is necessarily shaped by the individuals who work for it (especially those at the top, the ones who 'set the tone').

In the commercial world, the term 'business trust' (the trust that outsiders can place in a business) is seen as being an important aspect of business ethics. In recent times, major companies, or even whole business sectors, have suffered because of a decline in business trust. There is substantial evidence that if trust of any kind can be called into question, it is very difficult for that trust to be re- established.

In the most basic terms, business ethics has two parts. The organisation must first know the difference between right and wrong, and then choose to do what is right in the relevant circumstances.

Sustainability

An increasingly important issue affecting businesses is sustainability. Whilst there are many aspects to sustainability, and ambiguities as a result of the common use of the word, one framework is to consider three dimensions of sustainability: environmental, social and business.

- Environmental sustainability: often used when referring to issues such as climate change, emissions and the use of non-renewable resources.
- Social sustainability: used in the context of labour and supply chains, as well as social value issues.
- Business sustainability: a business may find its viability impacted by either of the other two aspects of sustainability. For example, there may be tensions introduced between the financial costs of an organisation's environmental policies and its commercial agenda. Alternatively, business reputation can be enhanced by environmental policies, giving financial benefits in the long run, ie, there is not always a trade-off.

Many of these aspects of sustainability have at their core the need to 'do the right thing'. What that means depends on one's perspective, and business decisions in this context may often involve an assessment of the ethics of a situation.

Ethics in professional life

An ICAB Chartered Accountant – or a candidate aspiring to become an ICAB Chartered Accountant – must develop, and adhere to, an ethical approach to work. As with many areas of professional competence, the skill of being aware of and able to identify and address ethical issues is one that develops over time. This task is complicated by the fact that an ethical issue does not arrive with a red flag waving to draw attention to it. Frequently in practice it will arrive in a subtle and inconspicuous manner.

Your work experience will probably have provided you with an opportunity to observe ethical issues as they arise and to have had a chance to put ethical principles into practice. As you

have progressed through your training, you will have found that your day-to-day work has an ethical dimension, affecting everything from how you treat other people to how you analyse and judge information and situations and make decisions. You will have absorbed the values of those around you and learnt by formal, structured training and informal, on-the-job discussion. As you progress in your career, you will be expected to keep high standards of ethical behaviour, set an example for others to follow and develop your moral leadership skills to help maintain an ethical culture in your organisation.

Ethical behaviour pervades the whole organisation. Indeed, we talk about a business having an 'ethos' (the Greek word, literally meaning 'custom' or 'manners', from which 'ethics' is derived). On occasion, it is important to be able to determine whether one aspect of questionable ethical business behaviour, or the behaviour in one area of the business, is providing a signal about the existence of poor ethical business behaviour throughout the organisation.

Determining whether an action is ethical

In order to determine whether or not an action, commercial incident or pattern of behaviour presents an ethical dilemma, it is important to consider the outcomes of the decision-making process. One way of identifying ethical dilemmas is by using the 'four-way test' to evaluate decisions – so called because it involves asking four general questions – although this is not a definitive list but a reflective process:

(a) Is the decision/action a truthful one?

(b) Is the decision/action fair to everyone affected?

(c) Will the decision/action build goodwill for the organisation?

(d) Is the decision/action beneficial to all parties who have a vested interest in the outcome?

If these four questions can be answered with a 'yes,' it is likely that the decision is an ethical one.

Another way of considering whether decisions/actions are ethical is by using the 'publicity test' – that is, by asking what would be the reaction if the decision/action were published in the local or national press, on the internet or through social media. Apart from reasons of commercial sensitivity, if the organisation would not want the wider world to know of the decision/actions, then it may mean that it is a potential ethical dilemma.

A structured approach

In those cases where a potential ethical dilemma presents itself, there is a need to develop a logical and structured approach in dealing with the situation. There are a number of key steps to be followed:

- Gather the relevant facts and identify the problem
- Identify the affected parties
- Identify the ethical issues involved
- Consider and evaluate alternative courses of action and associated consequences
- Decide on a course of action

Gather the relevant facts and identify the problem – Find out as much about the situation as you can to clarify the problem and identify the key issues. For a client this might include being able to identify:

- Potential breaches of law, regulations or standards, such as tax evasion (or 'aggressive avoidance')
- Pressure from superiors for employees to behave unethically

- The creation of misleading accounts/recording false data
- The submission of misleading information to shareholders or regulators/other authorities
- Conflicts of interest such as involvement with competitor organisations

Identify the affected parties – Work out who will be affected and the potential impact on them. This requires a stakeholder analysis and could involve:

- Shareholders/other investors
- Regulators/financial markets
- The government/government agencies/HMRC/law enforcement agencies
- The general public
- Directors/employees
- Consumers/suppliers

Identify the ethical issues involved – Use the information collected to identify any ethical issues involved, such as:

- Breach of confidentiality
- Conflict of interest/lack of objectivity
- Dishonesty

Consider and evaluate alternative courses of action and associated consequences – Think about the options that are available and their potential outcomes:

- All the consequences have been discussed and evaluated.
- You feel that you are doing the right thing.
- The action will stand the test of time.
- A similar course of action would be undertaken in a similar situation within this organisation or elsewhere.
- You would feel comfortable with scrutiny from peers, family and friends.

Ultimately **you** need to be confident that **you** are doing the right thing.

Decide on a course of action – Having considered the issues, determine the most appropriate course of action consistent with the fundamental principles and implement it. It is unlikely that you as a candidate will take the ultimate decision, or carry out the related action, yourself. Any decision is likely to be reached in consultation with your line manager, counsellor, training partner, ethics partner or equivalent.

- Report up the line internally.
- Raise the matter directly with the client's board of directors.
- Write to the client's shareholders.
- Blow the whistle to the regulator (where applicable) in the public interest.
- Contact the media.

Ethics: shades of opinion

It is also very important in practice to be tactful when dealing with ethical issues because, whatever the origin of a questionable ethical issue, it is sometimes a debatable matter of fact whether an issue has occurred through wilful actions, or negligence, or accident. It is also

frequently a matter of opinion whether, for a particular situation, there is a clear ethical issue to be addressed – there are often shades of opinion and these must all be assessed as carefully as possible, bearing in mind any cultural, national or religious differences.

4 Ethics and business trust in the Case Study

Provision of ethical help by ICAB

One of the differences between the Case Study and professional practice is that in real life candidates would automatically seek support and advice from the hierarchy available to them in the organisation or from outside (eg, the ICAB Technical Advisory Service) for any identified actual or potential ethical issue. As this is not possible in an exam, candidates must be able to analyse, discuss and attempt to resolve the issue themselves. However, this is no different from the assessment of any other topic in the Case Study: in practice, professional support and help will usually (to a greater or lesser extent) be available for any problem identified, and this is no more or less true for the assessment of an ethical issue.

It would clearly be an inappropriate answer merely to state that the identified problem should be 'passed up the line' without providing a convincing structured analysis of the issue, the ethics involved, and the impact that the issue might have on the business. It is therefore important that candidates develop the techniques for assessing and answering questions related to ethical issues which should build upon their training in ethics and professional scepticism and on their approach to ethics in earlier stages of the ACA and in the workplace.

Sustainability

As noted above, sustainability issues are often considered at their core to be ethical, and the Case Study may involve sustainability issues, on which students need to formulate a response, in the context presented. An exercise at the end of this chapter, together with the Walkthrough, provides candidates with opportunities to practise answering exam requirements involving sustainability.

What do the Case Study examiners expect when they refer to 'ethics'?

Throughout the Case Study, candidates are expected to develop an answer based on their demonstration of the four skills:

- Assimilation & Using Information (A&UI)
- Structuring Problems & Solutions (SP&S)
- Applying Judgement (AJ)
- Conclusions & Recommendations (C&R)

Tackling ethical issues is by its nature a matter of applying degrees of professional judgement. A candidate's consideration of, and response to, ethical issues within the Case Study will therefore normally be assessed mainly under AJ, but this cannot be done successfully without the other three skills areas.

The table below sets out the specific skills areas under which ethical issues are assessed in the Case Study.

Assimilating & Using Information

Understand the situation and the requirements

- Identify ethical issues, including public interest and sustainability issues, within a scenario

How skills are assessed

Candidates may be required to:

- use the Advance Information, CS Exam, knowledge of ethical codes and professional experience to define the specific issue/situation; and
- demonstrate an awareness of ethical and business trust issues and situations.

Structuring Problems & Solutions

Develop solutions

- Identify ethical dimensions of possible solutions
- Select appropriate courses of action using an ethical framework

How skills are assessed

Candidates may be required to:

- use knowledge of ethical codes and professional experience to perform relevant analysis.

Applying Judgement

Apply professional scepticism and critical thinking

- Exercise ethical judgement

Relate issues to the environment

- Appraise corporate responsibility and sustainability issues
- Appraise ethical, public interest and regulatory issues

How skills are assessed

Candidates may be required to:

- use knowledge of ethical codes and professional experience
- identify risks and ethical issues within, and derived from, the scenario
- identify key ethical issues for an accountant undertaking work in accounting, finance and assurance
- evaluate any specific business trust points relating to the issue under review

Conclusions & Recommendations

- Apply professional experience and evidence to support reasoning

How skills are assessed

Candidates may be required to:

- draw conclusions that conclude on ethical issues
- offer clear, practical, and commercial advice and recommendations that resolve any identified ethical dilemmas or issues of business trust

The rubric in both the Advance Information and CS Exam sets out what is expected of candidates in respect of ethics.

Advance Information rubric

Assessment of the Case Study

Ethical issues do not form a specific requirement but, within a requirement, may cover such topics as:

- Lack of professional independence or objectivity
- Conflicts of interest among stakeholders
- Doubtful accounting or commercial practice
- Inappropriate pressure to achieve a reported result

CS Exam rubric

Marks allocation

Of the total marks available, approximately 10% are awarded for the relevant discussion of ethical issues within your answer to the requirements.

As well as under the relevant detailed requirements, marks will also be available in the Executive Summary for summarising the key findings on ethical issues. Ethics therefore forms a significant part of the total marks available. As a result, candidates omitting to deal with the ethical issues of the case would be seriously jeopardising their chances of success in the exam.

Ethical requirements in the Case Study

Ethical issues are embedded in the Case Study and are a component of CS Exam requirements but they will not normally constitute a specific single requirement. They will occur primarily in Requirement 3, but they may also arise in Requirement 1 and/or Requirement 2. The practice cases and Walkthrough included within these Learning Materials offer several examples. Ethical issues will not normally have a numerical component, but again this is not a hard-and-fast rule: candidates may be asked, for example, to calculate the financial implications of adopting (or not adopting) a particular approach to an ethical issue.

It is important to be aware that the issues arising in the Case Study will normally be issues of business ethics rather than professional ethics – ie, you are being asked to discuss how the subject entity should deal with a particular dilemma that it faces, rather than the implications for you as adviser in providing advice.

In this connection, one vital consideration is to know the identity of your audience. If you are being asked to report to the board of directors as a whole (which will often be the case), but you know from reading the case material that the directors all have different vested interests that may not benefit the entity as a whole, you will need to be very careful about what advice you give and how you word it. This will especially be the case if one of the directors is in some way implicated in the issue.

The four categories

As was seen above, the Advance Information rubric indicates the four general categories under which ethical issues might arise. Note that the four categories are all by nature areas of concern – each one contains a word that suggests questionable behaviour or a difficult situation ('lack', 'conflict', 'doubtful', 'inappropriate').

It is hard to provide a definitive list of ethical issues that could potentially occur in the Case Study under the four headings, but here are some general examples that might arise under each.

Lack of professional independence or objectivity

- Failing to ensure that your advice is directed at the individual(s) or company that commissioned it
- Abusing confidentiality
- If your role is one of a secondee, not compromising yourself in the work that you carry out
- Offering or being expected to perform further work outside your sphere of expertise

Conflicts of interest among stakeholders

- Cartel or other linked arrangements which act against consumers' interests
- Established company practices in opposition to environmental responsibilities
- Undisclosed related party transactions (eg, employing relatives)
- Performance-related pay (including commissions and bonuses)
- Abuse of close personal relationships for commercial gain (eg, engaging a relative's company as a supplier)

Doubtful accounting or commercial practice

- Aggressive attitude towards a supplier
- Imposition of unfair contract terms
- Health and safety failings
- Abuse of customer information
- Misuse of commercial intelligence/breach of copyright
- Misleading advertising

Inappropriate pressure to achieve a reported result

- Misclassification of items in financial statements to ensure compliance with bank covenants
- Failure to report or include or adjust for a critical factor in the financial statements
- Questionable impairment policy
- Abuse of cut-off
- Manipulation of KPIs
- Potential bias in forecast/business plan to support application for a loan

It should be emphasised that the categorisation is not rigid – all that is important in looking at these examples is that they serve as a list of possible areas of ethical concern – and it also depends on evaluating the 'certainty' of categorising an action under any ethical heading at all.

In the Case Study, the first category (lack of professional independence) is likely to be the least significant – though it could occur. Typically, your role has been created in such a way that the work you carry out in the exam is specifically allowed by your terms of engagement; and the ethical issues you are being asked to tackle are those relating to the business itself and not to your role.

4.1 Dealing with ethical issues in Case Study

How do you identify ethical issues in the Advance Information?

- Some ethical issues are obvious, while others are subtler and are a matter of assessment and opinion – as was stated earlier, ethical issues will not always come with a red flag waving and are not standardised.
- Once you have read through the Advance Information and familiarised yourself with its broad contents, you should read it again with a view to picking out and noting the potential ethical issues.
- Sometimes, there may be just one or two ethical issues in the CS Exam, requiring an in-depth analysis; on other occasions, there may be four or five smaller ethical points, where your focus will need to be more on breadth of coverage.
- It may help to remember the general category headings as provided in the exam rubric (see above) to enable you to focus your ethical analysis in order to identify all the relevant potential issues.

> **Skills tip**
>
> Try to recognise linkages (and contradictions), both within and between exhibits. For example, an exhibit dealing with the wider context may identify a general ethical issue; while another exhibit may mention that within the business scenario there is a more specific, related issue – with no suggested solution given. You must make an attempt to deal with the issue in the context of the ethical perspective.

In preparing for the exam:

- You should be on the lookout for references to business ethics in the media, particularly where they relate (whether directly or indirectly) to the subject business and/or the industry in which it operates.
- You should also be alert to ethical issues arising in your professional work and get into the habit of considering how you would address them rather than automatically leaving them to a manager to take forward.
- Overall, your approach to ethical issues should be no different in broad terms from your preparatory work on other aspects of the Case Study, such as financial statements analysis. The same attention to detail will put you at a strong advantage before you enter the exam.

There are a number of ways in which you can identify ethical issues in the CS Exam:

In most CS Exams, there will be a specific request to consider a problem or an issue which will include the request to consider its ethical dimension – and obviously that should be addressed.

- Otherwise, as part of your analysis of the scenario in the exam itself, you should try to identify references to ethics and where possible link these to the ethical issues identified in the Advance Information.
- It must be stressed that the analysis and identification of ethical issues (similarly to any financial analysis) to be included in an answer should be done only where it is relevant to the requirements. You are unlikely to need to discuss all of the ethical issues you identified in your preparation. You must avoid the temptation to adopt a 'scattergun' approach to the ethical aspect of any requirement or to reproduce all the ethical issues you identified in your preparation. They may not all be relevant.

The assessment of ethical issues in the Case Study

- Ethical issues, which may occur in any or all requirements, are assessed across the whole range of skills. Candidates do not earn full credit for merely listing an issue without going on to analyse it and apply judgement – a critically important skill particularly in relation to ethics – or going on to reach a conclusion and make an appropriate recommendation.
- From the evidence of candidates' performance in the Case Study, candidates can generally deal with specific ethical requirements, if they are identified in the case material, and can develop their analysis by discussing the implications of the points made and make relevant recommendations.
- The weakest skill in the area of ethics – as with the Case Study as a whole – is AJ. Candidates are good at discussing the potential impact of an issue on a company's reputation, but generally struggle to look beyond this into, for example, the ramifications for the company's strategy or finances.
- Candidates are less able to identify wider issues or to analyse and evaluate broader, unstructured, ethical aspects of a business environment. Candidates also have difficulty in applying diplomatic judgement to ethical issues, frequently seeing them only in black or white and not shades of grey. They frequently fail to achieve credit here for 'tact', one of the aspects of the exam assessed under the overall assessment criteria section in the Marking Key.

5 Appendices: The Scour Case

INFORMATION FOR COMMERCIAL ANALYSIS

This section comprises an abridged Case Study which candidates should use in order to practise analysing Case Study information – particularly relating to commercial factors (financial, operational, strategic and ethical factors).

SCOUR LIMITED

The following information is extensively adapted from the original ICAB CS Exam information for Scour. The case has been abridged for use in these Learning Materials to provide an example of commercial analysis and the CS Exam requirements. This case scenario should be considered in the time context in which it is presented – August 2020.

This Case Study information should be studied and tackled in two stages:

First stage

Candidates should read, analyse and evaluate the Advance Information (Information), comprising Exhibits 1– 13, as if it were the Information for a real Case Study.

As a minimum, candidates' analysis of the financial statements should follow the structure suggested in the Exercises at the end of the Information in order that they are fully prepared for the subsequent exam.

Second stage

Candidates should attempt to answer the requirement in the CS Exam which follows the Information, taking no longer than 1 hour 20 minutes to complete it, including the preparation of any appendices and the relevant section of the Executive Summary.

INFORMATION

SCOUR LIMITED

List of exhibits

1 About you (Hilary O'Keeffe), your employer (Young & Walsh) and your client (Scour Limited)

2 The commercial cleaning industry

3 An introduction to franchising

4 Scour: An introduction

5 Scour: Review of the management accounts for the three years ended 31 May 2019

6 Scour: Management accounts for the three years ended 31 May 2019

7 Scour: Business model

8 Scour: Customer profiles

9 Scour: Franchising operations and franchisee profiles

10 Scour: Supply chain

11 Scour: Staffing (owned operations)

12 Scour: Strategic plan

13 Recent media coverage

Exhibit 1

About you (Hilary O'Keeffe), your employer (Young & Walsh) and your client (Scour Limited)

You are Hilary O'Keeffe, a final-year trainee ICAB Chartered Accountant, working in the business advisory unit of Young & Walsh, a firm of ICAB Chartered Accountants with offices across the West of England. One of your clients is Scour Limited. Scour provides commercial cleaning services for a wide range of customers across the West and South West of England. Scour also has a network of franchisees which provide commercial cleaning services to customers across the rest of the UK. You report to a partner, Paul Croxley.

Since you joined Young & Walsh, your work has included:

- Reviewing the management accounts of clients for variations and trends, enabling the directors of those clients to identify items (both revenue and cost) requiring further attention
- Performing financial analysis for clients to help them evaluate the benefits and risks of new opportunities, including any ethical and business trust concerns
- Applying professional scepticism to financial and other data provided to clients by third parties Developing the skill of explaining financial statements to people with a non-financial background Using a range of numerical information to advise clients on other financial and commercial aspects of their business.

Exhibit 2

The commercial cleaning industry

Overview

Commercial cleaning is a segment of the facilities management (FM) industry. FM covers a range of activities to support the smooth running of businesses and their premises, including not only cleaning but also (eg) catering.

Many businesses employ their own cleaning staff, but it has become increasingly common to outsource commercial cleaning to specialist companies. Some cleaning companies provide just cleaning services – albeit that this can cover a number of sub-services, such as window cleaning and carpet cleaning; others also offer other FM services.

Customers include a vast range of organisations, including factories, offices, hospitals, restaurants, prisons, hotels, educational establishments, leisure venues, shops and transport facilities. While cleaning is in many ways generic, it has to be tailored to specific needs or constraints (eg, budgetary restrictions or regulatory standards in cleanliness).

The UK commercial cleaning industry

More than 40,000 businesses operate in the industry, but it is dominated by a few large FM companies and large or medium-sized specialist cleaning contractors. Many of the industry's 700,000 employees work for the large FM companies; at the other extreme, the smallest companies have only a few staff each. Staff turnover is often high.

With lots of small companies vying for the same contracts, barriers to entry are low and start-ups are common. However, the market is changing, with technology becoming a key differentiator (see below). Many cleaning companies operate under a franchising model, whether as franchisor or franchisee (see **Exhibit 3**).

Low customer retention is a common feature. Shrewder companies invest in customer account management and maintain an almost obsessive approach towards quality, value and customer satisfaction.

Performance measurement

Companies use a variety of financial and non-financial metrics to assess performance. As well as the traditional accounting measures, these include:

- Staff retention
- Customer satisfaction
- Customer retention (sometimes called 'churn')
- Efficiency (eg, staff utilisation, revenue per employee)

Innovation through technology and sustainability

Profit margins are under constant pressure because of rising costs of labour, cleaning products and equipment, combined with pressure to improve standards. Companies must therefore focus on productivity and efficiency to remain competitive – and profitable. Investment in new products and technology to enhance performance is a critical success factor, creating smarter working while also providing a better service.

The drive towards more sustainable cleaning practices and products has also become important, creating a new market for so-called 'eco-friendly' cleaning products, as well as containers that are refillable and easily recyclable.

Exhibit 3

An introduction to franchising

Franchising common in the services sector (eg, retail, cleaning, food outlets: McDonalds is a good example).

In a franchise, a franchisor authorises proven methods of doing business to a franchisee for a fixed initial fee and a variable ongoing fee. 'Franchise agreements' set out both parties' rights and obligations. Agreements are typically for a period of several years, enabling the

franchisee to gain commercial and business experience. They specify the territory (country, town, area) where the franchisee is to operate; identify the franchisee's right to use the franchisor's name; and list the services to be provided by the franchisor (marketing, training, recruitment, administration, uniforms, etc) – the franchisor's 'continuing obligation costs'. The franchisee is responsible for the day-to-day running of the franchise, and must comply with the franchisor's operating terms.

A franchisor must be satisfied that a prospective new franchisee is financially stable enough to pay the fees and maintain the brand image (eg, by demonstrating a certain level of liquid assets, net worth or working capital). Once the franchise has begun, the franchisor may also impose quality control measures (eg, periodic/surprise inspections) to ensure that its goodwill, reputation and brand are not damaged by poor franchisee performance.

Franchising offers a number of advantages:

- Franchisees can start up quickly, based on a proven name and formula, rather than having to create a new business and brand. A good franchisor offers a full set of services (mentoring; ongoing support; legal compliance; marketing; invoicing, credit control; accounting; training), thus providing a central function, limiting the range of management skills required of the franchisee.
- Franchisors can expand rapidly across territories and earn profits accordingly, benefiting from economies of scale as the network grows. With limited investment in any one unit, their financial risk is reduced.

However, franchising does not guarantee success:

- Franchisees can damage the brand by providing poor goods or services, while the franchisor can damage franchisees by not promoting the brand properly or by squeezing them aggressively for profits.
- Because of the franchisor's standards, terms and conditions, franchisees often have no choice in, eg, uniforms and products used in the business and may not be allowed to source less expensive alternatives.

Fees

Franchise fees are divided into two types: initial and ongoing.

Initial fees

The initial fee is a one-off lump sum payment. Its purpose is to recover (i) some or all of the franchisor's costs incurred in assisting with setting up the new business; and (ii) a proportion of the costs incurred in developing the franchise system in the first place. The amount depends on the type and size of business. It covers several cost elements: services to help establish the new business; any specialist computer software or applications; initial training for the franchisee and/or key staff; and other assistance as required leading up to the opening.

In some cases, the fee may be set at a figure that does not immediately recover these costs, on the basis that attracting good franchisees who will succeed and promote the franchise's long-term growth is more important. At the other extreme, an established franchisor with a strong brand may justify charging a premium.

Ongoing fees

Having joined the system, a franchisee must also pay variable ongoing fees, usually a percentage of revenue. A typical rate is between 6% and 8%: from this, the franchisor will have to deduct continuing obligation costs to calculate the profit from the arrangement.

Some franchisors offer a higher level of support. This is expensive to establish and maintain, but it is extremely valuable to a franchisee and will therefore involve (and justify) a higher ongoing fee. As well as paying for provision of services and the support function, the fee should include a profit element for the franchisor.

Exhibit 4

Scour: An introduction

Overview of the business today

Based in Bath, a city 160 km west of London, Scour provides commercial cleaning services (standard interior cleaning) through two business streams:

- Owned operations: direct to its own customers, all based in the West and South West of England (see **Exhibits 7/8**)
- Franchised operations: indirectly through its network of franchisees, spread across the rest of the UK (see **Exhibit 9**).

History and development

Scour's story began in 2001 as Sallyclean – one lady (Sally Frith) with a bucket, mop and trolley. She gradually developed a customer base and brought in a team of cleaners. Her children – Joy, Leonora and Adam – gave the impetus for growth, helping to form a new company, Scour, in 2010. On her retirement in 2012, Sally handed the business to them, and their shared leadership took it into a new era of expansion. It continued to develop, building up a portfolio of customers through referrals, tenders and targeted advertising. In 2016 and 2017, Scour won various awards, raising its industry profile, not only in the West of England but also nationally.

The directors realised that they had to take advantage of this recognition by expanding across the UK. Looking at their competitors' performance and strategy, they decided that the best way to achieve this was through franchising. They recruited a Franchising Director to identify potential franchisees and develop a training and support programme to be used for all franchisees once they joined Scour.

On 1 December 2017, after market research, development and set-up, Scour's first four franchisees began operating. The franchisee network has since grown steadily: at 31 May 2019, there were 15 franchisees in total, all operating under three-year agreements. Scour's owned operations have also been achieving higher revenue and profit, through careful pricing, efficient working and expanding the number of recurring customers.

Scour today

All employees and franchisees are required to sign up to the Scour Promise, based on two pillars: Excellence and Efficiency. Scour's success in fulfilling this within its owned operations is assessed by a set of business measures against targets. These targets were set on 1 June 2016 and have remained in place since that date. Actual results below are for the years ended 31 May.

Business measure	Source	2020	2019	2018	2017
Customer satisfaction	Customer feedback (1)	95%	96%	94%	91%
Customer retention	Internal data (2)	70%	68%	65%	61%
Revenue per employee (£000)	Internal data (3)	35.0	35.1	34.6	33.9

Notes:

1 Summary of results from annual survey of all customers.

2 Percentage of customers with renewal dates during the year who have renewed their contract.

3 Revenue from owned operations divided by full-time equivalent (FTE) numbers of cleaning staff.

Senior management team

The senior management team comprises:

- Leonora Monk (née Frith) – CEO
- Joy Lyons (née Frith) – Finance and HR Director
- Adam Frith – Product and Purchasing Director
- Parthiv Shah – Marketing, Sales and Customer Relationships Director
- Maria Andreou – Franchising Director

Exhibit 5

Review of management accounts (Exhibit 6) for the three years ended 31 May 2019 (Joy Lyons, 24 July 2019)

Year ended 31 May 2017 (2017)

Revenue was up by around 2% to £11.4 million. The increase was the result of several important new customer gains. We also experienced higher costs for product purchases as our suppliers passed on some increases in the prices that they were paying their own suppliers for raw materials.

The customer gains were just enough to outweigh a spate of customer losses on quality grounds: some new cleaning staff had been omitting certain tasks or working shorter hours than indicated by our clocking systems. We spent £50k on new software to produce more accurate staff attendance records and better monitoring. We inserted new clauses in employment contracts, allowing us to terminate them for repeated disciplinary issues.

Year ended 31 May 2018 (2018)

This year saw the launch of Scour's franchise network, alongside modest growth in owned operations.

Owned operations: We increased revenue by taking on some new customers (with fewer customer losses) and by raising prices wherever possible, eg, by extending frequency/duration of visits to meet customer standards or best practice. With better cost control, leading to higher revenue per employee, we also increased our gross profit margin. Customer satisfaction reached a new peak of 94%, just below our ambitious 95% target. Towards year end, we replaced two head office staff who had left several months earlier; increased cleaner headcount in anticipation of further growth in the business; and bought two new vans.

Franchised operations: The network was launched on 1 December 2017, with four franchisees, including an ex-employee (Exhibit 9). They enthusiastically accepted the Scour way of working and leveraged the brand to such effect that they collectively earned over £0.4 million of revenue from their customers in their first six months. However, they found managing staff more challenging than expected. This meant higher ongoing expenditure (continuing obligation costs) from us than anticipated – a point that we would take into account for any future franchisees and in determining the level of support to be provided. It also gave us impetus to streamline the induction process for new franchisees and the choice of systems to help us run the network more effectively.

Year ended 31 May 2019 (2019)

Both streams achieved impressive revenue growth.

Owned operations: Revenue was up by £850k (7.2%). There were several key customer gains, partly from our name becoming more widely known, through the expanding franchise network (see below).

These include a group of three sports venues in the region, from December 2018. Annual revenue from these will be £1.0 million. Following a small price rise at the start of the year, average revenue per cleaning hour was up 1.4%.

Overall customer retention rose to 68%, a new record but still below our 70% target. Customer satisfaction beat our target for the first time, but this is not translating into higher retention: we need to understand why. With new energy-efficient equipment, better use of our workforce by improved staff scheduling (investing £70k in software) and effective recruitment, revenue per employee went just over our target of £35k. FTE headcount grew from 340 to 359. Personnel costs per FTE grew only slightly: this was a strong factor in increasing gross profit, gross margin and – supplemented by good control of administrative costs – operating profit.

Franchised operations: With 11 new franchisees (whose joining dates were spread evenly across the year), together with a first full year from the original four franchisees, fees from franchised operations almost quadrupled to reach £264k. Franchisees now represent 3.8% of our total revenue and 5.3% of our gross profit. The combined revenue earned by the 15 franchisees from their customers was £2.2 million, of which £1.2 million was attributable to the 11 new franchisees (almost £220k each if extrapolated for a full 12 months): this was in line with their combined revenue forecast, but with variations between individual franchisees. Scour's product sales to franchisees increased in line with revenue, boosting our overall profit from franchising. The new franchisees benefited from the experience of the four original franchisees and were thus able to implement good business practices from an early stage.

We sometimes incur extensive set-up and continuing obligation costs to support new franchisees, eg, recruitment and marketing during their first months; the level of support reduces thereafter. Of the £82k continuing obligation costs, £54k is related to the new 11 franchisees (ie, nearly £10k each if annualised). We expect our profit to improve from the 2019 figure of £74k as the existing franchisees become established and generate a steady flow of ongoing fees at steadily reducing costs.

Exhibit 6:

Scour: Management accounts for the three years ended 31 May 2019

Statement of profit or loss for years ended 31 May

	2019	2018	2017
	£000	£000	£000
Revenue (Note 1)	**13,097**	**11,867**	**11,411**
Cost of sales (Note 1)	(11,688)	(10,647)	(10,295)
Gross profit (Note 1)	**1,409**	**1,220**	**1,116**
Administrative expenses (Note 2)	(1,037)	(979)	(992)
Operating profit	**372**	**241**	**124**
Net finance income	18	7	3
Profit before taxation	**390**	**248**	**127**
Income tax	(74)	(47)	(24)
Profit for the year	**316**	**201**	**103**

Statement of financial position at 31 May

	2019	2018	2017
	£000	£000	£000
Non-current assets			
Property, plant and equipment (PPE) (Note 3)	178	197	224
	178	197	224
Current assets			
Inventories	44	34	28
Trade and other receivables (Note 4)	1,397	1,206	1,058
Cash and cash equivalents	**631**	**394**	**264**
	2072	**1,634**	**1,350**
TOTAL ASSETS	2,250	**1,831**	**1,574**
Equity			
Ordinary shares	150	150	150
Retained earnings	**829**	**513**	**312**
	979	**663**	**462**
Current liabilities			
Trade and other payables (Note 5)	**1,197**	**1,121**	**1,088**
Taxation	**74**	**47**	**24**
	1,271	**1,168**	**1,112**
TOTAL EQUITY AND LIABILITIES	**2,250**	**1,831**	**1,574**

Statement of cash flows for years ended 31 May

	2020	2019	2018
	£000	£000	£000
Cash flows from operating activities			
Profit before taxation	390	248	127
Adjustments for:			
- Depreciation	125	127	110
- Loss on disposal of PPE	(7)	4	(3)
- Finance (income)/expense	(18)	(7)	(3)
	490	372	231
Change in inventories	(10)	(6)	33
Change in trade and other receivables	(191)	(148)	(126)
Change in trade and other payables	76	33	37
	365	251	175
Income tax paid	(47)	(24)	(22)
Net cash generated from operating activities	**318**	**227**	**153**

Cash flows from investing activities			
Acquisition of PPE	(113)	(104)	(85)
Proceeds from disposal of PPE	14	–	5
Interest received/(paid)	18	7	3
Net cash generated from investing activities	**(81)**	**(97)**	**(77)**
Cash flows from financing activities	**-**	**-**	**-**
Net change in cash and cash equivalents	**237**	**130**	**76**
Cash and cash equivalents at start of period	**394**	**264**	**188**
Cash and cash equivalents at end of period	**631**	**394**	**264**

Notes to the management accounts

Notes

1 Revenue, cost of sales and gross profit

	2019	2018	2017
	£000	**£000**	**£000**
Owned operations			
Revenue	**12,605**	**11,755**	**11,411**
Cost of sales			
Personnel (payroll costs, training and recruitment)	(9,803)	(9,265)	(9,165)
Purchases of cleaning products and other supplies	(1,391)	(1,208)	(1,072)
Transport and distribution	(76)	(65)	(58)
	(11,270)	(10,538)	(10,295)
	1,335	**1,217**	**1,116**
Gross profit			
Franchised operations			
Revenue			
Initial fees	110	40	
Ongoing fees	154	29	
Sale of cleaning products	219	41	
Recharge of transport and distribution costs	9	2	
	492	**112**	
Cost of sales			

Set-up costs	**(145)**	**(53)**	
Continuing obligation costs	(82)	(19)	
Purchases of cleaning products	(182)	(35)	
Transport and distribution costs	(9)	(2)	
	(418)	(109)	
Gross profit	**74**	**3**	

Initial fees are payable at inception and recognised fully on the first day of the franchise agreement.

Ongoing fees are charged at 7% of franchisees' revenue. They are payable monthly. Cleaning product sales are invoiced monthly and payable within 14 days.

Set-up costs are incurred prior to the opening of a franchise. They are carried forward as prepayments and expensed on the first day of the franchise agreement.

Continuing obligation costs represent Scour's ongoing regular commitment to its franchisees, in the form of training, marketing, administrative and other support.

2 Administrative expenses

	2019	**2018**	**2017**
	£000	**£000**	**£000**
Personnel (payroll costs, training and recruitment)	571	538	569
Premises and IT (including depreciation)	289	276	261
Advertising and marketing	177	165	162
	1,037	**979**	**992**

3 Property, plant and equipment

Cost	**£000**
At 1 June 2017	447
Additions	104
Disposals	(27)
At 1 June 2018	524
Additions	113
Disposals	(33)
At 1 June 2019	604
Depreciation	
At 1 June 2017	223
Charge for year	127
Disposals	(23)
At 1 June 2018	327
Charge for year	125
Disposals	(26)

At 1 June 2019	426
Carrying amount	
At 1 June 2017	224
At 1 June 2018	197
At 1 June 2019	178

PPE comprises fixtures and fittings, vehicles and IT equipment. They are depreciated on a straight-line basis over their estimated useful lives.

4 Trade and other receivables

	2019	2018	2017
	£000	£000	£000
Amounts due from Scour customers	1,190	1,048	958
Amounts due from Scour franchisees	47	11	–
Trade receivables	1,237	1,059	958
Other receivables and prepayments	160	147	100
	1,397	**1,206**	**1,058**

Amounts due from franchisees comprise both fees and reimbursements for product purchases.

5 Trade and other payables

	2020	2019	2018
	£000	£000	£000
Trade payables	148	117	94
Other payables and accruals	1,049	1,004	994
	1,197	**1,121**	**1,088**

Exhibit 7

Scour: Business model

The sales and marketing process

HScour wins its work through promotion (adverts, attendance at trade events, hospitality at sports events; free trials; joint advertising with Thom – see **Exhibit 10**); referrals from existing customers; and tenders.

Businesses put cleaning out to tender for various reasons, eg, a desire to outsource work previously done in-house, dissatisfaction with the current provider. New businesses, or those opening new premises, also need to find a cleaning company. If Scour is appointed, the agreed price is reflected in a service level contract (SLC).

However, more important than winning new work is retaining existing customers, creating

an annuity and the chance of more work from these customers. Scour's retention rate (68% for 2019) is higher than the industry benchmark (60%), but over the last three years it has been consistently below Scour's target (70%). Scour is in the process of selecting a new CRM (customer relationship management) system to improve this statistic.

Arrangements with customers

SLCs are for one year or less. Most are renewed automatically. SLCs specify the minimum cleaning hours per week or month: this depends on the size, number and complexity of sites to be cleaned. Number of cleaning hours = hours x number of cleaners: for example, a customer whose premises are cleaned for 4 hours on 5 days a week (Monday to Friday: 2 hours every morning and evening), with 3 staff present throughout, will have 4 x 5 x 3 = 60 weekly cleaning hours. This is fairly typical for a medium-sized office building.

With this information, Scour can determine the cost of the work and hence price to charge to the customer. The main element of the price is staff costs, but it must also cover the cost of cleaning equipment, products and materials (including transportation), as well as giving an acceptable margin. An illustration is shown below for the customer Tonto (see **Exhibit 8**), with four stores of similar size.

Retail cleaning contract – Tonto: Calculation of costs and determination of price

- Weekly cleaning hours = 4 stores x 12 visits x 2 hours x 6 staff = 576
- Cleaning staff cost per hour = £12
- Weekly supervisor hours = 4 x 12 x 2 x 1 = 96
- Supervisor cost per hour = £15
- Annual cleaning staff cost = 576 x £12 x 52 = £359,424
- Annual supervisor cost = 96 x £15 x 52 = £74,880
- Other cleaner/supervisor personnel costs = £83,000
- Annual cost of equipment, products and materials (including transportation) = £80,000
- Total annual cost = £359,424 + £74,880 + £83,000 + £80,000 = £597,304

Using the above figures, Scour agreed a price of £680,000 with Tonto, giving a gross profit margin of around 12%.

Operations

Scour's work follows a fairly standard pattern for all customers. It typically comprises a thorough cleaning of all surfaces, floors, furniture and internal windows. Cleaners complete a digital work programme during their visit.

Quality

Scour prides itself on the high standards of its work. It regularly seeks qualitative and quantitative feedback from customers. Scour sets a high target (95%) for customer satisfaction, and in 2019 it beat this for the first time. Where a customer makes negative comments, it aims to resolve the issue as soon as it can.

Scour conducts regular audits to ensure that it is meeting its own cleanliness and compliance standards.

Scour takes very seriously its responsibilities and duty of care towards its own employees, customer employees, franchisee employees and customers. It undertakes risk assessments when necessary.

Health and safety and the environment

Cleaning work involves handling potentially harmful chemicals. Scour complies with all relevant health and safety legislation. (See also **Exhibit 10**.) Cleaners must wear plastic gloves and other protective clothing at all times and display signs where there is a risk of injury. As far as possible, Scour avoids using products which can damage air quality.

In general, Scour is very serious about its commitment to the environment. In line with best practice guidelines, it has pledged to stop using products containing plastic (or products in single-use plastic packaging) by 2023 and to be net carbon-neutral by 2030.

Exhibit 8

Scour: Customer profiles

Set out below are profiles of three existing customers of Scour's owned operations.

Customer 1 – Wilder & Daughters (Scour's annual cleaning revenue: £175,000)

Formed in 1966, Wilder & Daughters is a firm of solicitors with six offices throughout the West of England, under a single management team based in the Bath head office. Scour's work comprises a daily clean, Monday to Friday (other than holidays). It covers all internal parts, furniture and equipment. There is also an extended 'deep clean' once a month.

Customer 2 – Tonto (Scour's annual cleaning revenue: £680,000)

Tonto is a growing chain of supermarkets in Bath and surrounding towns. There are currently four stores (with another six scheduled to be opened over the two years to 31 May 2021), all open seven days a week. Cleaning generally takes place in two daily visits on weekdays and one on Saturdays and Sundays. Each takes two hours.

There is usually a team of six cleaners and a supervisor at each store for each cleaning visit. It is not feasible for one person to clean more than one store, so 28 separate Scour employees each work at Tonto's premises for 24 hours per week. From December 2019, Scour will be trialling robot technology at one store.

Customer 3 – Upson College (Scour's annual cleaning revenue: £300,000)

Located 5 km from Bath, the Upson College campus comprises offices, learning areas, social areas and student accommodation. Scour started cleaning for Upson in 2016.

Scour has begun using an eco-friendly range of cleaning products from Thom (see **Exhibit 10**) throughout the site, supporting Upson's values and ambitions to reduce its overall carbon footprint.

Along with two similar college customers, Upson is considering opening for conferences and other events during the student vacations in July-August 2019 and Christmas/New Year 2019/20.

Exhibit 9

Scour: Franchising operations and franchisee profiles

The 15 franchisees and their customer bases vary considerably, but all are growing: the smallest earns annual revenue of around £0.1 million from its customers; the largest, £0.5 million. The target is to have 50 franchisees by 31 May 2021, with combined annual revenue of £15 million, generating ongoing fees of over £1 million for Scour, plus initial fees and revenue from buying cleaning products and selling them to franchisees for their use.

Scour's franchising model

Scour does due diligence on prospective franchisees to assess their capability of succeeding in business and paying their fees. It does not offer a loan or other financial help towards paying

the initial fee. Scour also looks for organisational skills, staff management, understanding of finance and business, coupled with qualities such as resilience, ambition, loyalty and commitment. Franchisees must be able to build up a strong team of both cleaners and administrative staff (mirroring Scour's own internal structure).

After appointment, Scour seeks to achieve a rapid return on its investment. It generally expects to make a loss on the initial fee because of the amount of initial operational support required, but then to make profits – ie, ongoing fees will exceed continuing obligation costs – as the business develops. Profits will also be earned from the sale of cleaning products to the franchisee. Scour seeks to break even at gross profit level in the first full year of a franchisee's operation: see examples below. Successful franchisees plan for moderate growth, and build a business that can achieve it, rather than setting ambitious targets and badly failing to meet them.

Franchise agreements

Scour's franchisees sign a three-year agreement. This sets out the duration and termination arrangements, plus clauses on: territory; fees; continuing obligations; purchasing of cleaning products; and pricing.

Territory

Franchisees are located and operate outside Scour's own catchment area, each with an assigned territory. The territories are spread across the UK, in areas with plenty of potential commercial customers. Large towns and cities with scope for several franchises may be divided into four, five or six territories and named, for example, 'Manchester 1' up to 'Manchester 6'. Maria is currently seeking franchisees for target parts of the UK where she sees a particular opportunity and a gap in the market. Franchisees must be set up as limited companies, eg, Tracy Harris and Mark Linton as 'Scour (Leicester 1) Ltd' and 'Scour (Oxford 1) Ltd' respectively (see below).

The division by territory is partly designed to minimise competition between franchisees, though competition or encroachment is not wholly avoidable as some customers have several locations within more than one Scour territory. In such cases, Scour works with the franchisees to manage the situation.

Fees

Franchisees pay an initial fee of £10,000 at the start, to cover set-up costs, including upfront training and marketing. They then pay ongoing fees (7% of revenue) every month.

Continuing obligations

Scour's continuing obligations comprise training and support. Scour allocates the costs of these to individual franchisees based on time spent and actual outlays. Training consists of an initial course, followed by regular top-ups. New franchisees have a 'mentor', an existing Scour franchisee from whom they can learn. Support covers: invoicing, credit control; payroll; sales/marketing; tendering assistance; HR; IT. Franchisees get good value for the 7% ongoing fee; Scour gains detailed knowledge and some control over their operations.

Franchisees undertake: to maintain the common identity and reputation of the network; not to disclose Scour's business processes to third parties; to adhere to Scour's quality and performance standards; to grant Scour access to financial and other records; and to allow Scour to undertake inspections. Cleaning staff must wear Scour-branded uniforms at all times when at customer premises.

Purchasing of cleaning products

Scour buys all cleaning products on behalf of its franchisees from Thom (see Exhibit 10). Franchisees are contractually prohibited from using cleaning products from any other supplier.

Pricing

Whilst it does not dictate the prices that franchisees charge their customers, Scour specifies minimum and maximum hourly rates. Franchisees are not allowed to set prices below the specified minimum in order to win work. These steps are designed to prevent franchisees from damaging the brand.

Franchise profiles

Set out below are profiles of two Scour franchisees and one applicant who was not accepted by Scour.

Tracy Harris – Scour (Leicester 1) Ltd

Tracy had worked as a Scour cleaner for several years. Having passed a Business Studies exam while at school, she became interested in the company's wider operations. When her husband was promoted in his job, which involved relocating to Leicester in the East Midlands region of the UK (population around 500,000; 160 km from Bath), Tracy asked – knowing that Scour was exploring the franchise market – if there was an opportunity to set up a franchise there.

After meetings with senior management, and relevant due diligence by Scour, Tracy became a Scour franchisee on 1 December 2017, paying an initial fee of £10,000. With Scour's full knowledge and approval, she had already held discussions with several prospective customers and had recruited cleaners, so she was able to start straightaway. With Scour, she had developed a business plan showing that she would make a loss (after deducting franchisee fees and her salary) on budgeted revenue of £120,000 in Year 1 (to 30 November 2018); break even on revenue of £180,000 in Year 2; and begin making profits in Year 3.

After setting up the franchise, she gradually built up her staff and customer base. Her own experience as a cleaner, combined with her business acumen, impressed potential customers, enabling her to win work against more established companies. Her prices were at the upper end of the range specified by Scour. As a result, in Year 1 (to 30 November 2018), her revenue was £175,000 and she made a new revenue forecast of £230,000 for Year 2. She encountered a series of maintenance issues with cleaning equipment, but with Scour's advice she overcame these and bought more durable equipment.

The business has continued to develop in Year 2. However, one cleaner left at short notice and another went on long-term sick leave. The disruption and added costs mean that, although she is on course to achieve her adjusted forecast revenue of £230,000 in Year 2, her own margins are lower than expected.

Scour's results in respect of Tracy Harris may be summarised as follows. These reflect the higher volume of activity than expected, coupled with more extensive involvement from Scour. They are shown by reference to Tracy's own accounting year, which is not coterminous with Scour's. Therefore, Scour's management accounts for the year ended 31 May 2018 included the first half of Tracy's Year 1; those for the year ended 31 May 2019 included the second half of her Year 1 and the first half of her Year 2.

Years ending 30 November	**2018**	**2018**	**2019**	**2019**
Scour's results from Leicester 1 franchise	**Year 1 Budget £**	**Year 1 Actual £**	**Year 2 Budget £**	**Year 2 Forecast £**
Revenue				
Initial fees	10,000	10,000	–	–
Ongoing fees	8,400	12,250	12,600	16,100
Sale of cleaning products	12,000	17,400	18,000	22,500
Recharge of transport and distribution costs	500	725	750	940
	30,900	**40,375**	**31,350**	**39,540**
Cost of sales				
Set-up costs	(11,000)	**(13,500)**	**–**	**–**

Continuing obligation costs	(9,400)	(10,000)	(8,000)	(9,000)
Purchases of cleaning products	(10,000)	(14,500)	(15,000)	(18,800)
Transport and distribution costs	(500)	(725	(750)	(940)
	(30,900)	**(38,725)**	**(23,750)**	**(28,740)**
Gross profit	**-**	**1,650**	**7,600**	**10,800**

Mark Linton – Scour (Oxford 1) Ltd

Mark joined the Scour network on 1 June 2018. With a background in general facilities management, he was already familiar with the cleaning industry. He wanted to start his own business to gain more control of his own time, but realised that he worked best in a structured setting and that he lacked the financial and legal expertise required to run a company that relied heavily on its employees. With his knowledge of the high and consistent demand for commercial cleaning, he felt that franchising was the best model, enabling him to tap into an organisation that would allow him to benefit from scale economies. At the London Franchise Fair in January 2018, he met a number of franchisors and was especially impressed with Scour, its promise of customers and its commitment to train and support franchisees. He was invited to a Taster Day at Bath, where he met members of the management team and other prospective franchisees. He also visited one of Scour's high-profile customers, where he saw Scour cleaners in action and learnt more about the quality processes and IT tools available.

Scour encouraged Mark to produce a plan for his business, in Oxford (population around 150,000; 85 km from Bath). He set a revenue target of £250,000 for Year 1 (to 31 May 2019); he was reluctant to plan for more than one year ahead. In the event, his revenue was only £195,000. He also incurred unforeseen costs through inefficient working practices, eg, overuse of cleaning products; failure to include employment taxes when budgeting staff expenditure; and a low rate of customer wins, leading to a lot of idle staff time. Some of these issues entailed extensive hands-on input from Scour, resulting in unbudgeted continuing obligation costs that impacted Scour's own gross profit from Mark Linton for the year, as shown below. Towards the end of Year 1, Mark prepared a budget for Year 2, reflecting a modest increase in revenue to £225,000. In the first quarter of the year, actual revenue was £52,000.

Year ended 31 May	**2019**	**2019**
Scour's results from Oxford 1 franchise	**Year 1 Budget £**	**Year 1 Forecast £**
Revenue		
Initial fees	10,000	10,000
Ongoing fees	17,500	13,650
Sale of cleaning products	24,500	19,900
Recharge of transport and distribution costs	1,025	830
	53,025	**44,380**
Cost of sales		
Set-up costs	**(13,500)**	**(14,000)**
Continuing obligation costs	(11,000)	(13,200)
Purchases of cleaning products	(20,500)	(16,600)
Transport and distribution costs	(1,025)	(830)
	(46,025)	**(44,630)**
Gross profit/(loss)	**7,000**	**(250)**

Simon Oliver

In April 2019, Simon applied to become a Scour franchisee for the part of Manchester where he lived. He had recently been made redundant from his job in a property company and was seeking a new career. He had been impressed with the quality of cleaning done at his office by Amir Shah, Scour's existing franchisee for Manchester 1. He spoke to Amir about what was involved and then, after carrying out further research, he approached Scour. He asked to be able to make payments for the initial fees in four equal instalments spread across six months.

After considering Simon's application and having taken references from his past employer and assessed his financial position (a concern, given the fee payment request), the Scour team felt that he would not be suitable as a franchisee and declined his application. They were not confident that he would promote the brand or that he had the skills or business acumen to create a successful cleaning operation.

Exhibit 10

Scour: Supply chain

Scour is heavily dependent on its cleaning products supply chain for the efficiency and quality of its work.

Cleaning products comprise (1) detergents, bleaches, disinfectants and other liquids; (2) items such as dusters, mops and brooms; and (3) protective clothing (mainly gloves and aprons).

Scour now has a contract with a company called Thom, based in Bristol (20 km from Bath) as sole supplier of cleaning products to both owned and franchised operations. Scour believes that this ensures the best possible price, quality of service and immediate access when reordering items. The two companies also do some joint advertising. The contract was signed on 1 December 2017. The terms of the arrangement are as follows:

Minimum purchase value per year (MPV)	£1.0 million
Transport and distribution costs	5% of Scour's cost of product purchases
Total number of available products	70
Payment terms	30 days from delivery
Delivery time (period, measured from time of order, in which Thom must guarantee to supply the products)	36 hours

Scour's purchases of cleaning products from Thom are shown in bold within the table below. As can be seen, for owned operations these represent around 80% of Scour's total purchases of products and supplies. Transport costs are additional to these amounts.

	6 months to 31 May 2019	**6 months to 30 Nov 2018**	**6 months to 31 May 2018**
	£000	**£000**	**£000**
Owned operations (included within Scour's cost of sales for owned operations)			
Purchases of cleaning products – from Thom	**564**	**541**	**489**

Purchases of other supplies – from other suppliers	149	137	111
	713	678	600
Franchised operations (included within Scour's cost of sales for franchised operations)			
Purchases of cleaning products – from Thom	116	66	35
Total purchases of cleaning products from Thom	**680**	**607**	**524**

Note: Year-on-year changes in inventory are negligible and are ignored in the above figures.

The MPV covers only the products themselves, ie, excluding transport costs. As can be seen, Scour met the MPV in the first full year of the contract (to 30 November 2018) and should continue to do so as the franchise network grows – though Thom could seek to increase the MPV. If Scour ever looked like falling just short, it would order extra amounts and store them off-site until required. Most items are non-perishable and the only cost of stockpiling is storage. In general, the relationship has worked well.

Manufacture, design and safety: All products supplied by Thom undergo extensive research and development (R&D) and rigorous testing. They conform to strict health and safety guidelines and environmental criteria.

- All bottles and containers are made from recyclable materials and clearly labelled to list chemical ingredients and highlight any allergens.
- Refillable bottles and containers are used wherever possible.
- Chemical and other waste products are disposed of safely and efficiently.
- Energy-saving methods are adopted in the manufacturing process.
- Microfibre technology is used where practicable in cloths and mops: this can significantly lower the use of water and of chemicals, hence reducing deliveries (and CO_2 emissions from transport).

Thom meets ethical trading guidance in its employment practices. It prides itself on its transparency and is happy to show Scour staff around its research and manufacturing facilities.

Scour's staff receive training in safe and efficient product use, including dilution rates and disposal.

New technology enables them to ensure they are using the right products for particular situations. Dilution rates vary: products that are more concentrated require more dilution before use and so need to be replaced or replenished less often than equivalent products sold in the same size of container. For example, if using a product that is '10% more concentrated', a company should need (110–100)/110 = 9% less of it than of a regular, equivalent product. The same principle applies to any other categories of cleaning products described as 'more efficient' or 'more effective'.

Arrangements with franchisees: Under the terms of their agreement with Scour, franchisees must use only cleaning products from Thom. Scour buys these on the franchisees' behalf and charges them a mark-up on the prices that it pays to Thom. For franchisees this is cheaper than sourcing for themselves as it gives them access to Scour's bulk discounts. Scour pays Thom for the associated transport and distribution costs (5% of Scour's order value) and recharges these to franchisees at zero mark-up.

Distribution and storage: Scour's own cleaners and its franchisees can report via JobScour

(see **Exhibit 11**), when product levels are running low. Scour keeps a small inventory at Bath in case of sudden shortages or distribution delays.

Cleaning equipment: The contract does not include cleaning equipment (vacuum cleaners and other electrical/battery-operated items): these are sourced from a range of other suppliers on a non-contractual basis.

Exhibit 11

Scour: Staffing (owned operations)

Staff are Scour's key assets. Personnel costs represent over 85% of annual cost of sales for owned operations. Cleaners do not have to have academic or professional qualifications, but to stay in work and to maintain the standards of their employers they must display certain skills and attributes.

Most cleaners are allocated to specific customers. A few of Scour's cleaners have been working for the company since its early days and have stayed with the same customers throughout this time.

For larger and/or more prestigious customers, especially those requiring more than ten cleaners, there will always be a supervisor leading the Scour team.

Staff clock in/out of customer sites using the JobScour app. This enables Scour to see how long jobs are taking, identify any idle time and calculate any staff overtime.

Remuneration

Most cleaners are paid the same hourly wage, above both the UK's mandatory minimum wage and the market rate. Some more experienced cleaners are designated 'supervisors' and paid 25% more per hour.

Recruitment and retention

Staff turnover is fairly high, albeit below industry norms. All staff must give notice of leaving: one month for cleaners and supervisors, three months for head office personnel.

When cleaners leave, Scour conducts a formal exit interview. This often reveals underlying issues, on which Scour can then act to stop other employees from leaving for the same reason.

There is limited scope for promotion (to supervisor). Staff often leave when they realise that they are not going to achieve this, if they need a new challenge or if they have to relocate. In the last two years, some staff have left to become Scour franchisees.

Inductions are held for all new cleaners. Staff receive continuing training throughout their employment.

Security and customer confidentiality

Through their work, Scour's cleaners regularly find themselves in the presence of confidential papers or computer screen displays at customer premises. They must therefore maintain the highest ethical standards. All employees sign a code of conduct at their induction. This covers matters such as:

- Not actively reading information on desks or going through files, desk drawers or computers
- Properly disposing of chemicals and other hazardous substances
- Not divulging competitor information
- Immediately reporting to Scour management any customer staff attempts at bribery or corruption.

Exhibit 12

Scour: Strategic plan (prepared by the Scour board, June 2019)

The UK cleaning industry has changed rapidly in recent times, with developments in technology and an increased emphasis on sustainability. The huge rise in the number of cleaning companies has greatly expanded competition. Some operate at very low rates, potentially undermining established companies and undercutting them in pricing. Cost savings are therefore paramount. The key is to increase efficiency while still guaranteeing the highest standards. Flexibility is also essential.

Competitors

Scour's competitors comprise a range of companies. Some provide only commercial cleaning; some also undertake other types of cleaning; and some are part of large FM groups that offer a much broader set of infrastructure services to their customers. Within all of these categories, there is also variety in the business model (owned and/or franchised). At present, the directors see Scour's main competitors as being:

- Crocus (commercial cleaning, some franchised; customers across the UK).
- Goodglow (various types of cleaning, none franchised; customers in two hubs, in the West of
- England and in the East Midlands region of the UK).
- Y4 (FM, none franchised; customers across the UK).

Franchising

Our key challenge at this stage of Scour's development is to build on the successful start to franchising and to learn the lessons of our existing franchises in their early months and years so that we do not repeat the problems in future. We must ensure that we do not neglect our owned operations, and that we achieve maximum synergy between the two streams, whether through our purchasing processes, IT capability or other operational areas. We also need to consider:

(a) the benefits and risks of allowing more of our employees to become franchisees

(b) whether to allow a single franchisee to operate in more than one territory

(c) whether to change our franchise fee rates.

With regard to (3), it may be that the fees that we are currently charging are putting off some potentially good franchisees from joining our network who view the fees as being too high; or, conversely, the fees may be limiting our profits from franchising and could be increased. Raising the initial fee could serve as an early filter before the due diligence process.

In general, our franchisees acknowledge that they benefit hugely from the support that we give them. They would not be able to access similar support at a similar price if they were to set up on their own.

New business opportunities

We believe that there are a number of other ways to improve the quality and profitability of the business (eg, renewal of product supply contract with Thom, extended use of technology across all activities).

Exhibit 13: Recent media coverage

Exhibit 13a

Phantom staff (Work Weekly, January 2020)

There has been an alarming rise in the number of office cleaning staff working for shorter hours than they claim on their daily records. By abusing the automated registration systems that are used by many cleaning companies, they have been able to receive more pay than their entitlement.

The problem first surfaced in the London office of a large national legal practice. Partners who worked in the evening or early in the morning to complete a major piece of litigation had expected to find cleaners on-site – only to discover that they were not there when they should have been.

Exhibit 13b

Franchisees beware (Franchised Quarterly, March 2020)

New research has highlighted a number of reasons for failure and other prevalent issues in the world of franchising.

A major issue is what is known as 'sole trader risk'. If a franchisee operating on his or her own becomes ill or incapacitated, there may be no-one to take over the running of the business. This can create major problems for the franchisor, who faces the risk of a reduced revenue stream as well as potential damage to the brand through neglect by one of its franchisees.

Many franchisees fail through overreaching. They are so keen to 'get rich quickly' that they launch in several territories at the same time. They then find, not surprisingly, that they cannot devote all their time to each one. A common outcome in such cases is that – unless the franchisee has built up a strong management team – one territory succeeds and the others fail.

Problems can also occur when employees leave a company to become franchisees of the company. In the majority of cases, this works for both parties. However, employees often take with them valuable information about the organisation and its ways of working – and they may also take other employees with them. While there are usually mechanisms to stop franchisees from abusing the franchisor's knowledge and intellectual property, there may not be similar restrictions on departing employees, for example in relation to notice periods and confidentiality.

6 Exercises

Exercise 1: SWOT analysis

Exercise 1 covers the basics of identifying the strengths and weaknesses for part of Scour's business.

Exercise

Using the Exhibits 1–13, and your own relevant knowledge, prepare a SWOT analysis by identifying the internal strengths and weaknesses and the external opportunities and threats facing **Scour's owned operations.**

Exercise 2: Financial analysis

Exercise 2 requires candidates to practise financial analysis, including sensitivity analysis.

Exercise

Using the information in Exhibit 9, calculate the gross profit/(loss) that Scour would have earned from the franchisee Mark Linton in Year 1 (2019) under each of the following three alternative scenarios. In each case, assess the implications for Scour's arrangements with Mark Linton specifically and its franchise network generally.

1. Ongoing fees at 6%
2. Sale of cleaning products: £30,000
3. Set-up costs: £17,500

Exercise 3: Ethics and business trust

Exercise 3 requires candidates to demonstrate their awareness of ethical issues in the Case Study and how to analyse them as part of their preparation.

Exercise

Identify the key ethical and business trust issues, including those relating to sustainability, facing Scour and set out the actions that it is taking, or should take, to limit the impact of these.

Exercise 4: Sustainability

Exercise 4 requires candidates to consider the sustainability challenges typically facing companies in this industry and in related industries. It offers a good opportunity to practise applying professional scepticism.

Exercise

Scour's contract with Thom as the sole supplier of cleaning products (covering both its owned and franchised operations) expires on 30 November 2020. Scour must choose between continuing with Thom and selecting a new supplier, Violetta.

Using the information about Violetta and media article below, as well as relevant content in the information, evaluate the sustainability issues facing Scour when deciding which company to select.

Information about Violetta

(a) Violetta's products are more concentrated or more efficient than many equivalent products, including Thom's. According to Violetta's own estimates, they are 15% more concentrated or 15% more efficient than Thom's equivalent products of the same type, size and/or volume, so they can be replaced or replenished less frequently.

(b) Violetta has developed a web portal through which customer orders can be made in real time using a mobile app. Labels on all bottles and containers change colour when they reach a minimum level, which triggers the requirement to reorder. Violetta says that this process is working effectively for its first two commercial cleaning customers.

(c) Violetta will use its energy-efficient fleet of five vans, assisted by its own route planning software, to transport the products to the specified locations within the stated delivery time.

Media article: A climate of uncertainty (Cleanse magazine, July 2020)

The battle between cleaning product suppliers making claims about the eco-friendliness of their products shows no sign of abating.

Well-known supplier Thom has repeatedly said that its products are the most eco-friendly on

the market, and that this has been confirmed by external audits from specialist firms.

However, some manufacturers (such as Violetta) dispute this, on the basis that it is not possible to guarantee eco-friendly status and that there are no industry standards to benchmark against.

Other companies – typically those that have been in existence for a long time and/or which have no desire (or funds) to invest heavily in R&D – believe that eco-friendliness is a gimmick. In their view, the majority of people who buy and use cleaning products are not interested in their eco-friendly credentials as long as the products can do a proper cleaning job and are safe to use.

There is some evidence that eco-friendly products may cause health issues (ranging from skin irritation to respiratory problems), but this has not been scientifically proven and we remain cautiously sceptical.

7 CS Exam with Requirement: commercial analysis

SCOUR CS EXAM EXTRACTS

In a 4-hour Case Study Exam, a candidate would normally be required to answer three requirements (of equal weighting in terms of marks) and to present an Executive Summary.

All components would require planning before writing.

It is therefore important to realise that the time available for planning and writing a single requirement, which requires an appendix and the relevant part of the Executive Summary, should be considered to be approximately 1 hour 20 minutes (maximum).

A candidate must therefore be fully familiar with the scenario and the broader business issues affecting a client (from the information and elsewhere) so that the additional material presented in the CS Exam can easily be assimilated and put in context within the requirement.

In this abbreviated version – which focuses on the commercial factors (financial, operational, strategic and ethical issues) surrounding the business – a candidate must remember that there would have been two other requirements which might have provided additional context to the topic under review.

The following exhibits are newly provided:

14 Email dated 22 July 2020 from Paul Croxley to you: Scour: Draft management accounts and business developments

15 Scour: Draft management accounts for the year ended 31 May 2020

16 Note dated 22 July 2020 from Joy Lyons: Additional information relating to the management accounts

17a Email dated 20 July 2020 from Maria Andreou to Paul Croxley: New franchisee

17b Recent media coverage

Information provided in pre-populated spreadsheets

The management accounts for the two years ended 31 May 2020, together with both absolute and relative changes, are provided in the **pre-populated spreadsheet**, which is reproduced in full in Exhibit 15.

The pre-populated spreadsheet also contains some data about the new franchisee; an extract from this is provided at Exhibit 17a.

Scour Limited (Scour): Case Study Exam

Exhibit 14

EMAIL

From: Paul Croxley

To: Hilary O'Keeffe

Subject: Scour: Draft management accounts and business developments

Date: 22 July 2020

We need to review Scour's latest draft management accounts, which we have just received. We also need to advise Scour on two business decisions. I am attaching the following:

- Scour's draft management accounts for the year ended 31 May 2020 (**Exhibit 15**)
- A note from Joy Lyons: Additional information relating to the management accounts (**Exhibit 16**)
- An email from Maria Andreou to me about a prospective new franchisee (**Exhibit 17a**), with related media coverage (**Exhibit 17b**).

Please draft for my review a report addressed to the Scour board. The report should comprise the following.

An evaluation of the approach from the prospective franchisee, Edna Jones (Exhibit 17a), together with reasoned advice. You should:

- evaluate the financial, operational, strategic, ethical and business trust issues, including those arising from Exhibit 17b (use the pre-populated spreadsheet to prepare relevant calculations); and
- advise, with reasons, whether Scour should accept Edna as a franchisee.

Candidates should attempt to produce an answer to this requirement, including the relevant section of the Executive Summary, in 1 hour 20 minutes.

Exhibit 15:

Scour: Draft management accounts for the year ended 31 May 2020

(Note to candidates: These appear in the **pre-populated spreadsheet**)

	A	B	C	D	E	F
1	**Scour Ltd: Draft management accounts for the year ending 31 May 2020**					
2	**Statement of profit or loss for the year ended 31 May 2020**					
3	**Year ended 31 May**	**Notes**	**2020 £000**	**2019 £000**	**Change £000**	**Change %**
4						
5	**Revenue**	**1**	**14,771**	**13,097**	**1,674**	**12.8%**
6	Cost of sales	1	(13,034)	(11,688)	(1,346)	(11.5%)
7	**Gross profit**	**1**	**1,737**	**1,409**	**328**	**23.3%**
8	Administrative expenses	2	(1,094)	13,097	(57)	(5.5%)
9	Profit from operations		643	(11,688)	271	72.8%

	A	B	C	D	E	F
10	Net finance income		**20**	**18**	**2**	**11.1%**
11	Profit before taxation		663	390	273	70.0%
12	Income tax expense		**(126)**	**(74)**	**(52)**	**(70.0%)**
13	Profit after taxation		537	316	221	70.0%
14	**Statement of financial position at 31 May 2020**					
15	**Non-currents assets**					
16	PPE	3	206	178	28	15.7%
17	Current assets					
18	Inventories		53	44	9	20.5%
19	Trade and other receivables	4	1,651	1,397	254	18.2%
20	Cash and cash equivalents		996	631	365	57.8%
21			2,700	2,072	628	30.3%
22	**TOTAL ASSETS**		2,906	2,250	656	29.2%
23						
24	**Equity**					
25	Ordinary shares		150	150	-	0.0%
26	Retained profit		1,366	829	537	64.8%
27			1,516	979	537	54.9%
28	Current liabilities					
29	Trade & other payables	5	1,264	1,197	67	5.6%
30	Current tax		126	74	52	70.0%
31			**1,390**	**1,271**	**119**	**9.4%**
32						
33	**TOTAL LIABILITIES**		**2,906**	**2,250**	**656**	**29.2%**
34	**Statement of cash flows for the year ended 31 May 2020**		663	390	273	70.0%
35	**Cash flows from operating activities**					
36	Profit/(loss) before tax for the period					
37	Adjustments for:					
38	Depreciation		93	125	(32)	(25.6%)
39	Loss/(profit) on disposal of PPE		(6)	(7)	1	14.3%
40	Finance income		(20)	(18)	(2)	(11.1%)
41			730	490	240	49.0%
42	Change in inventories		(9)	(10)	1	10.0%

	A	B	C	D	E	F
43	Change in trade and other receivables		(254)	(191)	(63)	(33.0%)
44	Change in trade and other payables		67	76	(9)	(11.8%)
45			534	365	169	46.3%
46	Income tax paid		(74)	(47)	(27)	(57.7%)
47	**Net cash generated from operating activities**		**460**	**318**	**142**	**44.6%**
48	Cash flows from financing activities					
49	Acquisition of PPE		**(132)**	**(113)**	**(19)**	**(16.8%)**
50	Proceeds from disposal of PPE		17	14	3	21.4%
51	Interest received		20	18	2	11.1%
52			(95)	(81)	(14)	(17.3%)
53	**Cash flows from financing activities**					
54	**Interest paid**					
55	Net cash generated from financing activities					
56						
57	Net change in cash and cash equivalents		365	237	128	54.0%
58	**Cash & cash equivalents at start of period**		**631**	**394**	**237**	**60.2%**
59	**Cash & cash equivalents at end of period**		996	631	365	57.8%
60	**Notes to the draft management accounts**					
61	**Note 1: Revenue, cost of sales and gross profit**					
62			**2020**	**2019**	**Change**	**Change**
63			**£000**	**£000**	**£000**	**%**
64	Owned operations					
65	Revenue		13,451	12,605	846	6.7%
66	Cost of sales					
67	– Personnel		10,471	9,803	668	6.8%
68	– Product purchases		1,491	1,391	100	7.2%
69	– Transport and distribution		85	76	9	11.8%
70	Gross profit		1,404	1,335	69	5.2%
71	Franchised operations					

	A	B	C	D	E	F
72	Revenue					
73	Initial fees		190	110	80	72.7%
74	Ongoing fees		455	154	301	195.5%
75	Sale of cleaning products		648	219	429	195.9%
76	**Recharge of transport and distribution costs**		27	9	18	200.0%
77			1,320	492	828	168.3%
78	Cost of sales					
79	Set-up costs		229	145	84	57.9%
80	Continuing obligation costs		196	82	114	139.0%
81	**Purchases of cleaning products**		535	182	353	194.0%
82	Transport and distribution costs		27	9	18	200.0%
83			**987**	**418**	569	136.1%
84	Gross profit		333	74	259	350.0%
85	**Note 2: Administrative expenses**					
86			**2020**	**2019**	**Change**	**Change**
87			**£000**	**£000**	**£000**	**%**
88	Personnel (sales and head office)		593	571	22	3.90%
89	Premises and IT		308	289	19	6.60%
90	Marketing and advertising		193	177	16	9.00%
91			1,094	1,037	57	5.50%
92	**Note 3: Property, plant and equipment**					
93						**Total**
94						**£000**
95	**Cost**					
96	At 1 June 2019					**604**
97	Additions					**132**
98	Disposals					**(38)**
99	At June 2020					**698**
100	**Depreciation**					
101	At 1 June 2019					**426**
102	Additions					**93**
103	Disposals					**(27)**
104	At June 2020					**492**
105	**Carrying amount**					

	A	B	C	D	E	F
106	At 1 June 2019		178			
107	At 1 June 2020		206			
108						
109	Note 4: Trade and other receivables					
110			**2020**	**2019**	**Change**	**Change**
111			**£000**	**£000**	**£000**	**%**
112	**Trade receivables**		1,433	1,237	196	15.8
113	Prepayment and other receivables		218	160	58	36.3
114			1,651	1,397	254	18.2%
115	**Note 5: Trade and other receivables**					
116						
117						
118	Bank overdraft		194	148	46	31.1
119	Other payables (PAYE etc) and accruals		**1,070**	**1,049**	**21**	**2.0**
120			1,264	1,197	67	5.6

Exhibit 16

Note from Joy Lyons, 22 July 2020

Additional information relating to the management accounts

In relation to the year-end review, please note the following matters, all of which are reflected in the management accounts.

Owned operations

(a) The average price charged to customers per cleaning hour was unchanged from the average price charged in the year ended 31 May 2019.

(b) On 1 March 2020, Scour's rival, Y4, was taken over by an international facilities management company. This enabled Y4 to undercut Scour when bidding for new contracts or at renewals. I estimate that in the 3 months to 31 May 2020 this has caused us to lose £150,000 of recurring revenue from existing contracts not being renewed.

(c) Three college customers (Upson, Rolands and Manson) took the decision to stay open for conferences and other events during the summer (July and August 2019) and winter (Christmas and New Year 2019/2020) vacations. However, they were closed for the whole of April and May 2020 and cleaning was reduced to a minimum for these two months. The combined effect of these changes was an overall increase of 10% in the number of cleaning hours for the three colleges in the year ended 31 May 2020.

(d) On 1 December 2019, our customer Tonto opened three new supermarkets of similar size to its existing ones and with the same cleaning requirements from Scour. In addition, all Tonto's stores have had higher than usual levels of cleaning in April and May 2020. As a result, total revenue from Tonto in the year was £995,000.

(e) The business measures for the year were:

- Customer satisfaction: 97%
- Customer retention: 66%
- Revenue per employee: £35,200.

Franchised operations

(a) During the year ended 31 May 2020, 19 new franchisees joined the Scour network and no franchisees left.

(b) The combined revenue earned by the 19 new franchisees from their customers for the period to 31 May 2020 was £2.3 million, compared with their forecast combined revenue of £2.6 million. The combined revenue of the 11 franchisees who joined in 2019 was £2.9 million for the year ended 31 May 2020.

(c) Of Scour's total continuing obligation costs during the year ended 31 May 2020, £93,000 were attributable to the 19 new franchisees.

(d) On 1 June 2019, Scour streamlined its set-up processes by launching an online induction programme for franchisees.

Exhibit 17a

EMAIL

From: Maria Andreou, Franchising Director

To: Paul Croxley

Subject: New franchisee

Date: 20 July 2020

Edna Jones, one of our longest-serving employees, has approached us with a view to becoming a Scour franchisee. A former cleaner and then supervisor, Edna is currently part of our head office team. From this role, she is very familiar with the activities of Scour's existing franchisees and the details of their financial and operational performance. She has also maintained wide experience of the day-to-day aspects of cleaning. She therefore believes that she is well placed to prosper as a franchisee herself – and at the same time to enhance Scour's profile.

Several cleaners have previously joined the network but Edna would be the first head office employee to do so. She would also be the first franchisee to set up in more than one territory. We need to evaluate Edna's approach using the same financial and other criteria as for any other prospective franchisee.

The proposal

Edna is proposing four separate operations. She wants to set up each of them as a separate limited company under an initial two-year franchise agreement. She has prepared revenue forecasts for the two years, based on a start date of 1 September 2020: these are shown on the pre-populated spreadsheet. They may be summarised as follows, together with total costs.

	Year 1	Year 2
	£000	£000
Total revenue	900	1,350
Total costs	750	1,050

Edna has made the following points (my comments are below each one):

All four franchises will be in Leicester, in the territories known as Leicester 2, 3, 4 and 5. There is at present a large amount of new building construction in progress (especially offices and shops) within Leicester 4.

> My comment: Together with our existing Leicester 1 franchise run by Tracy Harris – one of Scour's founding franchisees – these would give us complete coverage of Leicester.

Edna says that she has oral agreements from prospective customers in all four territories and on the basis of their discussions she has put together a forecast by customer. The revenue for these is reflected in the forecasts.

> My comment: I understand that these include two existing customers of Tracy Harris's Leicester 1 franchise (RLN and VTG), each currently paying £40,000 per year for cleaning. Edna has told them that she will be ready to take over their cleaning on 1 September 2020 and she will charge them 10% less than Tracy for the same number of cleaning hours. Total revenue for Leicester 1 in the year to 31 May 2020 was £240,000.

With her knowledge of Scour's franchise operations, its systems and processes in IT, HR and other areas, Edna believes that the support she requires from Scour, both at the outset and after, will be much less than for other franchisees, and there will also be economies of scale from having four territories. As a result, she feels that there should be a single initial fee of £25,000 covering all four territories and ongoing fees should be at a rate of 5%. There are no figures for fees included in her forecast costs.

> My comments: I estimate Scour's costs for each territory as follows: set-up costs of £11,000; continuing obligation costs of £10,000 for Year 1 and £7,000 for Year 2.

Exhibit 17b

RECENT MEDIA COVERAGE

A bright future for cleaning (Leicester Gazette, July 2020)

The recently published results of a survey conducted in January and February 2020 reveal a growing demand in Leicester for outsourced facilities management (FM). FM covers a wide range of services, such as commercial cleaning, security and catering.

Many local businesses – in line with others across the UK – had been running these services in-house – with a noticeable decline in reliability and quality. They are gradually going back to using specialist, professional external providers.

One FM service is particularly prospering: commercial cleaning. Some respondents to the survey predicted an increased demand in each of the next two years as Leicester businesses recognise both the benefits of clean premises and the importance of complying with the complex legislation on health and safety.

At the same time, value for money is a key objective. In the survey, some business owners said that they prefer to use a company that offers a range of FM services rather than using separate companies for commercial cleaning, security and catering as this enables them to benefit from economies of scale.

However, others said that they receive a much better service (for which they are happy to pay more) from dedicated commercial cleaning companies – especially those operating as franchises – because of the commitment, friendliness and more specialised knowledge of their staff.

Pre-populated spreadsheet

The pre-populated spreadsheet comprises a list of forecast revenue for each of Edna's

prospective customers in the first and second year of her operations, in descending order by reference to Year 1 revenue. For each customer, there is also a three-letter code and a label to show the area (Leicester 2,3,4 and 5, abbreviated to L2/L3/L4/L5) in which each customer is located. An extract is provided below.

Customer code	Region	Forecast revenue Year 1	Forecast revenue Year 2
		£000	**£000**
MYT	L4	50	55
TNT	L4	43	47
UUC	L4	38	42
RLN	L2	36	42
VTG	L2	36	42
MBG	L3	36	44
UTW	L3	33	35
XOG	L3	30	32
INF	L4	30	33
BUH	L2	29	31

7.1 Using the pre-populated spreadsheets

To see and analyse the forecasts, candidates would sort the spreadsheet by area (Leicester 2, 3, 4 and 5), retaining the original ordering (descending Year 1 revenue). An extract showing the last few customers and with the overall column totals (agreeing to the summary information in Exhibit 17a) is shown below.

KLL	L5	0	9
LTB	L5	0	18
NBC	L5	0	13
NBC	L5	0	10
RSZ	L5	0	8
		900	**1,350**

From this analysis, candidates can then produce a summary by area:

Customer code	Revenue Year 1	Revenue Year 2
	TOTALS	**TOTALS**
L2	200	300
L3	250	350
L4	250	400
L5	200	300
	900	**1,350**

The next stage would be to analyse the data further, as follows:

	No. of customers Year 1	Ave. rev. per cust. Year 1	No. of customers Year 2	Ave. rev. per cust. Year 2	Change in ave. rev.
		£000		£000	%
L2	13	15.4	20	15.0	-2.5
L3	11	22.7	15	23.3	2.7
L4	11	22.7	17	23.5	3.5
L5	16	12.5	23	13.0	4.3
	51	**17.6**	**75**	**18.0**	**2.0**

Note that although it is possible to do the main calculations (in respect of Scour's revenue and costs from Edna's franchises) without any information other than the overall revenue totals for both years, the above tables enable a much richer analysis and the opportunity to interrogate the underlying data, eg, why do the average revenue figures and numbers of customers change in the way that they do?

Moreover, candidates can raise further queries by just looking at the data as presented in the spreadsheet. For example:

- Why do some customers have zero revenue in Year 1 but revenue in Year 2? It seems a long way ahead to be able to forecast with any certainty. In the case of area L4, some of the customers starting in Year 2 will probably arise from the construction work referred to in the media article. If so, it would be almost impossible to say when these will come on-stream.
- For those customers with revenue in both years, why is the increase not the same in all cases? Some appear to be inflationary but others are much larger. Do they indicate loss-leaders? Or maybe customers starting midway through a year? Again, how is it possible to forecast with such accuracy?
- Do any of the amounts being charged to customers suggest that Edna is in breach of Scour's standard clause about maximum and minimum fees?
- Is the overall variation in customer size (measured by revenue) realistic? Manageable? Consider the issues identified in the media article at Exhibit 13b.

The excellent script under 'Illustrations of comparative answers' below illustrates the type of questioning and professional scepticism that would score highly in responding to a task of this nature. Note that 10–20% of the marks for a requirement might be available for the use and interpretation of the PPS data; it is therefore a crucial part of the assessment.

8 Illustrations of comparative answers

Examples are provided in this section of different candidate submissions to selected topics which formed part of the requirements to the Scour exam. These indicate the approach that candidates are advised to take, which is to develop a specific point relating to a topic across two, three or all four skills.

In this way, candidates are more likely to demonstrate the range of skills that are embedded in the ICAB exams, ie, from assimilating and using information (A&UI), through analysis (SP&S) and judgement (AJ) to a conclusion or recommendation (C&R).

The possible marks which might be awarded to a marginally passing script are contrasted with those of an excellent script, indicating the additional value that better candidates demonstrate in the Case Study Exam.

SCOUR EXAMPLE 1: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Evaluates output from pre-populated spreadsheets/revenue forecasts

Marginally passing script	Excellent script
	Revenue budgets for some existing franchisees have been unreliable, so Edna's actual figures could be below projections. Given her Scour role and knowledge of the network, they should be more reliable, but she may have a motivation to overstate them.
Edna forecasts £900k in Yr1, £1,350k in Yr2. Yr1 looks plausible, given typical franchisee Yr1 revenue. However, if L2-5 are of similar size/ potential to L1 (Yr1: £175k; Yr 3: £240k), a £225k average may be high. 50% growth is unrealistic: Scour franchisee revenue rises by 20% on average in Yr2. It may be possible in L4, with the extensive building work, but 50% seems optimistic, with demand up by only 5% and some customers preferring FM providers.	Edna forecasts £900k in Yr1, £1,350k in Yr2. Yr1 looks plausible, given typical franchisee Yr1 revenue. However, if L2-5 are of similar size/ potential to L1 (Yr1: £175k; Yr 3: £240k), a £225k average may be high. 50% growth is unrealistic: Scour franchisee revenue rises by 20% on average in Yr2. It may be possible in L4, with the extensive building work, but 50% seems optimistic, with demand up by only 5% and some customers preferring FM providers.
	Some customers start in Yr2. Can they switch from existing providers a year ahead? This seems unlikely. Or, if they include new sites being built in L4, revenue is inherently uncertain as opening dates won't be known so far ahead. **All Yr1 customers are assumed to continue into Yr2. Based on industry norms and Scour's own experience, figures should factor in customer losses**
Individual customers vary considerably in size. Average revenue per customer is stable (£18k) but varies across areas: L4's higher average (£23.5k) may reflect the building work.	Individual customers vary considerably in size. Average revenue per customer is stable (£18k) but varies across areas: L4's higher average (£23.5k) may reflect the building work. **Scour should benchmark the figures, and customer numbers (51 rising to 75), against existing franchisees. However, as some customers start part-way through a year, like-for-like analysis is difficult.**
Conclusion: Edna's revenue forecasts (Yr1: 900k; Yr 2: £1,350k) appear optimistic by comparison with Scour norms. Recommendation: Scour should obtain further evidence for Edna's numbers and carry out due diligence.	Conclusion: Edna's revenue forecasts (Yr1: £900k; Yr 2: £1,350k) appear optimistic by comparison with Scour norms. Conclusion: Edna's revenue forecasts (Yr1: £900k; Yr 2: £1,350k) appear optimistic by comparison with Scour norms.

SCOUR EXAMPLE 1: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Evaluates output from pre-populated spreadsheets/revenue forecasts

Characteristics of each script

- The marginally passing script reflects both basic calculations on the pre-populated spreadsheet and additional work on it (calculation of average revenue), and develops this into further analysis and judgement, for example in applying appropriate caution to the implied growth rate. It goes on to offer a conclusion and recommendation.
- The marginally passing script reflects both basic calculations on the pre-populated spreadsheet and additional work on it (calculation of average revenue), and develops this into further analysis and judgement, for example in applying appropriate caution to the implied growth rate. It goes on to offer a conclusion and recommendation.

Commentary on excellent script – demonstration of skills (examples): Points on the marking key earned by this script

Skill	Component	Example
Assimilating & Using Information	• Appendix	• Analysis by territory: total revenue/ average revenue
Structuring Problems & Solutions	• Financial calculations • Operational and strategic issues	• Revenue growth yr1 to yr2 £450k/50% • Considerable variation in customer size **(£4k to £50k)** • No customers lost in period?/ industry experience of churn
Applying Judgement	• Evaluates overall financial impact	• Yr1 achievability: compares v L1/ other new Fr/new Fr often don't meet targets • Yr2 achievability: forecast of 50% looks optimistic eg, new builds in L4, usual Fr growth • Any changes in assumptions will impact calculations/L-F-L analysis hard as some customers may start mid-year
Conclusions & Recommendations	• Draws conclusions (under a heading) • Makes recommendations	• Concludes on spreadsheet analysis • Further evidence needed for Edna's forecast figures • Due diligence on Edna/formally interview Edna

Notes

1 From the above, it can be seen that the excellent script has gained marks across all four skills, especially AJ.

2 It is an excellent script because this candidate has demonstrated good use of the case material, including the pre-populated spreadsheet, integrating relevant information from the AI and CSE into a series of value-adding comments with appropriate professional scepticism.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

SCOUR EXAMPLE 2: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Operational and strategic issues

Marginally passing script	Excellent script
Network growth: Scour aims to reach 50 franchisees by 31 May 2021. It has also mooted having multi-territory franchises.	Network growth: Scour aims to reach 50 franchisees by 31 May 2021. It has also mooted having multi-territory franchises**. If successful, Leicester can be a model for future such franchises.**
Overreaching: Edna's experience can help Scour expand. However, she may lack the acumen to run a business and struggle to cope with 4 territories.	Overreaching: Edna's experience can help Scour expand. However, she may lack the acumen to run a business and struggle to cope with 4 territories.
Fees: Edna can't unilaterally impose different fee rates. A consolidated initial fee may be valid and a good test for future, multi-territory franchises.	Fees: Edna can't unilaterally impose different fee rates. A consolidated initial fee may be valid and a good test for future, multi-territory franchises. **However, if the ongoing fee rate is reduced, this would be requested by all other franchisees and significantly reduce franchise income.**
Period: Edna wants an initial 2-year agreement. Scour usually signs for 3 years with new franchisees; it is not clear why Edna should be different.	Period: Edna wants an initial 2-year agreement. Scour usually signs for 3 years with new franchisees; it is not clear why Edna should be different
Demand: Scour can capitalise on the expected high demand for commercial cleaning in Leicester over the next 2 years.	Demand: Scour can capitalise on the expected high demand for commercial cleaning in Leicester over the next 2 years. **However, media claims should be verified as the survey took place before COVID-19. Not all customers prefer standalone franchised cleaners: some prefer full-scale FM providers.** **Launch: With launch on 1 September, the start-up period, even with Edna's background, is much shorter than normal.** **Recommendations: Scour should consider succession planning for head office employees if more are to seek to become franchisees.**

SCOUR EXAMPLE 2: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Operational and strategic issues

Characteristics of each script

- The marginally passing script identifies most of the key issues and applies judgment to some (but not all) of them.
- The excellent script extends the discussion by looking at all aspects of demand, making good use of material from across the case. It brings in a further issue – the challenge of preparing for launch within a tight timescale – and also makes the critical higher-skills point that a variation in fee rates for one franchisee could set a very dangerous precedent. Finally, it adds a recommendation to mitigate the risk of other Scour employees following in Edna's footsteps.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Assimilating & Using Information	• Business issues/ widercontext	• Strategy: +/- of ees as franchisees/ multiple areas • Leicester: cleaning market expected to grow OR competition from FM providers/COVID-19
Structuring Problems & Solutions	• Operational and strategic issues	• Risk: sole trader/overreaching/no experience/multiple franchises are new • Reduction in initial/ongoing fees (change in strategy) • Edna wants to launch 1 Sept 2020/2- year agreement • Edna will help Scour reach target of 50 franchises by 2021
Applying Judgement	• Evaluation: operational/strategic issues	• Could be template for future expansion/warning if fails • Difficult precedent to set/others may want reductions • Short start-up period: may cause problems OR questions why normal 3- year agreement not being used
Conclusions & Recommendations	• Makes recommendations	• Consider succession planning for HO if people leave

Notes

1 From the above, it can be seen that the excellent script has gained marks across all four skills.

2 It is an excellent script because the candidate has identified and developed the key operational and strategic issues arising from Edna's proposal, making effective use of facts from the Information.

3 The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

SCOUR EXAMPLE 3: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Business trust and ethical issues

Marginally passing script	Excellent script
Insider knowledge: Edna could use knowledge of Scour's business processes, franchisee performance, product mark-ups, etc, for her own benefit and to Scour's detriment.	Insider knowledge: Edna could use knowledge of Scour's business processes, franchisee performance, product mark-ups, etc, for her own benefit and to Scour's detriment.
Poaching and pricing: An established franchisee, Tracy may object to Edna taking on all the other Leicester territories into which she may have envisaged expanding in future. Scour must consider her views to avoid alienating her.	Poaching and pricing: An established franchisee, Tracy may object to Edna taking on all the other Leicester territories into which she may have envisaged expanding in future. Scour must consider her views to avoid alienating her.
Edna also plans to: • take two of Tracy's customers, accounting for £80k or 1/3 of her 2020 revenue • charge 10% less, possibly lower than the minimum fee allowed under Scour's standard terms.	Edna also plans to: • take two of Tracy's customers, accounting for £80k or 1/3 of her 2020 revenue • charge 10% less, possibly lower than the minimum fee allowed under Scour's standard terms.
The lower charges could affect the quality of work being done for the two customers, with a resulting impact on Scour's reputation.	The lower charges could affect the quality of work being done for the two customers, with a resulting impact on Scour's reputation. **Edna may have used her insider knowledge/ other dubious sources to contact the 'prospective customers', thereby breaching confidentiality. She is unlikely to have got commitments from so many (51 in Yr1). Each would entail a site visit. She may have approached just as many unsuccessfully. She will have done this alone, while still working for Scour. If they are existing Scour customers and Edna has abused her position to speak to them 'on the job' – unlike Tracy, who did it with Scour's full approval – Scour should investigate and, if appropriate, seriously question her intentions/actions and sanction her.** **Also, she has had only oral indications from them and it would be dangerous to rely on their revenue.**
Conclusions: Scour has no duty to accept Edna if she doesn't meet all the usual acceptance criteria. Her motives are questionable.	Conclusions: Scour has no duty to accept Edna if she doesn't meet all the usual acceptance criteria. Her motives are questionable.
Recommendations: Scour should investigate Edna's approaches to existing Leicester customers and other customers.	Recommendations: Scour should investigate Edna's approaches to existing Leicester customers **and other customers and, if necessary, take further action (eg, mediation); and remind her of the need for confidentiality with insider knowledge.**

SCOUR EXAMPLE 3: Evaluation of proposal from Edna Jones (ORIGINAL REQUIREMENT 3)

Topic: Business trust and ethical issues

Characteristics of each script

- The marginally passing script identifies and partly develops some important ethical issues, providing a brief conclusion and related recommendation
- The excellent script further analyses the scenario by introducing some important financial considerations, making astute use of accounting and other information previously supplied. It also expands the recommendation and applies professional scepticism and commercial awareness in exploring the robustness of Edna's information. It closes with advice to Edna not to abuse her position in the company.

Commentary on excellent script – demonstration of skills (examples): Points on the Marking Key earned by this script

Skill	Component	Example
Structuring Problems & Solutions	• Comments on ethical/trust issues	• Edna has potential for use of insider knowledge (eg, knowledge of mark-ups, Tracy's pricing/customers) • Edna planning to take 1/3 of Tracy's revenue/2 customers • Edna has oral agreements only from customers • Edna plans to reduce price (10%) for Tracy's customers/ yr2 forecast prices show c20% increase
Applying Judgement	• Evaluation/recs: ethical/ trust issues	• Remind Edna of confidentiality clause/ ethical behaviour • Move will decrease Scour revenue eg, low prices/low fee rate/discuss situation with Tracy/mediation needed • Customers not guaranteed/ formal contracts needed • Agreement breach: prices should be within allowable range/misleading customers?/maybe just customers' own expansion • Reputation: Edna may have positive or negative impact eg, poor work due to squeezed margin, lowballing/known experienced franchisee/ coverage of whole city

Notes

1. From the above, it can be seen that the excellent script has achieved marks in SP&S and AJ.
2. It is an excellent script because the candidate has demonstrated a sound grasp of the scenario and has addressed the principal issues of ethics and business trust arising, enhanced by some simple but pertinent number-work.
3. The above example represents an extract from a script. The candidate could have continued to accumulate marks from other parts of their answer.

Candidates: How to improve your exam technique in the commercial analysis requirement

In most Case Study Exams and across most scripts, there is a significant decline in marks from Requirements 1 and 2 to Requirement 3. You must bear in mind that all three have an equal weighting in the assessment – which means that you need to spend equal time on them. This does not (necessarily) mean writing the same amount for each one, but it does mean applying the same amount of thought and planning so that your answer is directed at the requirements that you have been asked.

Before the exam

- Ensure good Information preparation – know your Case Study thoroughly (not 'just know your tutor notes'): you are being examined on the Case Study not the tuition package – you will not have time to re- read the Information (or 'un-know' your tutor notes).
- Ensure that you have developed the ability to think for yourself so that you do not have to use guesswork (or your tutor notes) to attempt to answer this requirement.

In the exam

- Analyse the CS Exam information: always expect to have to think 'in situ' in order to respond to the updated scenario.
- Make full use of the Information exhibits – candidates often underestimate the importance of the Information when tackling Requirement 3 and believe that they can answer it successfully just by referring to the CS Exam material.
- Ensure that you include financial analysis and that you prepare an appropriate financial appendix as part of your answer – you will be provided with numbers (financial and non-financial), and you ignore them at your peril.
- Where a pre-populated spreadsheet is provided, it may include a template, in which case that is the format which you are expected to use for part or all of your numerical work on the requirement. Alternatively, if it comprises a set of data, that data must be analysed and referred to as necessary as part of your answer. If you do not make any use of the pre-populated spreadsheet information, you risk losing between 10% and 20% of the total marks available for the requirement.
- Decide on the structure for your answer at the outset and keep to it – and never use a 'scattergun' approach. This requirement is never 'scattered' (it is never worded 'say as much as you can about anything you know about any aspect of this business'...) – it is a requirement for a structured piece of analysis.
- Allow enough time to transfer the headlines of your work to the Executive Summary – the scripts of weaker candidates often contain very little, if anything, in relation to Requirement 3 within the Executive Summary.

Skills tip

Keep your answer relevant to the business context described in the scenario and use common sense. Look at the specifics of the situation; what are the updated threats/ concerns/scenario/issues? Consider these specific facts in your answer.

Writing the answer

- Include relevant details from the wider context for the business scenario.
- In dealing with operational issues:
  - Be logical and be diplomatic.
  - Identify the problems/issues/factors (structuring problems and solutions).
  - Consider the effect or impact of the issue and identify the way to overcome the problem or benefit from any proposal (judgement).
  - Make a decision on the issue and summarise that decision (conclusions); identify the way forward by qualifying your proposals with any provisos (recommendations).
- Fully evaluate all opportunities/propositions/alternatives.
- Review the issues from both sides: consider both benefits and risks – an issue is never universally positive or negative.
- Cross-analyse the problem in the context of the specific business as presented in the Case Study scenario.
- Weight the factors in terms of importance (no point starting with petty cash in a client letter).

Skills tip

Ensure that you only use the appropriate amount of time available to answer this requirement by proper planning – just because you could 'write all day' about the financial statements does not mean that you should.

9 Marking Key

REQUIREMENT 3 – Evaluation of proposal from Edna Jones

Assimilating & using information	Structuring problems & solutions		Applying Judgement	Conclusions and recommen-dations
R3.AUI.1 Appendix	**R3.SPS.1 Financial calculations (appx or report)**		**R3.AJ.1 Evaluates overall financial impact**	**R3.CR.1 Draws conclusions (under a heading)**
• Numbers clearly derived	• Set-up costs: yr1 **£44k** AND yr2 **£0k**		• Significant franchise/12% of 2020 franchised rev/GP	• Gives Scour revenue/GP/ GP% for yr1 AND yr2
• Analysis by territory: total revenue/average revenue	• Continuing costs: yr1 **£40k** AND yr2 **£28k**		• Comments on L2/L3/L4/L5 revenue	• Concludes on spreadsheet analysis
• Considers flexing numbers eg, use Scour figs (10k/7%)	• Calculates product costs: Edna's revenue x appropriate % OR Scour's ongoing fee x %		• Yr1 achievability: compares v L1/ other new Fr/new Fr often don't meet targets	• Concludes on main operational/ strategic issue
	• Transport costs: cancels out/ recharged/states ignored		• Yr2 achievability: forecast of 50% looks optimistic eg new builds in L4, usual Fr growth	• Concludes on way forward
	• Transport costs: cancels out/ recharged/states ignored		• Compares yr1 calculated GP to Scour yr1 target of B/E	
	• Revenue growth yr1 to yr2 **£450k/50%**		• Any changes in assumptions will impact calculations/L- F-L analysis hard as some customers may start mid-year	

R3.AUI.2 information/CSE information (appx or report)	R3.SPS.2 Operational and strategic issues		R3.AJ.2 Evaluation: operational/ strategic issues	R3.CR.2 Makes recommen-dations
• Initial fee: yr1 £25k AND yr2 £0	• Risk: sole trader / overreaching / no experience / multiple franchises are new	>	• Could be template for future expansion/ warning if fails	• Further evidence needed for Edna's forecast figures
• Ongoing fee: yr1 **£45k** AND yr2 **£67.5k**	• Reduction in initial/ ongoing fees (change in strategy)	>	• Difficult precedent to set/others may want reductions OR Edna will not need training/ mentoring (cost saving)	• Negotiate T&C with Edna (eg, initial/ongoing fees)
• Product sales: product cost x appropriate mark-up (20%-22% mark-up)	• Edna wants to launch 1 Sept 2020/ 2-year agreement	>	• Short start-up period: may cause problems OR question why normal 3-year agreement not being used	• Due diligence on Edna/ formally interview Edna
• Calculates total revenue for Scour from Edna	• Considerable variation in customer size (£4k to £50k)	>	• Rapid growth in customer nos. may cause logistical problems	• Consider impact of change of product supplier
	• Edna will help Scour reach target of 50 franchises by 2021	>	• Should not take on poor applicants just to reach target	• Consider succession planning for HO if people leave
	• No customers lost in period?/industry experience of churn	>	• No losses is unrealistic/need to factor in some churn	• Other commercial recommen-dations
R3.AUI.3 Business issues/ wider context	**R3.SPS.3 Comments on ethical/trust issues**		**R3.AJ.3 Evaluation/recs: ethical/trust issues**	
• Strategy: +/- of ees as franchisees/ multiple areas	• Edna has potential for use of insider knowledge (eg, knowledge of mark-ups, Tracy's pricing/customers)	>	• Remind Edna of confidentiality clause/ethical behaviour/check whether client contact has been appropriate	

• Edna: wants to start 4 territories simultaneously	• Edna planning to take 1/3 of Tracy's revenue/2 customers	>	• Move will decrease Scour revenue eg, low prices/low fee rate discuss situation with Tracy/mediation needed	
• Previously only non-HO staff have become franchisees	• Tracy meeting targets	>	• Edna has motive to overstate forecasts	
• Leicester: cleaning market expected to grow OR competition from FM providers/ COVID-19	• Edna has oral agreements only from customers	>	• Customers not guaranteed/ formal contracts needed/yr2 especially detailed given uncertainty	
• Leicester1: franchise terminates in Nov 2020	• Edna plans to reduce price (10%) for Tracy's customers/ yr2 forecast prices show c20% increase	>	• Agreement breach: prices should be within allowable range/ misleading customers?/ maybe just customers' own expansion	
• Target is for all franchisees to B/E in yr1			• Reputation: Edna may have positive or negative impact eg, poor work due to squeezed margin/ lowballing by Edna/known experienced franchisee/ coverage of whole city	

Summary of skills

Referring back to the coverage of professional skills in Chapter 2, candidates can see how these principles are reflected in the above Marking Key:

- **A&UI:** The top area identifies the numbers that the appendix should show and in what detail. The middle area covers the appropriate calculations. The third area covers the business context, embracing a range of issues from both the exam scenario and Information, reinforcing the importance of familiarisation work.
- **SP&S:** In the first mark-scoring area, the assessment criteria focus on the costs associated with this proposal. In the second area, the assessment criteria focus on the operational and strategic risks. In the third area, the assessment criteria focus on the business trust

and ethical issues.

- **AJ:** This is assessed in line with the requirement and the SP&S assessment. In the first mark- scoring area, the assessment criteria focus on the evaluation of financial implications of the proposal. In the second area, they address the operational and strategic issues and are an extension of the SP&S equivalent second area, as indicated by the use of connecting arrows. The third area focuses on the business trust and ethical issues, again with arrows pointing from the corresponding SP&S points. The three areas follow a logical progression through the requirement, evaluating the analysis and applying judgement to the new proposal considering financial and non-financial factors.
- **C&R:** The conclusions follow directly from the analysis (SP&S) and evaluation (AJ) of the financial impact of this proposal and the main operational benefits and risks. There is also a point for concluding on the way forward. The recommendations points are focused on the Scour-specific actions.

Chapter 5
The Executive Summary

Introduction

Learning topics

1 The Executive Summary



Introduction

This chapter explains the approach to the Executive Summary, a key part of any CS Exam. It includes definitions, guidance and tips for an effective Executive Summary.

1 The Executive Summary

This chapter addresses an important feature of the CS Exam – the Executive Summary.

1.1 What is an Executive Summary?

The basic requirement

In the Case Study, candidates are required to include a précis of their output in the form of an Executive Summary (sometimes abbreviated to 'ES'). Executive Summaries are important in all aspects of business – as well as in politics and in other areas of life – because leaders have little time to read all the way through detailed reports, a task that they can delegate to junior staff. Where a report is to be discussed at a board meeting, the ES may be all that many of the board members ever look at on the topic. As a result, the ES must be a succinct, standalone summary that picks out the key points from the report.

Marks available

There are six mark-scoring areas in the section of the Marking Key that assesses the ES. They are structured so that each column corresponds to a main requirement and has two mark-scoring areas, representing the broad issues that the examiners are expecting to see in relation to each requirement. This structure enables the assessment of the ES as a concise summary of key facts and findings from each section of the main report and it also reflects the format that most candidates use to write their ES.

The ES should include key numbers, issues and results. There is no need for separate 'conclusion' headings/sections within the ES – the whole of the ES is a conclusion. Credit is given for specific key issues, numbers and results that the examiners consider to be crucial under each of the three exam requirements.

> **Skills tip**
>
> Note that the ES is not supposed to contain any material that has not already been discussed in greater detail in the body of the report. It is not the place to insert a sudden unsupported brainwave, however brilliant it may have been.

The good and the not-so-good

Candidates should aim to produce a short summary that is both a précis of the report (probably

10%–15% of the total length of the script) and capable of drawing the reader forward into the body of the report.

Candidates must also avoid writing an ES that simply tells its readers what they already know or – worse still – less than they already know. An ES that fails to summarise the situation succinctly, or consists of little more than a poor index to a report ('In section 2, we talk about the …; in section 3, we discuss …') that must be read to understand what is being reported on, is effectively useless.

Candidates need to put themselves in the place of the people who might eventually read the report. The ES should encapsulate the main facts from across the whole report and demonstrate the quality of the work to add value and knowledge to the reader.

A good ES contains references to the main sections of the report, with a number of points identified under each heading. It also contains a summary of the key numerical analysis from the report.

A poor ES lacks sufficient detail. The priority of the matters raised is not clear, points often being included with little or no justification. The integration of quantitative and qualitative data is weak, with no real analysis of risks and opportunities available to the client or other recipient. Too often, the ES of a Case Study candidate contains few, or no, figures. Consequently, without any focused analysis, and without indicating any judgement, it lacks specific conclusions and recommendations. At worst, it simply repeats a section of the report that in itself was simply an extract from the information given – being what at best could be described as 'negative added value'. For each requirement under the ES, the Marking Key has a point for 'Appropriate summary of report section' in the second mark-scoring area. This is awarded where a candidate is deemed to have produced an ES section that is a suitable précis of the main body of the report and not a direct copy of substantial blocks of text from it.

Skills tip

As part of the preparation for the CS Exam, candidates should have summarised different exhibits. In the CS Exam, the ES is a précis of the main report, and so the practice which candidates should have performed in preparation should have helped to develop the necessary skill for the CS Exam.

Note: In the Walkthrough (Weave the Weft), some of the Interactive questions require candidates to practise this technique.

1.2 What should a good Executive Summary contain?

Key issues

The ES should give a synopsis of all the main areas of the report. It must refer to:

- **The key issues identified**

  Since there may be several areas to discuss here, candidates must make sure to prioritise the issues clearly – and with enough justification for the order that the reader would be convinced of their logic. Key risks, potential returns, major resource issues and significant stakeholders should all be brought into the discussion. However, this is not a repetition of the detailed report – it is a synopsis.

- **The financial and strategic analysis conducted**

  The discussion of the key issues must include references to the key financial analysis performed – the key figures and the conclusions to which they have led. For example, if candidates were required to consider a particular investment in non-current assets, they may have used an NPV or payback method of assessment. If these figures are then restated in the ES – in a non-technical way that can be understood by a non-financial audience – it will add real weight to the arguments.

- **The judgements made**

  The body of the report will have contained assumptions or other considerations of analysis performed on which judgement has been made. It is very important that these judgements are identified and summarised in the ES so that the reader is aware of the certainty (or otherwise) of the matter being described or discussed.

- **The conclusions drawn**

  These must be unambiguous and clearly justified with reasoned arguments. Remember that the reader may never read the full report, so the conclusion must seem appropriate

on the basis of the preceding discussion of the issues. A leap of logic, or a snap conclusion without justification, will score few, if any, marks.

- **The recommendations made**

  Candidates must also summarise their recommendations. They should think of these as a 'call to action'. The report must win the support of the reader here – to agree the way forward on a section. To do that, the recommendations will need to be compelling: they should follow logically from what candidates have included so far in the summary – it is all too easy to rely on the full report to 'sell' the recommendations. They should ensure that all recommendations are justified, that any interdependencies between them are clearly identified and that overall they present the reader with a clear sense of what to do next.

1.3 Tips for effective Executive Summaries

- Allow sufficient time to write an effective summary, using whatever technique works best for you.
- Identify – while writing the main body of the report – those key issues for each section that warrant a mention in the ES.
- Ensure that all key elements from each section of the report are summarised and included.
- Write the summary in an appropriate logical order of priority.
- Integrate the numerical information/calculations where appropriate.
- Identify where judgement has been applied to any assumptions or reworked information.
- Provide unambiguous conclusions and clear recommendations, with succinct justification.
- Where appropriate, consider the perspectives of other stakeholders.
- **Ensure that the Executive Summary is what it says – a summary for (busy) executives – and not a blanket reproduction of the whole of your report.**

> **Skills tip**
>
> If you do happen to have a fantastic new idea while you are writing the summary, you are unlikely to score many marks for suddenly introducing it into the Executive Summary, so you will need to decide if there is also time to mention it at its proper place within the report.

1.4 Exam approach

Summarising the key points

Candidates should identify the key points in the body of the report for inclusion in the ES. This involves reviewing what they have written for words that indicate priority ('first', 'next', 'finally'), key areas ('principal', 'central'), reasoning ('therefore', 'consequently') or contrast ('however', 'on the other hand', 'unlike'). These should help to identify the main points or arguments to be included in the summary.

It should be relatively easy to transfer the main outcome of the important calculations to the ES – though it will generally require a bit of thought as to how to summarise them in a natural, coherent and meaningful way.

Timing

As the ES typically represents 15% of the total marks, candidates should spend around 15% of the available time on it, so around 30 minutes on it overall – say, 10 minutes per requirement. This is a broad guideline; see below for the two possible strategies.

Technique

There are two possible strategies:

- Write the ES for each section as it is completed.

  Each time a section is completed, identify the key points and use these as a basis for writing your summary in an appropriate order of importance.

  Candidates who do this will need to ensure that they organise their time on each requirement to include 10 minutes for the ES section. This approach may suit candidates who struggle with time management.

- Write the ES at the end of the exam.

  By adopting this approach, candidates will know exactly what the main recommendations are and can therefore ensure that the issues and conclusions lead towards them logically.

  Candidates will need to allocate around 30 minutes in total. They will then be able to use this time both to write the ES and also to look through their script.

  This approach needs careful time discipline to ensure that the main body of the report is completed with the time allocated.

Skills tip

(a) Time management: the important thing with either method is to stick to a plan and avoid running out of time without completing an ES at all.

(b) Concise writing: remember that the report reader will be busy. To maximise the report's impact, ensure that there are sufficient – but not too many – headings so that the reader can see the key facts. Keep all sentences and paragraphs short so that the arguments do not get lost. Clarity of expression is paramount.

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

CA Bhaban
100 Kazi Nazrul Islam Avenue
Dhaka 1215, Bangladesh

880 2 9115340, 9612612100
9117521, 9137847 (Off.)

880 2 9125266

ceo@icab.org.bd

facebook.com/ca.bangladesh

icab.org.bd